

# Chalet Hotels (CHALET)

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## Call: Aug 2022

August 3, 2022

National Stock Exchange of India Limited

Exchange Plaza

Sandra Kurla Complex,

Sandra (East),

Mumbai 400 051.

Scrip Code: CHALET

Dear Sir/ Madam, CHALET

HOTELS

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai 400 001.

Scrip Code: 542399

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter ended June 30, 2022

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), please find attached herewith the transcript of the Earnings Call held by the Company on July 29, 2022, in respect of the Unaudited Financial Results for the quarter ended June 30, 2022.

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalethotels.com](http://www.chalethotels.com).

Request you to take the same on record.

Thanking You.

Yours faithfully,

For Chalet Hotels Limited

Chr•sta elle aptista

Company Secretary & Compliance Officer

Encl.: As above

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CIN : L55101MH1986PLC038538

Page 1 of 21

Chalet Hotels Limited

Q1 FY202 3 Earnings Conference Call

July 29 , 202 2

MANAGEMENT : MR. SANJAY SETHI – MD & CEO

MR. MILIND WADEKAR – CFO CHALET

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Chalet Hotels Limited

July 29, 2022

Page 2 of 21 Moderator : Ladies and gentlemen , good day and welcome to the Chalet Hotels Limited Q1 FY202 3 Earnings Conference Call . As a reminder, all participant lines will be in the listen only

mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference call, please signal an operator

by pressing "\*" and then "0" on your touchtone telephone. Please note that this conference

is being recorded. Joining us on the call today are Mr. Sanjay Sethi, MD & CEO, and Mr.

Milind Wadekar , CFO . I now hand the conference over to Mr. Sanjay Sethi, MD & CEO,

Chalet Hotels Limited. Thank you and over to you Sir!

Sanjay Sethi : Thank you , Mitchell . Good morning and thank you for your time today ladies and

gentlemen . We have moved from a strong performance in March to a stronger succeeding

quarter . After three tumultuous waves of the pandemic , we have witnessed six consecutive

good months. I am going to sort of talk you through that and then handover to Milind to

share some key numbers from his side and then we will move to Q&A after that.

We are happy to announce a back to normal performance of Chalet Hotels with the best Q1

performance till date. Our hospitality business posted an occupancy of 78% in the first

quarter and an ADR of 7457, higher by 37% from the preceding quarter. The division's

revenue was 5% higher than Q1 of FY2020, the pre-pandemic year's. The business was

assisted by the IPL season in Mumbai, strong recovery of business travel in Q1.

Domestic business segment clocked 100% higher room night rent than 2019 and recovery

in room night of foreign travel was 56%. I am glad to share that Westin Powai, JW Marriott Sahar, and Novotel, Pune exceeded revenues of Q1 FY2020. Westin Hyderabad and Four Points Sheraton in Vashi matched FY2020 revenues. However, Marriott Whitefield trailed but is now showing very strong recovery trend in the last few weeks. The portfolio F&B revenue was higher by 14%. When I am saying higher by 14%, I am referring again to Q1 of FY2020.

I am glad to share that the hospitality revenue for the quarter was up 5% from Q1 2020 at 2.3 billion. The divisional EBITDA of

outperformed the Q1 FY2020 EBITDA by 11%.

Reduction of certain fixed costs help deliver GOP for our hotel division at 48% as against 45% in Q1 FY2020. The EBITDA for the division was 950 million for this year. Our room to employee ratio remained a very healthy 0.87 at the end of June despite high occupancies and this includes all employees, including contract and fixed term contracts. We maintained payroll cost at 13% of revenue as compared to 15% in the full year of FY2020. Utilities as a percentage of revenue were at 6% as against an average of 7% in FY2020. CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 3 of 21 The consolidated revenue for the company for the quarter was Rs.2.6 billion with an EBITDA of Rs.1.1 billion, which is the highest Q1 revenue and EBITDA for the company till date. Our revenue and EBITDA growth over Q1 FY2020 was 6% and 27% respectively. Milind will walk you through the detailed financials and the debt position shortly.

Development of the new commercial towers, now I am talking about the projects in pipeline. So, the new commercial tower in Bangalore and Mumbai are moving rapidly to completion. Conversion of the mall at Bangalore is expected to be delayed by a couple of months but within the same quarter. The second phase of renovation at Westin Powai is underway with the main ballroom and six room floors out of operation. We expect to handover the ballroom by mid August and the room floors by December.

The 168-room new hotel at Hyderabad is expected to be operational by the last quarter of the current financial year. At Novotel, Pune the expansion of 88 rooms is on track for completion by Q3. We are also evaluating the upgradation and conversion of the Accenture Learning Center building at Bengaluru to 190 rooms and add to the existing 324 rooms at Marriott Whitefield. That will take the total inventory in excess of 500 rooms making that again the largest hotel in the city.

On the leasing front, barring the 17,000 square foot of the commercial area of 'The Orb' in Sahar everything else is leased out. I am pleased to share that in Bengaluru, we have an LOI in place for leasing three floors to a single tenant with a potential to move floors being signed by them in a few weeks. The commercial terms have been closed at Rs.60 a square foot, 9% higher than the earlier estimates.

I am delighted to share that we have been declared successful bidders for a terminal hotel at D3 Delhi International Airport and will be working closely with the team at DIAL to take the project forward. The hotel will have somewhere between 350 and 400 rooms and will be positioned in the 5-star luxury segment. The hotel is expected to be commissioned in or before FY2026. This project will give us a strong foothold in North India and access to the very important market of New Delhi.

Just so that I can elaborate a little more about this project, this building that is going to be built by DIAL and then fitted out by us, is literally the road across the arrival section of the terminal, which means that travelers can potentially just walk in from the terminal building into the hotel with their bags and trolleys.

Moving on, our focus on ESG continues to be high. We get 61% of the electricity from renewable sources as against 53% in March of 2022. We are also making progress in our CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 4 of 21 committed goals to the Climate Group, and we expect to report back significant success from that in the coming months.

I am also very happy to share that this year we have been ranked fourth in the prestigious list of India's great and mid-size workplaces. This is the third consecutive year because the company has been

certified by the great place to work institute and this time our rank of 4 makes us the best ranked hotel company in the category.

All in all, ladies and gentlemen a very good quarter, strong business recovery, good leasing traction, an inorganic growth opportunity aligned with a declared growth strategy and a

very gratifying recognition of our work culture. We are excited about the business outlook and aim to surpass revenue and EBITDA numbers of FY2020 fairly comfortably in this year, which is a year ahead of our earlier estimate. On that happy note, I now hand over to Milind to take you through some of the key numbers for the quarter. Thank you.

Milind Wadekar : Thank you, Sanjay. Good morning, ladies and gentlemen. Let me reiterate that Chalet has seen best quarter one in April and June 2022. Let me now take you through financials in some more details.

Reported revenue for the quarter was Rs. 2.6 billion which was higher than Q4 FY2022 due to business operations resuming back. As compared to Q1 FY2020 the company marked a growth of 6% backed by a robust recovery in hospitality and higher rental as compared to the base period. During the quarter, the company received an interest income on income tax refund of Rs.30 million and accounted Rs.16 million as reversal of provision for expenses of earlier years. Adjusted for this, EBITDA was little over a billion, which was three times Q4 FY2022 EBITDA and 23% growth for the same quarter of FY2020. The EBITDA margins for the quarter were at 42% for the company.

The company reported profit after tax at 286 million an improvement from loss of Rs. 115 million in the sequential quarter. Defaults after taking into account reversal of deferred tax asset were of Rs. 104 million. The hospitality segment contributed 88% to the total income of the company in Q1 FY2023. Occupancy for the quarter averaged at 78%, higher by 23% point sequentially and 3% points from pre-pandemic Q1 FY2020.

The ADR for the quarter was higher by 37% at Rs. 7457 as against Q4 FY2022 and showed a 92% recovery from pre-COVID period. Revenue from hospitality was at Rs. 2.3 billion the quarter and EBITDA was marginally shy of Rs. 1 billion. The segment reported margins of 41.4% for the quarter as against 38.8 in Q1 FY2020, showcasing efficiencies bid over the last two years are at play while business quarter took pre-pandemic level. Favorable CHALET HOTELS

Chalet Hotels Limited

July 29, 2022

Page 5 of 21 demand supply dynamics, points to a strong revival in rates and sectoral up cycle. These along with our efficiencies are likely to result in higher flow through from hospitality.

Two of our major cost heads for hospitality, first payroll cost was 13% of revenue in Q1 as compared to 15% payroll cost in FY2020 and secondly, utility cost as a percentage of revenue reduced to 6% as against 7% in the FY2020. The rental at annuity segment contributed to 9% of total revenue for the company. The revenue and EBITDA from the segment was at Rs. 231 and Rs. 183 million for the quarter respectively with efficiencies of around 80%.

Net debt of the company from March 2022 to June 2022 was flat at Rs. 22.3 billion, while the company spent Rs. 0.9 billion on capex during the period it was largely funded by internal accruals. The company has capex plan of Rs. 7 billion over next four to five quarters to complete under construction, commercial, and hospitality assets.

Business is well-funded with strong internal accruals and available lines of credit.

Considering all under construction projects, the company has a total of Rs. 9 billion of CWIP across hospitality and rental assets. These investments are expected to generate revenue over next three four quarters and free up the balance sheet. The average cost of rupee loan was at 7.55%. We have

average cash and cash equivalent as on June 2022 of Rs. 0.8

billion and Rs 7.5 billion available lines of credit for general corporate purpose and planned capex. On our residential development at Koramangala, we are awaiting last municipal approval and RERA registration. There has been another Rs.250 million new subscription from promoters on 0% non-convertible redeemable preferential for funding the outlook relating to the residential project at Koramangala.

The total subscription now stands at Rs. 2000 million as of June 2022. With this, we now open the floor for questions.

Moderator : Thank you very much Mr. Wadekar. Ladies and gentlemen, we will now begin the question and answer session.

Our first question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna : Hi. Thanks for the opportunity and congratulations on an encouraging quarter. Sanjay, firstly on the recovery MMR with 65% contribution of the hospitality segment revenue clearly remained an outlier apart from Pune where we have seen an incremental contribution when you compare it with pre-COVID. However, can you give us some sense on the revenue contribution from IPL specifically during the quarter and also your blended CHALET HOTELS

Chalet Hotels Limited

July 29, 2022

Page 6 of 21 occupancy in June was 73% versus 80% in April -May so can you give some specifics how would be the stack across micro markets in June versus the rest of the quarter ?

Sanjay Sethi : Sure Karan, thank you for question. Good to connect with you again. Look, IPL was a contributor for the months of April and May, and they moved out sometime in the end of May so we had about 20th May when they moved out and there was that impact in our Mumbai hotel as they moved out from the teams that were staying with us as well as compression in the market got eased up. Having said that, the occupancies have remained healthy since then, true. So the fact that we remained at lower or mid 75% occupancies in the subsequent months indicate that the market is robust even if we exclude one of the events that happened in the city and so we are growing from here. The other thing, I want to highlight is remember the foreign travel is not back as yet, only about 56% of the foreign travel is back. UK has improved better than US. US was the largest contributor and the US market is business travel into India is slow because of two reasons, one they have found it difficult to get the visas, so that is getting sorted at the MEA level to improve the speed to give them work visas, and second very importantly because of the Russia Ukraine war they could not take the North Pole route which they traditionally take to come into India, thereby making the flights longer and US travelers did not want to take the headache of coming through either Amsterdam, Frankfurt or London because those airports are in mess right now. But we have now got confirmation of new schedules from couple of US airlines or direct flights into Mumbai, Hyderabad, and Bangalore and that is going to help improve. If you recall in all my earlier conversations, I have said that foreign travel will come back to normal by Q3 of this year, and I think they are well on track for that to happen. Coming to flavor on occupancies, I think June was roughly around 73% occupancies and we have got July again trading at about 75% actually on most occupancies on a month to date basis as of now, so clearly, we are holding the occupancies. If you recall the pre-pandemic occupancy numbers before the pandemic hit in March, we were at 75% so if we exclude March even at the highest occupancies of the 11 months of FY2020, the occupancy was 75%. Now what has happened with this mix of foreign travel versus Indian travel, the rates have not moved up as sharply as they potentially

could, but a 37% quarter-on-quarter jump is fairly healthy improvement and as we fill up and get back the foreign travels, I see that blending up pretty rapidly, especially in the second half of the year, so is there anything else I missed ?

Karan Khanna : No, I think that pretty much covers the question. Just talking about your Delhi expansion while we understand this is a fairly strategic location and would give you the benefit of being among the first preference given the proximity to the airport, but can you talk about the demand supply dynamics of the micro market in particular Aero City and also with Marriott already having a hotel in the vicinity. What would be your choice of preferred blend here given the Westin will fall under the same umbrella and could cause a conflict of interest ?

CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 7 of 21 Sanjay Sethi : So, I do not have the exact numbers of demand supply, but Delhi has been the early starter on recovery on all India basis, after the pandemic. It continues to record high occupancies and reasonably good ADRs, if not better at par with Mumbai and the micro market of the aero city has been the strongest within that NCR region. As I highlighted, the hotel is actually going to be connected with the terminal 3. In addition to T2 is expected to be expanded and renovated also connects to the hotel directly, so basically passengers from T3 and T2 both will get an opportunity to access within very comfortable walking distance the hotel which takes away the complete headache of waiting for a car or taxi or organizing a Uber or Ola. So, I think we see this hotel having a distinct advantage.

On your question regarding the brand early days, we are in conversation with couple of brands and you have mentioned the only two Marriott brands. This suite is opened for brands across the brand portfolio and the brand landscape in India. We are not restricting ourselves only with conversation with Marriott. You rightly mentioned Marriott already has I think 650, 700 or maybe more than that 700 odd rooms operating, and they are building another 1000 rooms there. So clearly, they will be quite stretched with the inventory that they have there. We are exploring all opportunities there. We will come back as and when we firm up a brand partner there.

Karan Khanna : Sure. But talking about the capex here because you have mentioned that the shell will be delivered by Delhi International Airport Limited but the interior and other fitouts will be completely by Chalet, so against that context can you give some sense on the overall cost involved in terms of the auction and capex which was being incurred by Chalet and how do you plan to fund the same given you are already going capex for commercial assets apart from the hotel expansion at Pune and Hyderabad ?

Sanjay Sethi : Sure. Milind already shared the lines of credit that we have and the access to capital and you got to remember that Chalet has real ly never had a problem with access to capital and our ability to get capital even if it is debt at very low rate continues to be str ong if anything is getting better. Second , as far as the capex spend s is concerned , we expect about 65 lakhs per room fr om our side besides the shell and façade from that. On a capex cycle keep in the mind, the shell and façade is being buil t by DIAL so they are ones who will be putting the early capex into this. Our capex intervention will not come in for may be for 18 to 24 months fr om now. We will probably start actually infusing capital in this particular project 18 to 24 m onths from now , and by then if you look at our 5-year plan , our debt does come down very significantly by the n. So, we will act ually have inefficient size of debt for a company that has seen a very sharp growth plan . So,

we will be happy to raise mo re capital in any form that we can to fund this project. We really have no concern from that. Milind , do yo u want to add something to thi s? CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 8 of 21 Milind Wadekar : Hi Karan. Kar an capex spend for this project will start in FY2025 , and we will start earning EBITDA from our under construction, commercial and hospitality assets from FY2024 , and we will be in comfortable debt pos ition in FY2025 to fund t his project.

Sanjay Sethi : I just want to emphasize there is no concern at our end on funding of this capex.

Karan Kh anna: Lastly , on the leasing front , while you did mention about advanced stage of discussions for the B engaluru asset is it possible to give some specifics if you would be renting the entire asset to a single tenant and some sense of the tenant profile and expect ed rentals in case if they start earlier , and also will this include the entire 1 million square feet ?

Sanj ay Sethi : Very quickly because we have spent a lot of t ime on this. Karan , I have confirmed that we have signed three floor s in an LOI for the new build ing there which is 11 floors and all so - 3 are already signed with what we call the anchor tenant there. That same anchor tenant is potenti ally looking at two more floors , and we have other conversation which I am not at liberty to discuss right now f or the balanced floors as far as the new IT building is concerned. As far as the conversion of mall to an office space is concerned , we are about two months behind the completion of this IT tower , so we are not rushing into this as you have noti ced that we have been able to tie up higher rents th an we were expecting earlier. We like to right time our leasin g activity for the mall areas also to get th e maximum rental benefit out of that. Again , demand is extremely high both in Bangalore and Powai . The other than that, in fact Milind is reminding me to mention that the metro at W hitefield is going to be launc hed sometime in December this year and the station from an off ice perspective becomes extremely convenient for us , which is literally at our d oorstep there.

Karan Khanna : Sure, thank Sanjay , Milind and all the best !

Sanjay Sethi: Than k you Karan.

Moderator : Thank you. Our next question is from the line of Aishwarya Agrawal from Nippon India . Please go ahe ad.

Aishwarya Agrawal : A very good performance in this quarter. Sir , I just want to understand how do yo u see the revenue visib ility for this year, for this second half when I know that foreign tra vel is something which will add to the reven ue in a meaningf ul way . But besides that , do you have some booking and all or do you see any mega events happening lik e IPL ?

Sanjay Sethi : Aishwarya, thank you for the question and thank you for being on the call . Look , we do have a lot of activity on the MICE segment because that gets booked out in advance , both corporate events as well as social events , including we dding seem to be trending e xtremely CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 9 of 21 strongly and you know our hotels in Mumbai which is the Westin in Powai and the JW Marriott at the airpor t in Sahar are very banq uet intensive hotels so we see that getting up the revenue for us in the second half. In terms of business travel , the lead time is somewhere between 7 and 15 days , but looking at the curre nt trend and the fact that post the compres sion in the Mumbai market which ended in 20th May, the trends of business travel have been extremely strong and occupancy in the city have rem ained extremely robust and healthy. Today , if we are reporting 75% occu pancy in June , this is remember without the 120 rooms at Powai which are under renovation , and a very significant element for the Powai hotel is its ball room that ha s been shut down

ren ovation. If you were to have that back Powai would report much stronger numbers and the 75% occupancy in any case would

be much higher. To overview, we expect H2 to be stronger than H1 and we see great recovery being very sharp in H2.

Aishwarya Agrawal : Sir, can you give some idea in terms of occupancy which you see at this point of time for the second half because you already have for MICE activity or from the weddings and all?

Sanjay Sethi : Aishwarya, we have always shied away from giving any forward-looking numbers in the past. I do not want to break that trend. We have of course five-year projections available with us and that gives us a lot of comfort that is all I can share with you at this point of time that things are looking very, very positive.

Aishwarya Agrawal : Sir, one last question in continuation. Like IPL was an event which led to significant improvement in our occupancy and ARR's, can you give an idea that what kind of mega events potentially possible in next one to one and half years?

Sanjay Sethi : We do have large MICE events as I mentioned earlier. I do not have the exact details of the events that are happening but the standard event that happened with us whether they are medical events that happen on annual basis, the gems and jewelry shows, the oil and gas events that happen which are pretty prevalent in Mumbai, all of them look very strong. The wedding business looks extremely strong in the H2, and since we will have the banquet hall back at Powai, we expect a step up on revenues on that front on that segment.

Aishwarya Agrawal : That is very good Sir. Just one last question, because I am not aware, when generally these gem and jewelry and the medical and oil and gas events happen in the year?

Sanjay Sethi : They happen year-round actually and we have already had one or two of them frankly, and then the gems and jewelry and the medical ones I think they are about two or three a year that happens which are really big. We have had one gem and jewelry. We have had one medical one. We see a lot more happening. I do not want to take the names of the company, the big global MNCs which have had events now in our hotels in India. They have had CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 10 of 21 global events in India already and some of them are booked for the coming months, but unfortunately that is not the data that we like to disclose for their privacy.

Aishwarya Agrawal : That is really good to know. Alright. Thank you very much sir and best of luck. I hope you will do very well. One more question I am sorry but when is the demand and supply part as now there is a significant demand is coming up from the different segments and foreign travel has not yet started, so in that context how do you look at the new hotel supply say next two to three years?

Sanjay Sethi : So, the five-year trend that we have access to as data show a very positive and favorable trend to drive rates and occupancy up. The expected CAGR on supply for the next 5 years is in the range of 4.5 to 5%. Our demand is clearly going to outpace that by a large margin and that is going to probably create at least two or three major step-ups on the rate front in the next maybe two to four quarters.

Aishwarya Agrawal : Great Sir. Thank you very much.

Moderator : Thank you. Our next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar : Can you talk about the pricing power the hotel industry is getting and how sustainable it is considering the pent up demand going to be not there maybe after couple of quarters?

Sanjay Sethi : Firstly, let me address the pricing part. Look, we saw pricing power being put to play when the IPL was happening in Mumbai. Hotels room shot back to Rs.14,000 to 15,000 in fact in some cases it was Rs. 12,000 on the visible rates

that is the bar rates that are rates available

on the general public and that is why the hotels were able to cream the market in that point of time, so revenue management is clearly at play. What we are going to keep in mind we have come out of two very difficult years the stage one for any industry is to first get a strong foothold and consolidate on capacity and very often we all talk about occupancies, and I look at vacancies. When we say we are 75% occupancy, I look at it as 25% vacancy and my aim is always to fill in the vacant rooms with business which is one off or what we can call as MICE and other stuff as against reducing rates for regular business that comes in the form of transient or corporate, those are annual contracts. So, I think the industry is right now consolidating and making sure that they have the base occupancies filled up with long-term business yet keeping the blended rates a little low as far as the business cities are concerned. -Second with the foreigners not back in full stream, in fact, we are only half way down there that itself should take another Rs. 800 to Rs.1000 up on the rate front quite comfortably. So, to give you an overview, I think the supply-demand gap will create rate off sight. The other question that you had was if you could just remind me on that. CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 11 of 21 Sumant Kumar : I was talking about the pent up demand is not going to be there after a couple of quarters?

Sanjay Sethi: So, pent up demand has happened in very small segments. If you look at pent up demand

probably happened in weddings to a certain extent. It has happened to some amount of offsite business that happens with corporates, but business travel does not really help pent up demand. If someone has to travel in the past, we at Chalet were traveling throughout the two years for example during the pandemic, wherever we were allowed to travel by government laws. So business travel is need based travel. It is not discretionary. It is not leisure so therefore I do not think there is any pent up demand. What is happening now is stable demand as a business travel is concerned. You may see some pent up demand on the MICE segment but that also I think more or less as a pent up demand is out of the way. If anything, it will be on off sites on leisure destinations. I do not see that happening in the business cities as a challenge.

Sumant Kumar : Okay now coming to our strategy to expand in other key markets and we are entering into New Delhi, and New Delhi is a prominent market and we are entering may be our hotel is opening after five years do you think we can go for the inorganic opportunity and have a hotel in that market to grab the upcycle for the hotel industry?

Sanjay Sethi: You are talking about Delhi right?

Sumant Kumar : Yes?

Sanjay Sethi: Look, firstly let me clarify this. We are looking at three years. Secondly, if there are more opportunities in Delhi we are open to look at them. If you recall our stated strategy was performing in terms of inorganic growth. One, get into couple of leisure destinations, Goa and drivable distance, hill locations were the two micro strategies within the leisure. On the business or big box hotels as we call them, we were looking at Delhi as the primary target location. I think we have actually felt on that. We were looking at may be adding one hotel in Bengaluru from City Centre to the airport that is basically the Northern corridor there.

We were looking at may be a couple of other markets that we are not in for example Chennai. We could add one. We are already expanding with a new hotel in Hyderabad. We are expanding capacity in Pune. We are expanding capacity in Bengaluru in our existing hotels so clearly the pipeline of growth is very strong and our focus on the straight strategy complete

tes to be very, very clear and that is the reason that Delhi is probably come up as one of the early announcements. We look forward to announcing some more in the near future.

Sumant Kumar : Thank you so much Sir. CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 12 of 21 Moderator : Thank you. Our next question is from the line of Vikas Ahuja from Antique Stock Broking. Please go ahead.

Vikas Ahuja: Thank you for the opportunity. Sorry Sir, I missed your opening remarks so sorry if something you need to repeat? Firstly on the margins, hospitality margins improved pretty sharply and I just wanted to understand how much the improvement is because of the better mix because obviously you know the room revenue was much better than the food during this time and this is across for the industry that is number one, and number two is there any change in strategy because we have been talking about adding more property into leisure and commercial and then we do this bidding that is about it these two questions?

Sanjay Sethi : I will get the strategy part out of the way first Vikas. Our stated strategy obviously has been entering Delhi. You can refer back to any of our conversations. Delhi or NCR was always mentioned as an area that we liked to be in to expand our geographical presence and Delhi being the good market we wanted to be there so with that out of the way on your second part on the mix of revenues. Actually, F&B has grown more than the higher percentage than rooms so this is in spite of F&B growing at a higher percentage than rooms that are overall EBITDA margin on GOP that margin is higher. This is driven as Milind mentioned in his opening remarks and I referred to it also that two of the critical costs which is payroll and wages where our cost percentage was 13% to revenue in payroll and wages, lower by 200 bps on the earlier 15%. This is pre-pandemic I am talking about, and on HLP cost like water and utilities we are percentage to revenue at 6% against Q1 FY2020 at 7% so just these two costs if we add up the result is a 300 BPS margin efficiency that has been brought into the system, plus there are other costs that we have worked on which are smaller in number but they add up to larger numbers in as whole. We must remember that this has happened without the ADR coming back to pre-pandemic. When the ADR come back, 90% to 95% of the ADR will flow through to margins again.

Vikas Ahuja: Thank you. Sir one last question regarding this I think the Bengaluru and Hyderabad market with most of the IT companies now calling their employees back to office and this has been the trend since the last 15 days. do we think that things should improve in the coming



months for those two markets ? That's about it . Thanks a lot Sir.

Sanjay Sethi: Yes, in fact they started improving. I touched upon it again in my opening remarks. Our Marriott Hotel in Whitefield has seen a surge in occupancies over the last four to five weeks now and it is doing extremely well. If you recall the original hotel of 324 rooms and then we had 67 rooms in the Accenture Learning Centre which we have now added to the inventory. Even with that count that hotel is now at par with our overall blended occupancies in July for the portfolio, which is roughly around an occupancy of 70% odd. Over the last few weeks those occupancies are hovering at much higher numbers so that is CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 13 of 21 Bengaluru. Hyderabad it has been showing good occupancies for almost about three to four months now . So, Hyderabad in July is hovering around the 80% mark.

Vikas Ahuja: Thanks a lot .

Moderator : Thank you. Our next question is from the line of Poonam Joshi from Nirmal Bang . Please go ahead.

Poonam Joshi: Thank you for taking my questions. Sir, I have two questions. First is given the expansion

plan wherein we are going to add roughly around 250 rooms in FY2023 , so are we going to see a any rise in variable components fixed components had it been like staff to room ratios or any other costs and what percentage of cost reduction we can see that would be sustainable in nature compared to pre-COVID levels that is my first question . The second question I would also like to highlight on how leisure demand is panning in domestic market , especially compared to that of COVID times wherein people preferred to take vaccinations in India? Has the demand scenario changed compared to COVID times or it is still the same?

Sanjay Sethi: Poonam as far as your question about cost on expansion , Chalet has been always very efficient on delivering high margins. As you can see , we have only improved on that in this last quarter compared to even the pre -pandemic numbers and with the ADR upside that will improve further. Any addition will only improve because from our perspective we see because two orders in fact one, two and three hotels that we are working our expansion and capacity, which basically means that the costs both fixed and variable as a ratio will be lower than before so that will actually add higher margins to the portfolio as against impacting it negatively, so I see a positive outcome of that. On the leisure side, we do not have a leisure hotel in our portfolio , however we do have staycations happening in some of our hotels as I have spoken about in the earlier calls . Powai for example , the Westin Powai is a fabulous location for vacations , and we see that that doing extremely well with staycations over there. It is drivable with in the city, beautiful lake front, beautiful night skylines and great products and F&B offerings . So, I really do not have any inputs to share on the larger leisure market in India right now.

Poonam Joshi : Just a follow -up question so what percentage of cost reduction can we compare to pre - COVID level if you can quantify , in case those capacity expansion comes into play?

Sanjay Sethi: So, wherever there is expansion to existing capacity in that location , we expect at least 100 to 200 BPS improvement in that particular hotel or location. On the new ones obviously they will go as per the trails the Chalet has been sort of give as far as positive results are concerned so we see that being very much in line with our past performances. CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 14 of 21 Poonam Joshi: Sir, last question so you talked about the international demand picking up somewhere in Q2 FY2023 . Just wanted your understanding on what occupancy level can we expect in FY2023 in case the demand picks up later in the second half of 2023?

Sanjay Sethi: Poonam , I will not be giving forward -looking numbers. My comment on foreign travel was actually referring to H2 which is Q3 onwards. We see that ramping up pretty sharply then, which has helped with the rate , but I am not leaving any predication right now.

Poonam Joshi: Sir, last question so basically once this commercial project gets commenced , when can we expect the rental commencing for this under construction project? Do we take time for this fit out and any relaxation period which we give to the tenant once they start paying to us so just wanted a rough understanding on this? Thank you.

Sanjay Sethi: So, Poonam the last input for you and we can have a conversation later on in the cycle. The standard terms that are there for leasing activity in India will apply to all our leasing that we do in our office buildings , and so therefore there are rent free periods in that particular market we follow the norm on that.

Poonam Joshi: Understood , thank you.

Moderator: Thank you. Our next question is from the line of Ritwik Sheth from DFC . Please go ahead.

Ritwik Sheth: Good morning and thanks

for the opportunity , Sir. Sir I have just one question on

commercial. The first one is a basic question. We have two commercial operational buildings right now . One is the Orb, which is half million and one is the Whitefield which is 0.4 million square feet . What will be the occupancy here in Q1 FY2023?

Sanjay Sethi: So Orb, Orb which is about little more than half a million actually is almost full. It is I think 93% as per the commercial space is concerned. It is already occupied and yielding rents. As far as Whitefield is concerned, I did share a little earlier that we have just signed a LOI recently. The building will be ready for fit outs in October and whatever the times the tenants take for fitting them out they do take their time and they will move in.

Ritwik Sheth: So, Whitefield there is no revenue that we are getting currently. It is only the Rs.22 Crores that we have mentioned in the presentation is only from the Orb?

Sanjay Sethi: It is only from the Mumbai office rental at the airport nothing else. To add to that , Whitefield almost a million square foot, Powai about 750,000 square feet , and whatever balance is left is Orb. CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 15 of 21 Ritwik Sheth: So, my next question was on that only , the upcoming projects which you just mentioned Powai and Whitefield . So, what is the status of leasing at Powai?

Sanjay Sethi: Powai , it is very much like Whitefield. We do not like getting into confirming any leases till the building is almost ready because we do not want to discount the leasing because the rent will anyway start at a fixed time , so we would like to get as close to completing the building. That is when we will get best value from our leasing activities. As we speak the building is being installed and the funnel two and a half floors are being completed. When we have the façade up and about , it is a stunning building. There is a lot of interest. There is interest from multiple large companies for that building. Many of them want to take the whole building also, but we do not want to get into confirming or signing any LOIs till we are closer to the day of completion , and for the Powai one we are looking at Q4 completion.

Ritwik Sheth: Right . Would it be fair to assume that both these buildings would take about four to six quarters to get leased out about 80% odd , would that be a right assessment ?

Sanjay Sethi: I think Bengaluru will happen much quicker. Bengaluru should be closer to 90 % to 95% in the next at least the tenants would have been signed up in the next may be three months actually , and moving in may be six to nine months from now. As far as Powai is concerned , because we will start the leasing activity in Q3 of this year , we expect people to start moving in from may be from August -September next year.

Ritwik Sheth: Okay . So basically , you are getting one million at Bengaluru and about 0.75 million square feet at Powai in FY2023 end?

Sanjay Sethi: Yes, that is right.

Ritwik Sheth: Thanks for the clarification. Thank you.

Moderator : Thank you. Our next question is from the line of Rajiv from DAM Capital . Please go ahead.

Rajiv: Good morning Sir and congratulations on a great set of numbers . Sir, my question is on the capex side, so ALC conversion of 190 rooms if I heard it right , if you were to start it today , how much time does it take and how much capex does it will entail ?

Sanjay Sethi: We are looking at roughly may be design time of three to four months and then start work on that. Since it is in one building where the building is already done, I think the fit-out time will be around three quarters at maximum , and the total capex amount that we are looking at there is Rs.70 Crores to Rs.75 Crores and that includes renovation of the existing 67 rooms. CHALET

HOTELS

Chalet Hotels Limited

July 2

9, 2022

Page 16 of 21 Rajiv: Great and Sir on this cold shell arrangement with DIAL so how are the EBITDAs different in this case? Do we share something with DIAL as a commission separately?

Sanjay Sethi: We will come back to you with the DIAL terms. We need to jointly agree to go public with this. This is a bidding process that was based on who gives the highest minimum guarantee.

There were three bidders who were qualified bidders. We were declared the winners from that bid process. There will be two forms of payments to DIAL for the shell and the land that they give us. Shell includes the façade work also , and the two forms of payments will be revenue share, which is a fixed percentage or minimum guarantee either of the two, whichever is higher.

Rajiv: Sure, and Sir on the Novotel acquisition because now we have crossed this Rs.5000 ARR

and the revenue anyways get high from the last other quarters , can you just touch upon what are the EBITDA margin just to see what is the turnaround from the time you have acquired this?

Sanjay Sethi: So, look I think recent turnaround margins look very encouraging and this is still not full capacity. We have got to remember that we are adding 88 rooms to this hotel, which will take its inventory up from 223 to 311 keys. The EBITDA margin for this hotel was 34% for Q1 FY2023. We see this going to higher numbers , above 40 for sure , probably mid 40s when all the 311 keys are in operation because the fixed cost of operating those rooms are being extremely low. We see very healthy flow through on that one.

Rajiv: Sir, just one clarification you said that you are seeing 75% occupancy in July . Can you touch upon what is the ARR you are seeing for the month of July so far?

Sanjay Sethi: ARR is very similar to June.

Rajiv: For Mumbai , are we seeing substantial decline?

Sanjay Sethi: No. There is no substantial decline. Mumbai is actually looking pretty decent. Why should we decline? June did not have IPL, in any case right.

Rajiv: Alright , and lastly one question from me Sir. Sir , on the opex side so especially on the employee cost bit this is Rs.33 Crores which we see for this particular quarter and now we are seeing most of the hotels at pretty decent occupancy . Is it a good run rate for the entire year barring the traditional capacity which is getting added? CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 17 of 21 Sanjay Sethi: Rajiv yes. We have already factored in increments for the current year and our target is maximum to go up to 0.9 against our 0.87 so we do not see any increase material increase as compared to cost.

Sanjay Sethi: Actually, we do not see an increase Rajiv , and if anything we should be able to get more efficiencies as the rates go up and also as the growth happens on the inventory side.

Rajiv: No, I was just referring to the comparison against Q3 of FY2022 that is Rs.26 Crores going to Rs.33 Crores and even that quarter was pretty decent quarter , so there is Rs.7 Crores I was just referring to all the hikes have been?

Sanjay Sethi: If we look at the flow through between revenue and margin you will find the flow through has been very healthy in Q1.

Rajiv: Thanks a lot. That is all from my side.

Moderator : Thank you very much . Our next question is from the line of Pratik Poddar from Nippon India . Please go ahead.

Pratik Poddar: Hi Sanjay. Just one question. Can you give me an idea of the expected IRRs on the New Delhi project given that there is an element of MG you said even lease rental , right?

Sanjay Sethi : Pratik, this is going to be in healthy teens . I think I had shared earlier that we set up an investment matrix and we are going to be guided by that of all investments going forward , and I think we are looking at healthy teens IRRs on the project after deducting the rent that we will be paying them.

Pratik

Poddar: I was asking that was post tax right? The IRRs are post tax right for you when you say healthy teen?

Sanjay Sethi: Yes.

Pratik Poddar: Is this levered in your assumptions the debt equity ratio?

Sanjay Sethi: I think it is equal mix of debt equity ratio in the new project. We are also looking at interest rate of course we provided for slightly higher interest rates given the interest rate cycle that we are witnessing right now so we have provided for all of that and then assess the investment.

Pratik Poddar: Got it , and lastly from an acquisition perspective , is it fair to say that this made more sense than deals on the table , if at all they were there? CHALET

HOTELS

Chalet Hotels Limited

July 29, 2022

Page 18 of 21 Sanjay Sethi: So look, each deal is sort of assessed on its own merit and just it is not as if we are constrained by carrying only one deal and we will do only hotel if three are on the table.

Anything that makes sense to us and gives us good returns it is something that we will look but it has to be within the defined strategy that we have. Defined strategy has a mix of locations that we want to be at, the type of hotel or resort that we would like to have and the size of hotel and resort that we would like to have , and of course then it has to be mapped with which partner brand partner to work with who will provide us the best value for investments.

Pratik Poddar: Thanks.

Moderator : Thank you. Our next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kumar: Good morning gentlemen. Thanks for the opportunity. I have only two questions actually if I may. So first of all, on the hotel side, the flight tickets have been very expensive now and that has sort of slowed down the traffic growth significantly so the domestic demand has halted actually so now given that of course that may not have any impact on the cost of demand because that is not a very price sensitive but the immediate demand is highly price sensitive and looks like that has halted the demand how do you see that has impacted the demand for the hotels or do you think the customers' behavior has changed now and that the people are preferring to drive down more to the destinations rather than taking a flight and that will certainly help the hotel demand so how do you see the overall equation versus the flight equation, the slow leisure demand and the changing customer behavior and of course linked to that do you think that could have a positive impact on the length of the stay so leisure demand probably the leisure passenger travelling they would prefer to stay slightly longer than they would have probably thought less expensive? How do you see that overall passenger behavior changing? My second question is about MICE business? How do you see MICE business? Do you think recovery is now pre COVID levels or in the next six months do you see the recovery much higher than the pre-COVID levels given the price that you are expecting a very strong pickup and the wedding season and all, so how do you see the MICE business? Thank you.

Sanjay Sethi: Achal great questions. On the air fares getting expensive a very valid point. We have not been seeing that impact corporate as yet. My personal view is that with the addition of more airlines as well as more capacity in airlines with Akasa or Jet Airways, Air India, all having major plans for India within the domestic as well as international circuit will ease that pressure on pricing, and thereby open up the skies within India a lot more. On the length of stay yes, we have witnessed an increased length of stay at our hotels. I think that is driven by the fact that people want to conduct more business when they are on a trip and not have CHALET HOTELS

Chalet Hotels Limited  
July 29, 2022

Page 19 of 21 to come back on a weekly basis so that is something

that we have already noticed at all our hotels which is a very positive sign again. On the MICE part, we think it has ramped up very quickly and very close to and in fact it is probably at pre-pandemic levels now and we have not even reached the best part of the MICE season which is basically October to March so to answer your question MICE is up back to pre-COVID and we see an upside there to.

Achal Kumar: Sir on the first question, you said that it got no impacts on the corporate demand yes and of course there is no impact on the corporate demand because the corporate traffic is anyway is not a very price sensitive? I was actually talking about the leisure demand. How do you see the leisure impact? Do you see the change in the passenger behavior? Of course, you pointed that new airlines will come in and that will ease the pressure of the air tickets? Of course, that is definitely the case but now do you see the change in the behavior of the leisure travel, because what I am hearing is that now given that plane tickets are very expensive leisure travelers are still travelling but they are actually preferring to take their own cars and all and spending more on the hotels than the flight ticket? That is what exactly I wanted your opinion please?

Sanjay Sethi: Chalet does not have a leisure product right now. That is why I refrain from answering something that is beyond our conversation agenda today. If you would ask me as a consumer and as someone who spent 40 years in the industry, I think leisure demand continues to be strong. You are right drivable distance seems to be the preferred option because prices of flights are high but I think for the people who want to travel they are not going to be deterred by it too much by these prices and on the prices front as I said earlier, I think the addition of Akasa and Jet Airways, expansion with an Air India, all of them point to more growth in capacities which will ease the pricing pressure.

Achal Kumar: Thank you so much and wish you good luck.

Moderator : Thank you. Our next question is from Tanay Shah from Dolat Capital. Please go ahead.

Tanay Shah: Just on the opex front, basically this was a quarter with practically no COVID disruptions and you have already alluded to the fact that you see the second half being much better than the first half with weddings and MICE events. So, apart from the efficiencies in employee cost and power and fuel inching up, do you see the entire opex basket trending higher especially in the second half or do you see this continuing this range and seeing some margin expansion in the second half?

Sanjay Sethi: Let me put it like this that there may be an increase in opex cost as revenues go up but the flow through of any incremental business, especially if it is rate driven business, is going to CHALET

HOTELS  
Chalet Hotels Limited  
July 29, 2022

Page 20 of 21 be higher than the current EBITDA margins which means it should actually add further value to our EBITDA performance.

Tanay Shah: Understood fair enough. That's it from my side. Thank you.

Moderator : Thank you. Our next question is from Vignesh Iyer from Sequent Investments . Please go ahead.

Vignesh Iyer : Congratulations on a good set of numbers, Sir. I just wanted to ask because I missed the earlier part where you were explaining about capex so you talked about 7 billion capex so could you elaborate a s to what that amount means and it is related to you are spending into which business if you could explain it, I missed that part?

Sanjay Sethi : Thank you Vignesh for the congratulations. I will let Milind give you the inputs on this.

Milind Wadekar: Vignesh, so out of 7 billion major components is for our two commercial buildings that is in Powai and Bengaluru and some parts going into 88 rooms in hotel, refurbishment of Westin Powai and West

in 2, which is coming up in Hyderabad.

Vignesh Iyer: So, this is entirely for FY2023 right ? Rs.700 Crores?

Milind Wadekar : There will be some spillover in FY2024 , mostly project raters will be paid and cash outflow may happen in FY2024 . In the current year FY2024 , you are right.

Sanjay Sethi: Can I throw in a flavor just to make comments a little more interesting , so we have got an Rs.1000 Crores. I am just giving capital work in progress. The Rs.1000 Crores capital work in progress is likely to yield stabilize s EBITDAs of about Rs.220 Crores to Rs.225 Crores , incremental EBITDAs. I am just sharing this so that you have a reference point of how important this capex outflow for us.

Milind Wadekar: Right, so Vignesh to add it further , when we say Rs.220 Crores or Rs.225 Crores EBITDA this will be for four projects which is Bengaluru commercial office , Powai commercial office and new hotel which is coming up in Hyderabad and additional 88 rooms in Pune.

Apart from that , we are putting up one more commercial office in Powai that will add other Rs.175 Crores EBITDA but that is around two and a half to three years away.

Vignesh Iyer: Thank you for the detailed explanation , and Sir in regard to the new hotel at T3 in Delhi , can you give me what is estimated cost of that project? CHALET

HOTELS  
Chalet Hotels Limited  
July 29, 2022

Page 21 of 21 Sanjay Sethi: It is Rs.55 lakh per room. We are looking at roughly around somewhere between 375 to 400 rooms for the hotel. That you can do the maths from that basically looking at Rs.275

Crores , about Rs.275 Crores including IDC, design fee, overheads and all that included.

Vignesh Iyer: Sorry , the last part again Sir , sorry?

Sanjay Sethi: This Rs.275 Crores includes construction cost, IDC, design cost, overheads, site overheads, etc.

Vignesh Iyer: Right , thank you . That is all from my side. All the best Sir.

Moderator : Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Sanjay Sethi for closing comments.

Sanjay Sethi: Thank you so much ladies and gentlemen. I hope you are as excited as we are about the future of the hospitality industry and Chalet in particular. I think the games changes for us, is the sharp recovery that has happened in my opinion about two quarters before I expected to happen. I had maintained that we will probably have a full recovery by October of this year. I am glad that it has happened in the quarter of April to June , and we had anticipated that the FY2024 will be a full year with full recovery. We see that now being far healthier than that. We are also very excited about the new announcement of the terminal three airport , which will get us a foothold into New Delhi region and the key advantage there is that this is a terminal hotel connected with the two important terminals of T2 and T3 and this is primarily going to be a room-based hotel so we see high margins over there. With that I am going to sort of thank you all and close the proceedings for the day. Have a great weekend everyone.

Moderator : Thank you Mr. Sethi and Mr. Wadekar . Ladies and gentlemen, on behalf of Chalet Hotels Limited that concludes this conference call. Thank you for joining us. You may now disconnect the lines. CHALET

HOTELS

## Call: Oct 2022

Chalet Hotels Limited

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CIN : L55101MH1986PLC038538

October 31 , 2022

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2022

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find attached herewith the transcript of the Earnings Call held by the Company on October 21, 2022, in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2022 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking You.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Encl.: As above

Page 1 of 15

"Chalet Hotels Limited Q2 FY23 Earnings Conference Call"

October 21, 2022

MANAGEMENT : MR. SANJAY SETHI – MD & CEO  
MR. MILIND WADEKAR – CFO

Chalet Hotels Limited  
October 21, 2022

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to the second quarter and half year ended FY23 Earnings Conference Call of Chalet Hotels Limited . As a reminder, all participant lines will be

in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Sethi - MD & CEO, Chalet Hotels Limited. Thank you and over to you, sir.

Sanjay Sethi : Ladies and gentlemen, good evening and Season's Greetings from all of us at Chalet. To begin with, the presentation has been uploaded on our website. You may want to refer to it during the call or afterwards. Sorry, there has been a little short notice between the uploading of the presentation and the call, but we wanted to get the call done before Diwali Holidays.

Quarter 2 has shaped as we expected it to with a decent July followed by a challenged August and an excellent September. August had four mid-week holidays spread over 3 weeks affecting business travel and the month ended with an occupancy of 69% and an average room rate of Rs.7,425. However, September had represented rebound with occupancies coming back to 72% and a very strong average room rate of Rs.9,070, the highest this year and one of the best Septembers for the Company. This accentuates the back-to-normal sentiment for the hospitality business. The portfolio F&B revenues continue to grow at a healthy pace backed by increasing MICE demand and revival of non-residents business in our restaurants. F&B revenue for the quarter was up 18% higher than Q2 of FY20, in fact, the September F&B numbers were 32% higher than September of 2020.

I am glad to share the JW Marriott at Sahar, Westin Hyderabad, Four Points Vashi and Novotel Pune have exceeded the revenues and EBITDA of Q2 of FY20. During the quarter, Westin Powai had 120 rooms and its ballroom under renovation and hence did not meet the FY20 numbers. The revenue and EBITDA for hospitality division for the quarter was Rs. 2.2 billion and Rs. 0.8 billion which is 9% and 8% higher respectively than Q2 of FY20. For the quarter, consolidated revenue was at Rs. 2.5 billion with an EBITDA of Rs. 0.9 billion, a growth of 4% and 1% over FY20 numbers, respectively.

Our H1 numbers indicate good growth over FY20 with EBITDA higher by 14%. Our H1 revenue was higher than the same period of FY20 by approximately Rs. 190 million and the corresponding EBITDA was higher by approximately Rs. 200 million, indicating a greater than 100% flow through to margins. Our employee to room ratio remained stable throughout the quarter and was 0.9 at the end of September. This includes all employees including contract employees. On the expense front, payroll costs have been maintained at 14% of revenue as compared to 15% for full year of FY20. The Q2 FY20 payroll cost percentage was 16% and our utility expenses have been stable at 7% of revenue.

Some key highlights of our ongoing projects. Westin -2 in Hyderabad with 168 rooms and the Commercial Tower at Powai are on track for completion in Q4 of the current financial year. The Chalet Hotels Limited

October 21, 2022

Page 3 of 15

new Commercial Tower at Bengaluru has already received part OC. Municipal approvals and RERA amendments are awaited for the residential development in Bengaluru, we expect them soon. Our work is on site as per whatever approval we received till date. The project of additional 88 rooms at Pune and the conversion of mall at Bengaluru are delayed briefly due to supply chain issues. The rooms at Pune are expected to be completed in the current quarter. Conversion of Bengaluru mall to office

space will be completed by the end of the financial year.

On the office leasing front, The Orb at Sahar is now 94% leased out. At Bengaluru, we already have an LOI in place for a tenant for 1.5 lakh sqft. This board's well on the leasing traction and the rate as I had mentioned earlier in the call seems to be better in Bengaluru than we had initially expected. The Bengaluru Metro has commenced trial runs on the Whitefield stretch and the metro line is expected to be open to public early next year. Improved connectivity is expected to generate higher demand for commercial office space in Whitefield.

I am happy to share that the license agreement with the Delhi International Airport Limited for the new hotel at Delhi has been executed. Initial design work is on schedule. This marquee hotel asset is expected to be completed by FY26. We continue to make steady progress on our ESG goals and proud to share that we are well ahead of our committed goals with Climate Group. As part of our EV100 initiative, we now have EV charging stations operating at all our hotels. I am also happy to share that the company improved their renewable electricity ratio to approximately 80% of total consumption in our hotels for the first half of the year. We have another feather in our cap to report, Chalet Hotels has been listed amongst India's Top 10 Best Places to Work for Women in 2022 by the Great Places to Work India. We have also been recognized as 'Best Workplaces in Asia in 2022' in the Mid-Size category.

Ladies and gentlemen, overall I am happy with the quarter-on-quarter progress of our performance. We expect further improvement in foreign business traffic soon. That combined with the culmination of some significant CAPEX initiatives will help the company make strong

strides on P&L balance sheet front in the coming quarters. Before I hand over to Milind, I take this opportunity to wish you and your dear ones a very Happy Diwali. Milind, over to you.

Milind Wadekar : Thank you Sanjay. Good evening ladies and gentlemen. Let me now take you through the financials in some more details. Reported revenue for the quarter under discussion was at Rs.2.5 billion, which was higher by 4% as compared to Q2 FY20 on the back of strong recovery in areas and healthy F&B revenue. As we all know, Q2 is seasonally the weakest quarter for the hospitality sector and current performance shows the strong recovery for the industry. Consolidated EBITDA was at Rs.0.9 billion, up by 1% for the same quarter of FY20. The EBITDA margin for the quarter was at 35%. Profit after tax was at Rs.157 million, higher by 53% from Q2 FY20.

The hospitality segment contributed to 89% of the total revenue in Q2 FY23. Revenue from the hospitality segment was at Rs. 2.2 billion for the quarter and EBITDA was at Rs. 0.8 billion. The segment reported margins of 36.3%. For two of our major cost heads for hospitality, payroll

Chalet Hotels Limited  
October 21, 2022

Page 4 of 15

cost was at 14% of the revenue in Q2 as compared to 15% in FY20 and utility cost as a percentage of revenue was steady at 7%. The Food and Beverage segment reported healthy growth. Revenue grew by 18% in Q2 FY23 to Rs.743 million versus Rs.632 million in Q2 FY20. It increased its contribution to total revenue to 33% from 31% in the pre-pandemic period of Q2 FY20. The Rental and Annuity segment contributed to 10% of total revenue for the company. The revenue and EBITDA from the segment were at Rs.244 and Rs.198 million for the quarter, respectively.

First half of FY23 consolidated revenue was higher by 4% over pre-pandemic levels led by strong performance by the hospitality segment. Effective cost management has resulted in EBITDA growth of 14% in H1 FY23 over H1 FY20. Credit rating agencies, that is India Rating and ICRA during the quarter have revised upward our long-term credit rating outlook from negative to p

ositive and stable, respectively. This indicates confidence and visibility of strong revival of the industry and our Company. Completion of the ongoing projects along with our asset management capabilities are likely to result in higher flow-throughs from the hospitality segment going forward. Net debt of the company from March 22 to September 22 was marginally higher by Rs.0.6 billion to Rs.23 billion. While the company spent Rs. 2.3 billion on the CAPEX during H1 FY23, it was largely funded by internal accruals. Hence, I would like to highlight that interest cost for Chalet as of March 22 was at 8.04% with some external borrowing on books. The interest cost as of September 22 has moved up by 14 bps to 8.18% and the company has repaid all its ECB loans. This is against the backdrop of an upward policy rate revision of 190 bps by RBI during the same period.

The company has CAPEX plan of around Rs.6.5 to Rs.7 billion till FY24 that is for next 18 months for its capital work in progress. This excludes CAPEX on proposed second commercial tower in Powai where we are still seeking approvals. Business is well funded with internal accruals and available lines of credit. Considering all under construction projects, the Company has Rs.10 billion of capital work in progress across hospitality and rental assets as on September 2022. These investments are expected to generate revenue over next 3 to 4 quarters and free up the balance sheet. We have cash and cash equivalents of Rs.0.8 billion as of September 22 and Rs.5.7 billion available lines of credit for general corporate purposes and planned CAPEX. There has been no new subscription from promoters on 0% nonconvertible redeemable preference share during the quarter under review. The total subscription stands at Rs. 2,000 million as of September 22.

Before we open the floor for questions, let me wish everyone Happy and Prosperous Deepavali.

Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin the question and answer session.

The first question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Chalet Hotels Limited  
October 21, 2022

Page 5 of 15

Archana Gude : Thank You for the opportunity. I have 2-3 questions. Sanjay can you help us with the revenue mix for Chalet in terms of domestic leisure, domestic corporate and international travelers for this quarter?

Sanjay Sethi : You are referring to the quarters, so let me just pick up the sheet for the quarter. So, I am going to give this to you in two ways. One is, how many room nights were occupied by Indians and foreigners for the quarter and then compare that with Q2 of FY20. So, our mix for Q2 FY23 right now is 67:33 favoring domestic. Our domestic guests, recovery to FY20 numbers is 156% so they are 56% higher than FY20. The recovery of foreign guests is at 64% to FY20 numbers,



so we are still short of 36% there. The other way to look at the business is the market segmentation and there we more or less return to normal. Pre-pandemic, the transient segment, which is the short stay corporate segment, we used to be 76%, we are at 75% now. The group segment which is basically MICE and others was at 14% pre-pandemic, it's at 17% and the contract which is largely airline crew was 11% pre-pandemic, it is at 8%. In general, the segmentation is back to where it used to be. The gap on the foreign travelers is still there. I was looking at the airline data a little while earlier today and while air traffic passenger load for the first 5 months which is April to August for domestic passenger is up 91% to Pre-pandemic, the recovery is at 91%, the foreign traffic is at 75%. We expect this to improve significantly coming November -December on the back of 2-3 things, the season typically for foreign starts in November into India and second, airline connect

ivity is improving as we speak. Direct flights to US have now been announced from November, from Bengaluru, Mumbai and Hyderabad, which will help all these three cities in future.

Archana Gude : My second question is, so when I look at the hospitality segment, the growth is primarily driven by the higher ADRs, while there is decline in the occupancy, I do understand last quarter we had this IPL which aided the occupancy, how you should look at this growth in ADR going forward given that Q3 and Q4 we should have further growth in occupancy?

Sanjay Sethi : Yes, Archana, I think one way to look at this is that what is the trend on the ADR, right? If you look at the ADRs month-on-month trend, I am going to read it out right from April onwards because it will give you a sense of how things are going. The April, the ADR or ARR was Rs.7100, May it was Rs.7600, in June it was Rs.7600, July it was Rs.7300, August it was Rs.7400, September it climbed to Rs.9070, which is a massive jump and this is basically indicative of things coming back to normal on corporate travel side and we are seeing similar rates, in fact slightly better rates in September, and in October on month-to-date basis. So, largely we are trending towards Rs.9000 plus ADRs and in H2 this should be clearly going northwards from here onwards, which means that we will probably be well ahead of ADRs of FY20 so looking good on the ADR front.

Archana Gude : Sanjay, you spoke about maybe expanding your leisure segment earlier and of course you are happy that now we will be in North as well, but nothing per se came up in leisure segment to expand for Chalet?

Chalet Hotels Limited  
October 21, 2022

Page 6 of 15

Sanjay Sethi : No, we had a few opportunities that we are pursuing. We will announce them at the right time.

Archana Gude : Sure, lastly, one question, let us say if we are spending Rs.250 crores for this Delhi Hotel, what kind of ROIs we are expecting there?

Sanjay Sethi : Let Milind answer that, but basically we look at 2-3 parameters on this, Archana we look IRR on a project basis, IRR on equity basis and then the present value of the project. We also look at ROCE on a year-on-year basis to see whether it meets our investment criteria. On all four fronts, Delhi has a tick. Let Milind give you reference numbers.

Milind Wadekar : So, Archana, on IRR front, project IRR we are looking at close to 17%-18%, equity IRR is north of 20% and ROCE in a stabilized year will be closer to 12% to 13%.

Archana Gude : Milind, since we have close to Rs.700 crores CAPEX lined up, is it fair to assume that our debt figure by FY24 end will be close to Rs.3,000 odd crores?

Milind Wadekar : Not really Archana, I mean we expect our debt will peak out at 2,750 by FY23 and then we will start earning rentals and EBITDA from our commercial assets.

Archana Gude : There will be some debt repayments, you are saying in FY24?

Milind Wadekar : Yes, there will be internal accruals generated which will taper down debt.

Sanjay Sethi : Yes, so look basically we see debt paring down from the next phase, driven by high internal accruals as well as the fact that the projects will come to culmination.

Moderator : Thank you very much. Our next question is from the line of Vikas Ahuja from Antique Stock Broking. Please go ahead.

Vikas Ahuja : So, my first question is on the hospitality margins, we have seen a sharp drop, can you help us with what were the key headwinds led to this fall? And secondly, on seasonality on margin, second half is normally if we look at history, it is 500-600 basis points higher than first half, are we going to see same seasonality this time as well? That is question number one and the second question is on if you can give us any color on pricing and occupancy in coming quarters on the basis of bookings you have received till date? Finally, my third question is on the s

harp drop we

have seen in occupancies of Mumbai in Q2, partially I know IPL was there and secondly, it could be largely because of rains as well, have you seen specially for the Mumbai market, have you seen the pickup back to Q1 levels in October?

Sanjay Sethi : Very quickly on the margins front, Q2 as Milind mentioned earlier, typically is little more

challenged because of the revenue side of it and it is pretty normal for Q2 to be weaker than Q1. That is the natural cycle for the segment that we have operate in. So, therefore that has played out and that is why you see revenues going down and occupancies also automatically go down on account of demand going down during the monsoons in Mumbai. Mumbai did have lot of Chalet Hotel s Limited  
October 21, 2022

Page 7 of 15

rain, so did couple of other cities including Bengaluru and that affected it, but it is pretty normal for this time of the year. So, occupancy was lower on account of the regular annual cycle of occupancies. It was lower than Q1 because Q1 was padded up with the IPL business, true. On the margin side driven by revenues for a bit and number two, we did have a couple of cost bunching up during this quarter, this is oneoff cost, they are not regular costs, for example, we did a special sprucing up of our hotels in preparation for the H2 that is coming up and second thing is, there were some bunching up of costs on account of negotiation that we did with the unions in one or two of our hotels and they got bunched up from April to September in one quarter. Nothing to be concerned about as I said they were one-off cost, going forward, we don't give forward looking numbers normally. Let me say that H2 is always better than H1 quite significantly and if things goes away they look right now, we should have a very good H2. Occupancies for most of the good month and typically the good month s in H2 are November, first half of December, last three weeks of January, whole of February and most of March, so we have got a fairly long period of good months ahead of us and very confident that we will do well. On pricing and occupancy, going forward, I don't want to give any indicative numbers, but you can benchmark them to previous cycles. Also, keep in mind that I do want to highlight one thing here that in Q2, the Powai Hotel had 120 rooms out on action for renovation and when we calculate occupancies, we still count them in the inventory. These are the renovations that are going on for the balance second half of the hotel. Plus, the banquet or the main ballroom was out of action for 39 days. So, that is all coming back in the near future and that will start playing out in H2.

Vikas Ahuja : Sure, thanks this is helpful. Just, I am not looking for a guidance on margins on second half, just directionally what we have seen in the past, the kind of improvement we see, this time it would be, there is nothing exceptional that first half had lot of pent up, that is why margins were better, so it is a structural improvement?

Sanjay Sethi : Yes, there will be improvement and the only thing I can say is that you can look at the Q1 margin which was 41% in the hospitality division and take the reference point from there, typically H2 is better than that.

Vikas Ahuja : And one last question on this payroll cost which was around 13%-14% in first half, now even your staff to room ratio in the presentation as mentioned it has come to 0.9, but assuming second half occupancies are going to be much higher, do you think this ratio going up and we might see some challenges specially on the payable cost?

Sanjay Sethi : Earlier, we have kept a target of 0.92 at the peak that will go up to, there is always some gaps in hiring, etc., that causes this to be 0.9 or 0.89 at some point of time, but 0.92 is very optimal target that we have kept in our minds, we don't see that going up. Beyond that keep in mind that whilst I

said that our payroll cost was 14% in this quarter, it was on a lower revenue base and that is what probably affected from Q1. Secondly, compared to Q2 of FY20, it is still 200 bps lower, please keep that in mind.

Chalet Hotel s Limited  
October 21, 2022

Page 8 of 15

Moderator : Thank you. The next question is from the line of Anushuman Maheshwari from Arunova. Please go ahead.

Anushuman Maheshwari : Our question is regarding the commercial leasing business, which is part of Chalet, specifically what would be the visibility around the projects which are coming up in the Commercial Tower in Westin Powai and the Commercial Tower in Whitefield Bengaluru.

Sanjay Sethi : Anshuman thank you for your question. I will give you a brief update on this and then maybe Milind if you have anything to add, he will share that with you. On Bengaluru, as we mentioned we have got part OC for the building, there is some final work that is pending, we should be getting that out of the way may be by third week of November. The clients that we have already signed up for the three floors we will start the fit outs at the point of time, and we have 6-month rent fee period, which is in line with what we had on our plans. Once we have the building completely sealed on the final site, we expect leasing traction to pick up. We have already got two more clients signed up. Just to give you a sense that one client that we signed up consumes about 25% of the new IT building that we have built. Then there is the mall that has been converted to office. Between the mall and the IT building, it is about 0.9 million square feet and

we believe that we should be able to lease all these out in the next 3 quarters or so, 3 to 4 quarters maximum. The rates are better than we expected it to be, ranging from 7% to 10% better than what we expected to be. Powai is roughly around 760,000 square feet leasable space. We will complete this project by end of next quarter. The interest is high on that project. Once the building's façade is up and the building is in close, we expect to start signing some deals. Right now, we are making sure that we optimize the rental yield as against rushing into signing at any discount price, but whatever the rental indication that we are getting, it seems to be better than what we had expected earlier.

Milind Wadekar : Anushuman, the only thing I would like to add here is, infrastructure is getting up graded, Whitefield will get connected with Metro in next 3-4 months. Infrastructure around Powai is getting upgraded, so the rentals could be higher than what we have considered in our financial feasibility .

Anushuman Maheshwari : And for Powai, would you expect to make any announcement regarding any clients that you may sign up.

Sanjay Sethi : I don't see this making those announcements till next quarter.

Anushuman Maheshwari : Would you expect lease certain proportion of the area before the building is completed or you plan to wait till that ?

Sanjay Sethi : We expect to lease some part, get couple of anchors in place before the building is completed.

Anushuman Maheshwari : Final question is regarding a point that you mentioned earlier in the call, I think you mentioned at the start of the call that 64% vis -a-vis FY20 , you are seeing international travelers coming in?

Chalet Hotel s Limited

October 21, 2022

Page 9 of 15

Sanjay Sethi : Yes.

Anushuman Maheshwari : What is your outlook on foreign travelers for the second half of the year?

Sanjay Sethi : I think we should be back to between 90 % and 100%. I was telling what was driving this slowdown, one was the airline capacity and airline capacity was taking the rates up, so between those two people were finding it difficult to come in. Second, we had a bit of visa glitch in UK and couple of other countries in the last few weeks, you may have read about that. That thing is sorted out that the

Ministry of External Affairs and we had actually pushed that Ministry of Tourism to push the MEA to get this expedited and it is getting sorted out.

Moderator : Thank you very much. Our next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar : So the occupancy for Q2 FY20 was 73 % and despite of lower inbound , we have shown at 71% occupancy, so with the recovery of the inbound travel in next 2 to 3 quarters, so can we expect the off season number what Q2 FY23 we have shown in occupancy side, the next year the Q2 FY23 we can surpass the occupancy of 73% with the recovery inbound travel ? in Mumbai I am talking about .

Sanjay Sethi : It won't give forward looking numbers, but there is no reason why we won't cross those numbers. I won't put a number to it, but it is pretty natural for second half to have better occupancies and I think the year after that.

Sumant Kumar : No, I am not talking about second half, I am talking about the off-season number because we can't compare the Q1 number with Q2 and Q1 had a higher occupancy because of IPL also, so I am talking about the Q2 FY23 if the inbound would happen our occupancy can surpass outbound because we have higher foreign customer also ?

Sanjay Sethi : True, on a same store basis that is probably a reality.

Sumant Kumar : And I think some renovation is also going on Powai, so that has also impacted our ARR side?

Sanjay Sethi : Impacted occupancy and rates both because inventory was unavailable and because pandemic was taken up, one segment couldn't be occupied to use optimally.

Sumant Kumar : And this is adjusted occupancy, correct, 71%, available room?

Sanjay Sethi : No, it is on full inventory.

Sumant Kumar : So, this is on full inventory, not adjusted inventory occupancy?

Sanjay Sethi : That is right.

Chalet Hotel s Limited

October 21, 2022

Page 10 of 15

Sumant Kumar : In that case, the occupancy would have been higher also?

Sanjay Sethi : That is right.

Sumant Kumar : That is also key reason for that?

Sanjay Sethi : Yes.

Sumant Kumar : And now talking about the Bengaluru side, we have seen significant ARR decline compared to pre-pandemic , still we are lower with the recovery in the occupancy and still when we see the pre-pandemic occupancy for Bengaluru is 80% and we have seen recovery in the Pune may be

because of some other reason, but Hyderabad and Bengaluru is still lower than pre-pandemic , so when can we expect the pre-pandemic occupancy, we can achieve in the coming quarter?

Sanjay Sethi : Actually, Hyderabad is higher.

Sumant Kumar : No, I am talking about compared to pre-pandemic .

Sanjay Sethi : Hyderabad is.

Sumant Kumar : No, it is not higher, it is 72% in Q2 FY20 and currently in Q2 FY23 we have 69%?

Sanjay Sethi : You are talking about occupancy or average room rate ?

Sumant Kumar : No, I am talking about occupancy?

Sanjay Sethi : So, occupancy in Hyderabad is low, you are right, I was actually referring to the average room rate because you did mention average room rate in some part of the conversation. See, Bengaluru and Hyderabad were slow to pick up compared to the other cities. They have picked up now and I can confirm to you that September and early parts of October have been good.

Sumant Kumar : So, have we surpassed the pre-pandemic number in the current month?

Sanjay Sethi : I don't want to give current month, but I can share with you September. The reason I can't give current month is because it is not public as yet, but September, Westin occupancy was 72% and the rates were Rs.9,729.

Sumant Kumar : It is higher than pre-pandemic or at the level of pre-pandemic ?

Sanjay Sethi : It is significantly higher on RevPAR basis.

Moderator : Thank you very much. The next question is from the line of Rajiv from DAM Capital. Please go ahead.

Chalet Hotels Limited

October 21, 2022

Page 11 of 15

Rajiv : This may

be a repetition, but on the employee cost fund, I remember we discussed this in Q1, and we discussed that as compared to let us say Q2 of FY22 we have had salary hike then and the Rs. 33 crores run rate is the going rate now, I am just failing to understand from Rs.33 crores to Rs.37 crores there is increase we discussed this earlier, there is something one-off is here?

Sanjay Sethi : One minute, I will just give you the operational numbers first , so the operational numbers at hotel level, the staff cost in Q2 FY20 was Rs. 320 million, in Q2 FY23 it is Rs. 306 million and this is in spite of addition of one hotel, Pune hotel. So, there is a reduction of 4% when you look at the P&L on that front and if you now minus Pune, the reduction is even greater and thereby our payroll cost to revenue , percentage in Q2 is 14% versus 16% in FY20, 200 bps lower. What you see in your numbers probably includes the P&L attribution of corporate costs including ESOP costs would have been added this quarter.

Milind Wadekar : Rajiv, Milind here, a few senior management employees have been granted ESOP and a cost pertaining to that which is required as per prevailing accounting standards has been accounted here and on hospitality front, our cost has gone up by around Rs. 1 crore or so.

Rajiv : So, this 37 is a sticky number or this is Q1 versus Q2?

Milind Wadekar : Quarter 1 versus quarter 2 and as compared to FY20 it has gone down.

Rajiv : But Q1 at Rs.306 million Sanjay mentioned, what was the Q1 number there, the equivalent number?

Sanjay Sethi : As Milind said, it is up by about 1, from Rs.29 crores, not Rs.30 crores.

Rajiv : Similarly, on the other expenses side, let us say , Q-on-Q swing what would that attribute to largely?

Milind Wadekar : Rajiv, we have Marriott payables which are restated on account of changes in dollar rate, so there is some hit on that account and others are, there were some brand change cost for Powai which has been accounted .

Sanjay Sethi : And as I mentioned in the earlier there were some sprucing up of the hotels that we did and therefore there were some cost attributed to that on the repair and maintenance side . I have said that in my opening statement .

Rajiv : And the last two of these which is brand change and repair and maintenance, these are one-off or these will be again?

Sanjay Sethi : No, repair and maintenance is sort of one-off because we want to spruce up the properties before the coming season and we sort of had couple of areas shut also in one or two of our hotels, we reopened them, so they was that one-time cost of reopening them. So, basically, if you want to

Chalet Hotels Limited

October 21, 2022

Page 12 of 15

term it, it is like little bit of pent-up repair and maintenance. The numbers are not very large,

Rajiv, so we don't need to be worried about it.

Rajiv : And sir, that is for the KPIs thing, so in Hyderabad when we see that on a Q-on-Q basis Rs.6,900 has gone to Rs. 8,900 versus let us say Bengaluru where the occupancies are largely similar as compared to Hyderabad, but the jacking up of rates is not of a similar quantum and while I think

the industry is working with the mindset of keeping the rates or getting the rates higher as of now at least?

Sanjay Sethi: I am sorry, I missed to tell the earlier person to whom I mentioned the rates in September, I mentioned only Hyderabad, I can share with you the Bengaluru rates also September of Rs.8,819. You are seeing the combined quarter rates, but the trend is going upwards very sharply, so Bengaluru clocked Rs.8,800, rates in September.

Rajiv: And sir, on the ALC thing, the ALC, have we got the let us say sign up from the board, approval from the board to convert into rooms?

Sanjay Sethi: Yes, in principle we had signed up. We have gone to working with designers now to design that. We are looking at now adding 141 room

s to the existing 391, so this would make it a 532 rooms

property which would be fairly large. The demand seems to be there with the recent peaks that we have seen. This is about a project that will take anywhere between 12 to 15 months.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: My first question is on foreign tourist travelers, so you mentioned for the Q2 we are like sort of short by around 36% normal run rate, how would that stake up for the month of September?

Sanjay Sethi: I don't have the month wise data with me, I am afraid Prateek, but as I said I think H2 we should be around by around the 90% mark recoveries which means 10% short.

Prateek Kumar: So, this is based on for expectations of 90% is based on forward bookings?

Sanjay Sethi: Basically, we have movement up in the recent months, plus the improvements in the available flights that are coming into these 3 cities - Mumbai, Hyderabad and Bengaluru.

Prateek Kumar: Also, from some of your forward looking booking in your hotels?

Sanjay Sethi: Actually, forward looking bookings we get a visibility, as far as individual travelers are concerned, of only around 2 to 3 weeks, but the groups have a longer horizon, but all indicators - the interaction that we have had with bookers and admin heads of companies indicates that the foreign traveler will be back by soon. As I mentioned, there would be 2-3 bottlenecks for the foreign travel to happen, one was flight fees, that is getting resolved. We are getting now direct flights to Hyderabad, Bengaluru and Mumbai from US. In fact, Hyderabad and Bengaluru are from the West Coast which is the primary target market for us and Mumbai is expected to be

Chalet Hotels Limited

October 21, 2022

Page 13 of 15

New York as well as West Coast. So, that will help immensely. Flights to UK have also increased. We have the first A380 of Emirates land in Bengaluru last week. That is becoming three times the week flight and A380 brings in lot of people at one shot, so all this will help improve business. Bengaluru was also opening its second terminal. Terminal 1 was literally bursting as it seems right till now. By January, we expect the opening of the second terminal Bengaluru which will again encourage more airlines to bring in more flights into the city, so all that will help. Visa was a bit of our bottleneck. We are pretty sure that the Ministry of External Affairs will sort that out pretty soon, E-Visa's included.

Prateek Kumar: Sir, my second question is on your cost line items, so are there any cost line items like during COVID, which generally are not factored in still and are there some other maintenance cost or some other one-off cost which we anticipate over next 6 months for our business?

Sanjay Sethi: I don't think there is any material, as I said we spruced up the properties in the last quarter because we couldn't do that in quarter 1 because occupancies were so high and so we took the opportunity of slightly lower occupancies to spruce up the hotels, that happened. One or two outlets were shut, we opened them, works happening on them right now as we speak. I don't think there is any major cost that will come up, that will be material in nature and I don't see any pent-up cost from COVID times coming at all. All that has been accounted for.

Prateek Kumar: And lastly on ADRs versus occupancies, so anything you feel like during festive season, so some of the pockets in terms of some of the industry segments or consumer discretionary segments have indicated of some kind of slowdown in terms of festive season expectation, is it something which can also have an impact on like sort of demand disruption at higher prices for hotel segment?

Sanjay Sethi: Look, two things happen in our portfolio that we have because the primary business driven

travelers that come to our hotels. We do get affected when there are holidays, especially the mid-week and I just gave an example that in August we had 4 mid-week holidays spread over 3 weeks which did disrupt us and that is why the occupancy in August was down to 69%, but it picked up in September where we had no holidays. Similarly in October, we had Dussehra and we have Diwali coming up, we will get affected by those holidays and all of them were mid-week to long week end sort of holidays, but November looks completely clean, looking very strong, first 20 days of December looking very strong, the 8th, 9th January onwards, for January looking very strong, whole of February looking very strong and most of March looking very strong. That will help occupancies and rates spruce up. I think one thing that I can share with you, I think I did

touch upon it last time when I was asked this question on rates that the general goal that we are working with at our hotels is to quote about 40% higher than the last year on the RFP accounts. We may end up closing it about 25 -30% higher, but the first quotes have gone out at 40% higher than the last year accounts and those RFP accounts are the big accounts that we have and we believe that will have a material push to the ADRs in the coming year and these are January to December cycle, so Q4 of this year will also get the benefit of that and then 3 quarters next year.

Chalet Hotels Limited

October 21, 2022

Page 14 of 15

Prateek Kumar:

Sanjay Sethi:

Moderator:

Vikas Ahuja:

Sanjay Sethi:

Vikas Ahuja:

Sanjay Sethi:

Moderator:

Sanjay Sethi: Would that case likely be for the competition in your markets?

That is the general line of pricing that most hotel companies are following.

Thank you. Our next question is from the line of Vikas Ahuja from Antique Stock Broking.

Please go ahead.

I just have a couple of follow-up, firstly, any color on price negotiation with corporates or is it too soon now? And when we talk about the contracts with our global customers, are they largely in USD terms and we keep the currency benefit fully or in the contract there is a clause where we need to pass it back to the enterprise?

I just spoke about the price negotiation that we are working on right now. We are now at the middle of the RFP negotiation period and the hotels have gone out with 40% increases on the RFP quotes that we have given. We may close lower than 40%, but it should be material increase in the rates that we end up contracting with people, so expect a higher rate from the corporates and on your dual pricing or the dollar pricing part of it, India stopped doing dual pricing I think about a decade back, so we quote in rupees basically and that gets converted to dollars as and when when the billing happens. So, there is no benefit or any adverse effect expected out of the dollar pricing.

Sir, just one last thing, I think Sumant also asked the same question on the Southern market, Bengaluru, Hyderabad it is like a third of your hospitality revenue and when we are talking about comparing the occupancy with pre-COVID level, may be that number was 72-73, may be next year isn't that number going to be materially higher because considering when we talk about old tech system, that is still following work from home and there is a huge pent up demand especially in terms of travel, especially by these tech companies, so is it a fair understanding may be next year we may see a very strong demand specially in the places like Hyderabad and Bengaluru what we are seeing currently in leisure or may be in Mumbai?

Vikas, I don't want to give you forward looking numbers, but your logic is sound and Southern markets will do well as the IT business picks in again. It has already kicked in as I said pretty sharply. It hasn't kicked in as much from foreign travelers coming into those cities, but that was driven not by their intent

of coming, it was driven by the bottleneck of travel on the airline seats. That is getting sorted out. We see that kicking up pretty sharp.

Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments. Over to you, Mr. Sethi.

Thank you so much. Ladies and gentlemen, thank you for taking time off on pre-Diwali Friday evening to listen to us. Wishing you and your family and your dear ones a very Happy, Prosperous and Safe Diwali. Thank you.

Chalet Hotels Limited

October 21, 2022

Page 15 of 15

Moderator: Thank you very much. Ladies and gentlemen, with that we conclude this conference call. Thank you for joining us and you may now disconnect your lines.

## Call: Jan 2023

Chalet Hotels Limited

Regd. Off. : Raheja Tower, Plot No.C -30, Block 'G', Next to Bank of Baroda, Bandra Kurla Complex, Bandra (E), Mumbai - 400 051.

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CIN : L55101MH1986PLC038538

January 31, 2023

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2022

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find attached herewith the transcript of the Earnings Call held by the Company on January 24, 2023 , in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2022 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking You.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Encl.: As above  
Page 1 of 16

"Chalet Hotels Limited  
Q3 and 9M FY '23 Earnings Conference Call"  
January 24, 2023

MANAGEMENT : MR. SANJAY SETHI – MD & CEO  
MR. MILIND WADEKAR - CFO

Chalet Hotel Limited  
January 24, 2023

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the Third Quarter and 9 months ended FY '23 Earnings Conference Call of Chalet Hotels Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call . Please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited.

Thank you, and over to you, Mr. Sethi.

Sanjay Sethi: Thank you, ma'am. Good evening, ladies and gentlemen. Pleasure to be with you again. Allow me to begin with a couple of updates on some lead indicators that affect the hotel business. Air traffic in the country is still shy of the pre-pandemic levels. Domestic travel continues to be robust. However, recovery in foreign travel is still around the 80% mark of Q3 of FY 20.

In the recent weeks, E-Visas have been reactivated by the Government of India. Direct flights from Mumbai, Bengaluru and Delhi to US have resumed. A new international airport in Goa has been opened and a new terminal at Bengaluru has been inaugurated. All this will create enabling tailwinds for foreign inward travel. The hospitality industry in US and select EU markets have shown strong growth in rates and recovery in occupancies.

India has also witnessed similar performances in the month of November. The industry report published by HVS Anarock for November indicates 7% to 9% growth in ADRs in India when compared to November 2019. For Chalet Hotels Limited, Q3 has been the strongest quarter till date with historical bests in Average Room Rate, Room revenues and F&B revenues. Average room rate grew by 11% from 2019 levels to INR 10,168 to clock the highest portfolio average room rates post the global financial crisis.

The portfolio average has continued to be over the INR 10,000 mark from November till date.

The quarter however had a bit of a slow start as the month of October had two large festival holidays impacting over half the month of business travel.

A very strong performance in November and the first three weeks of December led to a recovery on the back of strong growth of business travel, a robust wedding season and surge in MICE events. Occupancy for the quarter was 65%, largely brought down by October performance, leading to a RevPAR of INR 6,640. Overall, the hospitality business posted the highest ever revenue at INR 2.65 billion, up 6% from Q3 FY 20 and 19% sequential growth. Room nights in domestic segments were higher by 53% versus 2019, while the foreign traveller recovery is at 70%. The foreigner mix has however gone up from 33% in the previous quarter to 41% in Q3. The F&B business contributed 34% of the total hospitality revenue, recording a strong performance, backed by a robust social and MICE events. F&B revenue grew in the mid-teens during November and December compared to the same period of FY 20. For the quarter it was up by 9% as compared to 2019.

Chalet Hotel Limited

January 24, 2023

Page 3 of 16

EBITDA for hospitality division was INR 1.1 billion. We had some lumpy costs under refurbishment, raw material in other areas. However, the segment managed a robust 41% EBITDA margin. This is in spite of 121 rooms at Powai being out of action due to renovations. The consolidated revenue for the quarter was INR 3.2 billion with an EBITDA of INR 1.5 billion. The EBITDA margin for the quarter at 45% was encouraging. This is before adjusting for other income. And this is the highest revenue and EBITDA for the company till date. Milind will of course, take you through some numbers in detail shortly.

A quick update on the project pipeline, starting

g with the hospitality project pipeline at Westin

Powai, now only 29 out of the 600 rooms are left to be renovated. The rest of the renovated rooms are in the process of being handed over to the hotel team as we speak, and the response to the renovated product at the Westin Powai is extremely positive. Handover process for the additional 88 rooms in Novotel Pune has also commenced. At the second Westin at Hyderabad Mindspace with 168 rooms, we expect it to be commissioned in phases starting Q1 of FY 24. The proposed 5-star hotel at Terminal 3 Delhi Airport is on schedule.

In the Rental & Annuity part of the business, the new Commercial Tower in Bengaluru - hand over to the first tenant for fit-outs has already commenced. Further handover to prospective tenants can be done from March. Work at the mall being converted to office space in Bengaluru has picked up pace and can be handed over to prospective tenants for fit outs in Q1 of FY 24. The new office tower at Powai, Mumbai will be ready to be handed over to prospective tenants in April of this year. So as you can see, there's a lot of coming into play of the capex spend that we were having over the last few years, where we start seeing now a revenue opportunity starting sometime in the quarter one of next year.

The conversion of the Accenture Learning Center Building at Bengaluru to rooms is at design stage. This will add another 140 rooms at the Marriott Whitefield. On the residential project at Koramangala, Bengaluru, we've received the final construction approval from BBMP. This allows us to construct as per our revised plan. We also applied for RERA renewal with revised



plans, which will allow us to commence fresh sales. The project work at site is on schedule. We continue to have a strong focus on all our ESG commitments. Besides what we've already shared with you in the past, we recently collaborated with IFC to initiate a forum of Human Resource leaders to brainstorm and execute strategies to help us improve gender diversity in our hotels.

Ladies and gentlemen, while our operating portfolio is back with strong performances, we are really excited about the expansion plans of the company, which will lead to step-up growth for Chalet Hotels in the quarters and years to come. We will keep you updated on the same on a regular basis.

I now hand over to Milind to take you through the numbers for Q3.

Milind Wadekar: Thank you, Sanjay. Good evening, ladies and gentlemen. Let me now take you through financials in some more details, starting with hospitality. Quarter three saw strong business  
Chalet Hotel Limited  
January 24, 2023

Page 4 of 16

activity led by Mumbai, Hyderabad and Pune. Three of our properties, JW Marriott at Sahar, Four Points by Sheraton at Vashi and Novotel Pune reported the best quarterly and YTD performances till date.

Revenue from the hospitality segment was at INR 2.65 billion for the quarter, higher by 6% from pre-pandemic levels and EBITDA was at INR 1.1 billion, higher by 0.3%, making the performance best till date. The segment reported margins of 41% despite having 120 rooms under renovation and out of action in Powai complex. Long-term strategic initiatives like rebranding of Westin, Powai hotel, addition of rooms at Pune and Hyderabad will give scale of operations and improve margins over the next few quarters.

For two of our major cost heads for hospitality, i.e. payroll cost was at 12% of the revenue in quarter three as compared to 15% in FY 20, and utility costs as a percentage of revenue was steady at 6% as against 7% for FY 20. The Food & Beverages segment reported healthy growth. Revenue grew by 9% in quarter three FY '23 to INR 894 million versus INR 818 million in quarter three FY 20. Rental at Annuity segment contributed 8% of total revenue for the company. The revenue and EBITDA from the segment were at INR 244 million and INR 198 million

for  
the quarter, respectively.

On a consolidated basis, reported revenue for the quarter under discussion was at INR 3.2 billion, which was higher by 13% as compared to Q3 FY 20, led by strong recovery in rates and healthy F&B revenue. Revenue adjusted for a onetime gain of INR 263 million was at INR 3 billion, higher by 4% as compared to Q3 FY 20. During the quarter, the company has accounted for INR 263 million as other income on account of change in the estimated cash flow for redemption of 0% NC RPS with respect to the Koramangala project.

Consolidated EBITDA was at INR 1.5 billion, up by 22% for the same quarter of FY 20. EBITDA adjusted for onetime gain was at INR 1.2 billion, largely in line with Q3 FY 20. During the quarter, the company received approval from BBMP for modified development plan for Koramangala project. Accordingly, a reversal of provision for interest in relation to potential cancellation for the flats above 10 floor amounting to INR 605 million has been disclosed as an exceptional income. PBT was at INR 1.4 billion versus INR 0.2 billion in the sequential quarter. Profit after tax was at INR 1 billion, and EPS not annualized stood at INR 4.99 per share. For nine months, Consolidated revenue was at INR 8.3 billion, higher by 8% over the same period of FY 20, led by strong performance by the hospitality segment.

Effective cost management has resulted in EBITDA growth of 17% to INR 3.4 billion. Excluding the onetime gain, the revenue and EBITDA stood at INR 8.1 billion, and INR 3.2 billion and margin stood at 39.2% versus 37.7% in the pre-pandemic same period. PBT was at INR 2 billion and not annualized EPS was at INR 7.15 for nine months of FY 23. Net debt of the company for March '22 to December '22, was marginally higher by only INR 0.4 billion to INR 22.7 billion, while the company spent INR 3.3 billion of capex during reported nine months. It was largely funded by internal accruals.

Chalet Hotel Limited  
January 24, 2023

Page 5 of 16

Here, I would like to highlight that the interest cost for Chalet as of December '22 was at 8.43%, which has moved up by 91 bps in the first nine months of FY 23. This is against a backdrop of upward policy rate of 225 basis points by RBI during the same period. However, given the recent CPI trends RBI's stance on interest rate scenario is softening, and we believe the interest rate scenario, along with cool-off commodity prices is expected to boost corporate earnings going

forward.

Capex and funding : The company has capex plan of INR 6.1 billion till FY 24, i.e. for the next 15 months. This excludes capex for proposed second Commercial Tower in Powai, where we are seeking approvals . Business is well funded with internal accruals and available lines of credit. We have cash and cash equivalents of INR 0.8 billion as of December '22 and INR 5.8 billion available lines of credit for general corporate purpose and planned capex.

These investments are expected to generate revenue over the next three, four quarters and free up the balance sheet. There has been no new subscription from promoters on 0% non -convertible redeemable preference shares during the quarter under review. The total subscription stands at INR 2,000 million as of December '22.

Let's open the floor for questions -and-answers.

Moderator: Our first question is from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: Sir, I have a question on our pricing strategy. So if I look at ARR , it is roughly 11% higher than the pre -pandemic days, but our occupancy is roughly 10% lower. And hence, the recovery in RevPAR is still lagging as such. So I wanted to understand whether a higher price is acting as a deterrent to occupancy? And what is the strategy when it comes to achieving a fine balance between both these factors? I basically thought of asking this first question is because the price hike which has

seen taken by us is actually not resulting in the consequent RevPAR jump as you see a few percent lower?

Sanjay Sethi: Thank you, Jinesh, for the question. I'm glad you asked that because it gives us an opportunity to clarify. Look, whether we kept the rate less aggressive than where we are or not, I don't think it would have resulted in higher RevPAR or revenue. The periods when you have holidays, especially in our portfolio of assets, irrespective of what your pricing is, people don't come because the business travel doesn't happen in those periods. So we'd rather follow the rate route right now. I think this has set a benchmark for rates for the market. It will drive up the rates within the market and once we have the rate positioning right, occupancies will come. Having said that, again, I'm reiterating that having had -- if we had kept the rates any lower, it doesn't mean that we would have got higher occupancies. Purely on account of the 18 days that we had the holiday period during October. And then we had a good period from 1st December to 17th December, but then after 17th December, occupancies fell again due to the Christmas, New Year holidays.

Chalet Hotel Limited

January 24, 2023

Page 6 of 16

So 14 here, 18 there, 32 days out, 90 -odd days gone, irrespective of the rates , occupancies wouldn't have been up. And you got to remember, the RevPAR is also lower because you're still counting in 2019, the full inventory at Powai available, whereas 121 rooms were under renovation at Powai, and this RevPAR came on the back of that reduction in inventory, but we account for it on the RevPAR calculation .

Jinesh Joshi: Sir, that was pretty elaborative. My second question is with respect to the leasing traction for our annuity project. I think we have some 1 million square feet that would come up the leasing in Bengaluru in the next three to four months as you have highlighted in your opening remarks. So can you share what is the progress on signing and what proportion of area has actually been leased out so far?

Sanjay Sethi: Okay, Jinesh. So I think the leasing traction at Bengaluru and Powai shouldn't be a challenge. Three floors out of the 11 have already been leased out in Bengaluru and the same company is likely to take one more floor. As per the leasing update that we have by December of '24, we -- sorry, December '23, we would have leased out the whole new IT building. And by March of '24, even the mall, which is getting converted to office would be leased out. So that's the estimate that we have from our leasing team.

As far as Powai is concerned, they are expecting a fairly fast ramp-up moment the building is ready for a show around. So , no major concerns on the leasing side on any of these two offices. In fact, the recent report that came out, I think the Economic Times or Times of India, just about four or five days has given the demand dynamics of office space in many cities in India. And Mumbai has come out strongest. First, the Bengaluru came out strongest, followed by Mumbai. So these two cities clearly are the top two cities for office space leasing in India today. And both our assets are in these two locations.

Jinesh Joshi: One last question from my side. I think in the opening remarks, you mentioned that the promoter contribution towards Koramangala was at about INR 200 crores. But I think in the results release, we have mentioned that additional INR 35 crores has been given out by directors as an interest free loan towards the project. So does it mean that the total promoter contribution right now is at INR 235 crores and not INR 200 crores?

Milind Wadekar: Let me come in . Jinesh, the promoters have subscribed to preference shares of INR 200 crores.

They are committed to fund entire project expenditure of Koramangala. Now we have taken INR 35 crore s interest -free loans from promoters. So, contribution from

promoters as of today, total

is INR 235 crores. But for preference shares , it is INR 200 crores and interest free loans it is INR 35 crores. Both are interest -free.

Sanjay Sethi: Both are interest -free but on the pref share side, it is INR 200 crores and the new loan is INR 35 crores. This is basically to kick start the project because the project will be self -financing the moment we start our sales process.

Moderator: Our next question is from the line of Vikas Ahuja from Antique Stock Broking Limited.

Chalet Hotel Limited

January 24, 2023

Page 7 of 16

Vikas Ahuja: 1 clarification regarding the previous question. So you said that despite the pricing strategy, the occupancy would have been same, even if we would have given a lower pricing to clients, the occupancy would have been 55%. But if I compare it with pre -COVID levels during this quarter, we used to do somewhere around 65%, 66%. It is still 10 percentage points below the past. So is it largely because of the corporate recovery still weak? That's why the occupancy is where it is?

And secondly, any colour you can give on overall corporate bookings when we can see them going back to pre -COVID level, maybe somewhere in the second half. Any colour around that would be great?

Sanjay Sethi: Sure. So look, I think it's driven -- the occupancy impact was driven by, as I said, the multiple holidays in October and then, of course, the typical, which is an annual phenomena the second half of December. This time, the holidays got bunched up in October for both Diwali and Dussehra and you can add Ashtami and Bhai Dooj became quite a few holidays.

The second thing on the occupancy side that was dragging it down was that the foreign travel is still not back to full steam. And Marriott Whitefield, which is very heavily relying on foreign travel, has had a slower start to the rest of the portfolio. And I want to reiterate again, if we had reduced the prices or kept the price lower, we would probably not have reached the RevPAR that we have.

So, the strategy has actually paid off. And I think, to a large extent, this is a long -- mid- to long - term game in play here that we want to reposition the hospitality industry in India to fair pricing, which is clearly higher rates than where we were in the recent years.

Vikas Ahuja: And 1 last question. I mean, overall, what we are hearing is that corporate rate negotiation has gone really well for most of the hotels. So is it fair to assume that pricing next quarter should be actually much better than what we have achieved, which is already all -time high barring, if we look at the current portfolio we have. Is that a fair understanding? And that's about it.

Sanjay Sethi: You know what's going to happen is that the ADR that we experience of 10,000 -plus is driven by -- whilst they were off periods, there were also peak periods during this period. First November to third week of December was high -peak period, which meant people went to retail rates to get the rate. The increase in prices for the contracted accounts is clearly higher.

As I've explained in the last call that we have taken the strategy of staying away from , avoiding as much as possible on the last room available to corporates, which allows us to maybe give competitive pricing, but not give them rooms on a high occupancy periods, which will mean that they'll have to go to retail pricing at that period to book rooms. I think it's going to pay off our current all indicators point towards improvement in rates and occupancies should be back on in periods when we don't have holidays.

Moderator: Our next question is from the line of Sumant Kumar from Motilal Oswal.

Chalet Hotel Limited

January 24, 2023

Page 8 of 16

Sumant Kumar: Yes, sir. So can you talk about the Bengaluru market, the occupancy in Q3 was lower. So how - what was the key reason and how things are

improving there?

Sanjay Sethi: I think Bengaluru, if you can if you look at the numbers over here, occupancy for our hotels for this quarter was only 50% that is again driven largely by holidays and the fact that during Christmas and New Year, foreigners don't travel. And they tend to ebb out a lot earlier than everyone else. And Bengaluru's reliance on foreign travel is much higher.

The fact that it's now got connected with international flights on direct flights to US, both East Coast and West Coast, we expect that to pick up very sharply. We are happy that we are able to now reposition the hotel at the INR 9,500 price point in the last quarter, which is very close to

where we were in Q3 of FY20. And confident that in the coming months and coming quarters, this hotel will do extremely well.

Bengaluru has had dynamics of three or four micro markets that come into play in that city. City Center has a little more perennial business around the year. So the hotels that are actually in that City Center area get less affected by dips and valleys and peaks. Then there is a market at the outer ring road or Marathahalli area, Sarjapur area, which again is very heavily relying on IT, but this is the first to pick up when the IT picks up.

And then there is Whitefield market, where we have the advantage of lesser number of rooms compared to the other markets, and we are taking advantage of the position. And the fourth one is the Electronic City to the eastern -- south-eastern side of the back of Bengaluru, which picks up last. In our view, we think Bengaluru will come back to previous performances very soon.

And we are not taking a short view on this, whilst we understand that in the short term, this dragged the portfolio down a bit. In the mid - to long term, we are very confident Bengaluru will add to our portfolio.

Sumant Kumar: Do you think the occupancy, our company level occupancy will reach at the pre-pandemic level in the coming quarters?

Sanjay Sethi: I cannot give you exact number. But yes, there's no reason why we'll not be reaching the pandemic occupancies.

Sumant Kumar: So out of the foreign mix reach than the pre-pandemic level in Q4 and what is the current level? The foreign customer mix?

Sanjay Sethi: Yes. On the foreign customer mix, as I said, the flights have just been announced. Some of them have started. Some are starting from March. Air India has announced multiple flights to East and West Coast. So it will take a little while of time to get the impact in place. But I think this quarter will be a good quarter for Hyderabad and Bengaluru.

Sumant Kumar: Any colour on corporate rate hike on negotiated price? Whatever the range we are talking about.

Chalet Hotel Limited

January 24, 2023

Page 9 of 16

Sanjay Sethi: It's very difficult to average that out because each customer or a client is treated in a different fashion depending on the volume of business, etcetera. But yes, we expect healthy growth on the average room rates on the corporate side.

Moderator: Our next question is from the line of Pradyumna Choudhary from JM Financial.

Pradyumna Choudhary: So just wanted to understand, from a longer-term perspective, how do we see ourselves in terms of the mix between our hospitality revenue and commercial revenue over a longer term, say, maybe three, four years down the line?

Sanjay Sethi: So what's going to happen Pradyumna is that over the next three or four years, there will be some increase in the share of office revenues, commercial revenues because there are a couple of large assets coming into play now. And on the hospitality side, we'll see some addition of a few 250 - odd rooms this year -- in the coming year and the rest a little longer it will take. But by the time we reach fourth, fifth year from now, there'll be stability on the office side and the growth should kick off on hospitality side fairly aggressively.

ely.

Overall, we expect maybe about 75% of the business revenue is still coming from hospitality at its lowest and roughly around 65% to 70% of the EB ITDA coming from hospitality. But then that will turn the tide because by then, we would have exhausted all the land that's available for office assets.

Pradyumna Choudhary: So like beyond that, the focus still remains on the hospitality side, but maybe opportunistic forays into commercial ones beyond what we already have planned.

Sanjay Sethi: Yes. So a, just to sort of take you back a little bit. Our whole entry into office was driven by sweating our real estate assets that we had. And I've given an example on multiple calls that, for example, at JW Sahar where we have almost 600 rooms, we could've built 1,200, but that would have killed the market, made our asset unviable. So we decided to sweat the assets in a more realistic fashion where we kept the room count at a little under 600 rooms, but we sweated the rest of the FSI and the potential of the land through building complementary assets on the office side, which then creates demand for our hotels. And on the reverse side, the hotel branding creates a halo effect for rental premiums on the office side. So it became complementary, and we were able to sweat the real estate part of it. But once we get done with Powai, Sahar and the Bengaluru real estate assets, we really don't have any more land lying with us, which we can monetize through to any more office assets. What happens in the future is a little unpredictable. If we get a large part of the land, we may still do a mixed use, I'm not saying that we will not. We'll do what is best for the company, but primarily reiterating we are a hotel company, and that's the growth focus for us.

Pradyumna Choudhary: And secondly, regard -- the management contracts that we have with -- like with Marriott and Accor. So what are the -- what is the tenure of the contracts?

Sanjay Sethi: They range from 10 to 12 to 20 years. And actually, a couple of them had expired a couple of years back. We renewed the Hyderabad one. We use that opportunity to upwardly move the Chalet Hotel Limited  
January 24, 2023

Page 10 of 16

branding for Powai from Renaissance to Westin, which is two notches up. And we've got Four Points By Sheraton whose contract has expired, but we've got an extension and we're sort of working on the strategy on how to reposition that asset.

Pradyumna Choudhary: If I were to ask you, like, in terms of most of many other hotel companies that are going asset-light, so I believe we stand in a good ground, right? Like because there will surely be demand for our portfolio even if some of these contracts expire, right? Like is it a point of strength or a point of weakness in case there's any contract, which is nearing expiry. So how do you see it?

Sanjay Sethi: Great question, Pradyumna. So I think, yes, you're right, there's an opportunity there. And I think it's a point of strength because the asset is ours, right? We can go either way that we want. We are the one that will have the control on that. And at some point of time, if we decide to create our own brand, that creates an opportunity for us to run our hotels on our own brand. And then maybe if we create the brand, run some hotels for other owners also. But that's an option open to us.

We will -- we study those options, and we look at what the right strategy for us is. Right now, we are very focused on delivering some of the assets that we're developing. At the same time, we are building capabilities of running our hotels. As we know, we've got the Four Points by Sheraton on franchise. We run The Resort in Madh Island. We've got the Hyatt Regency that has to be built on franchise. And the Delhi Airport hotel of ~400 rooms that we're building, is also in the franchise arrangement. So clearly, we are developing our own in-house opera

ting

capabilities. The brand is just 1 step further from there.

Moderator: Our next question is from the line of Nihal Mahesh Jham from Nuvama.

Nihal Mahesh Jham: Yes, thank you so much and good evening.

Moderator: I'm sorry to interrupt, if you're on speaker phone, can you please switch your handset?

Sanjay Sethi: We're getting a lot of disturbance on background noise, Nihal. Do you want to come back in the queue in a bit?

Nihal Mahesh Jham: I'll do that. Sure.

Moderator: Our next question is from the line of Prateek Kumar from Jefferies.

Prateek Kumar: Yes. My first question is on your cost. You mentioned about a lumpy cost continuing in your business as well. So can you please quantify that number? And what could be this number like going forward as well?

Sanjay Sethi: Yes. I'll ask Milind to sort of look up that number. --Let me just dwell a little bit more on those costs that I was talking about. On the repairs and maintenance side because for just 2, 2.5 years that we had of the pandemic period, we had held back some costs, and we're sort of getting the hotels back in full shape. So the FF&E cost that were to be incurred during the period were Chalet Hotel Limited  
January 24, 2023

Page 11 of 16

deferred, and they are now being consumed in the Indian accounting system, we have to move them from FF&E cost to P&L costs, and that's what's happened. That's one.

Second is with the demand going up and the rates going up so aggressively, it's extremely important that we put our 'A' game forward. So we've reassessed our requirement for repositioning the hotels even from a quality perspective. And so we've put in some money behind that.

The third area was on the raw material side of hotels. We've had a little bit of an increase on cost percentages to revenue in food and beverage, and that's driven by a slight impact of the inflation that we are all facing at this point of time and also we will be need to tighten our belts over some of the control systems internally to get that right. So these are the areas that we're working on.

I must highlight that Milind already mentioned that we've been able to bring the two largest costs down on payroll costs, which is the largest operating cost in our business, we're down to 12%, which is a very healthy performance. And on the heat, like power or energy or utility costs, we are at 6%, which is again amongst the industry's best. Milind, you have a number that you want to share?

Milind Wadekar: I mean, our expenses were higher under two heads, primarily repair and maintenance, which was higher by around INR 4 crore for the quarter. If we compare it with the same quarter of FY20, and operating supplies, operating supplies, we charged off to P&L as and when we buy

it. So, with the increase in occupancy, some costs hit our P&L that increase is around INR 3 crores. But two major heads, we have reduced cost. On HLP side, same -store business, our HLP cost is lower by INR 6 crores for nine months as compared to nine months of FY 20.

Sanjay Sethi: I hope that answers the question for you.

Prateek Kumar: Yes. So also can you just revisit again, like you mentioned about like still some room left for coming on more like for Mumbai complex. So how many rooms are still expected to be renovated and how then is this whole 120 room expected to be operational?

Sanjay Sethi: So there are 600 rooms in the hotel and 173 serviced apartments. Out of the 600 rooms, 121 rooms were under renovation. That also meant that the floor under the 121 rooms was used carefully because we didn't want the sound to disturb our guests. So overall impact of 150 rooms for this quarter. Those 121 rooms have been handed over to operations, and they are in the process of snagging and simulating those rooms to open them out to our guests. With that completion, and that will be completed in the

next couple of weeks, we'll be left with

only 29 rooms, 29 keys that need to be renovated. We're not doing it right now because of the occupancy and demand period being high. We'll probably do it in off season now.

Prateek Kumar: So for fourth quarter, these 120 rooms should be available for...

Chalet Hotel Limited

January 24, 2023

Page 12 of 16

Sanjay Sethi: For about half the fourth quarter because we're already at the end of January. And it will take another couple of weeks for them to be activated, so we're saying by second week of February, they should be all back in action.

Prateek Kumar: One more question regarding Bengaluru market and general up on consumption. Is there any trend on like some slowdown because of general IT slowdown in terms of local environment and impacting business, particularly in terms of maybe Bengaluru or some other markets in terms of up in consumption because of impact on start-up industry and IT industry?

Sanjay Sethi: Not that we've noticed because whilst you'll see that the Bengaluru occupancies are lower, the dates when we didn't have the holidays, the occupancies were very high and so were the rates.

So, we believe that the demand continues to be strong. It is just a holiday season that affected the occupancies and the rates during this period. And again, I want to repeat that the direct US flight will make a lot of difference to Bengaluru.

Prateek Kumar: So January should be trending like November in that...

Sanjay Sethi: So January -- from ninth January onwards is expected to trend like November because the first week again is a slow week because people just come back post new year holidays, then 7th and 8th was a weekend. So it's post that the kick-in happens.

Prateek Kumar: And one last question on transient trades. So there will be some portion of your business, which will be obviously tied to like quantum rates or contractual rates. So is this transient rates also benefiting significantly on your like reported rates?

Sanjay Sethi: Yes, they are. In fact, that's what's -- so the transient contract is what is driving our rates overall up. One, first level is the contracting that has been done at higher rates. Second, because if you haven't signed up a large delta on the rate side, the accounts or the companies don't get the last room available benefit, in which case they have they are forced to go to the retail rates and retail rates are significantly higher than any contracted rates.

Moderator: There are no further -- I'm sorry, we have a question from the line of Rajiv Bharati from DAM Capital.

Rajiv Bharati: Can you spell out what is the INR 330 crores capex in the nine months piece-wise where it was and now for Q4, how much is due and remaining the INR 110 crores similar thing where it is going to us?

Sanjay Sethi: Sure. I'll let Milind answer that question. Go ahead, Milind.

Milind Wadekar: Yes, Rajiv. Out of this INR 330 crores, the major spend was for commercial office space, which we are building in Powai Phase 3 and Bengaluru. We have spent some amount on Westin Hotel, New Westin Hotel at Hyderabad. And there was some normal repairs and maintenance capex, which we are incurred.

Rajiv Bharati: Sir, is it possible to quantify the big pieces here, let's say, about...

Chalet Hotel Limited

January 24, 2023

Page 13 of 16

Milind Wadekar: INR 180 crores, was for Powai Phase 3. INR 70 crores was for Bengaluru and the balance was for hotel projects and hotel renovation.

Sanjay Sethi: There's two hotel projects underway, the Novotel, Pune, with 88 more rooms and the 168 room, Hyderabad hotel.

Rajiv Bharati: And assuming trajectory something like INR 80 crores will be due for Q4 as well?

Milind Wadekar: Our capex for next 15 months will be around INR 600 crores. Out of INR 600 crores, INR 335 -- INR 340 crore will be on commercial office space. Hotel side,

we'll be spending around INR

150 crores and renovation projects we will be spending around INR 125 crores.

Rajiv Bharati: Sure. And to the previous participant's question, which is the payroll and the utility cost on the non-hospitality business, where it is inching up, till what time should we, let's say, for modelling sake, this will continue at this pace?

Milind Wadekar: So, in our payroll cost, we have accounted for ESOP expenses, which is as per accounting standards. So now with this it will average it out now, and there won't be any major increase.

Sanjay Sethi: We don't see any unusual increase happening on that front, Rajiv.

Rajiv Bharati: So, the payroll expenses on the non-hospitality side, basically, I subtracted the employee cost minus, let's say, the hospitality piece. That number was INR 3.5 crores in Q1 then INR 6 crores and INR 7.6 crores. So I just wanted to know, is it stabilized now at INR 7.6 crores, it is going to inch up for modelling section, should we take, let's say.

Milind Wadekar: Out of INR 7.6 crores, INR 3.5 crore are ESOP expenses. So expenses are almost flat quarter-on-quarter. So, if you take out ESOP expenses which we started accounting in last two quarters, the expenses are flat.

Rajiv Bharati: And similarly, on the utility side, so is it correct to do, let's say, other expenses minus the hospitality utilities and that trajectory is basically INR 68 crores, INR 75 crores, INR 82 crores.

And you said that this is linked to occupancy. So if occupancy holds up, this number should not come down, right?

Milind Wadekar: It is around 6% of revenue, but...

Sanjay Sethi: No, tell non-hospitality.

Milind Wadekar: Yes, you are right.

Sanjay Sethi: So non-hospitality, yes, there will be some increases as office occupancy is going. But remember that we charge this off to the tenants. So concurrently, the CAM charges will be...

Milind Wadekar: These are pass-throughs only. CAM, Common Area Maintenance charges for non-occupied portion will hit our P&L. Otherwise, it will be passed through and we'll recover it from tenants.

Chalet Hotel Limited

January 24, 2023

Page 14 of 16

Rajiv Bharati: And as and when this – let's say, the DIAL thing opens up, do you require manpower to be deployed in the next – I mean, to be employed, which are not there in the system as of now. As and when it – before the ...

Sanjay Sethi: Very minimal, Rajiv, maybe some – for the sake of supervision of the project on site for the near future, nothing else because the Shell, remember is being built by DIAL. Shell is leased to us.

So the initial next 1.5 years are largely going to go towards building the Shell out our involvement will really come after that. At that point of time, we'll have a project here, but most of the project costs are kept separately and we've provided for them in our capital budget.

In terms of manning the hotel, I think we'll probably start with very few people six months before opening and then build up a team to come to the opening point. But in the near future, we don't see any additional happening. In any case, we will continue to stay disciplined on our people to room ratios and make sure the productivity levels are really high.

Milind Wadekar: The project team salary will be capitalized, and it forms part of the capital cost of the project.

Moderator: Mr. Nihal Mahesh Jham your line been unmuted.

Nihal Mahesh Jham: Sir, I had 1 question on the Bengaluru market performance. I do understand you highlighted about there being the impact of holidays, which I think is a phenomenon in Q3 of every year in a way. So if I have to compare the Bengaluru market streak over occupancy versus that is one, would you attribute the lower occupancy primarily say to lesser number of foreign guests coming in because you've alluded to that fact quite a lot in the discussion?

Sanjay Sethi: So two things, as I said

aid earlier, it is a combination of the holidays with the Diwali and Dussehra both being mid-week, and because both these holidays impact foreigners coming in here because they know there's very little work that happens in Bengaluru. Dussehra is a big-ticket event in Bengaluru. And both happened on the same month. That's what impacted the month.

And of course, the foreign travel not being back to normal yet, it did impact a bit. But the periods where in the same month, when we had clear period, we saw the occupancies go extremely high and the rates are very high also. So I think it's more of a phenomenon of the holiday than the majority of the impact coming from foreign travellers.

Nihal Mahesh Jham: That's helpful. And just a last related follow-up was that overall, if you look at across your property and for the market, fair to say that the domestic corporate travel for you has more or less completely come back and foreign travel, as you said, is something that you expect currently

at 70%, 80%, inches back to that 100%. Is that the right situation in the market in terms of overall corporate recovery?

Sanjay Sethi: Yes. So I think the reality today is that domestic business travel is actually 53% higher than pre-pandemic. And the foreign travel is at 70% of pre-pandemic. And that combined together leading to what the results we're getting. And we believe as international travel comes in, it will lead to a natural movement towards high paying guests, whichever segment they come from to make sure we optimize our revenues.

Chalet Hotel Limited

January 24, 2023

Page 15 of 16

Moderator: Our next question is a follow-up from the line of Pradyumna Choudhary from JM Financial.

Pradyumna Choudhary: So just another question related to basically how do we go? Like what criteria do we have when we choose to go for a project in terms of the kind of range of IRR or return or payback period we normally target?

Sanjay Sethi: Sure. So, Pradyumna, in terms of hotel projects, we look at 3 or 4, 2 or 3 metrics actually. One, of course, is the overall project IRR. And there, we look at mid-teens and upwards. On equity IRR, we look at 20 and upward. On the Return on Capital Employed in the third year, which is a stable year, we look at at least 12%. And the fourth one is that it has to be NPV accretive for us.

So these are the four parameters that we look at. We also, of course, look at various other parameters like depth of market, the ability to get run an efficient operations, the size of the competition and all of that. But the key financial parameters that we look at are the four that I shared with you earlier.

Milind Wadekar: We also look at whether it is EPS accretive or not in a stabilized year.

Pradyumna Choudhary: So basically, the IRR, equity IRRs, what was the number you said?

Sanjay Sethi: So we said at the third year, which is the first stable year, full year, we look at least 12% EBIT by capital employed.

Pradyumna Choudhary: And I understand that right now, we only have like commercial portfolio in terms of work hotels like leisure. And previously, I think you guys have mentioned that you will be open to having something in Goa or somewhere. So, like what is the idea, like over the longer term, again, is it something where we'll look at a more diversified mix or is it something where it would be, again, more focused on the non-leisure side?

Sanjay Sethi: So we've -- our strategy, midterm strategy right now is to diversify the portfolio, get some leisure assets in. We do believe that the majority of the assets will continue to be in the big city, big box hotels. But we do want sort of maybe 25%, 30% of the room inventory coming from leisure. So we de-risk ourselves from cycles where business travel doesn't happen.

And add to that, the diversification of the asset class, which is the office side of the business, which allows us

a steady annuity income. So that combined together will, I think, give us the ideal mix.

Moderator: Our next question is from the line of Vikas Ahuja from Antique Stockbroking.

Vikas Ahuja: So just one thing. Just trying to understand that after all the commercial portfolio coming in, maybe we would be exhausting most of our land parcel and then -- maybe the airport property.

How would we grow beyond that, maybe FY 26 or after? I know maybe DIAL property will come maybe a year later but how should we look at a strategy or growth after exhausting our land?

Chalet Hotel Limited

January 24, 2023

Page 16 of 16

Sanjay Sethi: So Vikas, we are a growth-oriented company. And just because we finished the current pipeline of project doesn't mean that we're not going to look for more projects. Our balance sheet will enable us to deploy more capital in the not too distant future. And we'd like to look for more opportunities to grow the portfolio. As I said, in terms of the mix of the assets that we like, we think business hotels at the upper upscale luxury positioning in big cities, we've got probably go to the sweet spot for us. We will get a leisure portfolio in play at some point of time and the business -- the office assets will be there.

In addition to that, if we get any M&A opportunities in the market from a platform of hotels, we are open to considering those also. Right now, there's nothing that we think which is viable. But if that comes our way, we would like to look at that. Let me sum it up by saying that the growth which will be practical but aggressive as the strategy will continue.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Sethi for closing comments.



Sanjay Sethi: Thank you so much. Before we end, we 'd like all of us here would like to wish you and your dear ones a brilliant 2023, and we look forward to engaging with you more this year. Thank you.

Milind Wadekar: Thank you.

Moderator: Ladies and gentlemen, on behalf of Chalet Hotels Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

## Call: May 2023

Chalet Hotels Limited

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CIN : L55101MH1986PLC038538

May 15 , 2023

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001 .

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Audited Financial Results for the quarter and year ended March 31, 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find attached herewith the transcript of the Earnings Call held by the Company on May 9 , 2023 , in respect of the Audited Financial Results for the quarter and year ended March 31, 2023 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Encl.: As above  
Page 1 of 17

"Chalet Hotels Limited  
Q4 FY2023 Earnings Conference Call "  
May 09, 202 3

MANAGEMENT : MR. SANJAY SETHI – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER  
MR. MILIND WADEKAR – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Fourth Quarter and Year Ended FY '23 Earnings Conference Call of Chalet Hotels Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited. Thank you and over to you, sir.

Sanjay Sethi: Thank you so much, ma'am. Good afternoon, good evening, ladies and gentlemen and welcome to the earnings call of Chalet Hotels Limited for the quarter -- or for the last quarter of the financial year 2023. It has been an exceptionally good year. We ended the financial year on a strong note with historical highs in our financial performance. Our earnings call presentation has been uploaded on our website for your reference, do take sometime to look at the details there. Very quickly to summarize the year that's gone by -to begin with, we signed our first asset in North India with the proposed new hotel at the Delhi Airport. We marked our debut in leisure with the acquisition of The Dukes Retreat, at Lonavala. We made strong inroads towards our sustainability goals and very importantly, cracked the INR5 billion EBITDA ceiling for the year. We've also made substantial progress towards unlocking value from our new projects in hospitality, residential and office real estate at Hyderabad, Bengaluru and Mumbai. The acquisition of the iconic resort property in Lonavala region, The Dukes Retreat, marks our foray into leisure segment. The Dukes Retreat has built a very deep connection with its guests over the last 40 years and with its breathtaking views serving as the backdrop, our vision for the retreat involves repositioning it through renovations and expansions, transforming it into a luxurious wellness destination that embodies a strong commitment to sustainability. We will be expanding the room inventory by approximately 50 rooms over there.

At a macro level, the hospitality industry in general in U.S., select Europe and in Asian regions has been moving in a very strong and positive direction with some regions touching record average room rates. The same momentum has also been seen in the Indian industry with average room rates touching decadal highs with occupancies also at very healthy levels.

Air traffic in the country has touched a new peak in March 2023 fueled by double-digit growth in domestic travel and recovery of international traffic. International passenger traffic recovery was around 90% to the pre-COVID levels in the month of March. Despite new supply, office space occupancy in the top 6 cities remains strong at around 84%, as reported by Colliers during the quarter ended March 2023.

For Chalet, the robust pickup in demand seen in Q3 of FY23 continued in Q4 of FY23, largely led by corporate travel, MICE, weddings and other social events. Q4 recorded new highs in average room rates at INR11,304, which is up by 11% over the previous quarter. Portfolio average room rates crossed INR12,000 levels in the month of February. Occupancy improved 9% points QoQ to 74%, leading to the highest ever quarterly RevPAR of INR8,363. Hospitality segment revenue grew by 17% sequentially to INR3.1 billion. Room revenue grew by 23% over the previous quarter, while costs remain well under control, resulting in high flow-through.

Chalet Hotels Limited  
May 09, 2023

during the quarter. The portfolio F&B revenue was about INR1 billion, which is again higher by 6% over the previous quarter.

EBITDA of Hospitality division was INR1.5 billion with the highest ever EBITDA margin of

48%. Consolidated revenue for the quarter was at INR3.5 billion, with an EBITDA of INR1.6 billion, the EBITDA margin was 46%. This is the highest revenue and EBITDA for the company in a single quarter till date. For the full year, average room rates were again at a decadal high of INR9,169, with an occupancy of 72%. Hospitality revenue and EBITDA were at a lifetime high of INR10 billion and INR4 billion, respectively, with EBITDA margin at 42%. Ladies and gentlemen, I'm delighted to share that on a consolidated level, EBITDA for the company crossed the INR5 billion mark with an EBITDA margin of 43% for the year.

Now coming and sharing with you a quick update on our project pipeline. In the hospitality side of the pipeline, our additional 88 rooms at Novotel Pune are ready and we are awaiting the final OC of the building to start commercial use. The new Westin Hitec Hyderabad with 168 rooms is in the process of being handed over to the operator this month and will be operational from next month.

At Westin Mumbai Powai, the newly renovated rooms have been handed over to the hotel team

in January. And I'm happy to share that the response has been extremely positive over there. In fact, the response at Westin Powai -- Mumbai has been very positive and it sort of confirms our belief in that asset, which is the largest asset in the country and also, it has reaffirmed the position that we took of changing the brand from Renaissance to Westin around 3 years back. The project work at the luxury hotel at Delhi Airport with about 400 rooms is as per schedule, with expected completion in the FY26. The 140 -room expansion at Bangalore Marriott is in final design stage and we'll be submitting our plans for approval later this month.

On the commercial office real estate that we have, our commercial tower at Westin complex, Powai is in the final stage of completion. And we should be able to hand it over some time early next quarter to the leasing team for leasing of the space, after the OC is received. However, we already have a reasonably strong pipeline of interest for almost about 300,000 square foot on this asset. At the commercial tower in Bengaluru in the Marriott complex, handover to tenants has commenced.

And for the mall that has been converted to the office building, the handover to tenants is likely to commence late next quarter. For the residential project of Bangalore and I think that's a key element of our project work that we are having and it's going to make a material difference to our P&L for the next few years. The RERA registration has been received, construction work is on schedule and the market rollout is scheduled to commence from July of this year.

We are happy to share that we have significantly improved our score this year on the Dow Jones Sustainability Index to 43 from last year's score of 31, which, by the way, is a 39% improvement and we are well above mean scores of the hospitality industry in the DJSI index. We are also proud to share with you that 75% of our power sourced was sourced through renewable resources for the month of March 2023. And when I say, 75% of our power, I'm talking about full hotel Chalet Hotels Limited

May 09, 2023

Page 4 of 17

portfolio is included in that and none of it was through any green certificates. This is genuine third-party green power that we're using.

Ladies and gentlemen, at present, we have multiple projects in final stages of completion with capital spend of over INR1,200 crores till date. These assets will start contributing to our P&L in the next few months. In particular, the new hotel in Hyderabad, the residential asset in Bangalore and the office assets in Mumbai and Bangalore are likely to make material improvement in our financial numbers. As we enter the new financial year, we remain committed to enhancing our operational efficiencies, execution of ongoing projects and sustaining

momentum through both organic and inorganic growth opportunities.

On that positive note, I'll now hand over the baton to Milind who will take you some more financial highlights.

Milind Wadekar: Thank you, Sanjay. Good evening, ladies and gentlemen. As Sanjay mentioned, the company thrived in post pandemic world and crossed INR5 billion EBITDA milestone in the financial year FY23. The EBITDA and EBITDA margins will improve further with the operationalization of all new investments in commercial office building and hotels. These investments of about INR12 billion today are likely to generate a stabilized return of approximately 20% on invested capital. Most of these assets are getting operationalized in FY24.

As Sanjay has covered most of the financial numbers, let me give you key financial highlights. Hospitality segment reported the highest ever EBITDA margin for the quarter at 48%, setting a new industry benchmark. Margins were higher by 7 percentage points from previous quarter, led by resilient ADR and prudent cost management. Hospitality EBITDA for the quarter increased by 36% sequentially.

Hospitality revenue crossed INR10 billion mark for the year FY23. Three of our properties, that is JW Sahar, Westin Hyderabad and Novotel Pune, reported highest ever revenue and EBITDA for the quarter and financial year. Hospitality EBITDA for the year was INR4.3 billion, led by efficiency in 2 major cost heads that is payroll at 12% of revenue and utilities at 5.8% of revenue, creating new industry benchmark. Consolidated revenue for the year was INR12 billion.

PAT of INR1.9 billion for the FY23 is a strong recovery from the cumulative losses of INR2.1 billion in the previous 2 years. EPS was at INR9.06 for FY23. The net worth of the entity is back to pre-pandemic level at INR15.5 billion. Net debt of the company increased by INR2 billion in the last financial year to INR24 billion as at 31st March '23. The company spent INR6 billion, which includes capital expenditure of INR4.4 billion and acquisition cost of Dukes Retreat of INR1.6 billion. This was largely funded by internal accruals and working capital management. Out of the total debt of INR24 billion, half is allocable to new investments in office buildings under construction, new hotel projects and hotel expansion. The cost of finance as at March '23 is at 8.75% against 7.5% at the beginning of the year. This is in the backdrop of an overall increase in repo rate of 250 basis points in the same period. The company is expected to convert

The company has capex plan of around INR6 billion for FY24 for the projects that have been announced till March. This includes capex of INR2.8 billion on commercial projects, including second commercial tower at Powai. The balance, INR3.2 billion, includes spill over capex of new Westin hotel at Hyderabad, hotel expansion at Pune, capex on new hotel in Delhi and expansion of Marriott Hotel in Bengaluru. Business is well funded with internal accruals and available lines of credit. This is the first phase of multiyear high growth cycle for the hospitality industry.

Now let me give you few updates on Koramangala residential project. The promoters are committed to fund project cost. There has been no new subscription from promoters on 0% nonconvertible redeemable preference shares during the quarter under review. The total subscription stands at INR2,000 million and the promoters have given INR450 million as interest-free ICD as at March '23. We have received RERA approval for the modified development plan. Based on the internal market assessment done by our residential team, the selling price per square feet is seen upward of INR16,000 per square feet of saleable area. The cash generated from sale is expected to be cash and EBITD

A accretive to Chalet.

With this, let me open the floor for questions and answer.

Moderator: We have our first question from the line of Vikas Ahuja from Antique Stock Broking. Please go ahead.

Vikas Ahuja: Yes. First, my first question is regarding the occupancy of southern markets, Bangalore and Hyderabad. That is -- although we have seen a strong pickup in Mumbai and Pune but those 2 markets still remain under the -- below the average. So how should we look at, going forward into FY24, where do you think this number can go? That's my question #1.

Sanjay Sethi: Vikas, thank you for your question. Look, Mumbai has done exceptionally well with the occupancies in Q4 at 77%. Bangalore and Hyderabad are markets which are sensitive to holidays and holiday seasons. And therefore, in Q4, the start of the quarter was little slow because foreigners take a little while after the new year to come back to travel.

But then subsequently, in the second half of January and then February were extremely good. In fact, February turned out to be brilliant in all our trials. Having said that, I think you will see a marked improvement in occupancy in both Bangalore and Hyderabad, especially Bangalore has seen a significant improvement in the last couple of months. And we're very excited about the demand pickup and back to recovery in Bangalore.

Vikas Ahuja: Sure. My second question is regarding the seasonality. So when we go from Q4 to Q1, we normally see a 15% to 20% decline in RevPAR and as I said, it's largely because of seasonality. So because we are in different times now and just trying to understand whether we will see the same seasonality this time as well. Or you think demand continues to remain very strong? And this time, the drop won't be that much.

Sanjay Sethi: So Vikas, I don't want to comment on forward-looking numbers. But look, the seasonal trends that are typical for India, for both business and leisure travel will continue. The difference could be less this time around but do expect Q1 and Q2 to be always lower than Q3 and Q4.

Chalet Hotels Limited  
May 09, 2023

Vikas Ahuja: Sure, sure. And my final question is on the F&B revenue, which came around mid-single digits, while the overall RevPAR growth was 25% above on sequential basis. So I mean, what was the reason for lower growth in F&B revenues?

Sanjay Sethi: So look, the growth in F&B revenues between Q3 and Q4 still at 6%. And remember, Q3 came off a high base because that was the period for several weddings, etc etc, that happened. So it's unfair to compare Q4 to Q3, and the fact that Q4 managed to report 6% growth in Q3 where the banquet season was at its peak, is itself commendable. So I see this as a positive.

Vikas Ahuja: Okay. Okay. But I think that same applies to the ADRs as well, right, which was around INR10,200 and it moves to INR11,300 but...

Sanjay Sethi: ADRs are driven by room demand, in fact driven by business travelers. F&B was driven by social events, which are basically locals who use the auspicious days for weddings, to host the events. And both the JW Marriott at the airport in Mumbai and the Westin Powai did exceptionally well with weddings during the quarter 3. So coming off a strong base, I think the fact that quarter 4 has managed to improve the revenues by another 6%, that's quite commendable.

Vikas Ahuja: Okay. Sorry, if I can just squeeze in 1 last question. As we already in the middle of May, are we seeing any difference now in terms of the occupancies or the pricing in different markets, whether Mumbai has dropped or Bangalore has improved? Are we seeing any stark differences from the trend we have been seeing in past 2, 3 quarters? And that's about it.

Sanjay Sethi: Vikas, thank you for your questions. But look, I'm not -- we are not in a position to share numbers at this time with you because we've not really released

ed those numbers to the market in general,

so we're restricted. As I said, expect Q1, Q2 to be lower than Q3, Q4. My sense is that the gap is not going to be 15%. It should be a little more balanced than that.

We can move on to the next.

Moderator: We have our next question from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Congratulations on the best ever quarter. So you spoke -- Sanjay, you spoke about the hospitality outlook for FY24 and beyond. But from a strategic perspective, while most of the hoteliers are expanding in Tier 2 and Tier 3 cities and beyond with smaller hotels, Chalet's pipeline is focused on Tier 1 big box hotels. So if you could help us understand more in terms of your current model, will that work better than expanding in smaller cities but with scale?

Sanjay Sethi: Sorry, Karan, it was on mute. Thank you for your question and thank you for the congratulations. Let me just remind you that the last 2 hotels that we have commissioned or acquired are in Tier 2 locations. Pune Novotel was in a Tier 2 city and the recent acquisition, The Dukes Retreat is indeed in a secondary or tertiary market. So we believe there is strength in some Tier 2 and tertiary cities. And -- but we'd like to be very, very careful not to go and increase supply in some of these cities because it comes from a low base. And if we continue to increase supply, the city itself could suffer.

Chalet Hotels Limited

May 09, 2023

Page 7 of 17

So in both cases, we've actually picked up existing supply as against adding supply to these Tier 2 tertiary locations. But to answer your question, are we looking at Tier 2 and tertiary cities, absolutely and the outcome is in front of you.

Karan Khanna: And just continuing on the Dukes acquisition, which has been an opportune acquisition for Chalet. But it also marks your entry into the leisure segment through a smaller hotel. So is it fair to assume that right now, you're testing the waters in the leisure market and hence, you've gone with a smaller hotel compared to your rest of the portfolio? And inherently, as you start witnessing potential turnaround or possible success in the leisure segment, you'll look to add further hotels in this segment? And if so, which are the markets that you're actively evaluating at this point?

Sanjay Sethi: So Karan, we are going to stay consistent with our stated strategy that we'd like to be in leisure destinations, which are in drivable distance from Mumbai and a couple of other big cities around the country. And we'd like to look at Goa and Rajasthan as the 2 other leisure destinations that we'd like to focus on. I don't think this strategy has changed for the last 3, 4 years now. And what we've done at Dukes is consistent with that. We continue to look for opportunities in Goa and Jaipur, etcetera, as and when we have some opportunities, we will look at them. This is not by design that we got Dukes first and we wanted to test waters. It's just that we are able to execute this first.

Karan Khanna: Sure. On commercial real estate, you have closer to 2 million square feet that's hitting the market in FY24. And if I look at the outlook for commercial real estate, doesn't seem as positive when we look at some of the incumbents in Bangalore, even suggesting possible extra exits than contractual in the year. In that context, I wanted to understand your standpoint on CRE demand for Chalet and visibility in terms of leasing potential tenants or opportunities that you're seeing? And Milind, if you could also talk about the pending capex for the 4 Cignus towers in Bangalore and Bombay?

Sanjay Sethi: So Karan, I don't think we have any major concern on the -- it's 1.5 million square feet that's coming in play in this year, not 2 million square feet, roughly around 1 million or 0.95 million square feet in Bangalore and 0.78 million square feet in Mumbai. I don't know whether

you've

seen a recent report. I'm trying to take that out whilst we speak, which had given -- it was actually a TV report that has come out on the television in CNBC, where they've given the leasing traction of big cities in India. And you'd be surprised to know that Bangalore was the highest in the lot, with the absorption as high as, I think, 17% increase on the year, which is very strong.

So we -- I think we've positioned our office assets at the right location because Bangalore was #1, followed by Delhi and followed by Mumbai. So within the top 3 cities that are listed as with the most demand in office space, 2 of the cities are where we are launching these office assets. You had a question for Milind.

Milind Wadekar: Karan, to add further to what Sanjay said, Whitefield is connected on Metro now. So demand in Whitefield is expected, demand for commercial office space is expected to go up in Whitefield.

Chalet Hotels Limited

May 09, 2023

Page 8 of 17

On pending capex on these 2 projects, I mean, commercial tower is almost ready at Bangalore and we have some spillover capex to be spent. Repurposed mall will be ready in quarter or so. And Powai commercial tower will be ready in 1 quarter. So all put together, including spillover capex, we'll be spending around INR250 crores.

Karan Khanna: And then last question. So you exited FY '23 with an annual EBITDA of INR500 crores and debt at INR2,200 crores, INR2,300 crores. So internally, thinking about expansion and greenfield asset acquisition, what sort of a debt-to-EBITDA multiple or metrics are you comfortable with while evaluating fresh projects? That would be my last question.

Sanjay Sethi: So Karan, we are aware of the fact that the investment community prefers debt EBITDA ratio to be not too much north of 3.5x and we are conscious and we are working towards that. You see a lot of the capex that we put in play, as I mentioned in my opening statement is coming into fruition in the next few months. It's INR1,200 crores of capex that we've already spent. I think, a couple of hundred more to be spent on these assets. And we are targeting 20% EBITDA by capital employed numbers on these assets. So clearly, there is enough return that they're to generate, enough EBITDA to sustain their costs.

And you would remember that because there -- a couple of these assets are office assets, the debt will convert to LRD form there where the cost of capital will reduce significantly for us. So we see a lot of comfort in where we stand today. And the accruals that we are creating now will give us headroom for growth going forward. It's beyond the 1,000 - 1,100 rooms that we have in the pipeline right now as we speak and the 2 million square feet office space that we have, 2.5 million square feet office space that we have as prospective office growth.

Milind Wadekar: Karan, out of INR2,400 crores debt today, INR1,200 crores is for assets which are not yet operationalized. So we have to compare INR500 crores EBITDA with debt of INR1,200 crores.

Moderator: We have our next question from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: I have a bookkeeping question on this inventory write-down of INR18 crores, which has happened in this quarter due to revision in the project completion cost. But if I look back...

Sanjay Sethi: Jinesh, I am sorry, I request you to repeat that because your voice is not coming through clear.

Jinesh Joshi: Yes, yes. So basically, I had a question on this inventory write-down of INR18 crores, which is offered in this quarter due to revision in the project completion cost. But if I look at the current PPT, we have stated that the cost of completion is about INR425 crores, which is similar to what we had reported in the last quarter as well. So just wanted to understand this aspect on write-down a bit better?

Milind Wadekar: So Jinesh, this is one of the accounting

requirement. Whenever these flats -- this write-down -- write-off pertains to flats, which were sold 5, 7 years back and those were sales sold at very low rate. Now the cost per square feet based on revised budget is slightly higher than the selling price. Hence, as per accounting standard, we have created this provision for impairment. This is called NRV, net realizable value provision.

Chalet Hotels Limited

May 09, 2023

Page 9 of 17

Jinesh Joshi: Sure. Got that. And secondly, with respect to the commercial assets, I mean, I believe, I think the PPT, we have stated that the project in Bangalore of about 0.65 million square feet, the handover has already been commenced. So the question is, how much area have we been able to lease out so far?

And secondly, the other asset, which got repurposed very recently. In the last PPT, you had stated that the handover might begin in 1Q but apparently, now it seems to have got postponed to 2Q of FY24. So any specific reason out there? And I follow-up on this part is pertaining to the LRD debt of about INR1,200 crores, which will get converted in FY24, which you mentioned in the opening remarks itself. So what kind of interest cost reduction will we get because of this?

Sanjay Sethi: So Jinesh, to answer your first part of the question and we might have missed something because your voice is still breaking up. The Bengaluru leasing that you were asking for is roughly about 1.5 lakh square feet that we've done with the anchor client. They may be looking at another 40,000 square feet more. And then we've got interest from another 3, 4 clients for taking up the balance -- majority of the balance area in the new IT tower.

Then there is the mall which is getting converted to office. There, we haven't started the leasing activity, as there's still some work that is getting completed. And once that is completed, we will

open this out to potential tenants.

To answer your LRD question, Milind will comment on the cost of capital there.

Milind Wadekar: See, I mean LRD entitlement is to the extent of 6.5 to 7x of EBITDA or rentals earned and the cost arbitrage ranges between 50 to 75 basis points.

Jinesh Joshi: One last bookkeeping question from my side. In the opening remarks, you had guided for a capex of about INR600 crores in FY24, out of which roughly INR280 crores will be on the commercial project in Powai, which is Tower 2. So can you just highlight what will be the total capex for this project and the operational time line, an indicative operational time line if you can share? That is the last question from my side.

Sanjay Sethi: I'll cover the operational time lines, if -- I just had some updates on that. We expect to start work on site in the middle of this calendar year and we're expecting to complete this project in roughly around 33 months. Milind, total project cost.

Milind Wadekar: So total capex for commercial office buildings will be around INR280 crores, which includes Powai, Bangalore, both phases, I mean commercial tower as well as repurpose mall. And we'll be spending INR40 crores on Powai -- commercial tower, new commercial tower at Powai and will be spending -- second commercial tower, including interest and actual cost will be in the range of INR700 crores.

Sanjay Sethi: That's over 3 years.

Milind Wadekar: That's over 3 years.

Moderator: We have our next question from the line of Sakshee Chhabra from Svan Investments.

Chalet Hotels Limited

May 09, 2023

Page 10 of 17

Sakshee Chhabra: Congratulations on a great set of numbers. Sir, my first question was, I wanted to understand that -- what would be the trajectory for the average room rates for the coming year?

Sanjay Sethi: So Sakshi, I think the average room rates have been doing extremely well. If you look at the history of the average room rates on a month-by-month basis, we have a fair amount of traction

on

building up. And if I was to break it up on your quarter 4 numbers, January, we hit INR10,462, February, we hit INR12,239 and March, we were at INR11,160. So average for the quarter was INR11,304. As we said earlier, quarter 1 and quarter 2, we do traditionally see dips and expect some dip on this going forward for the first 2 quarters of the year. But then the growth in quarter 3 and quarter 4 will be higher than what we did in quarter 3 and quarter 4 of FY 23.

Sakshee Chhabra: Okay. But like can you give -- I mean, approximately, can the price increase by around 10%?

Sanjay Sethi: So price increases already come in, in the January to March numbers, Sakshi. The next increase will happen in January next year. So -- and I do not want to give any forward-looking average room rates right now.

Sakshee Chhabra: Okay. Sir, I also wanted to understand that in Bangalore and in Powai, what would be the commercial rates that we could expect?

Sanjay Sethi: So Bangalore, we are targeting about INR60 to INR62 a square foot. And Powai around the INR120 to INR125 mark. This is on leasable area and the efficiencies of leasable area is what, 70%, carpet area.

Milind Wadekar: So we have leasable area of around 1 million square feet in Bangalore and 0.8 million square feet in Powai.

Sakshee Chhabra: Okay. Understood. And the 88 rooms in Pune, I understand that you are waiting for the OC, so by when do you think that those rooms can be operational?

Sanjay Sethi: Within this month.

Moderator: We have our next question from the line of Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat: So a few questions. Firstly, when I look at the foreign tourist, clearly, that stays at 37%, fairly below our usual trend. Now clearly, 1 thing I want to understand whether -- when do you expect normalization of the same? And secondly, with 37%, have you seen across the most of the markets or probably some markets have already reached to the normalization and then some are lagging significantly? So some insight on that front.

Sanjay Sethi: Yes. So I don't have the exact breakup but Powai typically, our Westin Powai typically has a lower foreigners to Indian ratio. Indians are higher because of the nature of the banquet events that we have there, conventions, et cetera, which are largely domestic. Hyderabad, Bengaluru typically have higher percentages of foreigners in our hotels. And I think that's picking up very rapidly, in fact the reason Bangalore took longer than most of the markets to pick up was because the foreign business travel took time to come back. But now we see that Marriott is Whitefield is doing extremely well and that's being driven by foreign travelers coming back.

Chalet Hotels Limited

May 09, 2023

Page 11 of 17



So there is a bit of variation across properties. And I think it's not even hotels, it is not city specific, it's more hotel specific. Clearly, with 773 rooms in Westin Powai, which is a significant part of the inventory, if that is lower, that tends to bring the average down. But Marriott Whitefield will continue to have more, majority of the book guests as foreigners over there. Hrishikesh Bhagat: Okay. I think it will be great if you continue to publish this information in your investor day, it's really helpful.

Sanjay Sethi: Hrishikesh, just 1 more input I want to give you that what's happened is, since the pre-pandemic time, we've also acquired the Novotel Pune. That Novotel Pune, it has primarily domestic guests.

So the ratio, if we look at it, you'll have to then look at it from the like-to-like or apple-to-apple hotel set as against looking at the combined portfolio.

Hrishikesh Bhagat: Okay. The second question is, you spoke about addition of rooms to Dukes also. Now can this addition happen by continuing the operation? Or do you think we will have to shut down the operation when this addition happens?

Sanjay Sethi: S

O Hrishikesh, we are also planning to reposition the hotel or the resort through major renovations. And the way we planned it is that we'll take 60% of the inventory out. At that time, we'll renovate this inventory of 60% and some F&B areas and use that same time to add the rooms, additional rooms. So if we take 60% out, which means 48 rooms will be out of action. But when they come back, they'll come back as 48 plus 48, so that's 96 rooms, which is significantly higher, 20% higher than what we have, current inventory. And that's when the balance 32 rooms are going to renovation.

Hrishikesh Bhagat: Okay. And the last question on the INR600 crores capex guidance. So does it capture your -- any capex or likely capex on Airoli well as Delhi? Or do you think that could be further upside on the capex as in on that one?

Milind Wadekar: Yes. Hrishikesh, I mean, our INR600 crores capex also includes Airoli, Dukes renovation as well as some capital expenditure on New Delhi hotel.

Moderator: We'll take our next question from the line of Rajiv B from DAM Capital.

Rajiv B: Congratulations on great set of numbers. Sir, on your capex bit, if I remember it right, your capex for FY23 was planned to be close to INR500-odd crores, right? And you have done something like INR587-odd crores. So have we shot higher on some of these? Or this Powai Tower 2 is basically, has got some capex in FY23 done as well?

Sanjay Sethi: No. So we haven't -- all our capex -- our projects are within their defined cost budgets. But I'll let Milind give you the breakup of the increase, if any is what -- the difference is what, probably INR50 crores, INR60 crores, that could be on account of acquisition dues. We'll have to explain that.

Milind Wadekar: Yes. So total capex of INR600 crores for FY23 includes INR160 crores for Dukes acquisition cost and balance was for projects. So maybe...

Chalet Hotels Limited

May 09, 2023

Page 12 of 17

Sanjay Sethi: So if you look at Slide 20 in your presentation, you will actually find some of the parts on the debt over there, where you'll find that the capex that we put in for Dukes is INR158 crores, INR159 crores. And then there is INR440 crores towards other growth projects and that sort of will give you the breakup.

Milind Wadekar: So Rajiv and on the difference of our guidance of INR500 crores and actual INR440 crores spend and something is lying as craters which will be ready in the next few days.

Rajiv B: Sure. And sir, on the DIAL thing, have we finalized the flag there, in the sense, will it be domestic or in international?

Sanjay Sethi: We should have that in place in the next few days.

Rajiv B: Sure. And in one of your slides, the time line of the Powai second tower is FY26, it shows and you said the capex is 3 years.

Sanjay Sethi: Yes. Initially, I was just -- so '23 is because FY24 is also getting consumed, right? So it's '24, '25 and '26. 33 months is the total project time. Earlier envisaged that we might start around October of this year but looks like we'll be able to start around 2 or 3 months earlier. And -- but we are -- we believe that in 33 to 36 months' time we'll complete this project. So end of FY26 is when we see this completion.

Moderator: We have our next question from the line of Siddhesh, an individual investor.

Siddhesh: Congratulations on the revenue. I would like to inquire about the breakdown of our capital expenditure by project and property for the current year. And also request information on the anticipated time line for when we can expect to see the effects of this expenditure reflected in our EBITDA levels.

Sanjay Sethi: So I'll let Milind first to give you the breakup of the capex expenditure. It'll give you completion dates also so that you can get a sense of that.

Milind Wadekar: So Siddhesh, INR240 crores we'll spend on Powai commercial and Bangalore commercial and both a

re expected to be operational in first quarter of -- first or second quarter of FY23.

Sanjay Sethi: '24.

Milind Wadekar: Sorry, FY24. INR200 crores will spend for hotels, which includes DIAL, Dukes, Airoli and some spillover capex for our Westin hotel and Novotel hotel. We will undertake some renovation at our existing properties and will spend around INR65 crores on that. So all put together, our capex plan is of INR600 crores for the year.

Sanjay Sethi: But Milind, that's for this year. He wants to know what's the project-wise capex plan.

Milind Wadekar: Okay. See, our total capex plan for next 5 years is around INR2,000 crores. Out of INR2,000, INR1,000 crores is for commercial office buildings, which includes new commercial tower at Powai, INR750 crores for hotels, which includes DIAL, Dukes, Airoli and addition of 140 keys in Bengaluru and will spend around INR125 crores on renovation of existing properties.

Chalet Hotels Limited

May 09, 2023

Page 13 of 17

Siddhesh: Okay. And while doing renovation at The Dukes Retreat, are we expecting any effects on the existing room capacity?

Sanjay Sethi: Sorry, I missed that. Could you repeat your question, please?

Siddhesh: While doing renovations at the Dukes property, while expanding the capacity at Dukes, are we expecting any restrictions on the current room capacity available over there?

Sanjay Sethi: As I explained earlier, we will take 60% of inventory out in phase 1 and operate 40% of the inventory. And when that 60% comes back, which is 48 rooms, it will also come back with the expected 48 to 50 additional rooms that we are planning there. So it'll come back as 96 to 98 rooms, which will be 20% higher than the total capacity right now. And subsequent to that, the 32 rooms will get renovated. We are going to do this in 2 phases in Siddhesh. This is still being worked out. We are on the drawing board stage. Let us come back to you with a far more formal plan by the end of this quarter.

Moderator: We have our next question from the line of Vikas Ahuja: from Antique Stockbroking.

Vikas Ahuja: Sir, just 1 bookkeeping question. This is for Milind. Milind sir, this 1.8 million square feet commercial we are planning to add in FY24 and FY25 another, what is the occupancy assumptions we could work with? Because you talked about in Q1, Q2 that the Powai and Whitefield Bangalore will come. But for the whole year, what kind of occupancy assumption should we work with?

Milind Wadekar: See, because in our financial modeling and group has more than 33 million commercial office space. So we take 3% perpetual vacancy. So we...

Sanjay Sethi: But he is asking more about the buildup, how this is -- occupancy is going to build up there.

Milind Wadekar: Okay. So Bangalore, we expect in next 6 months, Bangalore commercial tower. Next 6 months will lease out around 85%, by March, I mean, we should have revenue kicking in. Bangalore repurpose mall should start from next 6 months. So more than 75% of that will be leased out in next 6 months. And Powai buildup will be 25% in March '24, 25%. I mean, this is a revenue earning after fit-out period, it's 25%.

Sanjay Sethi: You should give the leasing time lines, not the revenue time lines here, because you anyway straight line your accounting, right?

Milind Wadekar: Yes. So leasing time lines by September '23, we should lease out more than 25% in Powai. By December, additional 25% and balance 47% by March or so.

Vikas Ahuja: Okay. And 1 lastly. I mean, do we have any land parcel left to add any more commercial or we have exhausted all with adding -- by adding 3 million square feet by end of FY26. So largely, it will take care of all the land parcels we have. Am I correct on that?

Sanjay Sethi: Sorry, before we go ahead and answer this question with you, I just want to clarify on Page 7, whilst Milind was reading out the time line, I realized there is

a typo. That 0.8 million square

foot of Cignus Powai Tower 2, says FY25, that's an error that will actually get completed, as we

Chalet Hotels Limited

May 09, 2023

Page 14 of 17

said, 3 years from starting of middle of this year. So please factor that in. So please ahead with the new question please.

Vikas Ahuja: The next one was regarding the land parcel for adding any other commercial. We have exhausted all, right? Or do we have any more...

Sanjay Sethi: Vikas, as you know, this commercial assets that we're developing, are all in existing land parcels

where our hotels exist. And the whole idea was to sweat the real estate of that particular hotel land parcel and build complementary assets that complement the hotel in terms of demand expansion. So that's worked very favorably wherever we have looked at it and we expect this to contribute significantly as these offices get operationalized.

Coming to your question whether we have any more land parcels. Look, as of where things stand right now with the FSI that is available in hand, once we complete the second tower in Powai, we are likely to sort of exhaust all FSI that will potentially be available. I've also shared in the past that we don't have any desire to acquire a land parcel to build a stand-alone office asset. I must, however, add that in Koramangala, which has residential towers, there is -- where we were able to carve out 1 extra land parcel where we're building an office tower, not very large, 1.5 lakh square feet only, which is the only asset which we will build and sell on a strata basis. Beyond that, nothing else left as we stand right now.

Moderator: We have our next question from the line of Paresh Shah from Prernatirth Investments.

Paresh Shah: Sir, I have 1 question about the debt, which is required for capex. Are you planning to do any QIPs to reduce either the debt or for the capex plan you envisage?

Sanjay Sethi: So I'll let...

Paresh Shah: Are you trying to bring in equity to reduce the risk element going forward because I have been hearing a lot of concerns or rather a little bit of anxiety for debt related to our company.

Sanjay Sethi: So Paresh bhai, thank you for the question. I'll let Milind comment on the exact number but let me give you an overview. Our debt is going to go down very rapidly in the next couple of years because of the operationalized assets that we have, the LRD effect and the fact that a lot of the projects are coming to culmination as we speak now.

Having said that, right now, there is no plan to raise any fresh equity in the company because we really don't need it. You've got to remember, equity is far more expensive than debt for any company. And from that perspective, we'd like to optimize the balance sheet for most optimal returns, and we'd like to leverage to an extent that is most efficient. And that's our thesis and we'll continue to stick to that.

Milind Wadekar: So Paresh, we have debt of around INR2,400 crores today. We expect it will peak out to INR2,650 crores and then it will start reducing. We have Koramangala residential project, which will -- starts -- open it for sales and this is expected to generate cash of INR600 crores in next 3 years, which will be used to fund our capex in the future years. And we believe internal accruals, which we are expected to generate in next 3, 4 years, will take care of our capex.

Chalet Hotels Limited

May 09, 2023

Page 15 of 17

Paresh Shah: Okay. So from this reply one more question which comes to my mind is, the commercial leasing part what we have, are you exploring to get a good value for the shareholders in terms of putting it into REIT kind of an instrument?

Sanjay Sethi: So Paresh bhai, I think as an opportunity, it exists. At this point of time, we see no need to do that. These are going to be high-yielding assets for Chalet Hotels. And there's no reason to transfer them to

a REIT when we are getting very good returns from that. So right now, no such plans. But at any point of time, suppose there's an opportunity for a large platform acquisition in hospitality space, this remains as an available currency for us to monetize at the given time. Paresh Shah: Okay. So do you think that you are looking for a proper kind of a lease rental, then it kicks in? Or as of now, we have not thought on this?

Sanjay Sethi: We are expecting a significant amount of EBITDA contribution to come from these assets. As we shared earlier, I mean, you got to remember that out of the total 3 million square foot, 2 million square foot lies in the high rent yielding city of Mumbai and 1 million square foot in Bangalore in Whitefield. And if you really do the math on it, you'll realize that the returns are extremely healthy on the investment over here. And there's no reason for us to look at them adversely from any angle.

Paresh Shah: No. I'm thinking from the value creation for the shareholder. Because many times when it is captured in a company in consolidation, the value doesn't get discovered for this kind of instrument. That was my only concern.

Sanjay Sethi: So EBITDA flow-through is going to create shareholder value for sure. And it's significantly better flow-through, if you do the -- just do the math at the number that we've shared with you. And you must remember, why did we do this? There's a genesis to this. The genesis to this is that, #1, we wanted to de-risk the cyclicality of the hospitality industry. Rental and annuity business tends to de-risk that. In fact, during the COVID period, the fact that we were able to report EBITDA positive results in our company for every quarter during that year, it was on the back of rental lease that we were getting from assets on the annuity business.

So I think this is a good hedge to any risk that we may have in hospitality. People diversify in various forms. This is our form of diversification. And not only are we diversifying and hedging

the risk, we are also creating significant value for shareholders in form of EBITDA earnings.

Paresh Shah: And wishing you very best and we are really happy with the strategies what you have put in place for the shareholders.

Moderator: We have a question from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: Can you talk about G20 benefit to Chalet in the past couple of quarters?

Sanjay Sethi: Sumant, so look, I think every hotel company had the benefit of G20 business. It comes in 2 forms: one, direct bookings that come to your hotel. And the second form is, where other hotels get sold out, creating compression in the market, which leads to your hotels enjoying the benefit

Chalet Hotels Limited

May 09, 2023

Page 16 of 17

of other bookings being diverted to you and typically at a much higher rate. So we've had the benefit on both counts at all cities, whether it's in Hyderabad, Bengaluru, Pune or Mumbai.

Sumant Kumar: So any quantification or some -- the occupancy rate or any market dynamic change in, say, Mumbai and...

Sanjay Sethi: I can go around quantifying it but it won't serve the purpose because even if my competitor takes the G20 business, this spillover effect to me is very positive. And then how do you quantify that?

So therefore, I would rather not quantify. All I can say is it has helped all cities. And I want to highlight 1 thing here. G20 is not about just this year. The -- having these few events across the country over the year is smaller benefit of G20. I think the bigger benefit of G20 is the mileage that India is getting from the investor community and the global community to see India in a different light, in a more positive way, which is going to be beneficial to us in long term.

Sumant Kumar: Can you talk about -- is there any decline or some slowdown in foreign customer mix for -- in Q4?

Sanjay Sethi: Not at all

I. In fact they've gone up

Moderator: We have our next question from the line of Nihal Jham from Nuvama.

Nihal Jham: Congratulations on this performance. My first question was on the foreign mix that you have given also. The number, as you said, is 37% for Q4 but this includes the impact of maybe Novotel getting commissioned, which is mainly a domestic driven hotel. Would it be possible to give a ballpark sense of how this number is if we do it on a like-to-like basis versus pre-COVID?

Sanjay Sethi: I am afraid, I don't have that number but it is lower. As we said, the foreign airline traffic, passenger load is only 90% recovery to pre-pandemic times. So there will be a reduction. But look, at the end of the day, we are not looking at whether it's foreign or Indian. Our preference is for anyone who gives us a premium to our -- on our room rates. And if today, the domestic market is giving us a premium to the room rate, we would go in favor of them. So it's not as if it is 37% only because that is the only business available in the market. It could also be that we displaced some of the foreign business which -- with higher-yielding domestic business and that's what's led to our growth.

I can give you a clear example on that. The airline crew that we used to have earlier was significantly higher than what we have now. And they used to typically come at a lower rate.

And they were in large volumes, large numbers. So from that perspective, we've -- I think we've been able to optimize our average room rate and thereby the RevPAR. A quick number that we were looking for earlier, Bangalore is actually back to 66% of its guests being foreigners in the month of March '23 and Hyderabad is at 50%.

Nihal Jham: And was this number pre-COVID also 66% and 50% for Bangalore and Hyderabad respectively?

Sanjay Sethi: Bangalore was at 66%, Hyderabad was marginally higher, I think it was 55% or so.

Chalet Hotels Limited

May 09, 2023

Page 17 of 17

Nihal Jham: Sir, just 1 clarification here was that, I mean, the earlier participant that the number moved from 41% to 37% from Q3 to Q4. Ideally, the Jan to March period is the, if you look at the India FTA calendar sees more foreign arrivals, I am not sure how it works out for you. But is there anything worth noting there that the 41% going to 37% in terms of the mix of customers?

Sanjay Sethi: No, I think what has happened is, the occupancy has gone up in general. So therefore, you're seeing that ratio skewed. But if you look at the -- the occupancy has gone up about what 700 bps, 700 to 900 bps? 900 bps is the occupancy improvement. So that could have led to this change. I don't think the absolute number has gone down. It's actually probably stayed slightly above only.

Nihal Jham: Sir, one final question on this.

Sanjay Sethi: As prompted by my colleague that the absolute number is 62,000 room nights for both quarters, which is exactly the same.

Nihal Jham: Okay. That's helpful. Just 1 final question, Sanjay, was that on the cost base, how do you see FY24? Is this a normalized cost base only because we are in a strong cycle? Is there a case for higher-than-expected inflation in a lot of line items or just your sense on this thing.

Sanjay Sethi: So I don't see any reason why the costs will go up from where they are today. I think we must highlight here that our -- in the last quarter, our variable cost as a percentage to revenue was 3% lower than Q3. So if anything, I think inflation is cooling off a bit. And similarly, fixed costs were also 300 bps lower than Q3. So in both fronts, cost percentage to revenue seems to be more efficient in Q4 than it was in Q3. We don't have any significant insight into any further inflationary pressure on us.

Milind Wadekar: Nihal, to add further, I mean our 2 major cost saves, payroll, we were at 12% against -- as a percentage to revenue against 15% pre-pandemic and

HLP was at 5.4% against 7% pre-pandemic. So these major costs, we are bringing them down.

Sanjay Sethi: These are the 2 largest costs that we have in -- operating costs that we have really.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Sanjay

Sethi: for closing comments. Over to you, sir.

Sanjay Sethi: Thank you, ma'am. Thank you, everyone, for joining us for the call. I want to sort of reassure you that we are extremely excited about Chalet Hotels, especially by the fact that we've got a significant amount of capex work in progress, which is now coming to fruition, which will now contribute to our operating numbers. And in addition to that, we've got some more projects that are coming online, which will again add, create value for our shareholders, and we are excited for that -- for everyone all around. We wish you all the best. Happy times to everyone.

Moderator: On behalf of Chalet Hotels, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Aug 2023

Chalet Hotels Limited

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CIN : L55101MH1986PLC038538

August 4 , 2023

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter ended June 30 , 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find attached herewith the transcript of the Earnings Call held by the Company on July 31 , 2023 , in respect of the Unaudited Financial Results for the quarter ended June 30 , 2023 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Encl.: As above  
Page 1 of 16

"Chalet Hotels Limited  
Q1 FY24 Earnings Conference Call "  
July 31, 202 3

MANAGEMENT : MR. SANJAY SETHI – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER  
MR. MILIND WADEKAR – CHIEF FINANCIAL OFFICER

Chalet Hotels Limited  
July 31, 202 3

Moderator: Ladies and gentlemen, good day, and welcome to First Quarter Ended FY '24 Earnings Conference Call of Chalet Hotels Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited. Thank you and over to you, Mr. Sethi.

Sanjay Sethi: Thank you, Nirav. Good morning, ladies and gentlemen, and thank you for joining us for Chalet Hotel's earnings call for the latest quarter. I trust you've had an opportunity to read through the results and the presentation, which were uploaded on our website a couple of days back.

While the global hospitality industry has been resilient with strong RevPAR numbers on the domestic front as well, the ADR-led resilience has continued robust momentum. Domestic air travel continued to exhibit strength through April and May, but did see some seasonal slowdown in June, while international air traffic is now touching pre-COVID levels. The IMF has recently raised India's GDP growth forecast to 6.1% from 5.9% for the financial year, driven by strong inbound investments in Q4 of FY '23.

The consumption story for the country remains strong on favourable demographics, improved air, road and rail connectivity and the government's push on infrastructure projects. At the same time, the hospitality industry continues to be in a favourable demand-supply cycle, which bodes well for the industry and our company. Chalet continues to break previous records of its own performance and I'm happy to report the best-ever quarter 1 in room rates as well as on top line revenue. The average room rates for the portfolio at INR10,317, recorded an industry-leading growth of 38% year-on-year.

Our consolidated revenue for the quarter was INR3.1 billion, representing a 21% increase, which compared -- when compared to the same period of last year. Consolidated adjusted EBITDA for the quarter stands at INR1.3 billion, reflecting a 24% growth year-on-year. There is a one-time impact of INR57 million on account of preopening expenses at the new Hyderabad hotel and a payout of GST charges of INR107 million.

In the Hospitality segment, the revenue grew 23% year-on-year to INR2.8 billion. Room revenue grew 30% over Q1 of FY '23, while costs remained well under control. The portfolio F&B revenue at INR0.9 billion was 8% higher than the same quarter of the previous year. EBITDA for the Hospitality division was at INR1.1 billion with an EBITDA margin of 40%. If you exclude the one-off expenses that I mentioned earlier, that is on the Hyderabad hotel, the EBITDA margin for the hospitality business was actually 42.5%.

During our first full quarter of operating the Dukes Retreat under the Chalet umbrella, the focus has been to integrate and align the hotel team with the culture of Chalet and introduce changes aimed at enhancing guest experience. We are in advanced stages of designing for expansion and repositioning of the resort and we expect to commence work on-site in early October of this year. We now expect to add approximately 70 new rooms, to the property, up from the earlier plan of 50 additional rooms. This will take the key count of the resort to around 150.

Chalet Hotels Limited

July 31, 2023

Ladies and gentlemen, on the 4th of June, we proudly launched the Westin Hyderabad HITEC City an all women-run 168-room hotel. Other highlights of this property are the entire property has been exclusively booked by 1 client for a period of 3 years and the entire hotel is run on green power. Lea

sing at the 2 office assets in Bangalore and Mumbai has been progressing a little slower than expected. However, the pipeline of lease is strong and we are probably going to see a lag of around a quarter from our earlier leasing plans.

A quick update on the project pipeline. On the commercial projects, for example, at the Cignus Whitefield Bangalore Tower 1, the first client is expected to occupy the top 3 floors of this tower in the next few weeks. The second building, the Cignus Whitefield Bangalore Tower 2, which is repurposed from a mall is in final stages of completion and will be ready for handover to our tenants from September of this year. The Cignus Powai Tower 1 at Westin Complex in Powai is in final stages of completion and at the second commercial tower at Powai, all the approvals have come in and site preparation work has already commenced.

On our hotel projects, the additional 88 rooms at Novotel Pune Nagar Road are ready and we are waiting the OC of the floors to open up the inventory. The work on the upcoming Taj Hotel project at the Delhi Airport is on schedule and project work on-site will commence sometime in the current quarter. The design for the additional 130 rooms at Marriott Bengaluru are ready.

We have earlier mentioned 140 rooms, but the recommendation has come that we create some long-stay products in that. So, we've converted some of these rooms into service apartments, consuming more than 1 bay. So, expected key count growth there is now 130 rooms. And we shall be starting work on the site in the next few months.

For the Raheja Vivarea, our residential project at Koramangala, Bengaluru, the RERA registration is now completed. We expect to commence sales for the project in the festive season towards the end of the calendar year 2023. As part of our growth strategy, we continue to explore opportunities for high-quality ready and greenfield assets in key cities and leisure locations.

In conclusion, I can say with significant confidence that the combination of strong tailwinds for the industry and our own strategic growth initiatives hold a strong promise for the future of Chalet Hotels.

On that note, I now hand over to Milind to give you a deeper flavour of the key numbers of the quarter.

Milind Wadekar: Thank you, Sanjay. Good morning, ladies and gentlemen. Let me start on a positive note. ICRA has upgraded the credit rating of the company to A - with positive outlook from BBB+ with a stable outlook. We have come a long way from turbulent to robust business environment with strong macroeconomic tailwinds for the country and the sector. We continue to deliver strong performance. Keeping out the seasonality of the business, we delivered the best-ever quarter 1. I would like to highlight the resilience seen in our ADRs, which was at INR10,317 for the quarter under review and was higher than the ADR seen in the seasonally better quarter Q3 FY '23 at INR10,168. In the Hospitality segment, revenue grew by 23% year-on-year basis to INR2.8 billion for the quarter ended June '23, led by strong ADR growth. We saw healthy growth across Chalet Hotels Limited

July 31, 2023

Page 4 of 16

our portfolio. Reported hospitality EBITDA for the quarter was at INR1,141 million, which included one-time preopening expenses related to Westin Hyderabad HITEC City of INR57 million. Excluding the impact of this one-time expense, the EBITDA was at INR1,198 million, which translates to an adjusted EBITDA growth of 26% on a year-on-year basis and margins of 42.5%. Both the Westin hotels at Hyderabad operate as a cluster and are expected to report higher margins with the commencement of operations of the new property.

I would also like to highlight that this was first full quarter of operations for the Dukes Retreat and about a month's performance for the new Westin at Hyderabad. Employee expenses were at 13% of total revenue, which included annual

salary hikes and employee expenses for Dukes and the new Westin. Consolidated revenue for the quarter was INR3.1 billion, a growth of 21%, year-on-year basis.

As shared by us last week through a stock exchange intimation, GST department had commenced search proceedings at our offices and some of the hotel units. Subsequent to that, they have identified certain input credits pertaining to July '17 to financial year '23, which the authorities believe to be ineligible for such claims. Accordingly, the company has made a GST payment of INR107 million on 27 July, 2023. And the same has been taken into account in the results under discussion. Excluding the impact of this and the one-time preopening cost, consolidated EBITDA was at INR1.3 billion or 41% of total revenue.

The company has received NCLT approval for the amalgamation of 2 of its wholly-owned subsidiaries that is Belaire Hotels Private Limited and Seapearl Hotels Private Limited, owning company for Novotel Pune. Subsequently, the financials for FY '23 were restated and we have recognized a deferred tax asset of INR584 million in taxable losses for the 2 entities in the quarter under discussion. During the last quarter, the company spent around INR800 million in capex on the operating projects. Post this, the net debt of the company increased by INR300 million from March '23. The rest of the capex was funded by internal accruals.

Out of the total debt of INR25 billion, around half is allocable to new investments in office building under construction, new hotel projects and hotel expansion, leaving the company at a healthy leverage and return ratios on invested capital. The cost of finance as at June '23 declined 19 bps quarter-on-quarter to 8.56%. The company has a capex plan of INR5.6 billion for the remaining part of FY '24. This includes capex of INR2.6 billion on the commercial projects, including the second commercial tower at Powai. The balance of INR3 billion includes the capex of renovation and room addition at Dukes Retreat, new hotel in Delhi, expansion at Marriott Hotel in Bengaluru and other repair and renovation costs of our existing hotels.

Business is well-funded with internal accruals. Available lines of credit and undrawn lines of credit are at INR5.5 billion. On the residential project at Bengaluru, the construction work is in full swing. The total subscription received from promoters stands at INR2,000 million and the promoters have given INR700 million as interest-free loan as of June '23. As Sanjay mentioned, the project is on track for cash generation in the current financial year.



With this, let me open the floor for questions and answer.  
Chalet Hotels Limited  
July 31, 2023

Page 5 of 16

Moderator: We'll now begin the question-and-answer session. First question is from the line of Vikas Ahuja from Antique Stock Broking.

Vikas Ahuja: Yes. Yes, sure. Thanks for the opportunity and congrats on another good quarter. I have 3 questions. First one is, what is the reason of 70% occupancy, which is lower since you have reported data in any of the Q1s, obviously, excluding the COVID period? That's my first question. Should I ask other 2 questions also right now or do you want to answer the first one and then go ahead.

Sanjay Sethi: If you can limit yourself to 2 questions, we'll come back to you after the second one. Ask the second one also, please.

Vikas Ahuja: Okay. Sir, second one is, can you please also talk about the recent weather-related impact we have witnessed in the month of July? And is it similar to what we experienced during July of last year? So yes, I mean, these 2 questions. And one I had a little bit of longer-term that maybe if I can come back.

Sanjay Sethi: Sure. Thank you, Vikas. Good to have you back on the call again. So, the 70% occupancy that you're referring to for Q1 is actually not a bad occupancy. It's a pretty decent occupancy.

It's just

that last year, we had the IPL happening in our Mumbai hotels, if you recall, for almost 2 months. We had IPL teams in the 3 big hotels that we have in Mumbai, the JW Sahar, the Westin Powai and even in the Four Points Sheraton in Vashi. So these 3 hotels, IPL business had taken the occupancies up. But as you can see, in spite of IPL not happening in a concentrated basis in Mumbai this year and being spread across the country, the portfolio shows very healthy occupancies at 70%.

And I differ from you that 70% occupancies are lower than what they were there pre-pandemic. I think pre-pandemic, we were at this or lower. So all in all, it was a good quarter. And this was on the back of a very aggressive rate growth. You do tend to let go of some low paying business when you're increasing your rate so rapidly. So, you've got to keep that in mind. On a RevPAR basis, which impacts the overall revenue and profitability of the company, I think we've done brilliantly well.

On your question regarding the weather in July, rains have been very intense in whole of July. In fact, later part of June and whole of July, it has affected some amount of the F&B and banquet business. And if you have -- July, I think we had 4 Red Alerts in Mumbai alone. And when a Red Alert gets announced, people outside the city do not have a sense of how bad or good it is. They tend to defer plans. And we've seen that happen during July a little bit. But all in all, it's -- I think Mumbai has held out extremely well in spite of the rains and the city has been largely -- has not been flooded. So that's a good -- very positive sign to give a lot more confidence to people.

So that's the 2 questions, Vikas. Have I answered them?

Vikas Ahuja: Yes, yes. I mean the only thing is when I talk about the occupancy, so even if pre-COVID, when I look at Q1 '20, Q1 '19, we used to do somewhere around 75%. But you are saying that we shouldn't read much into this quarter occupancy. And it's largely because of the rates and also...

Chalet Hotels Limited  
July 31, 2023

Page 6 of 16

Sanjay Sethi: You've got a RevPAR growth of some 26%, 28%, revenue growth of 30%. We will apply what's available to us as best practices in revenue management and go either the occupancy or the rate route, depending on what's best for the business.

Moderator: Next question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Thanks for the opportunity and congratulations on another strong quarter. So firstly, talking about the newly opened Westin Hyderabad at HITEC City. Sanjay, could you talk about the terms in terms of the ARR's annual escalation and the lock-in period at which you've sold out the rooms? And as a follow-up, given that strong demand, would you look to add more rooms here to meet more such capital demand from corporates at Mindspace Park?

Sanjay Sethi: Thank you Karan, so yes, to answer your Hyderabad question upfront, we're very excited about the hotel. Given that -- we were opening 168 extra keys in that market. There was some concern because of the shape of the IT industry, et cetera. But this turned out to be a boom -- brilliant boom that we were able to lock-in the business with one single client. The agreement is for 3 years with a 1-year lock-in or 14-month lock-in, which gives us an opportunity not to have a ramp-up period. So, we're getting 100% occupancy at market rates to begin with on day 1 itself.

We opened it to guests on 4th or 5th of June and we didn't have all the inventory available because we were still completing some of the rooms and some of the public areas during that period. But over the period of the next 10, 15 days, we were able to hand over all the 168 rooms and they've occupied all rooms as and when they came by.

In terms of rates, I wanted to give you detailed rates, but I think our presentation has already given you an essence that they are

re-occupied at 100% occupancy, complete use of the public areas in the F&B space. And we've built in fairly strong increases year-on-year to this year's rate, which is in line with the market rate. So, market rates increase annually, which is in double-digit plus growth year-on-year for the next 3 years. That's all I can share with you. Rest of it is confidential data of the client. On a RevPAR basis, this hotel is actually outperforming the Hyderabad Mindspace, which is the hotel 1.

Karan Khanna: Sure. That's helpful Sanjay. Following up, if you talk about your room income versus the F&B split. So this was 37:63 in first quarter of FY '23, which has gone down to 33% F&B and 67% room. Because when you look at your other larger listed peer, for them, the rooms, the F&B to room income split has been 45% to 55%. So if you could help us explain the divergence in terms of the trends that are shifting more towards the room rate? Is it because of the way room rates have gone up for your business? Or is there any other trend that you're picking up in terms of F&B.

Sanjay Sethi: So, look at it from a perspective, overall perspective, Karan here. Occupancy has gone down, right? What's driven our business is room rates. So, there's a disproportionate increase in room revenue in spite of lesser guests in the hotel. And despite that, we've had 8% growth in F&B revenue. So, look at from that perspective, you will find that it is a pretty decent performance. It's just that we are really doing well on the room rate side that's causing this imbalance that as you see it. From our perspective, there are 2, 3 things, one, it is growing. Number 2, we did have

Chalet Hotels Limited

July 31, 2023

Page 7 of 16

1 or 2 of our F&B outlets out for renovation. For example, the one restaurant in Powai and -- is under renovation, a small -- the smaller ballroom in Powai was under renovation, it's being -- all being handed over now. In fact, has been added back. And the second specialty restaurant in Powai will get handed over another 3 months' time.

So, all that's been out of action. But overall, whilst we could have done slightly better in F&B, if you really look at the big picture, it is not a dismal performance by any standard, but some decent performance.

Karan Khanna: Certainly, your staff to room ratio has gone up to 0.96 for the quarter. And I remember in the past, you spoke about 0.9 number as where you expect this stock to room ratio to settle at. So, we have seen the increase in employee costs across the board amid higher attrition and talent crunch in the industry. So, what kind of staff cost increase do you expect going forward? And where do you see this number settling.

Sanjay Sethi: So, there are 2, 3 things that have happened and 2, 3 things that will happen going forward, Karan on this. One, we added Dukes Retreat, which has an employee ratio, which is much higher than the rest of the portfolio. So that dragged up the rate -- the employee numbers a little bit on a per room basis. But I did mention earlier also that I expect it to be within one, but it will hover around that area as we build in services and open new F&B outlets in our hotels because as and when you open new outlets in hotels, they will require employees, right? And the number of rooms will not change. So that's going to be difficult to hold to. But we are still committed to staying at 1 below, in fact, below 1 is our goal.

The things going forward, 2 things are going to happen. We haven't got the full impact of Westin -- second Westin hotel, which is The Westin HITEC. And when you get it this quarter with 168 rooms operating at I think point 0.6 or 0.65 employees per room, that will bring down the average a little bit. We've got 88 rooms in Pune, which are about to open, which will have an incremental impact, which will be very minimal in terms of number of

employees. And then we're applying

the 130 incremental rooms in Bangalore, which will also have a very minimal incremental impact in number of employees. So, hovering around this 0.9 and 1 range is the range that we want to be at.

And we have, obviously, over the last few quarters, focused very strongly on the guest experience part of it to stay competitive in the market and we continue to serve our guests at the optimal. But am I concerned about these numbers at 0.96? Not at all. It is by far an industry-leading number for our category of hotels, which is in the upper upscale and luxury space.

Karan Khanna: And lastly, you've onboarded Mr. Shwetank Singh who has been appointed as the Chief Growth and Strategy Officer. So, is this in line with your strategy to focus more on the Leisure segment

given his past -- he was involved at Golden Sands LLC in Dubai. So, is this step in that direction to increase your presence in the Leisure segment?

Sanjay Sethi: So Karan, Shwetank comes in with a rich experience on growth and development. Yes. So Shwetank comes as I said, with rich experience under his belt on business development, growth, asset management, all of that is his forte and he comes with that. And he will come and  
Chalet Hotels Limited  
July 31, 2023

Page 8 of 16

strengthen our top and senior management team that we have at Chalet Hotels to prepare us for the next jump and growth that we are planning to have in our company. I hope that answers that.

Moderator: The next question is from the line of Archana Gude from IDBI Capital.

Archana Gude: I have 2, 3 questions. Sir firstly, can you please help us understand the management thought process on partnering with Indian Hotels for new -- our New Delhi Hotel?

Sanjay Sethi: So, thank you for asking the question, Archana. We had covered this the last time around, but for your benefit, I'll just repeat this. We've always been brand agnostic in terms of our strategy of deploying brands at the locations. We have looked at what is the most suitable company or brand to operate that hotel or put on that hotel, we have decided that we will go with the franchise route in the Delhi one, which means we will run the hotel on our own. We needed a brand to partner us in terms of the brand on the building, the distribution and sales capabilities and the loyalty programs.

And given that the hotels that were there in Aerocity area or near the airport over there, we thought the best fit will be someone who isn't present in that area so that all the focus on sales and marketing, distribution and loyalty program will be centered around this one hotel that they're building up. And so therefore, we decided to go with the Taj brand on this one. The IHCL team was very welcoming. And I think we've had great relationships in the past and we look forward to strong relationships in the future. I might also add that Taj has shown that the brand has done well at other airport locations in Mumbai and Bengaluru.

Archana Gude: Sir, my second question is on the mix of domestic and foreign guests. So from current level of 33% of foreign -- in the overall contribution, how we should look at this segment from, let's say, 2, 3 years down the line?

Sanjay Sethi: I think it's difficult to predict this, Archana, but I think we should be around an equal share in a year or 2 from now. In fact, I think this should start leveling out from October -November of this year.

Archana Gude: And lastly, sir, if I can just squeeze in one more. So, on the Cignus Powai and Bengaluru, can you help us with the demand and some colour on rental rates for the commercial properties in and around our properties and also the typical lease period?

Sanjay Sethi: So, typical lease period ranges from 5 to 9 years, around that much. Bengaluru, the market rates over there are hovering around INR60 rental. Powai, the market rates are between INR110 and

INR125 and some good buildings is even going up slightly higher. The demand -- on the demand side, Bengaluru, in the latest report that was, I think, released by one of consultants seems to be right on top. So that sort of reiterated our belief that, that market will do well followed by Mumbai at number 2 in terms of demand, its option, as a percentage of supply.

So on both cities, we are confident that whilst it will take a little time, we took the right decision. In any case, this was built on land that we already had. So, we're sweating the real estate assets that were in the Chalet portfolio. And as and when they get occupied, we are seeing very, very strong returns coming from these assets.

Chalet Hotels Limited  
July 31, 2023

Page 9 of 16

Moderator: Next question is from the line of Adhidev Chattopadhyay from ICICI Securities.

Adhidev Chattopadhyay: The first question is that the Dukes that we have expanded the number of rooms. What is the revised capex number? And since you're starting, you said a construction or expansion works in October, but when do we see the new rooms becoming operational? That is the first question.

Sanjay Sethi: So, Adhidev, at Dukes, we had 80 rooms to begin with, that's what we acquired the asset with potential development of adding more. Initially, we thought we'll add about 50 -odd rooms, 48 to 50 rooms. With the revised FSI and all that we have in hand and the ground coverage that's available and the views that we have, we've been able to fit in 70 extra rooms without diluting the product at all. In fact, the product gets enhanced significantly with this renovation and expansion, which will take the key count to 150. As far as capex is concerned, it's going to be in the range of about INR100 crores, give or take a few. In terms of opening, we are expected to open maybe around 80 out of the 75 -- 150 rooms in April next year and the balance by

September -October next year.

Adhidev Chattopadhyay: So to understand, in October all the rooms will be going under renovation or it is you will keep around 50 rooms operational?

Sanjay Sethi: We'll have about 60 rooms operation al still.

Adhidev Chattopadhyay: Okay. And the INR65 crores capex number earlier is now INR100 crores, right, for the entire...

Sanjay Sethi: Something yes, it's now INR100 crores, which is on account of increase in inventory and also we have repositioned the resort. See, earlier we thought this was INR8,000 hotel, which we'll reposition to maybe about INR9,000, INR10,000. But looking at a far higher reposition, now I don't want to give you the numbers right now. We are looking at positioning it higher than the originally planned. So, the combination of increased inventory and repositioning the resort at a higher level has led to some increase in the capex cost, but the returns continue to be very healthy, in fact better than we expected earlier.

Adhidev Chattopadhyay: And second question is on the leasing pipeline for the first -- the two Bangalore assets and Powai. Obviously, you said it has been deferred by a quarter, the leasing decisions, but can you just give us some colour by what is the targeted leasing maybe by the end of this year for both these assets?

Sanjay Sethi: So, I think we should finish leasing of Bangalore in about 2 or 3 quarters from now. Q4 is -- I think end of Q4 could be a comfortable closure for Bangalore and Powai maybe another couple of quarters after that, 1 or 2 quarters after that.

Adhidev Chattopadhyay: But you are actively in discussions, right, to lease these properties out?

Sanjay Sethi: Yes. Absolutely. Absolutely.

Moderator: Next question is from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: Sir, I have a question on the opening timeline of Novotel. I believe the rooms were ready in 4Q and we were awaiting OC back then. And in this quarter too, there has been a status quo to

say.

Chalet Hotels Limited

July 31, 2023

Page 10 of 16

So, any specific reason for a delay in getting the OC? That is one. And second follow-up is with respect to the second tower in Bangalore of about 0.3 million square feet. I think during the last communication, we were expecting the handover to begin in 2Q, and now we are saying that it will happen in 3Q. So, again, over here too there has been a delay. So, if you can highlight these things...

Sanjay Sethi: So, Jinesh, as far as the OC in Pune is concerned, yes, there was a specific reason that this got delayed. If you recall, we acquired this asset from a U.K. -based fund who owns 74%, 26% was owned by Accor Hotels. We acquired this in February of 2020. While we were applying for the OC process, they were -- the department found some comment on the file that the owners were -- they had to pay them some INR3 crores for the expanded parcel of land, which included our hotel and a large plot owned by someone else. Now, whilst we were okay with paying the amount and the taking up the OC, we didn't want to pay for the others, which was an unfair thing to do. We've now sorted it all out, and we're expecting the OC the next few days.

As far as the second tower in Bangalore is concerned, we said Q2 is when we'll probably handover. We are still looking at September, which is still end of Q2. But as I said, leasing has taken slightly longer. And I'm hoping by the time we come back in the next quarter with you and we'll have far more specific details of leasing and how that's progressing. And I'm sure we'll have positive news on that.

Jinesh Joshi: My second question is with respect to the Koramangala project. I understand that the 4 towers are ready and we expect to receive OC in...

Sanjay Sethi: Jinesh, I'm sorry, I can't hear you.

Moderator: Sorry, we're not able to hear you.

Jinesh Joshi: Is this better now?

Sanjay Sethi: Yes.

Jinesh Joshi: Sir, my question is pertaining to the Koramangala project. I understand the 4 towers are ready and we expect the OC to be received in the next 2 weeks or so. But how has been the progress on the remaining 7 towers and the commercial block and also with OC being around the corner, what kind of cash flow push can we expect in the upcoming quarter?

Sanjay Sethi: So, I'm going to come up -- to answer the first part of the question, I'll request Milind to also comment on the cash flow part. So progressing well, on schedule. As we had envisaged before, we should be able to complete this project in the -- over a period of the next 2 years, that includes the new tower and the new residential tower and the office tower. However, 7 towers were in fair amount of completion from the beginning. And 4 of them are now ready for OC. So therefore, a significant amount of work is already done.

We -- so to summarize it, on target as planned earlier, OC got a little delayed, but we are in time for the festive season commencement of sales. So, looking good. And in the interim, the market

has strengthened a lot more. So as far as on a rate per square foot goes, we do see a lot of positive upward move.

Milind Wadekar: Jinesh, Milind here. To give you a further update. OC for 4 wings we are expecting in the next few weeks and for 3 more wings in the next 2 or 3 months. The construction work is in full swing. And once we get OC, we can start sales. And we expect around INR80 crores to INR100 crores cash, surplus cash to be generated from this project in FY '24.

Jinesh Joshi: Just one last book keeping question, if I can just squeeze in. Sir, if I look at our debt on a sequential basis, it has hardly moved and even the interest cost is down from about 8.75% to about 8.56%. Yet our interest cost on a sequential basis has gone up from about INR40 crores to INR45 crores. So, if you can just highlight the reason behind th

is?

Milind Wadekar: Still not sure, not audible.

Sanjay Sethi: No, no, what he said was, whilst your debt hasn't moved and interest cost has come down, why has interest value gone up? That's because of capitalizing.

Milind Wadekar: Jinesh, last quarter, we have capitalized our Tower 1 at Bangalore. So finance cost, which we are capitalizing now hitting our P&L. So that is accounting standard requirement. From that perspective, cost has -- I mean, finance cost debit has gone up.

Moderator: Next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas.

Kaustubh Pawaskar: My question is again on the room rentals. This quarter, we have seen strong growth in average room rental for our property. Second half, there is a lot of optimism building of around World Cup, G20 Summit and there are other reasons. And also foreign tourists are also expected to come back. So considering that, what kind of room rental hike you are expecting for our properties in second half of the year? And the occupancy level, I can understand this quarter -- last quarter, there was a big effect. But overall, occupancy should remain stable in the second half of the year for us?

Sanjay Sethi: Kaustubh, look, number one, we don't give forward-looking statements. I need to stay say that upfront. However, for the last year as a whole I have stated in the past, including in public forum that we expect comfortable double-digit growth on rate for the next 2 years. So please consider that as the industry indicator for you. Second half is typically better than first half. And this, again, is something that we've shared several times.

So, you can keep that as a reference point. Rates and occupancies both improved in the second half. So that should help the RevPAR to grow fairly comfortably. And F&B comes back with a bang during the period and our Mumbai hotels and even some of them in Hyderabad and Bangalore have fairly large banqueting facilities which get assisted during the wedding season, which typically happens in the second half.

Kaustubh Pawaskar: And sir humble request, it would be great if you could share the region-wise occupancies and ARR for your hotels, which you used to do earlier?

Sanjay Sethi: Kaustubh, I know that this has been taken off from the presentation this time and it has come through advice from a well-wisher who said, look, by giving data on cities where you have only 1 hotel at a time, you are actually giving away confidential data on average room rates for that particular hotel and the occupancy, which can be used by competitors for pricing strategies and decisions. So therefore, from this quarter onwards, we'll stop doing it. And since we stopped doing it on the presentation, I can't share with you also. So apologies for that. It's a little bit of a, I know a limitation from your analysis perspective, but I think we're doing the right thing.

Moderator: Next question is from the line of Vikas Ahuja from Antique Stock Broking Limited.

Vikas Ahuja: So, my third question was if we look at 2 of the largest Indian players, including one which is about to get listed separately, both have pretty aggressive expansion plans and we can always debate on management fee contributing to total revenues being low. However, in absence of any strong brand, how do we think that double-digit growth? Is it doable for us once we -- once rates stabilize in the next 2 to 3 years? And don't we think debt in the books will hamper our ability to acquire good assets? And also at any point in time in future, are we -- do you think it makes sense to launch your own brand as well? That's about it.

Sanjay Sethi: Thank you, Vikas, for asking that. I've said this before that we've continuously looked at having an own brand. We've studied the pros and cons. Especially during the pandemic period, we

did

look at Blue Sky Strategies and we considered that. Given our strength on asset development and asset management, at that point of time, we've taken a decision not to go with the brand. But that doesn't mean the decision is closed. We will closely monitor the landscape of the hospitality industry for the country and do what we think is in the best interests.

As for your comment about double -digit growth, I don't see that as a problem at all. Next couple of years, even on a same -store basis, double -digit growth driven by average room rates and occupancy is fairly comfortable. Add to that, the supply pipeline that we have. You got to remember, if you open a 200, 300 room hotel, we're talking about INR60 crores, INR70 crores of EBITDA contribution straightaway. So, there are step-ups and jumps that happen with every hotel that we open.

So, I don't think you should be concerned about capability of growth for Chalet. As far as the debt is concerned, debt does taper down very sharply in a year, 2 years from now. And our internal accruals will continue to build up very sharply. All of that will give us an opportunity to -- for growth, opportunities that may be available in the market.

Vikas Ahuja: Sanjay, so the question regarding the double -digit growth was not related to next 2, 3 years because I understand you have a lot of expansions which are going to come and rates are going to be pretty elevated. So my question was once maybe in next 2, 3 years, once you have exhausted all of your pipeline and also the rates also stabilize, because next 2, 3 years, it's going to stabilize, right? So after that, I was -- this is from more of a medium term. Post that, do you think we can still do -- because our strategy is more about growth over anything else. So, do you think we can still do double -digit growth, maybe FY '27 -'28 onwards, is what my question was?

Chalet Hotels Limited

July 31, 2023

Page 13 of 16

Sanjay Sethi: Yes, Vikas, 2 things. Number one, I didn't say that the asset -light thing is off the table. I said, we looked at it about couple of years back and that time point in time, we didn't think it's right to pursue that. We will continue reviewing it as and when required. Second thing is, we are not talking about the current pipeline only, right? As I said, our debt does come down significantly in a year, 2 years from now. I'll let Milind jump in for this, so that he can clarify and give you -- share some numbers with you. But when the debt comes down and internal accruals go as sharply as we are experiencing now on account of very strong EBITDA performance, it will give us headroom for new projects after the announced ones. In fact, I do not expect Chalet to sit quietly and not do any growth, expect us to come up with new projects in the future. Milind?

Milind Wadekar: Vikas, see, I mean, if we put our debt in 2 different buckets, I mean, under construction properties and operating hotels, more than 50% of our debt, will be converted into lease rental discounting. And it goes into sort of self -financing mode. We expect to generate more than INR600 crores from residential project in next 30 months, right? And the EBITDA generated from hospitality is available for growth. I mean, once our announced projects are over, which are funded through internal accruals, we have sufficient internal accruals, which can fund our expansion.

Sanjay Sethi: Also, Vikas, please pay attention to the opening statement that I made, that we continue to look for opportunities in cities, both -- and leisure locations, both greenfield and ready operating assets.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So, can you talk about the foreign guest, still 30% lower than pre -pandemic. And considering all other hotels' performance, our occupancy is even Q -o-Q and even compared to pre -pandemic is still significantly

lower. Okay. So, what is the outlook for this -- your segment, foreign guest segment?

Sanjay Sethi: Sumant, thank you for your question. As I said earlier, we take decisions based on what ultimately affects our P&L. And we decided that we want to reposition our portfolio at the higher end of the rate spectrum. And with that in mind, we've had 38% rate growth for the portfolio. And when you have that aggressive rate growth, you sometimes let go of low -paying business and I think that's what's happened. The other thing that's happened is that the foreign business has still not come back to full peak and it is really likely to come back only October -November, so that will fill up the occupancies.

Number three, as I mentioned, last year, we had a concentration from Mumbai for IPL. And therefore, when you look at last year's quarter 1 to this year, you might see a gap, which is in occupancies. And the occupancies are building up. Remember, Q1, Q2 are low occupancy quarters. So therefore, this is the annual occupancy cycle that is panning out. And if you look at across the country, as per the reports that I have with me right now, May and June, we did see occupancy drop in all cities, almost all cities across the country. Please refer to the report released for May and June by HVS, which is a citywise report.

Chalet Hotels Limited

When I spoke about lower paying segments, for example, at JW Sahar, where we used to have almost about 90 to 100 rooms per day from the crew segment, is down to about 1/3 now or maybe a little over 1/3 because we decided not to take that business. And also, what you are seeing is a blended occupancy of hotels, including the Dukes Retreat, which is still building up and it will largely build up only post renovation.

So that drags it down a little bit. Bangalore was affected by a one-off event in the month of May and June with the elections. It was long process in Bangalore, when elections announced and then there was literally a slowdown in the city for almost a month. If you take all of that, these are the combining reasons for the occupancy situation. But if we have 30% room revenue growth, I don't think anyone should be concerned.

Moderator: Next question is from the line of Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat: So first, related to on your presentation, your pipeline does speak about Airoli, but clearly an ongoing project list, it's not there. So, where are we on the Airoli project?

Sanjay Sethi: So, Airoli is being reconfigured for more optimal use so that we can get similar sort of rooms at a less cost. So that rework is in process and therefore, I've not spoken about it. We should have clarity on the reconfigured project in about a couple of months from now. But we're looking at 260 rooms -280 rooms as we had discussed earlier. We had discussed that we'll probably start work on that site end of this year or early -- at the end of this calendar year or early next calendar year. We are still largely on target with that.

Hrishikesh Bhagat: But in the sense, it should be part of FY '26 pipeline?

Sanjay Sethi: Yes, FY '26, FY '27, I mean, in that range because we are reconfiguring as I said, we're trying to sweat the asset better.

Hrishikesh Bhagat: And the second question is from the bandwidth perspective, see, I understand over the next 3 years, means obviously, there's a ramp-up of the existing pipeline as well in the sense projects where you had initiated capex during COVID. And then, if I look at it as additional now, we are talking about a fair bit of addition, including the Delhi project by FY '26. So from a bandwidth perspective, obviously, there's no limited financial constraint as rightly highlighted by CFO. But from management bandwidth perspective, can we add more projects on the -- from the growth front?

Sanjay Sethi: Yes, please bring it

them on. If you have some opportunities, let us know.

Hrishikesh Bhagat: Not me, but just from the management bandwidth perspective, it's fairly scalable.

Sanjay Sethi: We are more than happy to take on more. We have enough bandwidth right now for future growth for the company.

Moderator: Next question is from the line of Saurabh Jain from HDFC Life Insurance.

Saurabh Jain: So, my question was on the expenses side. So, if you see the -- all the line items of the expenses, so employee expenses, supplies, power and fuel, all have gone up. So, I understand that this will

Chalet Hotels Limited

July 31, 2023

have some bearing of the Dukes Retreat coming in this quarter and then opening of the Westin 2 also. But can you just give a flavour in terms of if you compare like-for-like, what is the increase? Because if the occupancies have dropped by 8% year-on-year, I believe that the expenses apart from employee benefit expenses and sales and marketing because as far as gone up, should not increase.

Milind Wadekar: Saurabh, Milind here. So, if you look at total expenses of hospitality and for Q4 FY '23 and compare it with Q1 FY '24 and exclude these exceptional expenses of Hitec City and incremental expenses of 2 properties, the expenses are at same level. Okay. Now if we go into detail, our employee expenses are higher on account of salaries, employee expense of these 2 properties and annual ex gratia, which is -- which gets accounted in quarter 1. Same is the case with power and fuel, incremental expenses of 2 properties and electricity rates have gone up and then discoms have increased electricity rates in Maharashtra. So that has impacted. But going forward, again, we are revisiting our arrangements with Open Access power and it will be controlled. But we feel this is a one-off increase in the current quarter.

Sanjay Sethi: The big ticket item of INR5.7 crores that came from Hyderabad Hitec City...

Milind Wadekar: As well as GST.

Sanjay Sethi: And then there were these, as Milind mentioned, 2 new hotels, 1 in the part of the quarter and the other full quarter impact. And the increments and bonuses given to employees, which typically happens in Q1 of the succeeding year. So that's the combination. And some number of the employees have also gone up a little bit.

Saurabh Jain: So as I understand, you're saying that if we remove the Dukes inclusion this quarter, the Westin 2 and the GST part, the expenses are broadly flat Q-on-Q?

Sanjay Sethi: Yes. Broadly except for what the points that Milind mentioned on salary, ex gratia and increment or bonuses, sorry, and electricity rate increase in Mumbai.

Saurabh Jain: My second question, if I may...

Moderator: Sorry to interrupt you sir, may I request you to come back in the queue, please? Next question is from the line of Rajiv from DAM Capital Advisors.

Rajiv : Sir, with regard to DIAL, since you have finalized the flag now, can you specify what is the sharing with, let's say, with DIAL here? And also, I mean, if not that, is it safe to assume that as and when it gets launched, you'll have 40% plus kind of EBITDA margin from that a sset after giving out payment to DIAL?

Sanjay Sethi: So Rajiv, I can't give you details of this. It's basically a shell lease. So, what happens in a shell lease is the capex upfront goes down. But you will have a slight increase in the rate in operating costs as far as the lease rent is concerned. It's a percentage of revenue, which is the arrangement.

So, you'll get that slight impact. But typically, revenue share or rents come below the EBITDA line. Milind, correct me if I'm wrong. So EBITDA will continue to be as strong as -- as you can expect, the rest of our portfolio to be.

Chalet Hotels Limited

July 31, 2023

Page 16 of 16

Moderator: Next follow-up question is from the line of Saurabh Jain from HDFC Life.

Saurabh Jain: So, I had

a question on the occupancy for the Mumbai region. So, if we compare the occupancy of the other listed player, right? So they also had a high base in Q1 FY '23. But even on that high base, they were able to increase occupancy further. So, I'm just trying to understand the dynamics here that why Chalet is not able to increase occupancy at least on a Q-on-Q basis when the other listed players are able to do? So...

Sanjay Sethi: Okay. So, a couple of things over here to note. One is that, as I mentioned, we have 3 hotels in Mumbai. All 3 had large occupancy from the IPL last year. And that's something that is material, so please note that. The second thing is that we have 29 rooms under renovation at the Powai hotel, which are counted in inventory. And therefore, the occupancy shows a little lower than it should be. So, that's the second. The third is, as I mentioned earlier, we've let go of crew business, it had 2, 3 dynamics to it, especially the Indian domestic crew business.

The rates would be typically lower than others. The payment cycles are stretched and not necessarily favourable. And very often, there are a lot of inclusions that go with crew business, and therefore, we decided that wherever hotels are anyway doing high occupancies, we don't want to go in that business. For example, JW Sahar is not a hotel I'm going to have crew business in. It's a high-grade hotel, it's high occupancy hotel. There's no reason for us to dilute our occupancy. What is dragging Bombay down is -- was actually Powai, with the reduction in 29 rooms for renovation.

And these 29 rooms are our suites, so they are the most premium rooms in the hotel also. And we've also seen weekend occupancies sort of a bit lower than the weekday was. I think people are back to traveling for work. So probably at weekends they're spending more time at home than traveling for holidays. And this is a phenomena that's been seen at all cities, as I mentioned earlier. In fact, I would urge you again to read the HVS report, which is a month-on-month report for April, May and June.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Sethi for closing comments.

Sanjay Sethi: Thank you so much. Ladies and gentlemen, thank you for joining us for the call today. As I said in my closing remark, extremely confident of the future of Chalet Hotels and we've got a really strong management team that leads it to the next steps of growth in the future and we look forward to engaging with you on a regular basis. Thank you, Nirav for organizing this.

Moderator: Thank you very much, sir. On behalf of Chalet Hotels, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.



## Call: Oct 2023

Chalet Hotels Limited

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October 31 , 2023

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find attached herewith the transcript of the Earnings Call held by the Company on October 25 , 2023 , in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2023 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking You.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 15

"Chalet Hotels Limited Q2 FY '24 Earnings Conference Call"

October 25, 2023

MANAGEMENT : MR. SANJAY SETHI – MANAGING DIRECTOR AND  
CHIEF EXECUTIVE OFFICER  
MR. MILIND WADEKAR – CHIEF FINANCIAL  
OFFICER

Chalet Hotels Limited  
October 25, 2023

Page 2 of 15

Moderator : Ladies and gentlemen , good day, and welcome to the Chalet Hotels Q2 FY '24 Earnings Conference Call .

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr . Sanjay Sethi – MD and CEO, Chalet Hotels Limited.

Thank you and over to you, sir.

Sanjay Sethi: Thank you, Ziko. Good evening , ladies and gentlemen . Thank you for joining us for Chalet Hotels Earnings Call for the quarter ended September '23.

Despite some global concerns , macroeconomic environment for India remains robust. Recent GDP forecast upgrades by rating agencies for India reiterate the same. Air traffic loads have been favorable with very strong domestic travel and a robust pickup in international passenger loads, which are now touching pre -COVID levels . The number of direct flights between India and US are expected to increase to 82 which is a 28% higher than its previous peak. This will further enhance international inbound traffic .

The global hospitality industry is also seeing persistence in RevPAR growth . India too continues to record strong ARR and RevPAR growth in almost all major cities .

For Chalet, Q2 shaped up as expected with a healthy performance in the quarter . Our portfolio occupancy was resilient at 73% for the quarter with an average room rate of Rs. 9,610. Average room rate grew by 21% . RevPAR for the quarter grew 25% year -on-year to Rs. 7,034.

For the quarter , the Hospitality division recorded revenue of Rs. 2.8 billion and EBITDA of Rs. 1.2 billion marking a 27% growth in revenue and a 45% increase in EBITDA when compared to the corresponding quarter of FY '23 .

Driven by strong average room rates , the flow through in the portfolio has been very good resulting in margin expansion as compared to Q2 of last year . Our consolidated revenue reached Rs. 3.2 billion with an EBITDA of Rs. 1.3 billion reflecting a growth of 27% in revenue and 48% in EBITDA on the same quarter of compared to previous year .

For the first half of FY '24, hospitality revenue was at Rs. 6 billion with an EBITDA of Rs. 2.3 billion, which is an improvement of 32% over the same period last year . A reminder here that the second half of the year is seasonally better than the first half .

Chalet Hotels Limited  
October 25, 2023

Page 3 of 15

Our employee to room ratios continues to reflect a high level of productivity at 0.97 . This ratio includes both permanent and contract employees . It also includes employees for the newly added rooms at Novotel Pune which were launched in October .

Some key updates on our project front . For residential project , Raheja Vivarea at Koramangala , Bangaluru , we received for that project the OC for four towers. We had a total of 238 unsold residential units in that project . I am happy to update that as of October sales have commenced and we have sold five units till date.

We also went live with the additional 88 rooms at Novotel Pune on 4th of October taking the hotel inventory of that hotel to 311 rooms . The initial response on the new rooms is extremely positive .

The renovation of the Dukes Retreat , Lonavala has commenced . The work will be undertaken in two phases with approximately half the existing rooms being closed for renovation . These rooms will be back live in Q1 FY '25. The remaining rooms will be taken off for renovation in phase 2 with the total project completing in Q3 of FY '25. At that point in time, we expect to have a little under 150 rooms at that resort .

Work for the new hotel at Delhi Airport commenced last month and

we expect to commission

this landmark hotel for Chalet before the end of FY '26.

For our Airoli Hotel, we have been able to re-engineer the project to make it more ROCE efficient. It is now proposed as a warm shell lease to us. Our CAPEX will hence be back ended and lower than envisaged earlier. The project is expected to commence mid FY '25.

Our first tenants have moved into the CIGNUS Bangalore Tower 1 in August. Leasing activity has been a little bit mixed over there and in Powai and though deal closure has been slower than expected, the recent leasing trends in the key cities instill confidence in the leasing trajectory going forward. And the same is true for the Office Tower in Mumbai also.

We have multiple ESG initiatives underway. Please do refer to the presentation for more details and we updated some of them. So, please do go through that section.

Our focus on employee well-being continues to be recognized and for the fourth consecutive year, the company has been listed in India's best workplaces for women in 2023, midsize companies top 50 by the Great Place to Work, India.

Ladies and gentlemen, I am excited about what we have achieved in the past few quarters. I am even more excited about leveraging the current industry momentum and marrying it with the strength of our balance sheet to take the next big leap at Chalet Hotels.

Chalet Hotels Limited

October 25, 2023

Page 4 of 15

Allow me to close this statement with my very best wishes for the festive season ahead for you and your dear ones. I will now hand over to Milind for him to take you through some of the finer details of the financials of the company.

Milind Wadekar: Thank you, Sanjay. Good evening, ladies and gentlemen.

We had a very good start in the first two quarters of this financial year. ADR for the quarter under discussion was at Rs 9,610 and was up by 21% over the same period last year and which is also higher than full year FY '23 ADR of Rs 9,169. The first two quarters are seasonally slower. We are confident the rates, revenue and margins will improve further in the second half of the current financial year.

To give you some flavor, in FY '23, hospitality business reported daily revenue of more than Rs.50 million that is Rs 5 crores for 3 days, while in the current financial year, we have already had 5 days recording more than Rs 50 million daily revenue over the last 2 months indicative of stronger second half.

In the hospitality segment, revenue grew by 27% year-on-year to Rs 2.8 billion for the quarter ended September '23 led by strong RevPAR growth. We saw healthy growth across our portfolio and geographic locations, especially Bengaluru, which was the last market to recover.

Reported hospitality EBITDA for the quarter was at Rs 1,179 million with EBITDA growth of 45% year-on-year. The margins for the quarter were at 41.4%, which is an expansion of 500 basis points over the last year, contributed by controlled variable costs leading to higher flowthrough.

Consolidated revenue for the quarter was at Rs 3.2 billion, a growth of 27% year-on-year.

Consolidated EBITDA was at Rs 1.3 billion for quarter two FY '24. EBITDA margins were at 40.7%, up 6 percentage points over the same period last year.

During the first 6 months, the company spent Rs 2 billion on CAPEX, out of which Rs 1.5 billion was made out of internal accruals. Post this, the net debt of the company increased by Rs 0.6 billion from March '23. Out of the net debt of Rs 25 billion, around half is allocable to capital work in progress and assets not yet operationalized leaving the company at healthy leverage and return ratios on invested capital.

The cost of finance as of September '23 was at 8.67%. The company has CAPEX plan of around Rs 9 billion for next 18 months for the announced project, which will be largely funded through internal accruals.

The details of the projects are included in our Investor Presentation. The company has available lines of credit and undrawn overdraft limits of Rs 5.7 billion.

Chalet Hotels Limited

October 25, 2023

Page 5 of 15

Lastly, a quick update on the residential project at Bengaluru. The construction work is in full swing. We have received occupation certificates for four wings out of nine buildings nearing completion.

As mentioned by Sanjay, we began sales from October '23 and have sold five flats comprising 25,135 sq feet, which is more than 21% of unsold area of the four wings for which OC have been received. There is no change in the total preference share subscription from promoters.

Additionally, Rs. 1,000 million is taken as interest free loan as of September '23.

With this, let me open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question

is from the line of Archana Gude from IDBI Capital . Please go ahead .

Archana Gude: I have three questions . Sir, starting with this ICC World Cup matches , so how has been the response for the hotels we are present in Bangalore , Pune , Mumbai and Hyderabad and some color on advanced booking and ADR thereof would be helpful ?

Sanjay Sethi: So, Archana, thank you for your question . Number one, we will not be speaking about advanced bookings for the coming months because we don't give forward-looking data. As far as the ICC World Cup is concerned , we get the bookings as they come in . There is no specific team or anything staying with our hotels . So, whatever we get is potential visitors who are coming for the World Cup events and matches .

But there is no way to keep track of that . In any case , I don't expect that to be a very large number for any hotel in the city . To begin with , it's a one day or one-and-a-half-day sort of a stay . Number two, most of the visitors for the matches are locals of the city . And number three , unless you have a team staying with you , we don't have any block booking coming in at one shot .

Archana Gude: So, my second question is to our notes to account point number six . So, can you help me understand the implications of this Supreme Court judgment and its impact on the operations of Four Points by Sheraton Navi Mumbai ?

Milind Wadekar: Archana, Milind this side . See, we don't expect unfavorable judgment coming in , and we have given notes in our financial statement our WDV (Written Down Value) of project is around Rs. 43 crore, and that's assets we are putting at risk if there is unfavorable judgment .

Archana Gude: And so lastly , sir, you spoke about this CIGNUS Whitefield and Powai the demand has been not as what we expected . So, is that like how we should relate that ? Is that there is a higher supply or kind of the demand is subdued and we wait for further clarity about the overall, the tenant occupying the space and the rates everything ?

Chalet Hotels Limited

October 25, 2023

Page 6 of 15

Sanjay Sethi: So, Archana, we have seen some traction , in fact , fairly decent traction build up on the Bangalore one and we do expect at least the new tower that we built to be completely leased out over the next few months . We are not so concerned about that . There is a smaller building of 300 odd thousand square feet which is the old Inorbit Mall . We haven't seen any LOI or closure on that one.

However , we do have a few people who want to take up the whole space at one shot . So, while I don't want to fall into the trap of committing to closing that out in the near future , let's just wait and watch . I am pretty confident that we will be good in Bangalore .

Powai, we have taken a conscious call not to rush the leasing, especially if the rates that we have targeted are not being met , and it's a question of closing that first anchor ten

ant . As soon as we

do that , we are pretty sure that others will follow .

There were two improvement projects that were connected with this particular leasing activity .

One was beautification of the road leading up from L&T Junction to our hotel or the plot where the office is , and the second was the road widening . Both have been approved by the BMC .

Work has started on the beautification of the road on the main road and then leading up to our gate. On the expansion side, it is BMC that has to execute it . We will wait for their start of the execution . Once that happens , we will see the access to the road to the site improve significantly .

The other thing that's happening is the significant amount of Metro work happening around the approach for this particular site . That's also expected to conclude at least the physical work in the near future and whenever that sort of concludes and the Metro line opens , accessibility improves significantly also . But more importantly , we are pretty confident that in the next few weeks , we will see some signings happening in Powai too.

Moderator: Thank you. Our next question is from the line of Karan Khanna from Ambit Capital . Please go ahead .

Karan Khanna: So, Sanjay, my first question in the absence of meaningful recovery on the FTA front , how confident are you about see a double digit growth in the room rates over the next couple of years or to put it another way , what according to you will trigger a faster recovery in the FTA growth and accordingly , because of that , how much do you think could that contribute to the room rate growth in addition to the double digit that you have been talking about ?

Sanjay Sethi: Hi, Karan. I continue to have a view that we will grow at least a double-digit rate growth for the next couple of years . We are seeing more than that pan out already in the subsequent quarters after I spoke about it a couple of quarters back , and we see no reason why that should be , that view will change in any way .

Chalet Hotels Limited

October 25, 2023

Page 7 of 15

In terms of FTAs, our foreign tourist arrivals , we do expect that starting post Diwali , we will see

a significant uptick on the foreign tourist arrivals . As I mentioned earlier , the Air India connectivity to Western East Coast of US from Bangalore and Mumbai , both these destinations is going to help significantly . Direct connectivity to other international destinations from Hyderabad is already helping Hyderabad City. So, between these three cities , we expect foreign tourist arrivals to grow in the second half of this year .

Karan Khanna: And my second question , Sanjay, is on Novotel Pune. With the launch of 88 room , addition of 88 rooms at Novotel, what sort of AR Rs are you looking at for this inventory because I believe this is more premium ? And second , by when do you expect the hotel occupancy to ramp up for this inventory ?

Sanjay Sethi: So, we are already seeing an occupancy ramp up happening on that hotel in Novotel and after we opened those new rooms , there is a clear interest , clear sort of positive feedback that we are getting on those new rooms . I hope you have had a chance to look at the presentation . You will see a picture of that Novotel room . It's very attractive , very contemporary , very modern , and so we are expecting occupancy in that hotel to in spite of 40% inventory addition to continue to be in the high 60 to 70% in the next few weeks and then it will start climbing up from there .

Karan Khanna: And lastly , could you elaborate more on the key terms and conditions relating to the leasing of hotel structure from Mindspace REIT and for development of the Airoli Hotel ? And what will be the revenue share or the lease payments ? How will that be structured with the REIT?

Sanjay Sethi: So, I will not share the details as yet . Mindspace Business Park is still due to have its board

meetings . We let them sort of get that out of the way and get the approval so that then we will share the details , but as an overall overview from the numbers that we have both teams seem to have come to agree on . The returns look extremely healthy for both sides . So, it becomes a win-win situation .

From our perspective , we get because office floors coming at on the lower floors , 12 floors of office in addition to the 6 parking floors . So, typically , the hotel will actually start from the 19th floor . That's your primary public area for the start of the hotel and then we will have about 11 floors of rooms above that . So, the views are going to be stunning . So, views are actually improving by putting the going down the structure . Returns get more efficient for both parties and from our perspective because the CAPEX is back ended as it will be a warm shell lease , we expect this to be value accretive for us . Milind, would you like to add anything to this?

Milind Wadekar: Karan, Milind here. See, this is Group company transactions, and the leasing rates are determined at arm's length and are benchmarked against prevailing lease rentals in that micro market .

Chalet Hotels Limited

October 25, 2023

Page 8 of 15

Moderator: Thank you. Our next question is from the line of Vikas Ahuja from Antique Stock Broking Limited . Please go ahead .

Vikas Ahuja: One question I have is regarding , if I heard you clearly , I mean , correctly , you said that the World Cup impact on revenues is few here and there , but it's not very meaningful what initially I think many of the especially the media and all world were speculating that it's going to bring a meaningful revenue . But it's more like because we didn't have any contract with any of the teams . So, it's very marginal on that front . I mean , is that the right statement ?

Sanjay Sethi: So, Vikas, look at it like this . I think we have maintained right from the beginning that; you know, one-off events never have any major impact on the overall business that we have. I continue to maintain that and as far as we are concerned , we have purposely strayed away from any contractual business in the World Cup with the teams because it comes at a low rate and because the city tends to get maybe sold out or near sold out on account of various events that happen in the city . The other hotels anyway get the benefit of displaced business , which typically will come to us if we stay away from the groups at a higher price , and I think that's what is helping our average room rates.

Again , even if you look at my past statements , I have said one-off events are not what Chalet as a strategy banks on . We look at large impact events that happen which then give spin-off business for the subsequent months . Even in G20 . I said G20 , whatever benefit we are getting is great , but going forward , I see a longer-term impact of G20 because that will open up new business relationships with various other countries or new industries in those countries , and I see long-term benefit coming out of that for the coming years .

So, I continue to maintain that one-off event is not something that excites us . We will do what the right thing is as far as revenue management is concerned for that hotel . We focus more on more steady and broad-based business .

Vikas Ahuja: And my second question is , if I look at the hospitality revenue breakup , the contribution of food and beverages , it continues to go down even if I compare Q-on-Q and Y-on-Y basis. Can you explain that , is it addition because of addition of something or why ?

Sanjay Sethi: Yes, that's how you would see it there , but I think what's missing is that the room rates have

grown so phenomenally, that the share of F & B to rooms seems to be lower, but really, whilst we think that some of the hotels could have done slightly better on F & B;

mp;B, especially on the

banquet side, we think it's just the real strong push on the room revenue that is looking F & B is underplayed which may not be the case actually.

We see a strong H2 coming ahead of us with the weddings going forward. The other small element, in fact, one of my colleagues just highlighted is that the Hyderabad second hotel that we have opened will always have a slightly lower F & B contribution because that's sort of a, as Chalet Hotels Limited

October 25, 2023

Page 9 of 15

you know, with a single client we booked it for 3 years, but then the RevPARs are just so high that F & B in comparison will always look lower.

Vikas Ahuja: And my final question is regarding DIAL property. So, you have said that those 390 keys are going to come in FY '26. So, I think it's going to be the end of the year, right? And is there possible to maybe give some rough estimates around what internally the RevPAR or pricing or occupancy we are working with? That's my last question.

Sanjay Sethi: Because I am afraid, I won't be able to give you specific numbers on that because as I said we don't give out advanced numbers but expect the occupancies to be extremely high and rates to be as per competing market rates in the micro market of Aerocity. So, expect those rates for the upper upscale segment and expect higher occupancies actually in this particular hotel because of its specific location next to Terminal 3.

Vikas Ahuja: But we are confident these 390 rooms will come by FY '26 and will not go to FY '27.

Sanjay Sethi: As of now, I have no reason to believe it is not going to come by end of FY '26. The work has started, and when we look at the plan versus execution, we are going on track.

Moderator: Thank you. Our next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited. Please go ahead.

Jinesh Joshi: Sir, I have a question on our Bangalore asset, these 0.66 million square feet of area that is under the process of being leased out. So, can you share how much have we leased out so far and what is the incremental benefit that has come through?

Sanjay Sethi: So, Jinesh, thank you for the question. We have 2 lakh square foot leased out, and we have got a couple of closing conversations happening on others.

Jinesh Joshi: And secondly, with respect to our debt, I think in the past calls, we had highlighted that some portion of our debt will be converted into lease rental discounting, and if I look at our interest expense this time around and I compare that with what it was in March, we have seen some reduction come through. So, has any of our debt got converted into LRD?

Milind Wadekar: Jinesh, Milind here. So, LRD, conversion of loans into LRD will be a continuous process. I mean, as leasing traction improves, we will convert more and more loans into LRD. The small increase in our average cost of finance is on account of MCLR reset by a few of our lenders, and we expect it will normalize in one or two months.

Jinesh Joshi: So, basically, LRD benefit is yet to come through.

Sanjay Sethi: Is yet to come. Yes, you are right. Is yet to come.

Chalet Hotels Limited

October 25, 2023

Page 10 of 15

Jinesh Joshi: One last question from my side. I think this got addressed earlier, but, I mean, it was not pretty clear in terms of understanding. So, this new arrangement that has come up with respect to the development of hotel in Airoli, basically, how will this change the P&L dynamics for us? And will it also entail any reduction in CAPEX outgo because now instead of purchasing the land, I think we are going out for a lease option? So, if you can just throw some light on how the P&L will look different for this hotel because of this new arrangement?

Sanjay Sethi: Yes, Jinesh, Sanjay here. So, quickly, two things will change on the upfront capital cost or the

cost that we incur right at the beginning. One is that the acquisition cost of the land will be zero, will not be there. And number two, because it's a warm shell lease, the warm shell will now be built by the landlords which in this case is the Mindspace Business Park, and therefore we expect your denominator in a ROCE to go down significantly. We continue to have a positive outlook on the market in that area, which will continue to see good occupancies and good average room rates. So, we expect the ROCE to be very sound on this particular asset. So, two takeaways. CAPEX costs significantly lower, ROCE is improving.

Milind Wadekar: Jinesh, from P & L perspective, few more impacts. I mean, my CAPEX is going down. So, my depreciation will be lower in this format. My interest on borrowed capital will be lower. So, it will be more EPS accretive.

Jinesh Joshi: Got that. One small clarification. In the press release, we have stated that the investment required for this hotel will now be 160 crores. So, what was the original CAPEX that we were planning to incur?

Sanjay Sethi: I think it was a Rs 290 odd crore. I mean, don't hold me to the number but around that range, but earlier it was a 260-room project. It is now 280 or 270, 280 odd rooms. The cost as you saw has come down from 280 where we were 290 earlier to now the number that you have on the sheet in front of you.

Moderator: Thank you. Our next question is from the line of Santosh Sinha from Emkay Global. Please go ahead.

Santosh Sinha: So, my question is regarding occupancy. If I look at the other segment, excluding Mumbai, occupancy has increased in this quarter versus last quarter. So, what has driven this sudden increase in occupancy? And my second question is regarding the share of international versus Q1. What I can see is that there is a decline quarter-on-quarter in share of international tourists or guests as such. So, what has driven this decline actually in Q2?

Sanjay Sethi: So, two answers to this. First one, that occupancy has improved because we also opened a second hotel in the month of June at Hyderabad where the occupancy is 100%. So, it will take the blended occupancy up slightly.

Chalet Hotels Limited  
October 25, 2023

Page 11 of 15

On your second question about international, quarter 2 is traditionally the lowest quarter in terms of international travel into India. So, this is not unusual. It is following the normal cycles, quarterly cycles of mix of Indian and international travel.

I think the other thing Santosh, just to complete that answer, is that we also let go of a few crews which are low paying business at JW Sahar, and we let go of a significant amount of rooms over there in favor of higher paying guests. So, therefore, there was some drop, marginal drop in the foreign occupancy at that hotel also.

Moderator: Thank you. Our next question is from the line of Himanshu Shah from Dolat Capital. Please go ahead.

Himanshu Shah: Sir, in Mumbai market, micro market, lot of the supply is coming up which is expected in this calendar year as well as in the next calendar year, and Mumbai is one of our key markets with a significant revenue contribution. So, what is giving us confidence of double digit ARR growth in this backdrop of increased room supply?

Sanjay Sethi: So, Himanshu, I don't think too much of supply is coming in. If you really look at Mumbai for the last six, seven years, there is no new supply that's coming at all. Whatever new that's coming in, I will count three hotels on that front. One is the Fairmont that's being developed at the airport which will be in direct competition with us. That's going to come up with a space per the latest numbers that I hear around 500 rooms as against 700 envisaged earlier. That will, to the best of my knowledge, be going to open in the

last quarter of next year. That's the assessment that we have, but that's 500 rooms coming on a base of six, seven, 8,000 rooms. So, it's not a major jump in the supply.

The second hotel that is going to open is the Ritz-Carlton in Worli, which again is a luxury hotel. Not a very large hotel, but it's in Worli, which is not the micro market that we get our business from.

The third hotel which has opened recently was the Taj at Vikhroli, which is I am told a very nice hotel. I haven't seen it yet, but then again not too huge supply. So, I don't see that a troubling given the size of the market is so deep and so big. That will get some business from the same micro markets that we get business for Four Points Sheraton Vashi and for The Westin Powai. So, we will get new some business going there, but I believe the demand is growing at a far higher pace than the supply coming in. So, we believe that the rates will continue to grow in double digits at least for the next two years.

Himanshu Shah: So, even Aurika is also coming up, which is also a big hotel, 670 rooms. That is also in our market, maybe a notch below us, but shouldn't that also have an impact?

Chalet Hotels Limited  
October 25, 2023

Page 12 of 15

Sanjay Sethi: From a category perspective, it doesn't come in the same category as our JW Sahar. That's where the location is. It's in the Airport District, and the JW Sahar is not one notch above. It's several notches above. I have gone and seen that hotel. Very fine hotel, but it will remain at the higher end of probably that company's portfolio, but from our perspective, the JW Marriott is positioned very, very differently than our hotel, and if they do well, and I am sure they will do well with high occupancies and high rates, it will only help us push our rates further up.

Moderator: Thank you. Our next question is from the line of Aishwarya Agarwal from Nippon. Please go

ahead.

Aishwarya Agarwal: Sanjay, sir, I heard you, you were talking about double digit growth in ARR, and you expect this trend to continue for few years. So, that's a very good thing to happen. Having said that all, I understand that the current rates are high and the supply side not much of response because the IRR on the new hotels are still not that healthy that people are infused to invest.

Barring these two things, if I want to have a view that this ARR growth will continue in the double digit for a couple of years, I don't get more insights or more colors into it. So, the conviction level on that kind of growth remains a bit low. So, if you can share some data points which probably can help us to improve our conviction and then maybe to look at what are the key things to look for to have that kind of confidence the way you have?

Sanjay Sethi: Thank you, Aishwarya. Look, I think the trajectory of growth for India is a trend line that you should follow. It is driven by the gap in the demand and supply side of the business. On the supply side, I am going to address that first. I agree that you yourself mentioned the there may not be too many investors on account of IRRs coming out of an industry like this unless you are sitting on land which exists with you, or you have opportunities to partner with someone who can bring in land at a low cost for you. That's one.

But besides that, I think the key thing that, key item that's giving me a lot more confidence is because the supply takes time to come. See, we have visibility on all the announced supply across the country, right. And the supply doesn't come overnight.

We are in a brick-and-mortar business. Someone has to build those hotels. The typical lead time for building a hotel from announcement could range from 3 years to 7, 8 years, and that's why my confidence of the next couple of years for sure, and I think that we have got at least a very strong po

sitive sort of run for at least four years, which is the minimum times new supply which is going to be announced sometime in future will come into play. So, that's my thesis on the supply.

And if you really break down the supply that's coming in into various buckets of Tier-1 cities, Tier-2 and Tier-3 cities, and then break it up into leisure and non-leisure locations, you will realize the barriers to entry in Tier-1 cities are actually affecting supply growth in Tier-1 quite

Chalet Hotels Limited

October 25, 2023

Page 13 of 15

dramatically. And if you were to look at the last five, six years and the future five, six years, you will find that the CAGR on supply in Tier-1 cities is far lower than what we are projecting at a countrywide level also. I will see and we do expect leisure to grow a little more aggressively than business hotels, especially in Tier-1. So, that's one, the supply side.

Coming to the demand side, look, the Indian business traveler is on the move in a very, very strong way. Unlike early comments by a lot of experts and consultants that this could be pent up demand, pent up demand doesn't last for four quarters. And therefore, we don't believe this is pent up demand. This is actually institutionalized demand growth that's happening, and it will continue to grow at a reasonable pace.

The foreign business travel is still not back at its peak. It will come back once the air connectivity and the seat availability of international connections improves, and it will improve because international carriers are very keen to come to India seeing the growth in India. Everyone wants a pie from India, and they will come back and get their flights in.

Today, there are two, couple of hindrances. One, the Russia-Ukraine war has taken longer than we all expected it to take, and therefore the direct route over the North Pole is not available for airlines that at some point of time they will have to say, listen, we don't want to miss the India story, and therefore we will take a slightly longer route even if it means taking the flight seats making them a little more expensive. So, that's the demand side. I see domestic demand and international demand growing.

The other big-ticket item that we expect to help us is the MICE and the wedding business, and we are now hitting the season where MICE and wedding will start taking shape for quarter 3 and quarter 4 for all of us, and I am pretty confident that you will be surprised with the quantum of MICE and weddings that we are going to see across India going forward. So, on all segments, we see significant growth happening.

Aishwarya Agarwal: So, that's a very detailed answer, sir, but in this also I have two more questions. One is the supply side and what you said is I completely agree, because those things are very much measurable, and we know what is happening there. But on the demand side, there is a price elasticity, and I don't know how much it will work against us going forward as the rates goes up, because we are talking about couple of years of the double-digit growth. And on the high base, if you keep on adding double digit growth, the base, it becomes very large, and with that into context.

Sanjay Sethi: So, Aishwarya, you please look at what rates we are talking about, right. I am not here referring to the expensive Rs. 25,000, Rs. 30,000 rates that you are seeing in Goas and Jaipur or the Shimlas of the world for limited time of the year. I am talking about regular average room rates



in the cities that we operate in or business cities which we don't operate in . There even if you look at Mumbai today , what's a Mumbai average room rate for 5-star deluxe hotel? \$130 ? \$140 ? By which global standards is \$130 or \$140 high ? It's not, and therefore , the pricing elasticity  
Chalet Hotels Limited  
October 25, 2023

Page 14 of 15

that we are speaking about has a lot more headroom from here onwards to where we think it can potentially go .

So, if you are going to be adding another \$15 a year on our room rates , on average room rates , I don't think it's going to be too much from a price elasticity perspective . I do expect global travelers who are paying upwards of \$250 a night in other gateway cities will continue to travel even if our price is \$200 , and \$200 is still roughly around 55% from where we are today .

Aishwarya Agarwal: That's a valid point . The second question I have , sir, in this context that how are we gauging the MICE activity and the marriage versus previous year ? Do we see higher intensity of these two things in this year versus previous year ?

Sanjay Sethi: Continues to be strong across India and not just our portfolio . We see a strong MICE and wedding segment and growing year -on-year. We also expect a lot of industry events to happen over the next 6 months . We have already seen government coming in very aggressively and strongly on promoting tourism , and MICE tourism is one of the key segments they are trying to promote , and also the infrastructure development that's happening across our cities is going to support MICE growth extensively for us .

I want to give two examples here . One, look at what happened to MICE business in India when the Convention Center opened in BKC . It turned around for those six months in a year the MICE intensity in the city . With Delhi now getting two convention centers opened up now in the recent weeks only , we see that activity to pick up immensely in that city. We are seeing similar opportunities coming up , convention centers in Jaipur, Bengaluru and in Hyderabad. So, we see all this pushing MICE business quite aggressively and add to that the air connectivity that is improving across the country . It is clearly a very positive outlook for MICE .

Aishwarya Agarwal: And one more last question . In context of Indian corporates, see, one is the foreign corporates traveling India and they see the numbers in the dollar per day , whereas if we talk about the Indian corporates who look at the numbers in INR , and they are a bit more cost cautious also . So, I know that Chalet has large part of revenue coming from the foreign travelers , but when it comes to Indian corporate and their travel expenses , and there if I apply the price elasticity , so I guess your guess will be better than my guess , if you guide on that ?

Sanjay Sethi: I think all Indian corporates are - and it's important to sort of explain this . When I say Indian corporates or when you say Indian corporates and foreign corporates , it's not just the foreign passport holders , right? When you talk about foreign corporate, it includes the Indians , Indian passport holders who live in India but work with MNC s having similar global budgets .

So, don't look at 30 % , 38% as the only contribution coming from global contracts MNC s. It's closer to about 75 odd percent of the total business comes from global MNCs including the ones who live in India , and their budgets for travel are northwards of \$250 . The balance Indian

Chalet Hotels Limited  
October 25, 2023

Page 15 of 15

corporates - because given that they realize that there is going to be a crunch on the rooms availability - have in the last one year increased their travel budget significantly . We believe they will continue to do so for the next couple of years .

Moderator: Thank you. Ladies and gentlemen , that was the last question of our question -and-answer session . As there are no further questions , I would like to hand the conference over to Mr . Sanjay Sethi for closing comments .

Sanjay Sethi: Thank you , again . And ladies and gentlemen , thank you for this time that you spent with us . So, in conclusion , I would like to say that we are again extremely excited about the future for the hotel industry

going forward , and Chalet is looking forward to work with the industry in the next big steps for us . Thank you.

Moderator: Thank you. On behalf of Chalet Hotels, that concludes this conference . Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2024

Chalet Hotels Limited

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February 1 , 2024

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find attached herewith the transcript of the Earnings Call held by the Company on January 25 , 2024 , in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2023 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking You.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 19

"Chalet Hotels Limited's Q3 FY'24 Earnings Conference Call"

January 25, 2024

MANAGEMENT : MR. SANJAY SETHI – MD & CEO  
MR. MILIND WADEKAR – CFO

Chalet Hotels Limited  
January 25, 2024

Page 2 of 19

Moderator: Ladies and gentlemen, good day and welcome to the Third Quarter -ended FY '24 Earnings Conference Call of Chalet Hotels Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone .

Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Set hi – M.D. and CEO , Chalet Hotels Limited.

Thank you and over to you, sir.

Sanjay Sethi: Good morning, ladies and gentlemen. Thank you for joining us for the Chalet Hotels Earnings Call for the Quarter -ended December '23 and for being a part of Chalet Hotels journey of growth and innovation.

Allow me to provide you with some key highlights of the last quarter. Globally, the hospitality industry is witnessing an uptick in occupancy and rates, led by increasing international tourists, which as per W TO is 88% of pre -pandemic levels for the year 2023. This was aided by improvement in business travel, stronger group activity and resumption of large events. This comes against the backdrop of a volatile geopolitical environment. Our India story continues to be of resilient growth and the country remains as the fastest growing large market.

Corporate demand in the country has also seen consistent improvement , and office space absorption and increase in business travel is expected to grow at a CAGR of 8% over the next eight years as per IMARC Group . We also see tier-2 cities emerging as key hubs for new ecosystems with a slew of infrastructure projects in the pipeline.

Chalet Hotels continues to ride the upt rend, and I'm pleased to report that our Q 3 revenue has reached a record Rs.3.8 billion, representing an 18% increase compared to the same period last year. The results are a testament to the strength of the asset portfolio of Chalet Hotels ' backed by an overall resurgence in the hospitality indus try in the country.

In Q3, our RevPAR or revenue per available room grew by 18% year -on-year to Rs.7,838.

Average room rates grew to Rs.10,974 and grew at 8% for the portfolio. However, on the same -store basis, the average room rates grew by 11% year -on-year to Rs.11,253. The occupancy for the quarter was at 71%, an expansion of 6% points over Q3FY23, and this is despite higher inventory of rooms in the portfolio. This was led by an accelerated improvement in the Mumbai market, further supported by growing demand in Bengaluru and Hyderabad. Our Powai hotels saw several large events and high demand from g roups, which led to 11 percentage point s increase in the Mumbai occupancy for our portfolio. F&B revenue also did very well with 27% growth over last year.

Chalet Hotels Limited  
January 25, 2024

Page 3 of 19

During the quarter, hospitality segment achieved a revenue of R s.3.4 billion and our EBITDA for the quarter was Rs.1.6 billion, a robust 29% growth in revenue and a 46% rise in EBIT DA when you compare it with the same quarter last year . We continue to be diligent in managing costs and optimizing operating efficiency, contributing to healthy EBITDA margin s. Employee costs continue to be stable at 12% of revenue and utilities as a percentage of revenue improved further with a drop of 80 bps to 4.8% of the total revenue for the quarter . Our hospitality EBITDA margin has expanded five percentage points over t he same period in FY '23 to 46.3% now . The consolidated EBITDA for the quarter was R s.1.7 billion, reflecting a 44% increase over the same period last year on a like -to-like basis.

A quick update on some of the projects :

Leasing activity has picked up pace in Powai and we've signed our first tenant for one floor there. Additionally, we expect a closure of two more f

loors very soon. We are also in advanced

discussions with potential tenants for the rest of the spaces in Bengaluru a nd Powai.

Our ongoing renovation and inventory additions at The Dukes Retreat and the Marriott , Bengaluru are as per schedule.

As you're aware, the work at the new hotel, the Taj at New Delhi Airport, has commenced. Work at Hyatt Regency, Airoli will commence in next quarter after receipt of the revised construction approvals.

Sales velocity has been very promising for our residential project at Raheja Vivar ea at Koramangala, Bengaluru. We have sold 38 units since the last earnings call, and Milind will share some more details in a little bit.

On the ESG front, I'm pleased to share that The Westin Hyderabad HITEC City has recently been certified as USGBC LEED Gold.

Ladies and gentlemen, with a strong pipeline for expansion, healthy operating performances and a team that continues to excel, I remain excited about the foreseeable future of our company. I'm now going to request our CFO, Milind Wadekar, to take you through some of the finer aspects of the financial results. Milind.

Milind Wadekar: Thank you, Sanjay. Good morning, ladies and gentlemen.

We have been consistently delivering strong performances and are well poised and confident in continuing the same going forward. The last quarter has been one of the best quarter for Chalet both for Revenue and EBITDA. RevPAR had a double-digit growth of 18% to reach Rs.7,838.

We also continue to work on our core competencies of optimizing efficiency in our existing

Chalet Hotels Limited

January 25, 2024

Page 4 of 19

portfolio. Our testament to the same is four of our existing big box business hotels, that is JW Marriott and The Westin Powai in Mumbai, The Westin Mindspace at Hyderabad and Marriott at Bengaluru, have reported their highest ever quarterly revenue in Q3 FY '24. These hotels are expected to reach new peaks as we move forward.

Total revenue in hospitality segment grew by 29% to Rs.3.4 billion for the quarter -ended December '23, led by strong occupancies, improving ADR and aided by strong F&B trends.

Reported hospitality EBITDA for the quarter was at Rs 1.6 billion, with EBITDA growth of 46% year-on-year basis. The margins for the quarter were at 46.3% which is an expansion of 500 basis points over the last year through continued focus on variable cost and on the back of robust revenue growth. Our other hotels, including recent additions are on growth trajectory and are expected to contribute significantly to Company's growth.

Consolidated revenue for the quarter was at Rs 3.8 billion, a growth of 18% year-on-year basis. Consolidated EBITDA was at Rs 1.7 billion for Q3 FY'24 with a growth of 44% and a margin of 45%, and expansion of five percentage points over last year's like-to-like performance.

PAT for the quarter was at Rs 0.7 billion as against Rs 1 billion in the corresponding quarter which had one-time exceptional non-cash adjustment to the tune of Rs 0.86 million. Adjusted for this, the PAT grew 3X. The net debt of the company declined by Rs 314 million from March '23. The company spent around Rs 300 crore in CAPEX, which was largely met out of internal accruals. Reiterating confidence in our debt, India Ratings and Research upgraded our credit rating to (A-) with positive outlook. This is the second instance of debt upgrade in this financial year. Out of the net debt of Rs 24 billion, around half is allocable to capital work-in progress and assets yet to be operationalized, leaving the company at healthy leverage and return ratios on invested capital. The cost of finance as on 31st December '23 was at 8.74%. The company has CAPEX plan of around Rs 8 billion for the next 15 months for the projects which are already announced and this CAPEX will be largely funded through internal accruals. The details of the projects are include

d in our "Investor Presentation." The company has available lines of credit and undrawn overdraft limits of Rs.6.3 billion.

Lastly, a quick update on our residential project at Bengaluru. We had received occupancy certificate for four residential buildings in Q2 and expect OC for five more buildings in the next few days. Construction for two new residential building is in full swing. The project had unsold inventory of 238 flats admeasuring 5.7 lakh square feet adjusting for 83 flats sold earlier. Sales commenced from September 2023 and we sold 42 flats till December 2023 with a total area of 1.1 lakh square feet which is around 19% of unsold inventory.

We see a strong demand for residential flats in Koramangala and expect to close entire sales much earlier than our original estimates. Faster sales will accelerate our cash flows from this project, which is expected to fund significant CAPEX for next financial year. The company has

Chalet Hotels Limited

January 25, 2024

Page 5 of 19

collected Rs.76 crores from this project as on date. The commercial tower of 1.5 lakh square feet will be sold post receipt of OC in FY '26.

With this, let me open the floor for questions and answers.

Moderator: We will now begin the question-and-answer session. The first question is from the line of

Archana Gude from IDBI Capital. Please go ahead.

Archana Gude : Sir, I have three questions. Firstly, since you spoke about Mumbai market, can you also give some insights on the other markets ? How the 16% growth in ADR was driven, was there any particular market behind it or more of broad-based growth in the ADR?

Sanjay Sethi: Look, we don't give individual city ARRs because then it becomes sensitive information within the comp set that we have. So, we're sort of clubbing the ADRs for Mumbai together and the rest of the cities. We've had largely 4% growth in MMR on the average room rates and all of it almost driven by the JW Sahar. And then on the Powai hotel, where we focus on occupancies, given that's a 777 key property, we focused on occupancies, we've been able to drive up occupancies quite sharply over there, resulting RevPAR growing at 21% in the Mumbai market. Hyderabad, Bengaluru, Pune have all done their bit but we are not in a position to give you a breakup of each city because they're just one hotel in each of these cities.

Archana Gude: Secondly, on this corporate contract renewal for calendar year '24, so how has been the growth in the rates on YoY basis and overall demand for the number of rooms?

Sanjay Sethi: So, from our perspective, we've said that we'll target double-digit rate growth from corporate contracts and thus far the RFP process, the contracts have been negotiated in the range of 12% to 20%.

Archana Gude: Any guidance on the demand front?

Sanjay Sethi: Demand continues to be stronger. The corporate travel is really doing well, especially the domestic corporate travel in India, of course, aided by a lot of MNCs in India, and then the MICE segment is just doing brilliantly well, and combined together, we're in a position to continue to grow the rates and at the same time optimize occupancies. I think there's a lot of headroom for growth in occupancies also in most of our hotels.

Archana Gude: Milind, how we should look at this debt repayment for Q4 of this year and FY'25 and '26?

Milind Wadekar: Annual repayment ranges between Rs 350 to 400 crores. I mean if there is bullet repayment for any of the loan we normally get it refinanced. Excluding that the average is around Rs 350 to 400 crores.

Archana Gude: For '25 and '26 together, right, like each year?

Chalet Hotels Limited

January 25, 2024

Page 6 of 19

Milind Wadekar: Yes, should be in the range of Rs 350 crores.

Moderator: The next question is from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: My first question is just c

ontinuing on the previous participant's question as well. If we look at your Mumbai portfolio, so a couple of other listed real estate companies have reported performance for their hotels also in Mumbai and we've seen double digit ARR growth for the portfolio. But in your case, Mumbai seeing 4% growth and we've seen corresponding supply addition in Vikhroli and at the airport area. So, going forward, how should we think about your earlier guidance on double-digit ARR growth continuing for next couple of years in light of both supply getting added in these micro markets?

Sanjay Sethi: Karan, thank you for your question. #1, the double-digit indication that I had given was Pan-India growth rate, but I see no reason why Chalet shouldn't grow at similar rates. There will be aberrations in markets and cities. As I mentioned earlier, Powai was on a base of very low occupancy last year and our attempt has been at stabilizing occupancy at Powai. So, if we were to sort of exclude Powai, the growth within Mumbai market is in the range that we were talking about. And more importantly, as you will see the 16% growth in the average room rates in the other cities which is a combination of Hyderabad, Bangalore and the Novotel in Pune tell the story to you. And this is despite Novotel adding 88 rooms in its portfolio in this quarter. So whatever area growth that's come out of it is on enhanced inventory, which typically when you open new inventory out, you try to grab market share by lower rates, which hasn't happened in our case.

Karan Khanna: Second question is, have you narrowed down on any micro market where you could possibly look to add more leisure or commercial supply by organic route?

Sanjay Sethi: Several conversations are on. As I said, last time we were busy...business development team that's looking at opportunities, Chalet's theme for some years has been inventory addition and growth, inorganic growth will continue to go down that path, whether it's in form of Greenfield acquisitions of land parcels or opportunities to acquire ready hotels, but you must also keep in mind we have a fairly large pipeline that is under development now. And if you add all of them together, my vision of hitting 5,000 rooms in the next few years is going to pan out fairly easily.

Karan Khanna: Sanjay, like you've received a board approval for possibly raising funds up to Rs 20 billion. While it is early stages at this point, but assuming you get the shareholder approval and go ahead with this, how should one think about deploying this towards paying down debt as well as organic and inorganic growth?

Sanjay Sethi: Karan, as you said yourself, early stage, there are certain steps to get to actually starting the

capital raise process . All in good time . As we've stated in our press release, the intent is to of  
Chalet Hotels Limited  
January 25, 2024

Page 7 of 19

course pay down some debt , and more importantly, look at opportunities that come our way in the next couple of years.

Karan Khanna: Milind, if you could reiterate the leasing timelines for your commercial assets and what kind of revenues are you expecting over the next two to three years?

Milind Wadekar: We have three commercial buildings which are almost ready . In Bangalore, tenant has moved in. So Bangalore, we expect entire building of 6.5 lakh square feet will be leased out by this end of financial year. The mall converted to commercial office may take three more months. And leasing for Powai building has started. We expect around 4,50,000 to 5,00,000 to be signed by this year end and balance in the next financial year. In Q4 of next financial year, I mean , everything will be leased out and we start earning rentals from the same.

Moderator: We take the next question from the line of Vikas Ahuja from Antique Stock broking . Please go ahead.

Vikas Ahuja : My first question is ag

ain on the ADR growth we have seen this time. If I look at the first half, we did almost 29% growth in ADR and now I understand the base is also catching up and on apples -to-apples, we grew like 11% ADR . Just want to understand because in the opening remarks you also talked about 12 % to 20% increase in corporate hike , and with this overall momentum, which is going, is it reasonable to assume this kind of a growth looking at maybe 12 months from here somewhere at the start of double digits?

Sanjay Sethi: Vikas, thank you for the question again. Look , the segment that we spoke about, which is 12 % to 20% RFP segment that we're looking at , is only part of the business. There are several other segments that come into play. For example, the contract or the airline crew segment, which typically comes at a lower rate... though the rates have grown and they've grown by some where between 65% and 80% from where they were pre -pandemic actually . And in larger hotels we'd like to get a base occupancy of these contracts which support the overall RevPAR for the portfolio. And then we've got big city hotels that need to be supported by MICE . We've got convention centers and banquet halls , and then we have valley periods every week during the weekend and the holiday seasons, whether it's Diwali, Christmas, Easter, all of them come into play. And when you blend all that together and you look at the segments that we use as a mix to optimize the RevPAR for the hotel, you may not see on the base that was there already last year in Q3 , Q4 rate increases what you've seen in the previous quarters, but all of these blended together, we're still targeting to get to RevPAR which are very interesting ; we reported 18% growth on RevPAR with additional room inventory this year. 88 rooms over here in Novotel , 168 new hotel in Hyderabad , and we had the Dukes Retreat that got added to the inventory. So , despite all of those additions and 18% RevPAR growth is a healthy growth coming on a base of Q3 last year which was a very good quarter.

Chalet Hotels Limited  
January 25, 2024

Page 8 of 19

Vikas Ahuja: Last question. If Mumbai ADR was around 4%, right? So if I understood it correctly this is one because there was a Novotel room addition , and secondly , the Powai Westin mix was higher because occupancy there was higher . So, if I look at Sahar and Powai Westin on standalone basis, the ADR was still in double digits ? Finally , is there any one -off in the margins or it was all are -?

Sanjay Sethi: So one correction there, Novotel is actually in Pune, it's not in the Mumbai metropolitan region . And as I've explained earlier, it is the Powai Hotel which is the Westin and Marriott Executive Apartments , which has an inventory of 777 rooms where occupancy was very low last year, it was in the 50s. We were tempted that going the occupancy route in that hotel in the last quarter to get it to normalize occupancies , and therefore the focus was on filling up the hotel. In terms of margins, I think all hotels have done extremely well and contributed very well to the portfolios. J W Sahar I think the Rock Star Hotel is within that. But overall all hotels have contributed positively.

Vikas Ahuja: So, there was no one -off in margins ?

Sanjay Sethi: Yes.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lil ladher. Please go ahead.

Jinesh Joshi: Sir, I have a question on our foreign guest mix. So if I look at the nine months number that we have reported, I think we are at 34% and this is despite the fact that we had T20 World Cup , etc., So what exactly is the issue because if I compare this number with the earlier year, we were at 35% and I think during the COVID was at about 50% -plus. So , any specific reason why we are still short of the earlier years despite these events? And one follow up again is in the opening

comments , Milind sir menti

oned that we have had two upgrades in our debt rating. But , if I look at our interest rate from the last financial year to this year, I think it has come down only from 8.75% to 8.74%. So also if you can highlight the reason behind that ?

Sanjay Sethi: Milind will come in immediately after I give you my answer on the mix of nationality. Look, in my opening statement, I did mention that the foreign business travel globally hasn't come up to pre-pandemic levels yet. And one way to look at it is this is potentially the upside going forward, right, as that stabilizes . You've got to remember that there are two conflicts going on globally, which hinder flight paths for long-haul flights, the Ukraine -Russia situation has created a long-haul flight path into India from East and West Coast of the US, and then the Middle East situation is not helping that. We did expect at some point in time this will be sorted out and the result would be stabilization of foreign segment within our hotels . It has grown . As a percentage it may not show it's grown too much, but in absolute numbers it has grown by I think about 7,000-odd room nights on a base of 62,000 room nights last year . So it is a 10 %, 11% growth still . The other thing is the domestic demand in India just so strong , it seems to be coming at a price point ,

Chalet Hotels Limited

January 25, 2024

Page 9 of 19

there's really no reason to prefer one over the other. We'll take business from wherever it comes at the price points that work for us.

Milind Wadekar: On this interest rates, one of our lending banks has increased PLR for the last few months and we expect that to stabilize as we move forward. And what is going to happen in the next two or three quarters is , we may get further upgrade from rating agencies , and part of our loans will get converted into LRD so which will bring down our cost. So this is a temporary phenomenon which we expect to get stabilized in next quarter or so .

Jinesh Joshi: So, if I look at our leased area, I think that has increased from about 0.5 million square feet in FY'23 to about 0.8 million square feet as of the last quarter. But , if I look at our quarterly revenue run rate over the last three to four quarters, it has more or less remained stable in the band of about Rs 20 to 30 crores despite increase in the lease area. So , if you can just explain the reason behind that ? And also in your opening remarks, you mentioned that for Powai where the leasing has already begun, we have signed one tenant and closure for two more floors is expected very soon. So, explicitly for Powai in the next quarter, how much additional area are we planning to lease out?

Sanjay Sethi: If you look at quarter-on-quarter movements in our lease income, which was in the range of Rs 20 crores in the first three quarters of last financial year, it is averaging to Rs 26 crores and last Q2 it was 29 crores So, what we do, I mean, whenever we sign lease agreements and tenants move in for fit outs, we straight line the revenue and start recognizing in books . This is a requirement as per accounting standards . To answer your question on Powai, last quarter of the next financial year, the revenue will start kicking in the books. So , we expect from Q3 , there will be some revenue and we will start accounting it from Q1 and it will peak in the Q4.

Jinesh Joshi: Actually , I was looking out for the exact amount of area because I think in the presentation we have mentioned that out of 0.9 million square feet, we have leased out 0.04 and Sanjay sir mentioned that first floor I mean for tenant more floors are closed out. So , I was trying to get a sense that this 30 crores run rate which we saw in Q 2, can we see a big jump in 4Q? So, that was the thought behind asking the question around the lease area especially for 4Q?

Sanjay Sethi: So you will see major jump in Q1 FY '25. There was an increase in last

quarter but major jump

will see in Q1 FY'25 and it will go up every quarter after that , there will be significant increase on quarter-on-quarter basis.

Management : Basically we don't give forward-looking numbers and that's the reason Milind hesitated to give you the exact numbers, but as we said, we expect sharp pickup in Q1 whilst there'll be some pickup in this quarter also.

Moderator: The next question is from Sumant Kumar from Motilal Oswal . Please go ahead.

Chalet Hotels Limited

January 25, 2024

Page 10 of 19

Sumant Kumar: This quarter we have seen a 27% growth in F&B, so might be at a region of Powai hotel we have opened the room . So, can you talk about any other reason for the higher growth of 27% in this quarter ?

Sanjay Sethi: Typically Q3, which is the October -to-December period is a high demand period for weddings and MICE events. So , this is a play out of that. Personally, I felt we underperformed in Q3 of the previous year , and now this is sort of normalization of the numbers that we see. We are seeing a tremendous demand on large banquet events, weddings, social events in the last year ,

year and a half or so. The supply side besides the JIO Center that opened out or the convention center that opened out, there's not much that's come up, and likely to come also. After the JIO World Center, there are just two or three hotels which have the banquet halls that are there in our portfolio. So, the natural flow then is to us that along with the very good quality hotels given that we now renovated the Powai Hotel and rebranded it to Westin, the response has been very, very positive, the banquet halls come out very well, we've got large pre-functions over there, we've got multiple rooms to work with. All of that is large MICE and wedding business and of course the room inventory is high. So that allows large conferences to come and gives us the revenue. But it's largely demand on weddings and MICE.

Sumant Kumar: And when we talk about 12% to 15% corporate rate hike, so can we see a double-digit growth in mid-term or maybe the next year for retail segment?

Sanjay Sethi: I have always stayed away from speculative numbers on this. The retail segment will play the revenue management route depending on how the demand is looking like 30 days out, 60 days out, 90 days out. They will decide the retail rates at the hotel levels, but clearly, the supply side being weak on the inventory. Every hotel will take advantage of the current situation.

Moderator: The next question is from the line of Hrishikesh Bhagat from Kotak Mutual Fund. Please go ahead.

Hrishikesh Bhagat: Just if you can break up the debt number between what is backed by commercial and what is on the hotel side, that would be helpful?

Milind Wadekar: Hrishikesh, our net debt position as on December is Rs.2,400 crores. As on date, I mean not more than 500 crores we have taken by LRD route, but 50% of debt which is around 1,200 crores is used for assets which are under construction or not yet operationalized.

Hrishikesh Bhagat: So, the backdrop of this question is largely the fund raise proposal that you have put. Now, when I look at it based on our past commentary, clearly, we used to say that the LRD route will bring some cost of debt lower and incrementally clearly, the potential if I look at it once the Taj at Delhi starts and coupled with this probably the real estate portfolio maturities, the surplus that we could accrue whenever it happens. I'm just saying that incrementally and in your comment also you said that internal accrual should take care of our growth CAPEX from here on. So, just

Chalet Hotels Limited

January 25, 2024

Page 11 of 19

thought that how should we look at this then fund raise proposal of some where around Rs 2,000 crores, is it that probably we are looking at fairly larger CAPEX beyond 27 or 28, that's how we

should look at it because I believe the cash flow will be reasonably better at least based on the current growth plans?

Sanjay Sethi: Hrishikesh, the idea is not necessarily to activate and sit on new capital without it being productive. We would like to keep the gunpowder dry for inorganic growth opportunities. And that's one of the reasons for this fund raise. And remember, it is an accrual up to Rs 2,000 crores. Clearly, we're prudent about how much we finally end up raising and how the deployment will be. We don't think it is productive use of capital to come to a zero-debt situation, especially not equity returns, and therefore we will only use capital or take advantage of the capital that we can potentially draw down provided there are good growth opportunities available in the market. I am not talking about just standalone hotels. We could also be looking at that from these at some point of time.

Hrishikesh Bhagat: Just one feedback. I still believe that simply considering the comfortable cash flow situation will be likely post '26, I still believe replacing the cheaper cost of debt with higher cost of equities is not something a good financial decision.

Sanjay Sethi: I completely agree with you and all of us in the table over here and across this Polycom are aligned with that.

Moderator: The next question is from Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: What would be the airline crew segment mix for this year, how much was it last year, and how much it could be for next year?

Sanjay Sethi: So I'm giving you a contract segment. There may be some non-crew, very small amount that could be in that. Our contract room nights in Q3 FY '23 was 10,600 -odd room nights. It is now 15,500 -odd room nights. And whilst there may be small deviation on that on other contracts, majority of this is going to be airline crew. So, overall, 5,000 room night growth on a base of roughly 10,000, so that's a 50% growth in room nights from airlines.

Prashant Biyani: And for next year sir, how much would we be looking at?

Sanjay Sethi: I think we've more or less optimized the rooms that we have let out to crew now. Now, we don't want to continuously add to that part. Large part of all growth will now come out from other segments.

Prashant Biyani: And secondly, sir, what would be your plans for increasing presence in leisure tourism, especially religious circuits that have been developed and are also developing, if you can throw some light on that?



Page 12 of 19

Sanjay Sethi: So Prashant, we look at all opportunities with the lens of returns on investment and we do not want to dilute the returns that we're able to deliver right now. So, any opportunity that comes on beach resorts, hill resorts or leisure resorts needs to be able to match up to the expected returns what we're delivering right now for us to look at it seriously. There is some amount of aggressiveness in the recent weeks in terms of announcing assets or growth in Ayodhya. We got to remember, religious tourism is not necessarily the highest paying tourism and actually revenues have their own restrictions, I'm talking about F&B here and leisure activities, etc., So, we'd like to really study opportunities in any of these destinations very carefully before we step into them. We've been doing well with what our strategy has been thus far, and we are not going likely to tweak it unless it's very compelling opportunities on the other side.

Prashant Biyani: So beyond religious tourism, I mean, in the larger leisure tourism market, you would have interest in Goa and Jaipur market which are almost 365 days is the market now.

Sanjay Sethi: I agree with you. In fact, it's our strategy to look at leisure, for example, Goa and Jaipur and we've already spoken about in the last few calls. We've also continuously

spoken about drivable

distance destinations from Mumbai and Delhi. In fact, the acquisition of Dukes was in line with that. We continue to pursue opportunities in Goa and Jaipur, drivable distance from Delhi. All of this is various conversations at our BD desk in terms of growth, but as I said, they'll all need to meet our return criteria before we start spending money on them.

Prashant Biyani: The hindrance right now is meeting the return criteria or appropriate availability of assets?

Sanjay Sethi: I think it's a mix of both. I think Goa has been an elusive market for a while now on count of two things. Number one, it is an expensive market to enter, barriers to entry are high, and then there is also the barrier of getting clean titles sort of situations with the land parcel that we looked at. We are by natural ly cautious on all that stuff. And therefore it's taken us a little longer time, but we will get there very soon.

Moderator: The next question is from Meet Jain from Motilal Oswal. Please go ahead.

Meet Jain: Like in our presentation we have mentioned the West in Powai rooms to be 604. Are there addition of four rooms in that?

Sanjay Sethi: Yes, Meet. When we were renovating and we reduced the suite count a little bit and therefore four new rooms have been added to the inventory there.

Meet Jain: So, this has been done in this quarter?

Sanjay Sethi: Yes, they're operational now.

Chalet Hotels Limited

January 25, 2024

Page 13 of 19

Meet Jain: Just a clarification on the Dukes. How many total rooms are we going to operate there, like currently we're running 80 rooms, so it will be 150 rooms target we are -?

Sanjay Sethi: It's an 80-room property when we acquired it. More than half the inventories is out of action as we speak for the last three or four months for renovation and expansion. We'll end up somewhere between 140 and 150 rooms at the end of after we've completed the renovation expansion by Q3 of the next financial year.

Meet Jain: This Bangalore Marriott, Whitefield expansion of 128 rooms, so the expansion is in progress, and are we going to add in the existing room of 391 or it's a separate hotel?

Sanjay Sethi: No, it will be added to the existing inventory. The fixed costs are already covered. These 130 - odd rooms are going to come with higher margins.

Moderator: The next question is from Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal M. Jham: Sir, two questions from my side. You did mention the share of airline crew which I think was around 6% for this quarter based on the room nights. Just on the contracted corporate rates, what would be the approximate share and how that has moved versus pre-COVID, if possible to give that ballpark sense?

Sanjay Sethi: Nihal, the contracted percentage of total room nights is actually 9% of total room nights that we sold in Q3. Transient, which is a mix of RFP or GDS and locally negotiated trade contracts and retail is 73% at this point of time. I don't have handy the breakup of the 73% yet, but I can share with you another data point, that 11% of our room nights came out of the Channel, that is the OTAs, 24% came out of global distribution system or GDS as it's popularly known, 13% came out of Marriott.com, which is a brand website, and 53% came out of the channel of property, voice and others, which is basically closed at the property levels. So, this is a rough breakup on the channels. Nationality is 61% Indian, 39% foreigners. And I've already shared the segment breakup which is Transient, 73%, groups 18%, and contracts 9%.

Nihal M. Jham: So the rates that are already pre-decided and negotiated, that is 9% plus 6% which is 15% for this quarter, that is right as an understanding?

Sanjay Sethi: No, no. So the rates that are decided will be in the Transient as a sub -segment of the Transient which is 73% right now.

Nihal M. Jham: No, I wa

s coming from the fact that I was counting corporate negotiated and the airline crew as

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Sanjay Sethi: No. Airline crew is 9%, you're right, but the corporate negotiated rates fall within the subset of 73% of Transient segment.

Chalet Hotels Limited

January 25, 2024

Page 14 of 19

Nihal M. Jham: Is it possible to give a sense of what that number is like if you have it handy ?

Sanjay Sethi: I don't have it handy . Ruchi or someone will be hap py to share those numbers with you at some point of time .

Nihal M. Jham: I'll take that separately. Just one more clarification was that when you were giving a sense of the ADR of 4% for Mumbai . For the JW Marriott Sahar , did you mention that the area incr ease was in sync with the other cities or the 4% increase was attributed to J W?

Sanjay Sethi: No, actually the West in Powai was more or less flattish. So , all the growth came out of JW Sahar .

Nihal M. Jham: So the 4% is more or less the reflection of the J W Sahar?

Sanjay Sethi: Yes, and four points, but four points is also small , it's a small inventory, so it doesn't impact the blended average too much.

Moderator: The next question is from Dhruv Agarwal from Ni vashaay Investment Advisors. Please go ahead.

Dhruv Agarwal : Sir, Wanted to as k, RevPAR like till '27, what kind of growth we can expect sir?

Sanjay Sethi: Dhruv, we really don't give forward -looking numbers. The RevPAR growth for the quarter was 18% and this is despite additional room inventory in the portfolio.

Dhruv Agarwal: Can you give some guid ance if possible , sir?

Sanjay Sethi: We don't give forward -looking guidance unfortunately.

Dhruv Agarwal: In '2022 -23, the ROCE was around 9%. So what R OCE we can expect in like '24-25, sir?

Milind Wadekar: Our R OCE for hospitality as well as commercial is around 14%, 15%.

Dhruv Agarwal: One can expect 14%, 15% routine like in the coming year, right?

Sanjay Sethi: Dhruv, all projects going forward, we try to hit ROC Es which in the thi rd ye ar of routine 12% to 15% but historical assets the ROC Es are clearly higher and they're in the high teens . So, that's the reference number that you can work with. Commercial is low-20%.

Dhruv Agarwal: And like for hotels, it will be -?

Sanjay Sethi: High t eens for historical assets.

Chalet Hotels Limited

January 25, 2024

Page 15 of 19

Dhruv Agarwal: On the Supreme Court case on this Hyatt R esidency at Airoli, Mumbai , can you throw some light on that , like, what we can expect in the coming years , like, what is your point of view on that?

Sanjay Sethi: Are you referring to the Four Points By Sheraton, Vashi?

Dhruv Agarwal: No Sir. Airoli, Mumbai. Hyatt Residency.

Sanjay Sethi: We don't have Hyatt R esidency number.

Dhruv Agarwal: Like we are planning to have 280 rooms in 2027, right, sir?

Milind Wadekar : There is no litigation on that land. You are talking about Airoli, right?

Dhruv Agarwal: Yes Sir. Airoli. Right.

Milind Wadekar : There is no litigation on that land.

Sanjay Sethi: That's a site that we'll start work on shortly. There's no litigation or legal issues with that.

Moderator: The next question is from Rajeev V, who's an individual investor. Please go ahead.

Rajeev V: Sir, on your slide #7, the other segment which is occupancy, can you give a like -to-like occupancy for the quarter against the 64% number which you have reported ?

Sanjay Sethi: So you're referring to the occupancy of the portfolio, is it?

Rajeev V: Yes, in Q3 FY '24 other s piece which is 64%.

Sanjay Sethi: In Q3, two material things happened in the other areas. One, in Pune, we added 88 rooms sometime in October which will obviously have a natural time period for filling up the additional inventory. They were added, I think, in the first or second week of October, if I recall correctly. And then we had Dukes Retreat, which we shut down more than half the inventory for ren

ovation. So , Dukes Retreat, which was originally 80 rooms, is currently operating at 38 operational rooms. And then we had The Westin HITEC City Hotel also that got added. So , these are the reasons why the occupancy may look a little lower on the other side. But , if you were looking at Hyderabad and Bangalore, satisfactory occupancies.

Rajeev V: Just to clarify , this revenue mix with the pie chart w hich you share below, that includes the F &B part, right , or this is only for room revenue?

Sanjay Sethi: This is a total revenue.

Chalet Hotels Limited

January 25, 2024

Page 16 of 19

Rajeev V: This F &B bit which has increased by 27% on a Y oY basis, is this driven by any specific market or this is across the board?

Sanjay Sethi: Mumbai has contributed to the maximum because of the high MICE and wedding business that comes out of here and the segment that's contributed is MICE and weddings.

Rajeev V: If I reverse work from this pie chart, assuming that F&B ratio on a YoY basis across and the other segment has remained same, looks like your entire growth on the 18% number or if you adjusted for like -for-like maybe 22% kind of a number was largely driven by o ccupancy in Bangalore which was 50% in the base quarter and now let's say there is another room for 15% more growth there . But beyond that then ARR going beyond 10,000, that market has been little resistant. Any thoughts from that let's say -?

Sanjay Sethi : Not really . Whilst I'm not able to share the numbers, I think we have broken the 10,000 barrier quite comfortably in Hyderabad and Bangalore.

Rajeev V: Hyderabad 's current growth is driven by ARR as well , in a sense , there is a n ARR growth in Hyderabad , can we safely say that ?

Sanjay Sethi: Absolutely , significant growth. When you look at the other segment, you got to remember , Bangalore and Hyderabad occupy most of the other segment s, right , and the ADR growth you see in the other cities is 16%.

Rajeev V: The point is if you use this pie chart and use it the RevPAR looks like to be a 17% grow th, and if we give the entire this RevPAR to occupancy alone, then occupancy touches close to 78% for Hyderabad al so which is slightly high, but then –

Sanjay Sethi : You're a ssuming that Hyderabad rates are not growing the way they should , right? What stops us from growing Hyderabad a little more aggressively , on the rate front.

Moderator: The next question is from P ranay Shah from Anand Rathi. Please go ahead.

Pranay Shah: So, my first question to the management is , so in the absence of meaningful recovery in the FTA as compared to pre -COVID levels, how confident are you to say a double -digit growth in the room rate for the next couple of years? And what according to you will trigger the faster reco very in FTA growth which would also think of contributing the room rate growth in addition to double -digit which you have been talking of ?

Sanjay Sethi: Let me answer what will trigger the F TA growth. I think what will trigger F TA growth is some amount o f normalcy on the conflict in Ukraine -Russia , and therefore the airlines international ly especially American airlines starting direct flights to India. Right now, beside s Air India, we don't have direct connectivity of Mumbai, Bangalore or Hyderabad from east and west coast of

Chalet Hotels Limited

January 25, 2024

Page 17 of 19

the US . And we must remember that two-third of the F TA arrivals in our portfolio at least used to come from US. So , therefore, that market is criti cal to us. Having said that, we are not so concerned because the domestic demand has been so strong , buoyant, both on room nights demand as well as on the rate front that we've really not missed it too much. When that comes, it's go ing to be the cream on the cake.

Pranay Shah: My second question was on the Novotel Pune front. W ith the addition of 82 rooms, what sort of ARR

s are we looking at inventory because I believe there are more premium rooms and what occupancy is like ly to be once you ramp up?

Sanjay Sethi: So, they are very cool looking rooms and the room size is the same as the other previous ones, but they're brand new , so clearly there's a sheen to them and we're trying to sort of charge a premium for that. We've seen roughly, I think , double digit rate growth there, is quite the norm. Pune Market has unfortunately not been a very strong rate -driven market and tends to typically pull down our blended ARR of the portfolio, but we've seen growth and the 88 rooms that have been opened, they have been received very well , they're really nice rooms. If you go down to Pune, take a look at these rooms.

Moderator: The next question is from Saurabh Jain from HDFC Life Insurance Company Limited. Please go ahead.

Saurabh Jain: So, two questions from my side. First is on the real estate project in Bangalore. So , can you give numbers that how much sale has been done till date in terms of amount terms and wha t CAPEX has been done till date in this project?

Sanjay Sethi: Sorry, could you repeat that please? I think we missed the early part of it . Which project are you referring to?

Saurabh Jain: So I'm talking about the real estate project in Bangalore.

Sanjay Sethi: The residential one or the office one?

Saurabh Jain: On the Residential Vivarea, so, I wanted to know that what is the sales done till date and what is the CAPEX spent in this for that project ?

Milind Wadekar: We've spent around Rs.430 crore s on that project till date . This is including the old pre -litigation cost incurred on that project . And sale as on date is in the range of Rs.200 crore s. We have collected Rs.76 crores out of th at.

Saurabh Jain: And what is the expected total sales from this project once the 1 million square foot is sold?

Milind Wadekar: So all put together, including commercial should be north of Rs 1,250 crores.

Chalet Hotels Limited

January 25, 2024

Page 18 of 19

Saurabh Jain: Just a clarification on the CAPEX of 430 crores that has been consumed , how much is the promoter money in this through the preferential shares and the -?

Milind Wadekar: We spent around Rs.65 crores on this project in the current year.

Saurabh Jain: I'm asking , did you said Rs 430 crores in cluding the litigation cost and all?

Milind Wadekar: So, promoters have funded as on date around Rs.290 crore s. But this funding was used to pay for cancellations and all , I mean, few flats were cancelled in the last 4-5 years.

Saurabh Jain: My second question is on the F&B expense -

Sanjay Sethi: Roughly around 8 .5 lakh square feet to 1 million square foot is the project . 8.5 lakh is residential and one point this thing is ... and out of that how much was sold, Milind, before that ?

Milind Wadekar: So we had sold around 2.8 lakhs.

Sanjay Sethi: We have 700,000 to sell.

Milind Wadekar: So 5.7 on resi side and 1.5 on commercial.

Sanjay Sethi: And the going rate just as this thing in the market there is north of Rs 16,500, 17,000. This project is a p remium project and we expect to get premium rates for the project , and so far it is trending and tracking in that line.

Saurabh Jain: So this 1 ,250 total can be that is upside this to that also ?

Sanjay Sethi: Yes, that's right. I mean we have got to minus the old sales of course .

Saurabh Jain: My second question is on the F&B expenses. If you see as a percentage of F&B income, that is significantly down this quarter at about 25. Generally, we saw the trend in the range of about 29, 30 in weak quarter s and then about 27 , 28 in the strong quarters. So , just wanted to understand this reduction in the F &B expense as a perce ntage in mid -term?

Sanjay Sethi: Two, three things actually. One is coming off a higher revenue base, so therefore the percentage does improve

with scale. Second, we've had, as I mentioned earlier, a lot of growth on the banquet side, and banquets typicall y comes with higher margins. And thirdly, in general, the average check per person has improved .

Saurabh Jain: So this trend given Q4 is also a strong quarter, we can expect similar kind of margins in F&B business ?

Chalet Hotels Limited

January 25, 2024

Page 19 of 19

Sanjay Sethi: Again, I don't want to give any guidance, but ye s, I mean , there's no reason why we shouldn't be seeing a similar mar gin.

Moderator: We'll take that as the last question. Any pending questions can be sent to the management direct ly. I would now like to hand the conference back to Mr . Sanjay Sethi for closing comments.

Sanjay Sethi: Thank you very much , ladies and gentlemen for your time. You know, as I said earlier, we are extremely please d with the trend that Chalet Hotels portfolio is showing .

Moderator: Thank you. On behalf of Chalet Hotels , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Jun 2024

Chalet Hotels Limited

Regd. Off. : Raheja Tower, Plot No.C -30, Block 'G', Next to Bank of Baroda, Bandra Kurla Complex, Bandra (E), Mumbai - 400 051.

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CIN: L55101MH1986PLC038538

May 17, 2024

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001 .

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Audited Financial Results for the quarter and year ended March 31 , 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on May 14 , 2024 , in respect of the Audited Financial Results for the quarter and year ended March 31 , 2024 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 18

"Chalet Hotels Limited"  
"Q4 FY '2 4 Earnings Conference Call "  
May 14, 202 4

MANAGEMENT : MR. SANJAY SETHI – MANAGING DIRECTOR AND CEO  
MR. MILIND WADEKAR – CHIEF FINANCIAL OFFICER

Chalet Hotels Limited  
May 14 , 202 4

Moderator: Ladies and gentlemen, good day, and welcome to the Chalet Hotels Limited Q4 FY '24 Earnings Conference Call. We have with us today Mr. Sanjay Sethi, CEO and MD; and Mr. Milind Wadekar, CFO. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Please note, this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited.

Thank you, and over to you, sir.

Sanjay Sethi: Thank you so much. Good morning, ladies and gentlemen, and thank you for joining us for the call today. To begin with, Milind and I will share some highlights of the quarter and the year.

We then look forward to open the forum for question and answers.

The Indian hospitality sector continues to experience strong tailwinds as the average room rate has surged to levels not seen in a decade, and occupancies remain robust. Furthermore, air traffic in the country has reached unprecedented highs, indicating a growing demand for travel. This presents a golden opportunity for the industry to leverage and reposition India's play in the global tourism market. Despite its vast potential for hospitality sector in India still relatively underserved, offering ample room for growth. Chalet is in a prime position to seize this opportunities and further establish a foothold in the market.

I'm happy to report that Chalet Hotels has delivered some of its best quarters in FY '24 on the back of strong business performance, strategic acquisitions and inventory additions. The fourth quarter marked yet another best ever performance, achieving record high ADRs, revenue, EBITDA and PAT. The presentation for Q4 has been made available on the exchanges on our website for your reference.

This year, we acquired the Courtyard by Marriott, resort in Aravali for an enterprise value of INR315 crores. This property features 158 rooms and is spread across 14 acres of picturesque landscape. The property has 6 acres of undeveloped land, which will allow for capacity addition in the future. We also use the expansion opportunity to reposition the resort at a higher level.

Earlier in June '23, we launched our second hotel in Hyderabad, The Westin HITEC City Hyderabad with 168 rooms. It has proudly achieved their USGBC LEED GOLD certification. It's unique for being entirely managed by lady colleagues and exclusively contracted to a single corporate client for 3 years. We expanded the capacity at Novotel Pune by adding 88 rooms, increasing inventory by about 40%.

We continue to expand our portfolio. Our current plan involves adding approximately 870 more rooms to our portfolio along with an additional office tower in Powai. To fuel this growth, we

Chalet Hotels Limited

May 14, 2024

earmarked over INR2,000 crores as capital to be invested over the next 3 years. Going forward, our aim is to enhance our presence significantly across segments and markets.

In the quarter gone by, the company successfully raised INR1,000 crores through our QIP, further strengthening our balance sheet. Historically, Chalet has followed the path of high capital productivity through an optimal mix of leverage in its balance sheet. This trend, along with our ability to deliver high capital efficiency creates a compelling growth opportunity for the company.

pany.

A little earlier, I spoke about the strength of demand of our -- for our industry. For Chalet, the robust pickup of demand seen in Q3 FY '24 continued into the next quarter in Q4, largely led by corporate travel, MICE, weddings and social events. Q4 recorded new highs in average room rates at INR 11,862, which is up 5% over the previous year. It is up by 8% on a same-store basis. Occupancies improved 2% year-on-year to 76%, leading to the highest ever quarterly RevPAR of INR 8,984.

Hospitality segment revenue grew by 24% year-on-year to INR3.8 billion. Room revenue grew by 24% over the previous year, and the portfolio F&B revenue was about INR1.2 billion, which is 26% higher. Costs remained well under control, resulting in high flow-through during the quarter. Our EBITDA for the Hospitality division was INR1.8 billion with one of the highest EBITDA margins of 47.8%.

Consolidated revenue for the quarter at INR4.2 billion with an EBITDA of INR1.9 billion. The

EBITDA margin was at INR44.5 billion. This is again the highest revenue EBITDA for the company in a single quarter till date. Adjusted for the one-off expenses at Dukes in Koramangala, the adjusted EBITDA margin for us works out to 46.4%, which is same to what it was in Q4 of last year. For the full year, average room rates were again at a decade high of 10,718 with occupancies of 73%. Hospitality revenue and EBITDA were at a lifetime high of INR13 billion and INR5.7 billion, respectively, with EBITDA margins of 44.4%. I'm pleased to announce that on a consolidated level, the company's EBITDA surpassed the INR6 billion mark with an EBITDA margin of 42%. Some updates on our project pipeline at the end of the year -- as at the end of the year, our capital working progress along with assets to be operationalized stands at INR13.5 billion. We're looking investing over INR20 billion over the next 3 years across various capex projects. This number does not include the residential project at Bengaluru .

With strong recovery in Bangalore, we are looking forward to the 125 -room addition at the Marriott Whitefield, taking the inventory up to 520 rooms by end of FY '25. The Dukes Retreat in Lonavala is undergoing a major upgradation and repositioning. The resort will have a final inventory of approximately 145 keys, and we look forward to welcoming guests to that hotel by end of this calendar year.

As you are aware, we're working on new assets at the Taj Delhi Airport with around 390 keys and Hyatt Regency at Airoli with about 280 keys, is set to open the doors for guests in FY '26 and FY '27, respectively.

Chalet Hotels Limited  
May 14 , 2024

Page 4 of 18

The construction of the second Commercial Tower or Westin Powai complex CIGNUS 2 is progressing according to schedule and is expected to be completed in FY '27.

For the residential project at Bengaluru , we have occupation certificate for 9 towers, which were built earlier. They are now gearing up for handover. The sale of these flats, which commenced in October 2023 has had very good traction, and we've sold 38% of the total units in the last 6 months, ending till the end of the year.

Including the historical sales, we have now sold 64% of total inventory. The new sales are trending at much higher rates than anticipated earlier with 2 new residential towers and 1 office block, which are new builds. These are under development and are progressing extremely well.

On the ESG front, our rating at Dow Jones Sustainability Index or DJSI as it's known, reflects an unwavering commitment towards sustainable growth with an overall score of 57, reflecting an improvement of 14 points over the previous score.

We are proud to be ranked 8th amongst hospitality companies globally. Our commitment to diversity and inclusion is reflected in the improvement of women employee ratio from 17% to 22% in FY '24. On the environment front, we made strong

strides with 3 million square foot of the portfolio under the green footprint now.

Ladies and gentlemen, the company is in the early cycle of the flywheel momentum. As we step into the fresh financial year, our commitment towards creating new benchmarks on operational efficiencies, project execution and maintaining momentum of organic and inorganic growth remains steadfast.

With that optimistic outlook, I now pass it back to Milind who will take you through some more financial highlights. Milind?

Milind Wadekar: Thank you, Sanjay. Good morning, ladies and gentlemen, and welcome to another quarter of fantastic results. The company has reported an EPS growth of 1.5x to INR13.54 per share.

As discussed by Sanjay, this year has been marked by great addition to our portfolio by way of completion of greenfield developments in hospitality and commercial as well as strategic acquisition in National Capital Region, ticking all the right boxes of a resort North India and asset with growth potential.

In the Hospitality segment, ADR has been growing continuously, touching an average of INR 11,862 during the quarter, which is a growth of 5% year-on-year. With occupancies touching 76% across the portfolio, that is 2 percentage points higher than last year, clearly affirming the demand dynamics of the industry. As a result, the RevPAR has been INR 8,984, a growth of 7% for quarter Q4 FY '24.

Hyderabad followed by Bengaluru saw the highest growth overall, while Mumbai continues to be occupancy leader. Excluding the new asset, that is on same -store basis, ADR grew by 8% across INR12,000 mark and RevPAR grew by 10%.

Chalet Hotels Limited  
May 14 , 2024

Page 5 of 18

Hospitality revenue for the quarter was INR3.8 billion, a growth of 24%, led by combination of rate growth, inventory addition and F&B contributions. The quarter also delivered one of the highest EBITDA margin of 47.8%, with an expansion of 30 bps despite the new inventory, which is getting stabilized and some inventory is under renovation. This was led by prudent cost control measures.

On the rental & annuity front, our leasable area double to 2.4 million square feet from 1.2 million square feet last year. Our revenue for the quarter was at INR354 million with an EBITDA of INR272 million with leasing for new towers picking pace, as already explained by Sanjay, the operating cost for these new towers would average out over the course of this year and flow - throughs are expected to improve over the year.

Coming to the residential updates, we have sold 79 new units during the quarter, totaling to 121 units during the year. Total collection is INR2.5 billion. In all, 204 units have been sold during the historical -- including historical sales. Consolidated revenue for the quarter was INR4.2 billion, a growth of 23% year -on-year. Consolidated EBITDA was at INR1.9 billion for quarter 4 FY '24 with a growth of 18% year -on-year and margins of 44.5%. Consolidated PAT for the quarter was INR0.8 billion with a growth of 125% year -on-year.

Through our constant efforts to sourcing green power and upgrading infrastructure with energy - efficient equipment, we have achieved an all -time low utilities cost, which is 4.1% of revenue, creating new benchmark for the industry. During the year, company spent INR6.6 billion in investment across capital expenses and acquisitions, which was majorly met out of its internal accolades.

The net debt as on March '24 was at INR25 billion, marginally up from previous year. Around half of the debt is allocable to capital work in progress and assets not yet operationalized. We closed the year with the cost of finance at 8.87%. The company has capex plan of around INR15 billion for next 2 years for the announced project, which will be largely funded through internal accruals. The details of the projects are included in our investor presentation.

Since the complet

ion of QIP, the net debt as on 30th April 2024 is down to INR14.6 billion, leaving the company at healthy leverages and return ratio on investor capital.

With this, we open the floor for question and answer.

Mod erator Thank you very much. Our first question from the line of Vikas from Antique Securities. Please go ahead.

Vikas: So my first question is, this quarter, followed up by the last quarter, we have seen a decline in pricing on a Y -on-Y basis. So do we think now from here onwards, pricing should mirror more like inflation growth or maybe it would be more like a mid -single to high -single digit as base is already there? That's my first question.

And just to follow up on that, in the Mumbai region, we have shown a 2% growth. And if I compare it with maybe one of your peers, which reported numbers, they have seen 8% growth.

So any trends we should ... are you taking there?

Chalet Hotels Limited

May 14 , 202 4

Page 6 of 18

Sanjay Sethi: Vikas, thank you for your question. Yes. So look, on pricing, overall, whilst we've shown growth is about 5% for the quarter, our same -store base ADR growth is actually 8%. And for the year, our ADR growth is 17%. In the Mumbai metropolitan region, the 2 hotels that we are following our occupancy route, one of them is a Powai hotel, which is 777 rooms and the other is where we're maintaining and ensuring that we retain that market share is Four Points By Sheraton in Vashi.

These 2 hotels largely, we are either protecting market share or increasing occupancies as a strategy. And I think it's in line with our plans. From our perspective, overall growth for Mumbai is 14% for the year. And for the hotels in other cities, it's ab out 23% with a blended ADR increase of 17%, which continues to be an extremely healthy rate growth.

Vikas: Yes, Sanjay. And just a follow -up. I mean it's not with the Chalet and even with the others who have reported, we have seen the growth moderating. Because if I look at first half, we were doing more like a double -digit growth. For the industry, it was more like 18% pricing growth. Now suddenly, we are seeing everybody reporting somewhere between over to 8% kind of one. So I was just trying to understand, last 2 years, the growth was very strong. So now is it base, which is stacking up? Or do we still have a lot of scope, maybe rates moving to \$200, \$250 in next 2, 3 years. And this quarter is more of a one -off?

Sanjay Sethi: Vikas, you're right the base has increased significantly. I mean we've had 2 consecutive years of rate growth and almost 8 quarters of rate growth. There will be the base effect that will come into play. That's happening to a certain extent.

And then quarter 4 was already extremely good quarter last year , as a quarte r. And therefore,



there will be those effects that will continue to happen. I think what we should look at is, India is cyclical in nature in the annual cycle itself, which is the seasonal impact, non-seasonal impact. The clear opportunity for headroom for growth will continue to be in lower rate months going forward. And on a blended basis, I think we'll continue to deliver good rate growths. And our focus was to make sure that we continue to be market leaders, and we continue to protect our market share in each of these markets.

Each hotel will need their different strategy, and that's what's playing out.

Vikas: Sure. That's pretty clear. The final question is for Milind. Milind in the PPT, we have given receivables of INR320 crores from Bangalore real estate sales. So how and when this revenue will recognize in P&L? How should we build it, I mean, it will start flowing in from next fiscal year onwards? I mean, just any help you can around that would be great.

Milind Wadekar: So Vikas, to recognize revenue for residential project, the 3 conditions are required to be fulfilled. One is handing over of possession . 90% of collection and r

eceipt of occupation

certificate. So we have received OC. And when we hand over possession , we'll get more than 90% collection. So these 2 conditions can be fulfilled.

Now we are in the final stage of snagging and de-snagging. And we expect maybe by this quarter end, we'll be able to complete and hand over possession to the flat owners, but there are some challenges from labo urers and labo urers have moved out to their hometowns for election, but Chalet Hotels Limited

May 14 , 202 4

Page 7 of 18

this is temporary delay and we are targeting to complete this project and handover possession by end of June.

Sanjay Sethi: Let me recap here. I think it's about the accounting entries that we're referring to. Two things will happen. One is the accounting entry will come in, we believe, in quarter 2 with the 3 conditions being met. Number two, collections will also improve significantly once we do the handover. So that combined together will show up in quarter 2 results.

Milind Wadekar: Vikas, to add further, on residential side, we had 8.62 lakh square feet of sellable area. Out of that, we have sold, I mean old sales was around 1/3 rd, 2.84 lakh square feet. We have sold 2.89 lakh square feet, that is 1/3 rd. And unsold inventory as of today is only 2.89 lakh square feet, which is 1/3. And we are expecting a rate of more than INR20,000 for unsold inventory.

Mod erator : We'll take our next question from the line of Param Khanna from Ambit.

Param Khanna: Firstly, congrats on adding one more hotel into your portfolio and the entry into the Delhi NCR market. So my first question, Sanjay, just if you look at your previous earnings calls and media interview s, you sounded fairly confident about a double -digit room rate growth for the industry and for Chalet over next 2 to 3 years. Based on the commentary so far, I think some amount of cautious optimism regarding this.

So if you can help me understand more on this front because while you did allude to the fact that you wanted to protect market share within the Mumbai market, but how should we read this?

Because your FTA or the foreign guests in your portfolio, that's inc reased from 37% to 43%, and your room rates are still sub -\$150 a night. Despite that, I think we've seen a fair amount of muted growth in the ARR for Mumbai. So as we enter FY '25 and potentially next 2 to 3 years, with 30% room addition to your portfolio over the next 3 years, how confident are you about sustaining double -digit rate hikes over the next 3 to 5 years?

Sanjay Sethi: So Karan, firstly, we try not to give guidance on our rates. The questions that I've addressed in the past , have all been about the industry. Having said that, I'm confident that we will continue to do extremely well and work at industry rate growths. We believe the industry has an upside of double -digit rate growth going forward.

And to reiterate, we have delivered 17% rate growth this year. It may not look like on a quarter -to-quarter basis, but the whole idea is to spread the months and quarters, which have headroom for rate growth for rate growth and months that have opportunity for occupancy growth with occupancy growth.

As I also said earlier, the strategy for each hotel will continue to be different, and we'll address them one hotel at a time. So overview, we are in an extremely good space. The demand continues to or rate of growth and demand continues to outpace rate of growth and supply. None of our confidence has changed on that. We continue to be extremely bullish about the industry going forward.

Karan Khanna Sure. Just talking about the NCR asset, can you elaborate more on the potential of this property. If I'm not mistaken, you're already clocking INR7 crores - INR7.5 crores sort of a monthly run

Chalet Hotels Limited

May 14 , 202 4

Page 8 of 18

rate at the Aravali Resort. How should one think about the ramp -up of this asset? And

given the

seasonality, should one think of this asset let's say, 50% to 60% occupancy with high ARR? Or will this steady -state occupancies of this asset be closer to your rest of the portfolio?

Sanjay Sethi: Karan, again, we don't give forward -looking numbers. But the hotel has done well and it is still on its ramp -up phase as a resort. Two elements that I'd like to highlight here. It is positioned at a price point, which is competitive and is competing against 3 or 4 similar sort of position hotels in that market.

Number two, it's a resort property, and therefore, will have seasonal impacts. So occupancy will be lower than what typical city hotels do. Number three, the property has come with 6 acres of unutilized land. And the true striking of this asset is going to happen through capacity addition, and that capacity addition in our minds is going to happen at a higher level of product positioning, which will allow us significant upside going forward.

Karan Khanna Thirdly, in the previous earnings call, Sanjay, when asked by one of the participants on the potential fund raise, you said the idea is to keep the gunpowder dry for inorganic opportunities and hence the fund raise, but if you look at the utilization of the net proceeds, you've used a large chunk of this capital to pay down debt. So just wanted to understand your thoughts on the same and whether you think there are not adequate acquisition opportunities available in the market because of which you found it prudent to delever the balance sheet?

Sanjay Sethi: So Karan, the stated purpose of the capital raise is pay down debt and general corporate purposes. We've gone exactly as per plan. It does strengthen our balance sheet further to create headroom for growth opportunities going forward. This has just happened over the last month or so.

M&A activities don't happen in a month, 2 months, 3 months. It takes time, this is a longer -term plan. And we will come back to you with the opportunities of growth that we have on the own build as our BD team closes some of those.

Karan Khanna Sure. And lastly, if I may. I'm looking at Slide #11 of the presentation. Effectively, your staff to room ratio has largely stabilized at 0.93x while payroll costs as a percentage of your revenue have been inching higher. As we enter FY '25, how should one potentially think about operating leverage in the business? And is there headroom for margins to further expand?

Sanjay Sethi: We continue to be extremely positive about our margin and some margin expansion. At 11.9%, I'm pretty sure for the quarter and actually 12.8% for the year, we'll probably be industry leaders by a huge margin. I don't want to compare against others, but you might want to do a comparative check on that. But overall margins, we are very, very bullish.

Moderator: We'll take the next question from the line of Archana Gude from IDBI Capital.

Archana Gude : Congrats on another best of quarterly performance. Sir, I have two questions. Sir, firstly, on this Aravali resort, can you give us some color on the revenue mix in terms of retail and the events and MICE, et cetera?

Chalet Hotels Limited

May 14 , 2024

Page 9 of 18

Sanjay Sethi: So it's largely a resort product. It has 3 primary segments that it caters to. The first and primary one being family holidays, drivable distance locations. So typically, from Friday to Sunday, that's our primary segment that fills up the hotels and typically at a premium rate to rest of weekdays .

The other 2 segments are MICE, which is corporate s doing events, meetings, conferences, et cetera, at the hotel. And the third big segment is wedding. Weddings, of course, are limited to number of the auspicious days that happen in a year and it will be sort of interspersed in different months depending on the auspicious months.

Rest of the months, largely leisure family stays, some friends and family

groups and conferences

This is a segment mix. We are looking at 2, 3 things with this asset. One, we are trying to further upwardly position this asset through a potential brand change over the next few quarters.

And second big -ticket item, is the expansion opportunity that I referred to earlier. Overall, extremely excited about the opportunity with this asset.

Archana Gude : Sure sir. So my second question is more on the industry level. So in the presentation it is mentioned that the demand is growing at 11%, while the supply is inching up by 9%. When do you see the supply side surpass the demand at industry level. And does that pose a concern on ADR, which has been growing at healthy double digit till now?

Sanjay Sethi: I think we've got at least for the visible future, which is the next 2 to 3, 4 years, supply and demand is expected to outstrip supply. Beyond that, it's very difficult to predict now.

Archana Gude Sure. But , so said that, should we expect some moderation in the ADR growth on the higher base for next such as couple of years?

Sanjay Sethi: When ADR growth happen , absolutely. Moderate after some time. Yes, that's also likely to happen.

Moderator: We'll take the next question from the line of Jinesh Joshi from Prabhudas Liladher.

Jinesh Joshi : Yes. I again have a question on ARR. So sir, if I remember right, in the last earnings call, you had mentioned that corporate rates have been renegotiated higher by about 12% to 20%. And if my understanding is right, typically corporate rates are lower than retail rate. So is the renegotiation in the double digits? Then in a such scenario, how come our overall ARR growth is at about 5%? So if you can just share some insights on this?

Sanjay Sethi: So our actual ARR growth is 8%, Jinesh. So let's put that right in terms of same -store basis. When you add assets, you've got to look at them a little bit separately than the same -store basis assets. At 8% for the quarter and 17% for the year, we continue to have a fairly good space that we are in.

In terms of how does this stack up, please remember there is a mix of segment that comes into play, the corporate segment, typically, as I think I've spoken about this earlier, is 60% in typical hotels in Mumbai for us. And out of that 60%, half is only contracted prices. The rest of it comes

Chalet Hotels Limited

May 14 , 2024

Page 10 of 18

through retail. And the retail growth last year in terms of pace of growth was higher than it has been this year only because it's come off of a higher base and not in terms of absolute value. So that's the answer for this.

The other thing that's happened is at two of our hotels, and I did allude to this earlier, especially the big one in Powai, our strategy is to fill up the hotel post renovation. And therefore, we are taking a lot of MICE business. And we've also taken on crew business, which is now gone up from, I think, about 40, 50, 60 rooms to 100 rooms almost, which typically comes at a lower rate, but it tends to fill up holidays, weekends, et cetera. And that will have its impact of averaging out the rate growth slightly.

Jinesh Joshi Understood. Sir, my second question pertains to certain comments which you had made in the earlier call regarding Taj, Delhi and Airoli. I think you had mentioned in the last earnings call that the construction at Taj has already begun. So if you can just share what is the progress there? And also construction at Airoli was suppose to begin within a quarter or so. So has it already started? Any updates on that?

Sanjay Sethi: Okay. So to come back to your question, Jinesh, Taj, construction is underway. As you know, this is a warm shell lease from Delhi International Airport Limited. They're doing the construction part. They are still in the substructure stage. There are 3 basements in the property, so a lot's going on that. As per our current estimate, we expect to con

tinue to complete this

project by Q4 of '26, which is roughly around 2 years from now.

Jinesh Joshi And the Airoli one, sir.

Sanjay Sethi: And Airoli, we expect to start work in October. We should get our approvals in the next few months' time , couple of months. But since it is monsoon time, so we will wait for the monsoon to end.

Jinesh Joshi Sure. Sir, one last question from my side. And again, this pertains to your ARR growth in the MMR region, which is at 2%. But you did highlight that you're focusing more on occupancy in Powai and Four Points Sheraton and predominantly, that is the reason why your growth is slightly soft. But are we seeing any pricing pressure, especially in the MMR market surrounding the airport area, given quite a few new hotels have come up. And in that context, I mean, if you can just share at Marriott Sahar , what was the ARR growth in this quarter and for the full year?

Sanjay Sethi: So Jinesh, firstly, on individual hotels, we don't give the average room rate itself because it's competitive information that we don't want to release in the market, and that's why we've clubbed it all together. Sahar is also on a very high base right now, remember that. So therefore, whilst we expect that to grow, there will be bits and pieces, which will maybe not grow at the rates that you expect them to grow, but it will continue to grow at a very healthy rate .

Our strategy at Sahar is rate -led. Our strategy at Powai is occupancy -led. And at Four Points by Sheraton because there is 3x capacity addition over there in the Navi Mumbai area is to protect market share and to do well. In terms of new supply, we really have had no supply come into the market as yet. We do expect direct competition to come in, in the market in maybe early next calendar year or end of this calendar year through the proposed Fairmont Hotel at the airport.

Chalet Hotels Limited

May 14 , 2024

Page 11 of 18

Jinesh Joshi Sure. Sir, so just one follow -up. I understand you cannot reveal the exact numbers, but is it

possible to share whether the ARR growth at Marriott Sahar, was it in mid -single digit, low single digit or high single digit?

Sanjay Sethi: Let me just pick this up in a second. It's a double digit.

Jinesh Joshi : Marriott Sahar is double -digit growth in 4Q.

Sanjay Sethi: In Q4, yes.

Moderator: Thank you. We'll take the next question from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas.

Kaustubh Pawaskar : Congrats for good set of numbers. So my first question is on your Aravali resort, which you have recently acquired. So are we planning to...

Moderator: May I request to use your handset mode, please, Mr. Pawaskar?

Kaustubh Pawaskar : Is it better now?

Moderator: Yes.

Kaustubh Pawaskar : So my question is on the Aravali resort acquisition. I just want to know whether we are planning to invest in renovation of any of the rooms for this property? And if yes, what kind of renovation costs you are planning to put? Secondly, are all the rooms under the property currently operational or there are certain rooms which you are planning to renovate, and they might be operational in the next 2 to 3 quarters?

Sanjay Sethi: So Kaustubh, Courtyard by Marriott in Aravali is a fairly new property. It will not need any renovation or refurbishment for a few years. All 158 rooms are operational. The only thing that we may do is to reposition the brand in the sense if we have an opportunity of taking the brand up from Courtyard by Marriott to a higher brand, there may be some brand specs that need to be incorporated, but that's going to be small -- very small cost, small change. But we have no need to renovate the property at this stage.

Only, there are two things that are going to happen in that property. One is the repositioning of the brand. Second is there's a potential activity center that will happen that we'll complete. And thirdly, th

e 6 acres that we have at hand, we'd like to use that opportunity for expanding capacity with a better quality product or a higher -quality product and take the position further up.

Kaustubh Pawaskar : Right. So we will be having all the rooms available from quarter 1 of this year

Sanjay Sethi: Available.

Kaustubh Pawaskar : Okay. Sir, my second question is on 2 of your key regions that in Bangalore and Hyderabad. So any color on those regions, how is the demand environment in both these regions and whether you will see average room rental also picking up in these 2 regions, considering the pick up what we have seen in the demand, especially in the Bangalore after, I guess, last year, it was lull, but Chalet Hotels Limited

May 14 , 202 4

Page 12 of 18

after that, it started picking up. So how is the demand environment? And what is your take on both these places?

Sanjay Sethi: Certainly. So look Bangalore was one of the slowest cities to take off. But over the last couple of quarters, has done extremely well and is now caught got pace with the pre -pandemic performances, in fact, the RevPAR at Bangalore in Q4 is almost 18%, 20% higher, which is a significant growth over the previous year. So that's caught up and doing extremely well now. Same with Hyderabad. Hyderabad as a market in general is doing extremely well. So we've seen significant growth in Hyderabad. And if I was to look at Hyderabad as a percentage of growth, the rate growth there is roughly 20% and our RevPAR growth of 33% there. So clearly, Hyderabad and Bangalore continue to do extremely good.

Kaustubh Pawaskar : And the occupancies in Bangalore would be much higher this year for us compared to what it was last year?

Sanjay Sethi: So occupancy is in a bit of a sticky situation in Bangalore because Bangalore had a slower pickup on the IT side. And Bangalore, like I was speaking earlier, each hotel will have its own strategy. Our strategy is to take the rate growth up. There, we are focusing on rate as against occupancy because occupancies are fairly stable.

Moderator: We'll take the next question from the line of Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat : Two questions. First is on potential capex in FY '25 and '26. And secondly, on this Hyderabad market, what is the supply likely over the next probably 2 years or 3 years in the market considering the ARR growth of 20%...

Sanjay Sethi: Milind will address the first question later. I'll just address the second one first to begin with.

The supply side for Hyderabad, especially in the micro market that we're looking at is extremely limited. And there's another hotel coming up, but that's in the Banjara Hills, Jubilee Hills site, which is not market that we address. So there's no supply pressure on that at all.

I just want to come back to an earlier number that I shared about JW Marriott. One correction, our rate growth there is actually 9%, not 10% for the quarter. However, for the year, it is 18%. The RevPAR growth was 10% there for the quarter. Milind, do you want to comment on the...

Milind Wadekar: On capex, we'll be spending around INR1,500 crores for next 2 years. Out of that, around INR700 crores for commercial tower INR650 crores, INR700 crores at the new commercial tower, which we are adding in Powai.

There is some spillover capex of our commercial tower, which is almost ready in Powai and Bengaluru. The balance will be for DIAL, Dukes expansion and renovation, Bangalore addition and some represent renovation capex of hotels.

Moderator: We'll take our next question from the line of Nirav Seksaria from Living Root Analytics.

Nirav Seksaria: So in the Indian economy, religious tourism is playing out well for many peers. Sir, is Chalet planning to participate in this?

Chalet Hotels Limited

May 14, 2024

Page 13 of 18

Sanjay Sethi: At the moment, we don't have anything in the pipeline

that is targeted towards a specific religious tourism destination.

Nirav Seksaria: But in the near future, is there any plan to enter into such location or anything as such?

Sanjay Sethi: Nirav, we continue to explore all markets on a pan-India basis across segments. We've looked at Varanasi and Ayodhya also as potential markets to study. We don't think we've found a compelling enough opportunity as of now from an investment perspective. I can understand if I had a brand and an asset-light business model, it wouldn't have hurt me to put a few hotels in Varanasi and Ayodhya, but from a return investment perspective, I'm not so sure we have the right opportunity.

Moderator: We'll take our next question from the line of Sumit Kumar from JM Financial.

Sumit Kumar: My first question is on the other expenses. There has been a good amount of increase on that. So any one-offs that we should be taking into account? And the second one would be on the onetime expenses of INR81 million. If you could explain a little bit more on what those onetime expenses were?

Sanjay Sethi: Yes. Milind will come in with the details on that. It's never good to have one-off, have you used the term good increase in expenses. I don't think we'll be ever happy with the increase in expenses. Milind?

Milind Wadekar: So one-off expenses includes decapitalization of some assets of our Dukes property, which is getting renovated. Some cost of acquisition of Aravali. And in our Koramangala residential project, we have physically verified entire inventory, which was lying as dead inventory which was identified as not usable is charged off to P&L. And we will realize some value from sale of that, but the entire value of inventory charged off to P&L.

Sanjay Sethi: So to answer your question, it's one-off, all the INR8.1 crores.

Milind Wadekar: These are nonrecurring expenses accounted for the quarter.

Sanjay Sethi: On the other expenses.

Milind Wadekar: Other expenses include some increase, which has come from our commercial business. We've added new tower and cost, which is linked to -- these other expenses include royalty in management fees paid to operators. So increase on account of volume is accounted there.

Sumit Kumar: Sir, just one follow-up. So we expect these costs to normalize going forward?

Sanjay Sethi: Sorry, could you repeat the question again?

Sumit Kumar: We expect these costs to normalize going forward? Or will they remain at these elevated levels? Any guidance on that?

Milind Wadekar: If you look at our cost structure, I mean, payroll and heat, light and power is -- I mean payroll, let's say, heat, light, power is semi variable. Admin expenses are fixed. Our F&B cost is pass

Chalet Hotels Limited

May 14, 2024

Page 14 of 18

through. And other costs are mostly variable in nature. I mean what we pay to operators is variable. It is linked to top line or bottom line, right? So more or less, it will remain at this level, except the cost which is variable in nature.

Moderator: We'll take the next question from the line of Saurabh Jain from HDFC Life Insurance.

Saurabh Jain: So a couple of questions from my side. First is on this Aravali resort. You mentioned that we are also looking at expanding the inventory there, but with the sizable inventory of what 150 - odd rooms and occupancy that they did last year was about 40%, would it be prudent to ramp up the occupancy cost and then look for expansion? And generally we see that the resort properties are in this range of 150 to 200 inventory? So what makes you confident that adding an inventory here will lead to more occupancy and more revenue?

Sanjay Sethi: Saurabh, any capacity addition will be based with the demand pickup on the property, number one. Number two, it takes time to design and get approvals. We will get to that stage and get that

out of the way and then wait for the right time.

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From our perspective, as I said earlier, because it's a fairly large area, we can potentially do a completely different brand, a higher -level brand and do a dual brand sort of product over there so that we can get the benefit of higher rates. But having said that, you're absolutely right, we have always been prudent in our investments. We will continue to ensure that the market is deep enough for us to expand capacity.

Saurabh Jain: Okay. That's helpful. Secondly, I just need to understand this slide on real estate development at Bangalore a little better. So when you say the receivables of about INR3-odd billion, so this is against the sale of INR5.7 lakh square feet or what is it against?

Milind Wadekar: Yes, it includes receivables against sale. I mean the total sale value minus amount, which is collected is shown as receivables. So for the area what we have sold, I mean, the total sales value is around INR550 crores. We've collected around INR250 crores. And against all sales, there are some receivables.

Sanjay Sethi: It's a combined receivable value of the earlier sales as well as new ones, right, Milind, the rest is cash. So totally about 121 plus 80 or 200 -odd apartments have a receivable value of INR300-odd crores.

Saurabh Jain: Okay. Got it. And just to understand. So generally, we are seeing this real estate upcycle that as soon as the project is launched, all the units are sold out. So why this 2.9 lakh square feet of space is still lying unsold? I'm just failing to understand that.

Sanjay Sethi: It depends on what price we are selling at, right? The luxury properties tend to have a cycle of sales, which is slightly longer than the just below, luxury sort of positioning. This is the luxury positioning, number one.

Number two, 2 towers, which have a significant inventory. We just started work in the last quarter -- last couple of quarters. So obviously, they will follow a cycle of buildup before sales happen.

Chalet Hotels Limited

May 14, 2024

Page 15 of 18

Also, for anything that does not have an OC, there's a 5% GST impact to the buyers. And we had actually slowed down sales for the new towers in between, which we have now opened up again.

Saurabh Jain: So when is this positioning starting, you said that starting by the end of this quarter, till what time will the entire project will be given position to the end consumer?

Sanjay Sethi: So Milind has shared the numbers -- sorry, the time line a little earlier in the last conversation, Milind can you come back?

Milind Wadekar: Saurabh, I mean, we have -- this project is in 2 phases, 9 buildings, which are almost ready and we can hand out possession by end of this quarter or early next quarter and 2 wings, which are new buildings, which are getting constructed. So this first 9 wings, whatever area sold, we can recognize revenue. Unsold inventory as and when we sell it, we'll recognize revenue. At K and L wing, I mean 2 new towers, we expect this work will be completed by FY '25, March '25, and we'll recognize revenue at that time.

Sanjay Sethi: And to answer your question, why we based it like this, look, we've been able to take the project up from an earlier price point envisaged about INR13,000, INR13,500 a square foot to current blended price of INR18,800. We are hoping to take it higher. So I guess the strategy is working for us.

Saurabh Jain: Got it. And just last thing, if you can update on the leasing traction of the commercial towers in the Bangalore and Powai.

Sanjay Sethi: Sorry, the commercial towers, leasing traction.

Saurabh Jain: Yes.

Sanjay Sethi: We had roughly, if I recall, about 4 lakh square foot of Bangalore that was leased out earlier. We've and you'll probably see from the presentation another, I think, 40,000 -odd square feet that's come in there. We've in the last 1 week, closed another big client. We will come back with the details, but we are n

ow talking about another increase of 175,000 -odd square feet to this, which will take us to roughly in excess of 600,000 square feet, which is 2/3 of the building.

On Powai, we are currently at about 1.4 lakh square feet, and we are on final stages of, I think, 3 deals now, which will give a major step-up in the leasing activity.

Mod erator: We'll take our next question from the line of Prateek Kumar from Jefferies.

Prateek Kumar: I've couple of questions. Firstly, so you have like 12% to 13% kind of ARR and RevPAR growth in Q4 in other markets than MMR? I think you have said these numbers earlier, but can you just give the split of this 12% in various markets like Bangalore, Hyderabad and maybe Pune?

Sanjay Sethi: No, I don't think we mentioned 12% to 13% growth on RevPAR. What is the RevPAR that we've

reported?

Prateek Kumar: Yes, I've taken it from presentation only.

Chalet Hotels Limited

May 14, 2024

Page 16 of 18

Sanjay Sethi: Yes, 7% growth in Q4 for the overall branded portfolio. Other market is 13% and the MMR was 7%. On a same-store basis, the RevPAR growth is slightly higher. As a breakup, okay, I can share this quickly because there's a lot of questions around this. We've got in the Mumbai Metropolitan Region, 3 hotels, The Westin at Powai with 777 rooms, JW Sahar at the airport with 588 rooms and the Four Points by Sheraton in Navi Mumbai with 152 rooms.

Where we've seen rate not growing as per what the question or queries are around Powai and Four Points, we've seen significant growth in JW Sahar I think I have already shared that earlier that the JW Sahar growth was 9% for the quarter. On a year-to-date basis, of course, it is roughly around 18%. Mumbai and Bangalore also I've shared the rate growth, 20% for Hyderabad, 26% for Bangalore in the quarter 4. And on a YTD basis, 35% for Hyderabad and 32% for Bangalore. What is also dragging some of this down, and therefore, the blend is looking not as encouraging is because we've got 2 new hotels in this, Dukes Retreat and Westin HITEC, which are at lower rates and therefore drag the blended rate down a bit. And both these hotels were not there the year before that. And therefore, for the year before that, you are looking at a blend without them. This year, you're seeing with that -- with these 2 hotels added and therefore, the numbers are looking maybe a little muted for you, but I've already now shared with you the rate growths for the quarter and the year on a property-wise basis.

Milind Wadekar: To what Sanjay said, I mean as we go forward, rates or contribution from Dukes will come at higher ADR, contribution from Aravali will come at higher ADR. And our portfolio ADR will move up.

Sanjay Sethi: Can I just add one more element. So please, in your analysis when you do Dukes, Westin HITEC and the 88 additional rooms at Novotel are added capacity at lower rates in the portfolio. So therefore, the blended rate may appear muted to you. I would urge you to maybe analyze that carefully.

Prateek Kumar: Sure. Okay. But on like-for-like property, as you said, in Bangalore, Hyderabad, we are growing like 20%, 30% for Q4...

Sanjay Sethi: 20% Hyderabad, 26% Bangalore.

Prateek Kumar: Right. Okay. And one more question on demand mix. Is there anything which gets derived from government travel conferences, which would have got impacted in first quarter FY '25 relating to election. So government-related travel or any conferences or any trainings, which happen in terms of customer mix which would impact your business in first quarter '25, not 4Q?

Sanjay Sethi: So we've not historically not had much of a government business in our portfolio. And of course, the election impact will be there because there is some slowing down that happens in the respective cities on the date for election. That really will be there, but on a limited basis.

Prateek Kumar: Slowdown except for

what, election, I mean, large related to government travel related slowing down is there? Or is there any other impact?

Chalet Hotels Limited

May 14, 2024

Page 17 of 18

Sanjay Sethi: This is on election day, specifically, the cities tend to slow down and people tend to ... So if I am in Delhi and I got my election happening in Delhi that day, I'd like to vote, I'd probably not travel out of Delhi. Similarly, if I have to travel to Mumbai and Mumbai elections are happening on that particular day, I may not want to travel to Mumbai because we know the city will largely be slow on that day. So therefore, that does limit some travel. So it affects both the base city of the traveller and the destination city of the traveller, the elections in those cities impact some travel. But that's limited. It happens once in 5 years.

Moderator: We'll take our next question from the line of Paresh Shah an individual investor. Please go ahead.

Paresh Shah: I just wanted to check about the impact of water shortage in Bangalore area. How it is impacted on our sales currently? And what are the steps you are taking to come across the situation for our future sales?

Sanjay Sethi: So very good question, Paresh. I think the impact of natural resources globally is a major concern area. And at Chalet, we've been working very hard to reduce our consumption, whether it's electricity, water, plastics, all of that. Anything that could impact negatively the environment. And I think we've constantly brought down consumption. For example, our electricity unit consumption per room has come down from 64 to low 50s now. Our water consumption, which was used to be around 0.7 to 0.8 kl per room per day is now down to 0.6 kl per room per day.

So we've made significant strides in conserving water. To the specific question about Bangalore, Bangalore has unfortunately had this problem of water shortage. For now, we haven't felt any negative impact in terms of access to water or any business impact at Bangalore in our hotels. Paresh Shah : And sir, my specific question is regarding our real estate sale and commercial leasing. Is it impacting on price? Is it impacting on your negotiation? I understand that the problem is visible, but are there any plan to circumvent such situation that maybe consciously a company is taking a call that we should not do any expansion in Bangalore or we should not take exposure in Bangalore until the situation is improved? Have you thought about this aspect at management level?

Sanjay Sethi: So all decisions on new projects take into account climate and weather and environment. We've actually got a team that signs off on every project towards environment impact before we proceed to a project. In Bangalore, the residential project is an ongoing project. We have seen no impact on sales or pricing over there. In fact, if anything, our price points have actually gone up. So no challenges or concern on that front.

Mod erator : We'll take our next question from the line of Rajiv from DAM Capital.

Rajiv: This is regarding the segment asset sheet. So there is a close to INR480 crores drop in the hospitality bit, and there is a big swing on the rental annuity business side. Can you just explain that?

Milind Wadekar: Rajiv, Milind here. We are looking into details. I mean looks like there is some error there, but I will get back to you.

Chalet Hotels Limited

May 14 , 202 4

Page 18 of 18

Rajiv: Secondly, if you can share the LFL ARR increas e, do you have the LFL margin for the hospitality bit for the same -store margin in fact?

Sanjay Sethi : Sorry, the same -store...

Rajiv: On the hospitality bit, the 8% growth you have mentioned, do you have the same -store margin in the sense if -- just wanted to get how much drag is from the new additions which you have done.

Sanjay Sethi: Let me pick up that number. We actually have it. So our same -store margin is

actually at 48.4%,

which is margin expansion, if I recall, 80 bps, for the year. Yes. So margin expansion on a same -store basis for the quarter is 80 bps and 300 bps for the year.

Rajiv: Sure. And lastly, are we getting Four Point s by Sheraton due for renovation? And if at all, what is the capex lined up for that?

Sanjay Sethi: So it's, yes, it is part of our capex plan that Milind shared earlier, it is due for renovation. And we are up also for a revision on the contract of Marriott. We are discussing what's best for us, and we'll take a decision on that. So basis the decision on what we do with the brand going forward, we will take a decision on what level of capex will be required, but we've already parked a capex , within the capex plan for that.

Rajiv: Sure. And on the Powai's bit, when you -- you had 100 rooms under renovation in the base year, in your calculation, this is adjusted for that? Or this includes the entire inventory is taken...

Sanjay Sethi: So we've taken the entire inventory, and we take the inventory now.

Mod erator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sanjay Sethi for our closing comments. Over to you, sir.

Sanjay Sethi: Thank you, ladies and gentlemen, for your time. Truly grateful for that. We'll be, of course, available for one -on-one meetings when required. Please do reach out to us for that. And again, I want to close with this intent to share with you that we're extremely bullish, excited about Chalet Hotels going forward. I think we are in a brilliant space in a mix of high performance, strong market conditions, strong growth trajectory and a very strong pipeline going forward.

Thank you.

Mod erator : Thank you, sir. On behalf of Chalet Hotels, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.



## Call: Aug 2024

Chalet Hotels Limited

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August 1 , 2024

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter ended June 30 , 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on July 26 , 2024 , in respect of the Unaudited Financial Results for the quarter ended June 30 , 2024 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 17

"Chalet Hotels Limited  
Q1 FY '2 5 Earnings Conference Call "  
July 26, 202 4

MANAGEMENT : MR. SANJAY SETHI – MD & CEO  
MR. NITIN KHANNA– CFO

Moderator: Ladies and gentlemen, good day and welcome to Chalet Hotels Q1 FY '25 Earnings conference call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited. Thank you and over to you, sir.

Sanjay Sethi: Ladies and gentlemen, thank you for joining us today for the earnings call where we will reflect on the performance of Q1 FY '25. Before I commence the quarterly update, let me share with you our announcement of this morning. A Committee of our Board has approved a transaction to purchase a land in Goa for the development of 5-star deluxe resort. The closure of the acquisition process will take a couple of weeks and we will send out an update in the near future. This is in line with our long-term growth strategy to expand into the picturesque state of Goa. It is a greenfield opportunity and I believe we will be able to bring in Chalet's strength of design and efficiency for exceptional guest experiences.

Back to Q1. In the backdrop of some unique challenges including the longish election process in the world's largest democracy, the heatwave and a subdued quarter for MICE and leisure, we are pleased to announce that Q1 FY '25 has been the best Q1 in the history of Chalet Hotels Limited. This achievement underscores our continued focus on executing a growth-based strategy that combines capacity expansion with operational excellence.

The macroeconomics of India presents a compelling opportunity particularly in the flourishing tourism and hospitality sector. This growth potential is underpinned by the demographic strength of the nation. Our strategy of hard asset-led capacity addition and operational efficiency places us in a sweet spot to capitalize on favourable industry dynamics buoyed by favourable demand-supply arbitrage. The tailwinds of the present market conditions are expected to further bolster our operational performances and drive sustained growth in the coming quarters.

During Q1 FY '25, we have been able to demonstrate consistency across key metrics when compared to the same period last year. Consolidated revenue of the company increased by 17% whereas total EBITDA saw a 31% rise from Q1 FY '24. Within the hospitality segment, our revenue climbed by 15% accompanied by an 18% increase in segment EBITDA for the same period. Our portfolio occupancy stood at 70%, up by 90 bps with the average room rate showing a 1% improvement over Q1 FY '24 contributing to a year-on-year growth of RevPAR of 2%. On a same store basis, the portfolio RevPAR has grown by 4%. We saw accretive RevPAR performances at JW Marriott Sahar, Westin Complex at Powai, Marriott Bengaluru and our two hotels in Hyderabad. The Vashi hotel saw a 7% dip in RevPAR. This was due to significant increase in room supply in similar category hotels in Navi Mumbai micro market over the last couple of years.

Chalet Hotels Limited  
July 26 , 2024

Novotel had lower RevPAR on account of increased capacity of 88 rooms which will take another quarter or two to stabilize. However, the hotel had revenue growth of 15% over the same quarter last year. Due to major renovation work underway at Dukes, we removed the limited inventory from

sales from middle of May which is about a couple of months back, we will be opening 37 new rooms and some new public areas in Phase 1 for business before the long weekend of 15th of August.

We have a robust pipeline for capacity expansion in existing hotels at the Marriott Bengaluru and The Dukes Retreat in Lonavala. This expansion will be in play by end of the current calendar year. As most of you are aware, we are also developing two new hotels with Taj New Delhi Airport and the Hyatt Regency at Airoli in Mumbai. These two hotels will add approximately 660 rooms to the portfolio.

Additionally, the development of CIGNUS Powai Tower II, a new commercial building will add approximately 9 lakh square feet to our existing 24 lakh square feet of office portfolio, which is a strategic move into alternate asset class designed to mitigate the cyclicity of the hotel industry through annuity income. Leasing activity at the new office buildings in Powai and Whitefield is steady. We continue to expect 90% of the office portfolio leased out by end of the calendar year.

Our residential project at Koramangala, Bangalore is surpassing sales expectations, achieving prices significantly higher than initially projected. We anticipate substantial cash flows from this project over the next 6 to 7 quarters. Another pivotal focus for us is our pledge to net zero greenhouse gas emissions by 2040, aligning with the Paris Agreement's goal of limiting global temperature rise to 1.5 degrees Celsius. This commitment announced on the World Environment Day on 5th June, underscores our deep-seated commitment to sustainability and responsible business practice.

Ladies and gentlemen, I continue to be bullish on the sustained growth for the hospitality industry and the leasing industry, especially in the locations that we operate in. Indian hospitality sector is likely to see strong revenue growth in the next few years with margin expansion for companies that navigate the path diligently.

I now welcome Nitin Khanna our new CFO into the conversation and he will share additional financial highlights for the quarter.

Nitin Khanna: Thank you, Sanjay. Good morning, ladies and gentlemen. I'm happy to take over as CFO of Chalet and hope to interact with the members on the call in person in the near future. As discussed by Sanjay, this quarter has been marked by resilient and stable performance at the back of some challenges faced by the industry during the quarter. Following Chalet's growth trajectory, I'm happy to announce that this was the strongest Q1 performance historically. Coming to the financial updates.

In the Hospitality segment, ADRs have been stable at an average of INR 10,446 during the quarter, which is a growth of 1% versus last year's same period. Occupancy touched 70.5% across the portfolio, which is 85 basis points higher than the last year. As a result, the RevPAR has been up by 2% year-on-year to INR 7,361 for Q1 FY '25. Bangalore followed by Hyderabad

Chalet Hotels Limited

July 26, 2024

Page 4 of 17

saw the highest growth overall, while the Mumbai Metropolitan region continues to be the occupancy leader.

Excluding the new assets that is on the same -store basis, the occupancy grew by 191 bps and RevPAR grew by 4%. It will be pertinent to note that the total room nights sold were higher by 13.3% during the same period. Hospitality revenue for the quarter was INR 3.3 billion, a growth of 15% led by a combination of rate growth, inventory additions and F&B contributions.

The hospitality segment during the quarter also delivered an adjusted EBITDA of INR 1.3 billion, marking a growth of 12% with a margin of 41.2%. Now given that, number one, The Dukes is still under renovation and for Courtyard at Aravali, this is the season's weakest quarter; and three, the reasons already alluded to by Sanjay, it is now safe to say that we can expect better flow-through

s and higher margins for the rest of the year.

On the rental and annuity front, our leasable area stands at 2.4 million square feet with 1.2 million square feet leased so far. Our revenue for the quarter was at INR 355 million with an EBITDA of INR 264 million. With leasing for the new towers picking pace, as already explained by Sanjay, the unabsorbed costs for these new assets would average out over the course of next couple of quarters. And of course, the flow-through would improve.

Coming to the updates on the residential projects. We have sold 17 new units during the quarter commanding a rate of INR 21,548 per square feet which is 14% higher than the rates averaged in FY '24. In all, 138 units have been sold since the relaunch of the projects. We expect the rate buoyancy to continue for the rest of the inventory.

Consolidated revenue for the quarter was INR 3.7 billion, a growth of 17% year-on-year.

Consolidated adjusted EBITDA was at INR 1.5 billion with a growth of 14% and margin of 40.2%. Consolidated PBT for the quarter was INR 0.8 billion versus INR 0.4 billion in the same quarter last year. Now coming to debt. During the year, the company spent about INR 1.3 billion across capital expenses which was majorly met out of internal accruals. The net debt as on 30th June '24 was at INR 15 billion marginally up from our debt post QIP in April.

Majority of this debt is allocable to capital work in progress and assets not yet operationalized of about INR 15 billion. These investments are expected to generate a ROCE of 18% to 20%.

We closed the quarter with a significant improvement in cost of finance standing at 8.43%, a reduction of 44 bps from March '24. I'm also happy to add here that ICRA has maintained positive outlook for Chalet with a new rating of A and upgrade from A minus.

The company continues to invest in its growth and has a capex plan of around INR 15 billion for the next 7 quarters for the announced projects, which will be largely funded through internal accruals. The only exception on this would be the new investments in Goa which, of course, we would apprise you in due course. The company is on a strong growth path. Our balance sheet is in a very comfortable position to support further strategic growth opportunities.

With this, let me open the floor for Q&A.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Archana Gude from IDBI Capital. Please go ahead.

Archana Gude: Hi, sir. Thank you for the opportunity and congratulations on the good set of numbers. Sir, I have a few questions. Firstly, somewhere the new CFO mentioned about the Goa market, so anything going on concrete on that front? I'm just curious to understand.

Sanjay Sethi: Archana, good to have you back. Look, we've just announced this morning that we have had a committee approval to conclude a process for acquisition of a land parcel in Goa. Those details have been put up in a notice and I referred to them in my opening statement. Just as a very quick macro overview on this transaction.

It's a 11-acre site on the beach front and we expect to get about 188 bays converting to about 170-odd rooms. This acquisition opportunity comes with approvals on the plot already. So our time to have shovels in the ground post-acquisition will be very short. Goa as you know seems to be a very strong market.

Archana Gude: Right sir. Absolutely. I think that is outperforming most of the markets. So secondly on Hyderabad market, I don't have this absolute number for occupancy, but when we look at this presentation at this double-digit growth of occupancy while ADR is being negative. So is that a prudent call from the management to focus more on occupancy part to boost the RevPAR or that was just one-off?

Sanjay Sethi: So these are all tactical initiatives

that are taken depending on market conditions, Archana. When we see months that are slightly stretched, we tend to, in advance, decide to go with the occupancy-led strategies to fill up the hotel. But Hyderabad had another thing at play. We added a new hotel, the second hotel, which is 100% occupancy. So blended occupancy for Hyderabad will show higher growth than last year because of the new hotel with 100% occupancy at play over here.

Archana Gude: Yes. Right. And sir lastly on the rental market how is the situation in Mumbai market? Do we see some momentum going ahead?

Sanjay Sethi: Yes. So look, we've got two, three deals which are literally on the verge of closing, but the formal closing has not happened, so we've not been able to announce them. I know it's a little frustrating that it's going slower than we expected it to. But we are very confident that out of the 2.4 million square ft of office portfolio that we have by the end of the calendar year, we would have around 90% of the portfolio leased out already. Bangalore is also moving very well.

Archana Gude: Sure sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat : Mr. Sethi firstly on the Hyderabad market, we have seen other hotel companies sort of see healthy RevPAR growth there. Now we understand that the new hotel which came in was already contracted at double-digit rate acceleration. So, if you could just point out why we have seen

growth decline there? Is it largely because of the election impact or is there anything else that play there?

Sanjay Sethi: No, just to highlight here we haven't seen a decrease in the Hyderabad market. In fact, our old hotel which is the Mindspace with 427 rooms, we have reported 13% RevPAR growth with an equal mix of rate and occupancy led growth in that hotel. And then, of course, The Westin HITEC which is a new hotel has had 100% occupancies with rate growing by 15% over there. So what you'll see there is because it is already 100%. It was 100% last year, you did not see any occupancy growth, but the rate is growing by 15%. As a result, the RevPAR growth even in The Westin HITEC, which is the second hotel, is 15%. So to summarize, Hyderabad Mindspace 13% RevPAR growth, Hyderabad HITEC 15% RevPAR growth.

Jaiveer Shekhawat : Sure. So, the reason why we are seeing a decline in the ADRs, the blended ADRs because the Westin the new one has lower ADRs. Is my understanding right?

Sanjay Sethi: Lower rate yes.

Jaiveer Shekhawat : Understood. Just on the Goa plans that you have. So could you talk about the time lines as well as the branding and price points that you might be looking at?

Sanjay Sethi: So look, from a time line perspective first, we expect to conclude the deal in the next couple of weeks. We are required to have a Board resolution authorizing the same when we go to the registrar. That's where we are right now. So, we've taken that approval this morning and we'll be

submitting the documents to the registrar there. We expect to conclude in two weeks' time. As far as the market is concerned, Goa continues to be a very strong market. This is a beachfront property with a proper beach in the front and a really good quality beach and water. From a positioning perspective, I think we've already said it will be a 5-star deluxe hotel which is a top category in India. There's nothing higher than that as far as Classification ratings go and we expect to compete with the best over there. And because we're getting this hotel with approvals already in place, this particular land with approvals already in place, time taken to move from acquiring it to starting construction is going to be a few months only, it's only a very short period. My guess is that we're looking at maybe havin

g shovels in the ground as soon as the monsoon ends.

Jaiveer Shekhawat : Right Sir, because you believe the other hotels, luxury hotels might take 5, 6 years. Do you think you will be able to do that in 3, 4 years?

Sanjay Sethi: Yes. I mean, we are very confident that 3 years will be up and about because a large part of Goa development process, time gets used up in approvals. This particular land has come with the approvals in place. So, it's only construction that we have to do. Design is already in place.

Jaiveer Shekhawat : Sure. Last question, I'm just trying to resolve the dilemma. So if you see the results across hotel companies over the last fourth quarter as well as this quarter, I mean, let's remove the election impact. What we have seen is moderation over the RevPAR growth front despite the fact that a lot of supply, which has been announced is not yet hit the market. And we have still started

Chalet Hotels Limited

July 26, 2024

Page 7 of 17

seeing moderation in RevPAR growth to say single digits. Now what's the outlook for the rest of the year? And do you think next year it could actually accelerate and reasons for the same.

Sanjay Sethi: Jaiveer, I actually expect it to sort of start improving from this quarter itself. And obviously, Quarter 3 and Quarter 4 will be very strong. And it's a little incorrect to compare Q4 to Q1 because there are massively...

Jaiveer Shekhawat : Ya actually we are seeing Y-o-Y growth rates in both quarters.

Sanjay Sethi: We've got our same -store growth rate at 9% on revenue, which is despite the election impact and election impact took us by surprise, I must admit that. I got that wrong. I thought the impact will be minimal. But somewhere during the election process, I think the mood and dynamics and the tone and tenor changed, which caused everyone to wait and watch. And that sort of slowed down travel for a lot of people in India. We have seen this impact across industries. Q1 has not been the best of quarters.

And when our feeder industries don't do well, we tend to have a slight slowdown. So I don't think that Q1 is a trend. Q1 is an aberration and the trend will continue down with growth quarter-on-quarter in the coming quarters even on a same -store basis.

Jaiveer Shekhawat: Sure. Wish you all the best and thank you so much.

Sanjay Sethi: Thank you Jaiveer.

Moderator: Thank you. The next question is from the line of Vikas from Antique. Please go ahead.

Vikas: Yes. Good morning sir and thank you for the opportunity. Sir my first question is how should we think about rates from current levels? We have seen ADR growth lowest in past 3 years and understandable because of the election and heatwave. One of your peers did talk about in the earnings call that they have seen a very strong recovery with rates moving more than 20% in the past 3 weeks. So what kind of outlook, are we seeing a very similar kind of a bounce back or is it more gradual for us?

Sanjay Sethi: Look, we don't give numbers that we have not disclosed, but I can tell you, July is looking very strong.

Vikas: Okay. Sure. And secondly, if I talk about our medium-term growth type. So obviously, rates are going to land somewhere in the mid-single digits once maybe from next year onwards. So on organic basis, is it a right understanding that we should also grow in a very similar range, a new addition could take our revenue to be in the double-digit growth?

Sanjay Sethi: So I just want to highlight again to you, Vikas, that even in the quarter that was affected by elections, heat and no wedding dates in this quarter, we've managed to give on a same -store basis, 9% growth. And I'm pretty confident that in the subsequent quarters, we will get the double-digit growth that we are targeting.

Vikas: Okay. And finally, on this Goa addition. So especially, I know last year we did talk about adding more rooms in this leisure market

. But last year Goa was looking very attractive. Now with the

Chalet Hotels Limited

July 26, 2024

other Asian markets easing up visa restriction and I think Goa was the biggest hit in Q1. So do you think that this path adding more properties in this leisure market is still the right way to go. This is my last question?

Sanjay Sethi: So Vikas while Goa has seen some softening in rates, the waterfront or seafront properties continue to get a premium and they continue to do very well. And when you say that the rates there have softened, they softened from a very high number. I think the range that is taking a little bit of a hit is that INR25,000 to INR 40,000 price point range. There's no resistance to the INR 15,000 to INR 20,000 price point range.

So we believe that this will continue to do well and the scarcity of seafront, beachfront assets is what is going to drive business for the acquisition opportunity that we have. There's a scarcity of assets on that category of hotels in Goa. A lot of them are moving into a landward side because beachfront properties are not available.

Vikas: And this is in South or North which area we are...

Sanjay Sethi: It's in South Goa.

Vikas: Got it. Okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Liladher Private Limited. Please go ahead.

Jinesh Joshi: Yes. Sorry, I have a question on Goa again. Sir, if I heard you right you mentioned that we'll open about 170 -odd rooms in Goa and within 3 years the hotel should be complete. Can you share what can be ARR and what is the total capex outlined for this?

Sanjay Sethi: Jinesh are you there still.

Jinesh Joshi: Yes sir. Should I repeat my question or you got it.

Sanjay Sethi: I have heard your question I was going to starting off on giving you the answer. See Jinesh what we have right now in Goa is what we can share is that this is a very nice seafront land parcel which comes with approval, 11 acres in size. The current design has about 188 -odd rooms drawn up, but those are bays so when we convert and add some suites etc it might reduce to about 170, 175 rooms. The market is very strong for the location that we are speaking about. It's a premium location and the product will clearly be at the high end.

Jinesh Joshi: Sir, by any chance, will you be able to share the capex number because land costs you have already shared, any rough indication you would want to give?

Sanjay Sethi: No. At this point of time, we'd not like to share those numbers. We will come back to you with final numbers, with a little more diligence put in place.

Jinesh Joshi: Sure sir. My second question is on our annuity business. So, if I compare our leased area versus last quarter I think there has been an increase of about 0.1 million square feet. However, our annuity revenue on sequential basis is flat at about INR 35 odd crores. So, if you can just give

Chalet Hotels Limited

July 26, 2024

the reason behind this. And also, our EBITDA margin has declined to about 74% in this quarter which is a bit low when I compare it with our earlier quarter. So any comments on that as well?

Sanjay Sethi: Yes. I will have Nitin comment on this. On the EBITDA margin, the obvious reason is we have unoccupied inventory, we have to carry the cost of that, and they are not charged off to CAM.

And therefore, that's showing that margin impact. But Nitin will come in and give details to you.

Nitin Khanna: Jinesh, thanks for the question. The annuity business, if you see Quarter 1 FY '24 to FY '25, it has actually increased by 25%. And the reason is the extra inventory, which got leased out. And the reason for cost increase was purely that there is an unabsorbed common area maintenance and property tax.

Sanjay Sethi: That will get charged to CAM of tenants and our margins will then further settle

down and  
improve.

Jinesh Joshi: Sure, I got that. But my question was more on the sequential revenue front because sequentially and according to your PPT whereby we see that the leased area has increased from about 1.1 million square feet to about 1.2 million square feet. But our revenue, if I look at 4Q and 1Q, they are flat at about INR 35 crores despite increase in area by 0.1 million square feet. So that was the question.

Sanjay Sethi: So our revenue has actually increased by 25%. That's what Nitin shared earlier. We were INR285 million at Quarter 1 FY '24. It has increased to INR 355 million now which is a 25% increase.

Jinesh Joshi: I will take this offline, sir. One last question from this side that is with respect to our occupancy in Pune which is down by about 16%, 17% and we mentioned that this is primarily due to the capacity inching, but if I remember right we had inaugurated these rooms in October '23 and about 8 to 9 months have already lapsed with this new inventories operational. So I believe it did get some time to stabilize. I just wanted to check if there is something more to read into this

occupancy number which has fallen in double digit?

Sanjay Sethi: Sorry, the occupancy has fallen only on capacity addition. The actual occupancy of the old inventory is grown. So on a daily basis, the rooms occupied per day have increased substantially.

To your question of when it will stabilize? My view is that the quarter October to December, which will be post the completion of 1 year of that new inventory, we will see normalization in that hotel. We are already seeing a very strong move in July this year.

Jinesh Joshi: Sure sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani : Yes. Thanks for the opportunity. Sir, on the hotel business if you look at our number or for the industry, it has been the case that locations where we have seen occupancy increase, rates have reduced. And where ARR has been higher, occupancy has reduced. So, it looks like there is demand, but it is waiting to come at a particular rate. What would be your view on the dynamics which is playing out right now in this backdrop?

Chalet Hotels Limited

July 26 , 2024

Page 10 of 17

Sanjay Sethi:

Prashant Biyani :

Sanjay Sethi:

Prashant Biyani :

Sanjay Sethi:

Prashant Biyani :

Sanjay Sethi:

Prashant Biyani:

Moderator:

Sriram Srivasan : Prashant, thank you for your question. So look, revenue management is a key initiative that drives efficiencies into the hotel industry business. Seeing that the quarter is looking a little slower, our strategy in some of the hotels became an occupancy-led strategy as against rate-based strategy for this quarter and especially for this quarter because we had an impact of the election for almost 1.5 months out of the 3 months that we had. And I think that's worked favourably for us. And again, I want to repeat, at 9% growth over same quarter last year on a same-store basis, in a quarter that was challenged, I think it's quite a strong performance. On an overall basis, we've grown by 15%, that's because of capacity addition.

And you've got to remember that one of the hotels, Dukes Retreat has been completely out of action for almost 43 days out of the 91-odd days in the quarter. The reason we shut down that inventory was when I was on the on-site in second week of May. I felt the guest experience is getting compromised on account of the large construction activity going around. And as a result, because we are starting Phase 2 which involved some breaking up structures, old structure, I just took a call not to allow guests to have that experience, so we shut down the inventory.

We are now opening before the 15th August long weekend with 37 new rooms and the new public areas that are ready

for guest use. It will, of course, not be a full hotel in play. The full hotel in play will only come in during the December month with all its frills and guest experiences. But for now, we're opening 37 rooms with the new restaurant, a new bar, a new cafe, a new reception block and some new suites.

And it would be opening at around INR15,000 ARR.

Yes. It's public knowledge. You can go to the website and see what rates we have opened hotel out at , post in the second ...

And sir, on the Goa property, while you have shared all the details that you want to but the kind of property that we want to make there, similar property would be charging what sort of an ARR in that location currently?

So look beachfront properties in the 5-star deluxe category, are hovering around the INR17,000 to INR25,000 price point. So that's the range, I think, when it opens 3 years from now with an adjusted inflation for those 3 years, we should be able to open a t.

And do we have to design it or we have the designs available?

So basic approval to start construction design is already done. All municipal, environment and other approvals are coming as a part of the deal. And we will do the registration. Right now, we are working on the closure of the deal.

Okay sir. That's it from my side. Thanks.

Thank you. The next question is from Sriram Srivasan an individual investor. Please go ahead.

Many thanks for the opportunity. Hearty congratulations to the management with respect to successful completion of QIP and a reduction of debt and upgradation in the credit rating and

Chalet Hotels Limited

July 26 , 2024

developments at Goa . Many congratulations first of all sir. My question is more on the balance sheet side as well as on the occupancy as we have been expanding our portfolio in the next 3 to 4 years kind of time period.

Sir, if I look at from the balance sheet perspective, we have been likely to invest about additional INR 200 crores , INR130 crores including this Goa asset which we are planning to acquire as per today it's likely to happen in about next 3 to 3.5 years kind of a time period. So what is the kind of debt and equity or else internal accruals we have been planning for this INR137 crores of an investment?

Sanjay Sethi: I will let Nitin come in and update you.

Nitin Khanna: Yes. Thanks for your question. Look capex for next 2 years what we are planning is around INR15 billion. Around INR 650 crores is basically for the new commercial task. Around INR600 crores is for the hotels which includes DIAL, Dukes, our Bangalore addition as well. And INR250 crores out of which INR 100 crores is our normal repair. So basically, the capex funding, if you see basically coming from our internal accrual, sir.

Sriram Srivasan : So the entire 1,500 what's we have planned is more from an internal accruals . We have been increasing the debt from here at this level?

Nitin Khanna: Yes. The peak debt will remain at the same level. We don't expect more leverage on this, maybe around a little bit, but yes, more or less the peak debt will remain at the same level.

Sanjay Sethi: Sriram from a cash flow perspective there might be some mild increase because you've got to match the cash flow cycle of internal accruals to projects. But it is going to be very much under control and a very balanced approach to the treasury and the debt equity management.

Sriram Srivasan : Understood, sir. So the other question is that what is the INR 1,500 crores of debt what we're carrying? What is the long -term and short -term borrowing , sir?

Sanjay Sethi: Yes INR 1,500 crores are you talking about the how many years we will spend this this over, right?

Sriram Srivasan : No. At the balance sheet level what is the long -term borrowing and short -term borrowing sir our of INR1,500 crores?

Sanjay Sethi: Long -term and short -term borrowings. It's all long term.

Nitin Khanna: Yes, majorly long-term borrowings.

Sriram Srivasan : Okay. So significant debt has been reduced in the short -term borrowings. If my understanding is correct?

Nitin Khanna : Yes, you're right.

Chalet Hotels Limited

July 26 , 2024

Sriram Srivasan : Understood, sir. And more on the occupancy levels. As we have been inching towards almost like more than 800 rooms of additions in the next 3 to 3.5 years of time period. So what is the kind of an occupancy that we can get there , we can able to manage at 72% to 75% next 3 years?

Sanjay Sethi: So I think now with today's announcement, you can add another 170 rooms to the 800 - 850-odd rooms that we're talking about. So roughly, our pipeline is now 1,000 rooms over the next 3 years or so. In terms of occupancy, look, currently, I think last year, we closed at 72%, 73% occupancy. We expect that to grow by 200 to 300 bps more going forward.

But there will always be cycles when we open a hotel, it starts up with lower occupancy and over 4 quarter period , it builds up. So those individual hotel impacts will be there on the portfolio level. But on a same -store basis, seeing mid -70% occupancies or maybe even higher in some of the hotels is pretty easy to deliver.

Sriram Srivasan : Understood, sir. And the last question is that on the sustainability of the margins at upward of 40%. I think that the industry has been in a very good shape I mean in good shape and very good scale. So I hope that we've been able to sustain at more than 40%, 41% kind of margins ?

Sanjay Sethi: We are confident on growing those margins. Thank you, Sriram.

Sriram Srivasan : Thank you sir.

Moderator: Thank you. The next question is from the line of Raghav Malik from Jefferies. Please go ahead.

Raghav Malik: Thank you for the opportunity. Sorry if I missed this sir could you just share some colour if possible on RevPAR across cities like how it's been trending post Q1 in July?

Sanjay Sethi: So Raghav thank you for your question. But we don't give forward -looking details out. What we typically do is if the earnings call is happening post a month of the subsequent quarter, we tend to disclose that on our earnings presentation. But since this is not end of the month, we've not given that as a part of the presentation. And I'll not be able to share the details but let me assure you that July is looking very strong, both on occupancy and rate front.

Raghav Malik: Okay. I think I'll go through the presentation. I didn't actually see it through on the BSE. So I'll just go check. Could you also just share the current inventory in terms of hotels and rooms that we have in total?



Sanjay Sethi: So currently we have 10 hotels with roughly 3,052 rooms. We have now about 1,000 rooms in the pipeline, and you will find the details of the presentation. What you may not see on the presentation because the presentation got sent out last evening is the addition of Goa in the pipeline. But 10 operating hotels, 2 hotels are getting capacity addition within the same. 2 hotels being added as new inventory. And today we've announced Goa so that becomes the 13th.

Raghav Malik: Thank you sir.

Moderator: Thank you. The next question is from the line Adhidev Chattopadhyay from ICICI Securities. Please go ahead.

Chalet Hotels Limited

July 26, 2024

Page 13 of 17

Adhidev Chattopadhyay : Good morning. Thank you for the opportunity. First question is you alluded to around 90% leasing in our Powai and Bangalore rental assets by March. So getting into '26, what could be the broadly the exit rental income for '26 rental and EBITDA once this 90% leasing is achieved? That is the first question?

Sanjay Sethi: Once we've got the current 2.4 million square foot leased out, we expect roughly mid of INR280 - odd crores from these assets on an annualized basis.

Adhidev Chattopadhyay : Okay. EBITDA of INR 280 crore

es which is at 100% occupancy, or you are referring to right?

Sanjay Sethi: 95% occupancies .

Adhidev Chattopadhyay : Okay fine. That is clear. And sir just I don't know if you covered it for our NCR hotel, right, any developments over there you'd like to share in terms of what we are doing there or are we going to improve, upgrade the hotel or what is the plan over there for the rest of the year?

Sanjay Sethi: As I shared last time, we're doing two things over there, two big initiatives there. One, we are repositioning the Courtyard by Marriott and upgrading it to a Marriott. It requires some amount of minimal capex about INR8 crores - INR12 crores. And then we've got the 6 -acre land parcel. What we're doing now is developing a master plan for this property for going forward, and we will phase additional inventory depending on the occupancy pace up and the demand pace up. So for now, we're developing a master plan, how ultimately this resort can look like, but we will phase additional capacity depending on demand. From a positioning perspective, we expect to have the next 6 acres that we will develop actually reposition the asset even further upwards from where it is right now.

Adhidev Chattopadhyay : Okay. Sir and just 1 more question, if I may. Sir, on our Delhi hotel line that is a large one, could you just tell us the broad construction status on that? Where are we on the structure? And when do we start the hotel interiors over there?

Sanjay Sethi: Yes, a quick update on that. This hotel, as you know, is in a shell lease from Delhi International Airport Limited, the shell is being developed by them and their rental start post a certain period after they complete the shell. So it is in the interest to speed up the shell development because their financials are aligned with us.

Where they stand right now the work is going on the substructure work. Because this is 3 substructure floors, that's what will take time. Once you get to typical development, the hotel is only ground plus 7 storeys, it will move very rapidly. As of now, we expect our team to get into the site by January to start lower floor work on the MEP side. And then as they keep handing over every floor to us, we'll continue improving. Our current target continues to be last quarter FY '26.

Adhidev Chattopadhyay : Okay. So, I understand that the majority of capex is scheduled for next year, in the next financial year?

Sanjay Sethi: Yes, because the shell is being done by Delhi International Airport Limited.

Chalet Hotels Limited

July 26, 2024

Page 14 of 17

Adhidev Chattopadhyay: Sure. That was very helpful. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Achal Kumar from HSBC. Please go ahead.

Achal Kumar: I have two, if I may, please. First of all, now given that we see a possibility of interest rate going down, I mean do you think that could have some impact or some positive impact either on the more Greenfield projects or do you think that may not be the case given that any -which ways capital cost remains high.

And in terms of inventory overall, do you have any sort of kind of colour in terms of how much growth do you think coming from greenfield, brownfield and how much from the conversion?

That is my first question. And secondly, in terms of demand. So in the last 4, 5 months, I think the airline demand has significantly softened to 4% - 5%. Do you think that is because of the high fares or do you think that's an underlying weakness in demand? And if that is the case how

do you see the demand for the hotels?

Sanjay Sethi: Great questions, Achal. So firstly, on the interest, I mean, we don't have any indication of interest rate drop. But if it does happen, it will affect us positively because we are a capital-intensive business. We have a very healthy rate even now. And obviously, when the market drops rates, we will

get the additional benefit of that. And going forward, we do expect that our cost of capital will continue to move downwards. Also, you must remember that our rating is improving. It's already improved in the last quarter. We expect further changes on this going forward. So we expect capex cost to be well under control. And if interest rates come down, obviously, it will help our IDC and therefore, help the balance sheet. On the inventory addition, as I mentioned earlier, we have 3,052 rooms now. We've got roughly 1,000 rooms in the pipeline now with 3 additional hotels potentially. And so we are on target for a 4,000 room sort of inventory in the near future of existing operating hotels as well as pipeline. And we expect to add to the pipeline going forward further. So therefore, we expect to be in the growth mode for some time to come. On the airline demand softening up and the impact on hotels. Look, yes, there is a direct correlation to some extent. The opportunity is that the difference between demand and supply of hotel rooms in key cities in India continues to be favouring the market and the industry. So therefore, that will continue to get growth from.

Airport or airline seats do sometimes choke up demand, and we see that happening or playing a role in Mumbai. And the addition of a new airport in Mumbai which is expected sometime next year, it's clearly going to be a big positive for this city and it should help the hotel industry in this city immensely. And given that almost 60% of our portfolio at Chalet today is in Mumbai, we expect that will help us significantly.

Achal Kumar: Okay. Thank you. Wish you good luck.

Sanjay Sethi: Thank you.

Moderator: Thank you. The next question is from the line of Rajiv Bharati from Nuvama. Please go ahead.

Chalet Hotels Limited

July 26, 2024

Page 15 of 17

Rajiv Bharati : Good morning, sir. Thanks for the opportunity. Sir, is this 9% number same store that is for the hospitality or for the entire business?

Sanjay Sethi: Hospitality.

Rajiv Bharati : So, your ARR is up 4%, right, on the same-store basis.

Sanjay Sethi: That's right.

Rajiv Bharati : So remaining is F&B, MICE...

Sanjay Sethi: Yes F&B and occupancy also.

Rajiv Bharati : Yes. So, I mean, especially on the MICE bit, have you seen traction here or that has been slow this quarter?

Sanjay Sethi: MICE has been slow given that the elections are on and there were no auspicious dates of weddings. So, the wedding dates pushed into the Quarter 2. In fact, if you go through any of the industries that rely heavily on weddings, you will find that their performance last quarter has not been great. Quarter 2 is where they see a lot of movement, and we are seeing the impact of that in our Courtyard by Marriott Aravali, where weddings have started this month, and we're seeing very positive traction.

So, from a MICE perspective, we'll expect, as always, that H2 will see a serious scale up. That's always the best half for the hotel industry in any case. So we expect occupancies and rates to grow quite sharply starting October.

Rajiv Bharati : Sure. And sir on this Four Points asset I thought you plan to renovate that sometime in near future, so any update on that?

Sanjay Sethi: Yes. So, we've almost completed the mockup room which is the step one to starting renovation of the room part of the hotel. And as soon as that's finished and approved by us we will get into renovating the hotel. We will probably take two or three floors at a time, and we should complete the project in around 10 months' time.

Rajiv Bharati : And sir including this asset renovation plus, let's say, the Goa thing, did you mention the peak debt between the call I missed that number?

Sanjay Sethi: So right now, the debt is around INR 1,500 crores. This may go up marginally over some period of time. Very little, but that will probably be the peak. And

going with our pipeline right now, I

don't think we are going too much over that point if I start scaling down in about a year from now.

Rajiv Bharati : Sure. And lastly, on this Bangalore ARR improvement. So, we used to be at a premium to, let's say, your competitor. And now if the premium is restoring, how much juice was left in this? In the sense do you think we can go another 30%, 40% on business side?

Sanjay Sethi: So, I think Bangalore's ADR has been a very positive story. And I think occupancy is probably the upside there. Bangalore is again driven by H2 performance, which is the primary half for the hotel, and we expect occupancies to move sharply upwards going forward for Bangalore, and it will continue to improve on rates also. Another addition update, Rajiv, is that the 130 rooms will also get added to Bangalore in December. Maybe even slightly earlier than that actually.

Rajiv Bharati: Yes. Thanks a lot.

Moderator: Thank you. The next question is from the line of Saurabh Jain from HDFC Life Insurance. Please go ahead.

Saurabh Jain : Yes. So just a follow-up on the previous participant's question. So you said that Q1 was weak in terms of MICE demand because of the elections and the heatwaves. But when I see the F&B growth that is higher than the room revenue growth. So can you just explain on that why is that?

Sanjay Sethi: So look F&B we have been unlocking opportunities of F&B in our hotels over the last couple of years. We have sweated the assets by identifying more non-revenue earning areas and developing them into revenue earning areas largely on the office side. For example, in Powai, we squeezed out 4 more rooms, but then I think the big initiative there was opening the two Japanese outlets the Japanese Tapas bar and a Japanese restaurant. Both have been received very well. The Indian restaurants have got renovated.

Then in Q1, we also have the benefit of the outdoor poolside Indian restaurant that we've opened at Sahar. That's been helpful. And banquets we've managed to do well. All this combination combined together has given us the F&B growth in our hotel. So look when room demand gets challenged we play F&B strategies, we play occupancy-led strategies and this is the outcome where we've been able to deliver what we've been able to deliver and this I'm sure, is not the reference quarter for a trend. The trend will be established in the subsequent quarters.

Saurabh Jain: Okay. Thank you. That's it from my side.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. Sanjay Sethi for the closing comments.

Sanjay Sethi: Thank you, Jerald. Ladies and gentlemen, the closing comments continue to be on a positive note. The tailwinds for the industry continue to be very strong. The demand supply arbitrage is favourable. Chalet has a very strong growth pipeline which is asset-led growth and clearly will add significant numbers to our P&L balance sheet and with 4,000-odd rooms now on the cards. Our BD team will continue to work on additional capacity opportunities in line with our strategic destinations. And I want to repeat those strategic destinations or our strategy for growth. We'll continue to focus on the traditional Chalet strategy of big box, big city hotels as and when we get opportunity. In addition to that our leisure play is centred around drivable distances from the big cities of Delhi, Mumbai, Bangalore and Hyderabad and also the deep markets of Goa. And maybe Rajasthan if we get an opportunity there.

Chalet Hotels Limited  
July 26 , 2024

I do want to add that one of the hotels in the pipeline that we haven't spoken too much about is the one in Kerala where we have 4

2-odd acres on the outskirts of Trivandrum with a beautiful lake front where we will in Phase 1 develop 150 rooms in the convention centre. And then slowly add capacity of cottages or villas going forward.

With that, I conclude this quarter's call. Thank you very much for your support and feel free to reach out to me and my team for any further information you may need. Thank you.

Moderator: On behalf of Chalet Hotels Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Nov 2024

Chalet Hotels Limited

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CIN: L55101MH1986PLC038538

October 30 , 2024

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on October 25 , 2024 , in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2024 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 13

"Chalet Hotels Limited  
Q2 FY '2 5 Earnings Conference Call "  
October 25, 202 4

MANAGEMENT : MR. SANJAY SETHI – MD & CEO  
MR. NITIN KHANNA– CFO

Chalet Hotels Limited  
October 25, 202 4

Moderator: Ladies and gentlemen, good day, and welcome to the Chalet Hotels Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited.

Thank you, and over to you, sir.

Sanjay Sethi: Thank you for joining us today for the earnings call on the performance for Chalet Hotels Limited Q2 FY '25 results. To begin with the Indian hospitality sector seems to be doing well and bounced back this quarter to demonstrate strong performances. It has been driven by overall positive environment supporting travel.

From a macroeconomic perspective, India is navigating a mixed environment. The IMF predicts steady growth and inflation remains relatively under control. Though challenges like global geopolitical uncertainty continue to persist.

During Q2 FY '25, we've been able to demonstrate continued growth across key metrics when compared to the same period last year. Consolidated revenue of the company increased by a healthy 20%. EBITDA also saw 20% rise from Q2 of FY '24.

Within the Hospitality segment, our revenue grew by 18% accompanied by a similar increase in the segment EBITDA. Our portfolio occupancy stood at 73.6%, up 40 bps, with the average room rate showing a 10% improvement over Q2 FY '24, contributing to a year-on-year growth in RevPAR of 10.3%.

On a like-to-like basis, the portfolio RevPAR is up by 12%. Within the portfolio, Hyderabad led the occupancy improvement, Bangalore followed by Hyderabad led the pack on the room rate growth. For the rental and annuity portfolio, we clocked a revenue of INR419 million, a growth of 39% on the same period last year, and 18% improvement on the previous quarter.

The residential real estate segment continued robust sales with strong rates per square foot. We have sold 32 apartments flats in this quarter, and I'm happy to share that we started clocking a new high rate of over INR21,000 per square foot. Nitin will later on share some more details on this.

On the leasing front, we have picked up pace in the quarter with over 2 lakh square ft of LOI being executed. We are confident of our target of achieving a majority of the leasing by end of this financial year. We continue to grow our portfolio, and I'm extremely happy to share that we have hit a strategic milestone with the acquisition of an 11-acre beachfront land parcel in Varca, Goa. The resort is expected to open in approximately 3 years from now and will feature around

Chalet Hotels Limited

October 25, 2024

170 keys. The resort will position at the higher end of the pyramid and likely to be an upper upscale resort.

Some updates on the ongoing projects. I'm afraid there's been a little bit of a delay on the opening of the or rather the full opening of the renovated and upgraded, The Dukes Retreat by a quarter. We expect to launch it in its new avatar by end of the financial year. However, our graded opening of hotel rooms is already happening every month. And currently, we have 37 rooms, a restaurant, a bar and a swimming pool in operation.

The Taj at the T3 Terminal in Delhi international airport, which was scheduled to open by end of FY '26 is now delayed and expect

ed to open potentially by June of 2026.

On the other projects, the work on the new hotel at Airoli, CIGNUS 2 in Powai and the additional rooms in Bangalore, are all on track. In Q2 FY '25, we have commenced the renovation of Four Points by Sheraton, Navi Mumbai and 35 rooms have been taken out for the upgrade that we are doing, and therefore, they are out of action for this quarter. Completion of this upgradation is set for July 2025.

I'm delighted to share that Chalet Hotels won the KPMG ESG Excellence Award 2024 in the midscale, small cap companies and has also retained the spot as the Best in Workplaces for Women program in 2024 in our category of companies in India.

Overall, ladies and gentlemen, we're expecting a robust H2 driven by domestic and international corporate travel, MICE and the wedding segment. We also expect the leasing, sale of residential units and gradual increase in inventory at The Dukes Retreat and a Bengaluru Marriott

Whitefield to assist the subsequent quarters.

I will now hand over to Nitin Khanna, our CFO, to take you through the financial updates with some final details. Thank you.

Nitin Khanna: Thank you, Sanjay. Good morning, ladies and gentlemen. Welcome to another quarter's call as we continue the streak of historically best performances. This is one of the historically best performances for quarter 2. On the financial updates, in the Hospitality segment, ADRs have had a double -digit growth at 10% with stable occupancy at 74%. The result in RevPAR was at INR7,756, with a growth of 10%. Excluding the newly acquired hotel at Aravali and The Duke's Retreat, which is under full renovation. On a same -store basis, the occupancy expanded by 200 bps and RevPAR grew by 12%.

It will be pertinent to note that the total room nights sold were higher by 7% during the same period. Hospitality revenue for the quarter was INR3.4 billion a growth of 18%, led by a combination of rate growth, inventory additions and a healthy F&B growth.

EBITDA for the segment came at INR1.4 billion with a growth of 18%. And we maintained margins at 41.4% within the quarter, led by prudent cost management. It would be pertinent to note that on a same -store basis, margins improved to 43.4%, which is an expansion of 200 bps.

Chalet Hotels Limited

October 25, 2024

Page 4 of 13

As we continue to add more hotels and diversify the positioning and segments, our margins for various quarters may see a marginal shift accommodating the seasonalities of the respective micro markets and segments.

On the rental and annuity front, our revenue for the quarter was at INR419 million with an EBITDA of INR323 million. And plus, we are already seeing flow -throughs improving.

On the update on the residential project, we have sold 32 new units during the quarter, commanding an average rate of INR21,835 per square feet -- this is again higher by about INR300 from the previous quarter. In all the 253 units have been sold out of 321 units, that is 80% sales have been achieved. Overall collections during H1 was INR2.4 billion, and we have outstanding receivables of INR3.4 billion as of September 30.

From a consol perspective, the consolidated revenue for the quarter was INR3.8 billion, a growth of 20% year -on-year. Consolidated EBITDA was at INR1.6 billion with a growth of 20% and a margin of 40.6% for the quarter. Consolidated PBT for the quarter was at INR0.8 billion versus INR0.4 billion in the same quarter last year.

Just to touch an update on the DTA. The recent Finance Act withdrew the indexation benefit on long-term capital gains tax. And as a result, the company reversed its deferred tax assets to the tune of INR2 billion within the quarter under discussion, which had onetime noncash impact.

This has resulted in a negative PAT of INR1.4 billion for the quarter. Without this impact, the PAT has grown 75% on a year -on-year basis.

On the debt part, d

uring the year to date, the company has spent about INR4.1 billion on CapEx and land acquisitions, which was majorly met out internal accruals. The net debt as on 30th September '24 was at INR16.6 billion, which has been pretty much stable. We closed the quarter with an average cost of finance standing at 8.52%, a reduction of 35 bps from March '24.

I'm happy to further add that within the quarter, Chalet has received ratings upgrade from India Ratings, which moved from A - to AA and from ICRA, which moved from A to A+. We have also received a new rating from CRISIL of AA -. The company has been actively investing in its growth and has a capex plan of around INR15 billion for the next 6 quarters for the announced projects. These will be largely funded through internal accruals. We will continue on our growth trajectory and our balance sheet is in a very comfortable position to support further strategic growth opportunities.

With this, let me open the floor for Q&A.

Moderator: The first question is from the line of Vikas from Antique Stock Broking.

Vikas: Sir, my first question is, in the opening remarks, you said that H2 is going to be robust. So is it fair to assume that in terms of ADR Y -o-Y growth, do you mean better than Q2 or at least double digits for second half?

Chalet Hotels Limited

October 25, 2024

Page 5 of 13

Sanjay Sethi: Hi Vikas, thank you for your question. As you know, we don't give forward -looking numbers, but you'll also know that the H2 typically in our industry is significantly better than H1, we expect that sort of trend to continue. But it looks like we are good for decent Q3 and Q4.

Vikas: Sir, I was just checking on Y -o-Y terms? So okay, that's fair. Secondly, if I refer to the industry

reports, which have come in the past couple of months, Mumbai has seen a strong double-digit growth. But I'm surprised to see we have reported 7% growth in Mumbai in terms of ADR, especially when we started very strong in July. Can you please help us understand that?

Sanjay Sethi: Sure. So look, I haven't seen the reports that you are referring to, but I think Mumbai for us reported a 7% growth in ADR, which is a healthy growth given that we were trying to stabilize the Powai hotel. We've also had new supply that's come into the Navi Mumbai market. So to some extent, there is slightly stronger competitive environment in the Navi Mumbai. Of course, the Navi Mumbai hotel of ours is not a very large hotel, 150 rooms. So the impact will be in the overall scheme will be that much lower.

But I think a 7% growth in a quarter where we had extreme weather conditions, including flooding, where we saw softening up of September. In fact, the September first 20 days were pretty weak. And while September numbers are not really out from the consultants, I think we see that we saw a bit of a disappointing September that went by.

However, the last 10 day of September picked up very, very aggressively, and we were able to sort of close the month reasonably well. In terms of the numbers of growth. I think we've had a balanced growth between JW Sahar and Westin Powai in terms of rate.

Powai has also improved occupancies Marriott Executive Apartment hasn't had a growth on ADR, but have grown on the occupancy side. And the Four Points by Sheraton has had an ADR growth of 5% and given the competitive environment that it is in, with occupancy, 83% and ADR growth of 5%, I think the hotel has held out very well in those competitive landscape and maintained its leadership position with a strong margin.

Vikas: Okay. Sir, my last question is how is the overall corporate rate hike cycle looking like. And in terms of, if I look at the Hospitality ADR growth for Mumbai versus the other regions. The other region growth is almost 3x. So do you think this trend will continue in the near to medium term as well? That's my last question, sir.

Sanjay Sethi: So V

Vikas, on the occupancy side, Mumbai is reporting slightly higher occupancies than Hyderabad and Bengaluru. And we believe with that stabilizing, we see that Mumbai will continue its rate growth path in the number that we've sort of delivered in Q2. Hyderabad and Bengaluru, will continue to grow strongly. And I think there's an opportunity of growing occupancies there in addition to the rates. So that's what we are likely to do in the quarter 3 and quarter 4.

In Delhi, at the Aravali, we expect both occupancies and room rates to grow very aggressively in H2 because that's a seasonal hotel with winters being the best part of the year for them, and the wedding season is kicking in. We also expect the wedding season to support JW Sahar and the Powai hotel very strongly. Novotel Pune has done extremely well, and it has actually

Chalet Hotels Limited

October 25, 2024

Page 6 of 13

absorbed the 88 new rooms we opened and being able to deliver with the addition of 88 rooms, 78% occupancies and with an ADR growth of 10%. So I think it's a strong growth there. Hyderabad Mindspace, we've seen rates at the Mindspace be slightly lower in terms of growth, but the occupancy has jumped 15% point, which is a very strong jump in Hyderabad. And Westin HITEC, which is the hotel that we have a single client in place has had a rate growth of almost 30% and occupancies, of course, in that hotel is 100%. So overall, same-store growth on ADR of 9%, same-store growth in occupancy over 2 and a half percent, 3% and overall growth on RevPAR basis, we are 12%. It's the same-store growth that we have as a story, which is, I think, a very healthy one.

Vikas: Sir, just one thing that we missed was corporate rate, rate hikes. Are you able to...

Sanjay Sethi: Apologies for that. Our corporate rate hike cycle will start going forward. I will let the team sort of work that out before we come back with any commentary on the same.

Moderator: The next question is from the line of Karan Khanna from AMBIT Capital.

Karan Khanna: So just a couple of questions from my side. Firstly, I think in a recent interview, you spoke about increasing the indexation towards leisure to about 20% of the portfolio, while office assets should contribute to about 25% of the total P&L. Can you talk a bit about what kind of markets will you be targeting beyond Goa? And secondly, where we are in terms of the cycle, the Hospitality cycle. Do you think allocating capital towards the leisure portfolio at this point seems an attractive proposition?

Sanjay Sethi: Yes, we believe that getting about 20% of the portfolio in the leisure space is a good strategy. It will continue to support overall growth for the portfolio. Currently, we've got The Dukes at Lonavala. We've got Aravali outside Delhi. We operate a small resort in Madh-Marve for the Group. And Goa is something that we've announced.

Look, it's all going as per stated strategy over the last few years. There's no sort of major deviation to that. We have stated we'd like to be in the big markets of Goa and Rajasthan. We

said we'd like to be in the driving distances of Delhi, Mumbai and other big cities in the country. We did say that we'd like to be in the Himalayas somewhere. Those are all opportunities that we are looking at.

As and when something comes by, we will come back to all of you and share whatever we're doing on the pipeline growth side. Goa, we believe, can be deeper than just one hotel, and we'll continue to look for opportunities more than just the Varca opportunity that we have currently. Karan Khanna: Secondly, on Bangalore, where you have about 120, 130 keys getting added at the Whitefield property. Now we've seen another listed hotelier also acquiring an asset in the Whitefield micro market, and they are looking to add another 200 keys to the existing portfolio. So can you talk a bit about the Bangalore, in particular, the

Whitefield micro market? And with the kind of supply that's coming, how should we think about the overall occupancy and rate growth potential in that micro market?

Chalet Hotels Limited  
October 25, 2024

Page 7 of 13

Sanjay Sethi: So Karan, you referred to another hotel company adding inventory and announcing more growth. So have we -- it just should give you more confidence in the market given that two listed hotel investment companies are looking at growing in the Whitefield market. So it's clearly a positive market, and we'll continue to explore that. We are only a few months away from opening these rooms. And we believe by end of this current quarter, we'll have those rooms ready and maybe by January, with licenses in place, we could start commercial operations for those additional rooms.

Karan Khanna: And lastly, on Koramangala Bangalore project, where you managed to sell about 32 units this quarter, which is also at a 16% higher ASP versus FY '24 average. So could you talk a bit about what kind of time line are you looking at for monetizing the balance 68 units in this project?

Sanjay Sethi: So I think it's another 2 to 3 quarters at most. I think 3 quarters is a safe assumption to make. We also have that 140,000 square foot of the office tower, which is as of now, we're looking at selling, but closer to completion. We believe that there's still some upside on the rates for the balance 68 units and we'll continue to pursue that. That's the time line.

Moderator: The next question is from the line of Raghav Malik from Jefferies Group.

Raghav Malik: So I just wanted to ask a bit more about the RevPAR essentially. I know you don't give guidance, but how is the RevPAR tracked across the 3 months for the quarter, if you could tell us? And is there any further sort of normalization like similar to how we've seen in the industry where in July, August has been much stronger than in September, slightly on the lower side with the mid - to high kind of single -digit number?

Sanjay Sethi: Yes. So Raghav, thank you for the question. July was a strong month. We saw August do reasonably well. And whilst you are concerned, as I said earlier, on the first 20 days of September, we saw a very strong uptick once the holidays and the heavy rains were over. And we caught up the gaps and close with the positive story or variance to the previous year's quarter 2, which was reassuring. We do not give guidance on going forward. But on a same -store basis, last quarter, we grew by 12% on a Rev PAR basis. And I see no reason why we will not have similar range of growth going forward.

Raghav Malik: Okay. Okay. And my other question is on the capex that has been slightly pushed in terms of Taj Delhi and Hyatt Regency. So could you just provide some more detail on that, please?

Sanjay Sethi: So Taj Delhi as many people on the call will know, is a shell that's been developed by our landlord there, which is Delhi International Airport Limited. They've had some challenges with the monsoon and flooding of the site, it is a 3 basement site. The pace has picked up extremely well in the last 1 month or so, I'm very happy with the pace of development there. But it still resulted in some delays and we thought it's best to at least guide all of you on the delay that's there, so you are aware of it. And therefore, we expect it to be completed now maybe in the month of June of 2026.

We expect our team to move into the site in January. That's when the site will be ready for our team to start work on the MEP and the fit -out side with the low floors and basement. And then progressively, they'll continue to give us a floor at a time. It's not a very high building, it's just

Chalet Hotels Limited  
October 25, 2024

Page 8 of 13

ground plus 6 stories or ground plus 7, I don't recall it exactly, but in that range, and we are hoping that with the 1.5 years from January, we should



d have completed the fit-outs and the hotel will be ready for commercial opening.

On Airoli, we had said that we will get the approvals around this quarter. And we will come back to you as soon as we'll get back on that. I must though use ... share that they could potentially be delays in approval only because of the Maharashtra election that are announced, and there will be some time to stabilize post elections.

And I think that will also -- just so that I can cover the earlier questions that were asked in terms of outlook for this quarter, we expect that there could be some impact during those 1 or 2 days of elections in Mumbai and Pune on the business. But that's going to be a 1 - or 2-day impact. Bangalore, Hyderabad won't have that problem.

Raghav Malik: Okay. Sure, sir. And sorry, I just missed the capex number. You had mentioned something for the next 6 quarters. What would that be, the number? capex guidance.

Nitin Khanna: The capex is INR15 billion for the next 6 quarters.

Sanjay Sethi: INR1,500 crores is the capex for the projects that we've shared with you. But that's for the next 6 quarters.

Moderator: The next question is from the line of Adhidev Chattopadhyay from ICICI Securities.

Adhidev Chattopadhyay: The first question is on our leasing guidance. Obviously, you reiterated that by March, you're looking to lease the majority of the space. Could you give us some more color on the Bangalore and Powai market separately, how they would trend in terms of the leasing traction? And from, let's say, Q3 of this year, are we expecting some Q-o-Q pickup in the rental income because of the leasing we have done in the previous quarters. That is the first question.

Sanjay Sethi: Thanks, Adhidev. I will let Nitin come back with details. But just as a quick overview, between leased and LOI signed were roughly 36% at Powai, but we've got another 33% to be signed in the next few days. And when I say few days, it's little before Diwali hopefully, that we'll be able to sign that. So we'll get to about 70% as far as Powai is concerned.

In Bangalore, in the new tower that we built, I'll let Nitin come back with details, but we are getting good traction in Bangalore. Slower than we expected, the challenge was there were 2 large business tech parts that had also built in the vicinity, they have now got absorbed, and we believe our traction will pick up. But Nitin, if you have any further color to share.

Nitin Khanna: So on a total Bangalore front, we have around close to a million square feet as a GLA. Out of which 55% is already leased. 4% is more, which is in the process of LOI signs. So it's more from a committed perspective, we are already 60% committed over there. In terms of pipeline, we have around 2,31,000 which by end of December, we are looking at getting a final negotiation. There is certain evaluation of relocation happening for 1 of the big clients, which probably we will get better news by end of December.

Chalet Hotels Limited

October 25, 2024

Page 9 of 13

In the second Whitefield, we are looking at education sectors, some of the big corporates coming in, which is around 56% vacant. We will get the first site visit completed by December end on that. On the Powai part, as Sanjay has already told, we are almost on the verge of closing discussions with a bigish corporate. We do see that by end of this year, March year, you will see almost 90% of getting leased out.

Sanjay Sethi: So just to sort of add to that, the leasing rates continue to be strong and robust. They are as per the earlier indication that we've given and with inflationary growth on the base rates also.

Adhidev Chattopadhyay: Okay. So sir, just to understand correctly, you're saying across Bangalore and Powai, you are expecting to get to a leasing plus LOI of 90% by March '24, right, across all the assets?

Sanjay Sethi: Right.

Adhidev Chattopadhyay: Okay.

Okay. Sir, the second question I had is on the international arrivals. Obviously, there has been a lot of talk about going back to pre-COVID levels. So could you give us some sense now that we are into the second half of the year? How do you see that trending? And even, let's say, even what is the sort of dependence, is the domestic business making up for any shortfall if any, in the international inbound travel? Yes. That's the second question.

Sanjay Sethi: Yes. So look, clearly, the domestic business continues to be extremely strong and has supported us in the previous quarters, almost what, 6, 7 quarters now to make up for the gap in the foreign tourist arrivals. Foreign tourist arrivals as per the air passenger data is almost back to pre-COVID.

In our case, currently in the quarter 2, 33% of the room nights came from foreigners, as against 29% last year same quarter. But in terms of absolute room nights, we've grown from 52,886 foreign room nights to 65,565 foreign room nights, which is a 20% -- 24% growth from last year same period.

So clearly, we're seeing strong traction. And this quarter 2 is not really the best quarter for foreign travelers to come into India. We look forward to this growing a little more aggressively in the subsequent quarters.

Adhidev Chattopadhyay: Okay. Sir, but what is the visibility? I'm just saying in terms of forward bookings and broadly, is it better than last year? Or how would it trend or...

Sanjay Sethi: It is definitely better than last year. That is all I can share. We don't give forward-looking numbers.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Sir, what led to this sharp increase in other expenses?

Sanjay Sethi: I'll let Nitin come in on the other expense side. Nitin?

Chalet Hotels Limited

October 25, 2024

Page 10 of 13

Nitin Khanna: So other expenses, basically, there are a few one-offs and also revenue-linked expenses, which have got increased. One is in terms of advertisement, very much for the residential sector, which is around close to INR4 crores, which we have seen for Koramangala.

Also in legal and professional expenses, which is again related to expansion, which we are doing strongly. That's also has an upside, which has come in. So these are the ones which are causing a major entries. Also CRISIL rating, some of the expenses around Dukes demolition, that also has contributed to a onetime increase in other expenses.

Sanjay Sethi: So just to recap it, it's the rating expenses, legal expenses for growth opportunities and the residential advertising.

Prashant Biyani: Sir, out of this, sir, only this ad spend of INR4 crores looks to be one-off or you would not concur with that view? And if you can mention the total one-off, how much it could be?

Sanjay Sethi: So whilst you're seeing only advertisement is one-off, and I agree that, that is one-off. But legal expenses are connected with acquisition opportunities. We acquired a land parcel in Goa this quarter and the legal expenses for that have been captured in the other expenses. And then the CRISIL also was a onetime first rating that we had the expenses on. The continuous expenses that come from it will be of lower nature.

Prashant Biyani: And secondly, for Hitec Hyderabad, how do you decide on the rate? Is it fixed quarterly, yearly, monthly, given that we have one occupant for all the rooms.

Sanjay Sethi: So we have a quarter -- we have a contract for 3 years and all the rates are captured in that. In fact, in the current financial year, the rate increases have come twice. And the overall rate increase is about 30% for this quarter.

In fact, my colleague just remind me the first increase was in March, so it was not actually in this financial year, but there was an increase in August, which impacted this quarter's numbers.

But overall, between March and August

it increases on a year-on-year for quarter 2, we've had a 30% rate growth. This is something we've shared earlier in the past also.

Prashant Biyani: Yes. But -- I mean due for revision it's mostly twice a year or...

Sanjay Sethi: It's going to happen once a year going forward. This was a onetime twice in a 12-month cycle that we had that is captured in our agreement because we started off on a lower rate, given that their own occupancies will build up over time. So we've got the benefit of that. On a RevPAR basis, Westin Hitec is higher than every other hotel of ours.

Prashant Biyani: Okay. And lastly, Mr. Sethi, for Dukes by 15th of December, how many rooms can be open for guests?

Sanjay Sethi: So we have 37 operating now. Now gradually, we're going to add another 36 rooms, so 73 by early December. We will move into about 100 rooms by January and all the 146 rooms by end of the financial year.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital.

Chalet Hotels Limited

October 25, 2024

Page 11 of 13

Jinesh Joshi: Sir, I have a question on our Goa hotel. I think in the last call, we were a bit hesitant in giving out the capex number. So is it possible to give some color on that now?

Sanjay Sethi: So Jinesh, we expect roughly a spend of INR2 crores per key, including land, maybe a little over that, plus IDC, et cetera, out of which about INR1.3 crores to INR1.5 crores will be spent on construction costs. The balance is the land cost and whatever the transaction cost that we had. This -- I must, since we're speaking about this particular opportunity, I must say that this is quite a stunning location. We've got white sea frontage. It's a flattish land. So the views are going to be clear. There's no sand dunes covering the view from the main construction site where we build the hotel. And it's very conveniently located from an access perspective.

Jinesh Joshi: Sure. Sir, one follow-up on this part, the INR1,500 crores of guidance in terms of capex that we have given for the next 6 quarters. Does it include anything for our Goa hotel, if not, when are we expected to kind of start incurring the capex towards that?

Sanjay Sethi: So yes, it includes Goa, but Goa will, of course, build up over the next few quarters. We expect to spend at least another 6 months to get the approval. And therefore, there'll be that much of limited spend on Goa for the next 2 quarters.

Jinesh Joshi: Understood. Sir, one last question from my side. I mean, if I look at our net debt, it has gone up from about INR1,530 crores in the last quarter to about INR1,665 crores. Now given that we recently raised money to repay the debt and we have an FCF generation of about INR385 crores in 1H. And I think also in the opening remarks, the CFO mentioned that majority of the capex that we did in 1H was funded by internal accruals itself. Then any specific reason why the debt levels have gone up when I compare it with the previous quarter?

Sanjay Sethi: So look, we had raised INR1,000 crores from a QIP to enable our balance sheet to be able to handle growth opportunities. And that's what's getting executed now. There will be variations on the net debt side as we grow the portfolio. And expect us to peak at no more than INR1,850 crores, INR1,900 crores.

Moderator: The next question is from the line of Aman Goyal from Axis Securities.

Aman Goyal: Sir, my question is regarding, for example, the economy is facing sluggish growth, like FMCG reflecting muted growth. So how do you see that impact economy-wise on hospitality sector?

Sanjay Sethi: So Aman, thank you for the question. So look, I think the dynamics are a little different on the hospitality side in the country, driven by the arbitrage that we have between demand and supply. That demand and supply arbitrage hasn't changed since we last spoke. We believe that the demand will continue to grow in do

uble digits. Supply side is expected to grow at about 7%. So we've got between 300 to 400 bps gap between new supply and the demand growth and therefore, the dynamics of the industry will be different than dynamics of FMCG.

Aman Goyal: Okay. Okay. So my second question is regarding the residential development in Bengaluru. So correct me if I'm wrong, so I can see as of now, whatever you sold in the residential, you have not incorporated in your top line, it is all the revenue related to real estate is deferred. So when we can expect that to be added into your top line?

Chalet Hotels Limited

October 25, 2024

Page 12 of 13

Sanjay Sethi: So Aman, revenue recognition is governed by certain laws of the country. Whilst our sales are very strong, the rates per square foot are very strong and the cash flows are very strong, revenue recognition can happen after a couple of triggers are activated. One of them is access of usable electricity, right now we are at project stage electricity on the site. Number two, a certain amount of completion of access points and development of public areas within the property. And of course, OCs. OCs, we have already cleared.

Electricity connection we should get maybe by December or so and the completion of access also around December. We do expect a significant reporting in last quarter of this year on the residential side, which will have revenue recognition and of course, all the cost recognition that we had to continue to keep in the capex side for now until we are able to bring it to the P&L. So expect quarter 4 to have a recognition of revenue and cost for the residential project.

Moderator: The next question is from the line of Pradyumna Choudhary from JM Financial.

Pradyumna Choudhary: Sir, I just wanted to get your sense on if we are seeing different demand trends across industry, like not for Chalet, more from an industry point of view? Are we seeing some different demand trends, for example, metros versus non-metros and so on? That's the first one.

And second, I know Q3, Q4, we are expecting these to be strong quarters. But what's your sense like from here on as well, is there a further scope for ADRs to increase further in FY '26? That's the second one. And third would be what was during the last hotel upcycle, what was the peak occupancy versus what it is now currently?

Sanjay Sethi: So Pradyumna, I'll try and answer these questions in the same sequence. In terms of market-wise or city-wise performances across India, we've seen Hyderabad clearly do extremely well. Recent weeks, we've seen Bangalore picking up and doing extremely well. We've seen our Pune hotels record very good occupancies despite having the largest inventory in the city of 311 rooms. And Mumbai, we see a steady growth on a RevPAR basis. Resistance, if any, -- and this is purely my personal understanding -- we have seen in the very expensive rate brackets of north of INR25,000 where we've seen some resistance to the price point. At the INR15,000 to INR20,000 price point, we have seen 0 to negligible resistance even on leisure ...

Pradyumna Choudhary: All right. Understood. And -- so remaining...

Sanjay Sethi: You said peak occupancies, right? On ADRs, right?

Pradyumna Choudhary: Yes.

Sanjay Sethi: So ADR is to your question on Q3, Q4. Yes, Q3, Q4 will see increase in ADRs for sure. For 2026, I'm not at liberty to share what the forward-looking numbers are. But on the back of the positive arbitrage and demand supply, I see no reason why country should not see continued growth both on ADRs and occupancies.

On your question about peak occupancies, I think they're very different in each city. For example, cities like Bangalore and Hyderabad, where they have a sharp dip on Friday evening and continue till about Monday morning, that will continue. So they will have a different peak

Chalet Hotels Limited  
October 25, 202

4

Page 13 of 13

occupancy trend, which should be in the mid -70s to high 70s at a max. Mumbai, however, tends to record 80 -plus occupancies at peak. And therefore, I expect Mumbai to be able to do that. Delhi also sees typically 75% to 80% occupancies in the range at peak levels, and we expect Delhi to be in that range.

Hyderabad, city center Hyderabad has had some challenges, but the new district where both the hotels are present, we've seen do extremely well. The other element that I must mention here is that H1 saw almost negligible weddings in the country due to auspicious dates not being there. H2 is likely to, on an all -India basis, have a material kick up on account of the weddings. We expect that to have as a benefit to us in Aravali in Delhi, JW Marriott Sahar and Powai.

Pradyumna Choudhary: Sir, my question on peak occupancy was more from a cycle perspective rather than the current time.

Sanjay Sethi: It's very difficult to average our peak occupancy on a country as large as India and very diverse in terms of a demand trend. So I've given you what the peak occupancies should be city -wide, for the main cities. So Mumbai at peak occupancy, as I said, should be in the 80s, low -80s, Delhi between 75% and 80%. Hyderabad and Bangalore around 75% to 80%.

Pradyumna Choudhary: Okay. This is for each city on -- for the cycle you are seeing, right, like during the hotel peak cycle or something of that sort?

Sanjay Sethi: That's right.

Moderator: As there are no further questions, we have reached the end of our Q&A session. I would now like to hand the conference over to Mr. Sanjay Sethi for the closing comments.

Sanjay Sethi: Thank you so much. Thank you, everyone, for your time, and we look forward to engaging with you in the near future.

Moderator: On behalf of Chalet Hotels Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

## Call: Feb 2025

Chalet Hotels Limited

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February 4 , 2025

National Stock Exchange of India Limited BSE Limited  
Exchange Plaza Corporate Relationship Department  
Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,  
Bandra (East) , Dalal Street, Fort ,  
Mumbai 400 051 . Mumbai 400 001.  
Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on January 30 , 2025 , in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2024 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above  
Page 1 of 18

"Chalet Hotels Limited  
Q3 FY '2 5 Earnings Conference Call "  
January 30, 202 5

MANAGEMENT : MR. SANJAY SETHI – MD & CEO  
MR. NITIN KHANNA – CFO

Chalet Hotels Limited  
January 30, 202 5

Moderator: Ladies and gentlemen, good day and welcome to Chalet Hotels Limited Q3 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Sethi, MD and CEO, Chalet Hotels Limited.

Thank you and over to you, Mr. Sethi.

Sanjay Sethi: Thank you. Good morning and thank you for joining us today for Chalet Hotel Limited's Q3 FY '25 Earnings Call. I trust you've had a chance to review our results and the presentation. The Indian hospitality sector continues to show resilience supported by steady economic growth, stable rate of inflation and increasing demand for travel and tourism despite the state of global geopolitics. These trends create a favorable environment for the sector, and we at Chalet are well positioned to capitalize on these opportunities.

In the coming year, we will see 2 new major airports open at Mumbai and Delhi, which will positively impact these gateway cities. The new airports are going to unlock a massive opportunity for passenger-carrying capacity in these 2 megapolises. Especially in Mumbai, carrying capacity has been a major bottleneck which has restricted travel growth for the last few years. I'll be happy to elaborate further in the Q&A segment as we continue this conversation. Meanwhile, at Chalet, the journey of growth continues unhindered. Q3 did not just turn out to be the best Q3 but also the best-ever quarter in Chalet's history. Our consolidated revenue grew 22% year-on-year to INR4.6 billion. Consolidated EBITDA rose 23% year-on-year to INR2.1 billion. We have reported a strong EBITDA margin of 45.5%. The 9-month EBITDA for the company is INR5.2 billion, and we expect Q4 performance to materially augment this number. In the Hospitality segment, we recorded a robust 18% growth in the average room rates compared to the same quarter last year, with steady occupancy of 70%, resulting in a 16% increase in RevPAR. Even on a like-to-like basis, portfolio RevPAR grew by 17%, driven by powerful performances in Pune, Bengaluru and the Mumbai metropolitan region. Our annuity portfolio, which is counter to the cyclicity of the hospitality industry, is ramping up rapidly, with revenue surging 92% year-on-year to INR577 million. Additionally, we achieved significant leasing momentum with lease confirmations of an additional 400,000 square feet in the quarter.

In the residential real estate segment, we kept strong momentum in sales velocity and rates, achieving sales of 18 apartments in the quarter at an average rate of almost INR22,000 per square foot. Nitin will share more insights on the segment during the call.

Chalet Hotels Limited

January 30, 2025

Now some updates on the ongoing pipeline of projects. The phased opening of The Dukes Retreat continues, 73 rooms -- I repeat. 73 rooms, a restaurant, a bar and a pool are already operational. Meanwhile, we've had -- and while we've had some delays on the completion timeline, the product is turning out extremely well.

Renovations at Four Points By Sheraton Navi Mumbai are progressing well, with roughly 20% of the rooms and public areas currently in the works, with completion targeted for the whole inventory by July 2025. The Taj

at Terminal 3 Delhi International Airport is expected to open in Q2 of FY '27.

New inventory at Bangalore -- Marriott Bengaluru is being released, as we speak, into operations and will be all in play in the current quarter itself. The new hotel projects at Airoli, Mumbai, Varca, Goa; and the commercial development Cignus 2 in Powai are advancing as per plan. Besides these, we are creating new and high-energy F&B experiences at the JW Marriott Sahar, The Westin Powai and The Dukes Retreat. We are also working on our plans to upwardly reposition the spectacular Courtyard by Marriott Aravali to the Marriott brand.

As we move to a new stepped-up phase of growth at Chalet Hotels, it is critical to augment our talent capital. In line with that, I'm pleased to welcome Gaurav Singh, who has recently joined us as our Chief Operating Officer. Gaurav brings with him a rich background in the hospitality sector, and we are confident that his leadership will strengthen our operational excellence. With Shwetank, Nitin, Rachit and now Gaurav, we are creating a young and dynamic leadership in the company with a long-term perspective. Equally exciting news is that we have earned Great

Place to Work certification for the sixth consecutive year, underscoring our commitment to a culture of all-around excellence.

Ladies and gentlemen, on the back of the infra support, robust corporate travel, a growing MICE segment and the vibrant leisure and wedding markets, we stay optimistic about the next few years. And I'm personally extremely excited about our future.

Now please allow me to hand over the conversation to Nitin for further updates on the business.

Nitin

Nitin Khanna: Thank you, Sanjay. Good morning, ladies and gentlemen. Welcome to another quarter of historically best performances.

On the financial updates. In the Hospitality segment, ADRs have risen by 18% to almost INR13,000 levels for the first time. This is led by strong rate growth in Bengaluru and addition of Courtyard by Marriott Aravali Resort. Occupancy remained stable at 70% for the same period, resulting in a 16% RevPAR growth to over INR9,000. On a same-store basis, excluding the newly acquired hotel at Aravali and The Dukes Retreat, occupancy was at 71% and RevPAR continued to grow by 17%. Our room revenue grew by 21% for the same period. And total revenue growth was at 17%, which came to INR4 billion, for the Hospitality division.

We have been diversifying into different market segments and micro market with varied cost structures. While we navigate it, I am pleased to report that we have maintained focus on cost

Chalet Hotels Limited

January 30, 2025

Page 4 of 18

control strategies and maintained our industry leadership in margins. EBITDA margins for the quarter for Hospitality division was at 46.1%, with well-managed utilities and payroll costs.

On the rental and annuity front, our revenue for the quarter was at INR577 million. And we have clocked exit of INR20 crores monthly run rate in December '24. The EBITDA for the division was at INR455 million, with 79% margins. As Sanjay highlighted, we have made strides in the leasing pace. And I'm confident we will be reaching full potential of the commercial inventory within a couple of quarters.

Coming to the updates on the residential projects. We have sold additional 18 units during the quarter. We have reached the last leg of sales for the 9 towers which are ready for handovers. Majority of new sales are for the last 2 towers which are currently under construction. Our blended selling rate is approximate INR21,700 per square feet. Out of total 321 units, we have 50 unsold inventory, which are largely in the new towers; and we expect it to take about few quarters to sell. Overall collections during the 9 months was INR2.9 billion. And we have an outstanding receivable of INR4 billion as on December 31.

Consolidated revenue for the quarter

was INR4.6 billion, with a growth of 22% year-on-year.

Consolidated EBITDA was at INR2.1 billion, with a growth of 23% year-on-year and a margin of 45.5%.

Consolidated PBT for the quarter was at INR1.2 billion versus INR0.9 billion in the same quarter last year. The PAT for the quarter was at INR965 million, as against INR706 million in the same quarter last year, a growth of 37%.

During the year to date, the company spent about INR4.8 billion on capex and land acquisitions. The net debt as on December 31 was at INR15.8 billion. We closed the quarter with an average cost of finance standing at 8.53%, a reduction of 34 bps from March '24. The company has been actively investing in its growth and has a capital expenditure under the current plan of around INR20 billion for the next 3 years. This will be largely funded through internal accruals. We will continue on our growth trajectory. And our balance sheet is in a very comfortable position to support further strategic growth opportunities.

With this, let me open the floor for Q&A.

Moderator: Thank you. The first question comes from the line of Karan Khanna with Ambit Capital.

Karan Khanna: Congrats, Sanjay and Nitin and team, for another strong quarter. So my first question, Sanjay: when we talk about the MMR market, where for 9 months FY '25 you've seen a RevPAR growth of about 6%, while when we look at your peers, they've reported about 12% to 14% RevPAR growth over the same period. Could you highlight key reasons for this, given you've been highlighting the scarcity of upcoming supply in the market? And as a follow-up, what kind of an impact are you expecting from the upcoming Fairmont hotel which is expected to open up in the next couple of months?

Sanjay Sethi: Karan, thank you. Look. Our MMR RevPAR has grown about between 6% and 7%, largely on the back of an ADR strategy. We did let go of some business, which were low-paying business

Chalet Hotels Limited

January 30, 2025

Page 5 of 18

during the period, for long-term reasons. A 13% growth in the average room rate for the Mumbai metropolitan region is an extremely healthy rate.

Our occupancies continue to be in the mid-70s, even in MMR, which is a healthy occupancy to have. In other cities, our occupancies are at 66%, which has improved by 2%, but then the combined RevPAR growth for us is 16%. Even on an occupancy basis, if you were to look at our overall portfolio, we're largely flattish. Add to that the aggressive growth on the rates, throwing up a RevPAR of 16%. I think we've done a good and satisfactory job.

To your question about new supply. You're right. And I've maintained that there's some serious competition coming in place with the new hotel at the airport in Mumbai. They have a total inventory of 450 rooms, out of which around 200 are in the state that will be opened in the near future. We are very confident that the partnership with Marriott with a very strong distribution, sales and loyalty program will continue to get us the premium in that market. We are confident that we will continue to be #1 on the RevPAR basis there. And we are also confident that, in the coming year, we will continue to have growth at JW Marriott Sahar.

Karan Khanna: Sure. And your investor presentation continues to suggest that the share of foreign guests continues to stand at 39%, which is good but that has remained flat Y-o-Y, so are you seeing any signs of recovery in FTAs given this would possibly aid in higher ARR growth?

Sanjay Sethi: So yes, I do expect growth in the foreign travel. And I actually alluded to one major change that's going to happen in the coming year which is going to support that, which is the airport expansion that we'll see in Bombay. And I would like to elaborate on this for everyone's benefit. I think it will be useful for everyone to understand.

Here is, my perspective on the new airport. As and when t

hat opens at Navi Mumbai, the -- 2, 3

things will happen. Number one, the cargo will be split between the 2 airports. I don't have a ratio of how it's going to be split, but even if it splits 50-50, you're still creating major capacity opportunity at the island city airport, which is the main airport. Second, the passenger traffic will also split between the 2 airports.

And people who need to then travel to the mainland side will prefer the Navi Mumbai airport, but people whose purpose of visit is the island city will come to the island city. And therefore, again because the people are going to go to the other airport for the Navi Mumbai side, there will be spare capacity created in the main island city airport.

It does 2, 3 things. Number one, it makes it easier for travelers to come in and out because flight seats capacity will be augmented. Second, the airlines -- a lot of the international airlines have had trouble finding slots, so the international carriers have not had slots in Bombay since COVID actually.

Now with this split, it will create an opportunity where they can let out more slots to both domestic and international airline carriers, which will create an opportunity for direct flights from the U.S., both East and West Coast, which I think will support further growth on the foreign travelers.

Chalet Hotels Limited

January 30, 2025

Page 6 of 18

Having said that, whilst your percentages remained flat, absolute numbers are up, so we must be conscious of that, of -- not by a big margin, but they're up 5% over last year. So your number of foreigner room nights in Q3 this year was 72,684 versus 69,326 room nights, foreigner room nights, last year.

So that's, I think, a key takeaway. The other is, look, domestic traffic is growing and it continues to grow very strongly. And we are very confident that will support growth for all our hotels. I hope I've answered everything that you've asked for.

Karan Khanna: Sure. This is helpful, Sanjay. My second question: You've included the Kerala project in your pipeline of assets, so can you talk a bit more about the opportunity, the kind of capex, time lines and the RevPAR expectation that you have for this 150-key hotel? And will the demand be primarily leisure led, or do you also expect some corporate demand in this market?

Sanjay Sethi: So Karan, this hotel has been on our books for a while, but it was stuck at the government level. The government has now announced they're fast-tracking the approval process at their end. Because they will transfer the land from one government department to the second government department before we can start our processes at our end. Now that's taking shape.

Timelines are fluid. I don't want to commit on time lines because of the nature of the transaction. However, this 150-room hotel is a -- the first phase is 150 rooms. Potentially we can go up to 300, 400 rooms, but I don't think the market can support that for now. The Phase 1 will have 150 rooms and a convention center. To a large extent, we will create the demand in house with the convention center for the 150 -- to support the 150 rooms.

Obviously 150 rooms will not be enough for the convention center that we're developing. It's a



large one, so other hotels will also get the benefit of this. And at -- in a staged manner, we have the opportunity because there are lakes within the property. We will have the opportunity of putting waterfront villas on the property itself, but we'll play that part by ear, depending on how the demand paces up.

Karan Khanna: Sure. And my last question is on your leasing portfolio. And while Nitin mentioned that you're confident of leasing out the entire 2.4 million square feet in the next couple of quarters -- but apart from the 1.6 million square feet which is already leased out, have you signed any other LOIs which could help you reach your target by end of this...

Sanjay Sethi: Look. At this point of time, that's all we have to share. It's a 400,000 -square -foot improvement on the 1.2 million that was there. And 1.2 million included 0.5 million of JW Sahar, so actually, from the leasing space that was available, it's grown from 70 0,000 to -- by another 400,000, which is a material jump in the leased space. And we expect this momentum to take us through in the next 2 or 3 quarters.

Moderator: Next question comes from the line of Jinesh Joshi with PL Capital.

Jinesh Joshi: Sir, I have a bookkeeping question. After the debt repayment that happened sometime back, I think our finance cost has settled in the band of about 30 crores -odd in the first 2 quarters, but if I look at the 3Q run rate, the cost has shot up to about 45 cr ores. If you can just explain the  
Chalet Hotels Limited  
January 30, 202 5

Page 7 of 18

reason behind this, given debt repayment happened. And also, how should we foresee the run rate going ahead?

Nitin Khanna: Jinesh, to answer your question on the interest costs. If you remember, in the last quarter, we had said that the Powai commercial building is capitalized. And this happened towards the end of the last quarter. This interest is post OC which we started charging to P&L from this quarter. That's the major increase.

Sanjay Sethi: Our net debt continues to be at 1,580 crores. As Nitin mentioned earlier, we'll be able to support the current announced pipeline of growth largely through internal accruals.

Jinesh Joshi: Got that. And secondly, I mean, if I look at the Bangalore market, our ARR growth was about 30%-odd in this quarter. So if you can highlight, what led to such a sharp surge? And also secondly, I think, on the Trivandrum hotel, while we have not committed on the time line, can you just confirm whether that INR20 billion capex number that you have guided for the next 3 years does anything with respect to Trivandrum is included in that number?

Sanjay Sethi: Jinesh, Trivandrum is a little fluid, as I mentioned earlier, so we'll not put that number as yet. We will see how that paces up. The important thing was to put it in the list, both from all of your perspective that it is in the tracker. it's a potential growth opportunity. We will obviously take it forward depending on how it sort of positively impacts our own performance, but the number is not in there as yet, so if you want to build up from a cost perspective as a pipeline, you'll have to add that.

Sanjay Sethi : Indicative, it's about, let's say, 1 crore a key.

Jinesh Joshi: Sure. And the Bangalore market, if you can highlight...

Sanjay Sethi: Sorry. I missed that part. So Bangalore, I don't think we've given any separate numbers on city - wise ADRs. We've given Mumbai and then we've given other cities. Other cities, ADR has jumped by 26%.

Jinesh Joshi: Slide 7.

Sanjay Sethi: Yes, yes, yes, got it. So okay. So yes. So Bangalore has improved by -- ADR by 31%. You're right. And our occupancy has also improved by 4% , which is a 40 -odd-percent growth in the RevPAR in that particular hotel. Look. Bangalore had struggled to keep pace with Hyderabad, but now in the recent quarters we've seen it's catching up pace with Hyderabad.

And therefore, it is just a natural growth that's happening there. And we expect this to continue. We are also going to add another 129 rooms in this property over the next few weeks, which will increase capacity. And therefore, we'll pay -- play the RevPAR route till those 129 rooms stabilize.

Jinesh Joshi: Understood. Sir, one last question from my side, if you can just refresh: What are the existing leasing rates in the Bangalore and the Mumbai market on a per -square -feet basis given the fact that the progress on leasing has been quite good at least in the last quarter?

Chalet Hotels Limited  
January 30, 202 5

Page 8 of 18

Sanjay Sethi: Yes, sure. So the Powai one i

s trading around in the 120s, and Bangalore in the mid -60s, on a per-square-foot basis. This is, of course, without CAM. And when fully occupied, we expect CAM to take care of all the costs, so we expect 100% -- near 100% flow-through to the EBITDA margins. The Sahar one, which has been almost fully occupied for a while now, is now trading between 145 and 150.

Moderator: Next question comes from the line of Archana Gude with IDBI Capital.

Archana Gude: Congrats on another strong quarter. Sir, I have 3 questions. Particularly, sir, you spoke about being very confident about strong earnings growth in near term, which is very encouraging.

However, there are talks of discretion spending under pressure and -- which is evident from the subdued volume offtake for the consumption companies. Have you also seen some downsizing of the budget or cancellations, particularly in Q4 and it doesn't really worry us?

Sanjay Sethi: I'm sorry. It was a little, let's say, unclear, but I'm guessing you're asking how does the slowdown on the consumption side reflect on our hotel side of the story, right?

Archana Gude: Sir, I was asking about the consumption being slightly subdued for a few, last couple of quarters. So have you seen some downsizing of the budget or cancellations in Q4?

Sanjay Sethi: Well, look. Q3 numbers are in front of you. It's healthy growth, as Nitin mentioned, 17% RevPAR growth even on a like-to-like basis on asset-to-asset basis which were there earlier. Overall, we've been able to show 16% growth including the new assets which are ramping up. Now that's your Q3 performance. Q4 is typically better than Q3, and I can share with you that we expect that trend to continue.

Archana Gude: Sure, sir. Sir, secondly, on this Aravali resort. It has been over 3 quarters that you acquired. How has been the performance, so far? Any positive or negative surprises there in terms of demand and pricing?

Sanjay Sethi: No. Actually it's doing very well. It has also had 15% RevPAR growth in this quarter, so it is trading well. Occupancies are up. The rates are up. It's now trading north of INR15,000 for the quarter 3, looking strong. And also, as I said in my opening statement, we are going to upgrade and reposition this asset over the next 6 months or so into a higher brand positioning. It will move up from Courtyard by Marriott to Marriott, which will support further.

Archana Gude: Okay, sure, sir. And sir, lastly, you spoke about this Bangalore market catching up with Hyderabad, but this 31% ADR growth on Y-o-Y looks very, very on a higher side, so should we take it as the base rate going forward? Or was there really one-off in this quarter?

Sanjay Sethi: No, no, it's not one-off, for sure. Incidentally, Hyderabad Westin has also grown at 28%. So the strong story of these 2 what I refer to as new-age cities for India continues to be very robust. It was not a one-off story. It continues to be strong on all parameters, demand and -- of the -- of demand. And we also see supply to be muted in that city, and therefore, there's no reason to believe that this will slow down.

Moderator: Next question comes from the line of Adhidev Chattopadhyay with ICICI Securities.

Chalet Hotels Limited

January 30, 2025

Page 9 of 18

Adhidev Chattopadhyay: Sir, first question is on the Hyderabad market. Anecdotally, what we are picking up is the room rates continue still to be pretty strong. And the overall market seems to have tapered, so could you please just confirm these trends? Or do you see it more of a one-off, maybe some events or anything driving that in that market? That is the first question.

Sanjay Sethi: Adhidev, it's not a one-off event. It is normal growth of the business. Q3 is a better quarter than Q1 and Q2. That's what we've seen play out. And we see Q4 being equally strong. This growth in Hyderabad and Bangalore is structural in nature. It is not driven by

singular events that are happening in those cities.

Adhidev Chattopadhyay: Okay, okay. I just come to the point that we have locked in for one of our hotels, right, the rates, right, so I just wanted to get your view on that. Do you see some scope for the rates being renegotiated or something or -- of that sort? That is where I was coming from actually.

Sanjay Sethi: You mean renegotiated upwards...

Adhidev Chattopadhyay: Yes, yes, yes.

Sanjay Sethi: So we've got 1 more year to go. I mean one more rate cycle to go, which again is a 15-odd-percent growth built into the contract. And for now we will honor that contract, but 15% growth in the contract is a solid growth. Remember that hotel gets 100% occupancy at these rates. And if you're growing at 15%, 16% year-on-year -- that's your RevPAR growth, which is solid by any measure.

Meanwhile, the other Hyderabad hotel, which is a larger one of 427, we'll continue to reap the benefits of the rate growth that's happening there. Also, because the one that is locked in with a single client, there's no -- the cost side is very, very tight. We're able to throw up gross operating profits -- which is a hospitality terminology used. We're able to throw up those GOPs in the mid-60s -- low to mid-60s. That itself is a massive upside for us. The margins are high in that hotel.

Adhidev Chattopadhyay: Okay, okay, sure, sir. So the second question is on our -- now this leasing which you've alluded

to, right, to get it fully leased. So the rent -free period, assuming that may be 3 to 6 months -- and also by -- another 12 months from now, what would be the exit run rate, assuming that we are at a very high rate of occupancy on our commercial portfolio?

Sanjay Sethi: So we're expecting roughly 30 crores as your exit run rate once all of this is leased out, which in effect is about -- I think, closer to 400 crores almost, right, on an annualized basis. And expect about 90% of that to flow through to EBITDA.

Adhidev Chattopadhyay: Okay, so this -- so we could assume, in FY '27, right, this full effect will show, right, other than leasing we'll be doing in...

Sanjay Sethi: Full effect is coming in, in some quarters of '26 also.

Moderator: Next question comes from the line of Abhay Khaitan with Axis Capital.

Abhay Khaitan: So my first question is on -- particularly on the JW Marriott Sahar. So given the sharp increase in ARR you've already taken, I think the focus is clearly on ARR and not occupancy, but how

Chalet Hotels Limited

January 30, 2025

Page 10 of 18

do you think the occupancy is going to fare in the coming months, particularly because of the intense competition in that particular micro market? And in that sense, will we see some sort of cutting of rates or some sort of flattening of rates to become -- to remain competitive in the market?

Sanjay Sethi: Look. We'll have to remain competitive, but as I mentioned earlier in another, on another question, the distribution system of Marriott and the loyalty program is a major draw over all competitors. And that supported us in the past. You've got to remember that we've got very good hotels in the neighborhood. I don't want to name them, but if you scan the market around there: There are very strong brands and hotels in that neighborhood, and we've been outperforming them for a very long time. We'll continue to outperform that market. I don't see any reason to be concerned of a slowdown. We may not grow at the pace as other hotels, but look. That hotel clocked -- even in last quarter, where we had some occupancy slowdown on -- at the benefit of rates, it still clocked 76% occupancy.

It's a big hotel. It's 588 rooms. So I don't say I'm not concerned. We've got a very solid product. We're upgrading the F&B with a couple of new F&B outlets. We've got the Marriott Bonvoy loyalty program. We've got the Marriott distribution system. We've got ongoing re

lationships

and we've already locked in the RFPs for this coming year.

Abhay Khaitan: Okay, got it. And my second question is on the overall portfolio. So what we have been seeing, that bulk of the RevPAR growth is coming from higher ARR. And now even Bangalore market and Hyderabad market has also seen a very sharp increase, but going forward, do you think that -- the reset that has to be done is largely done? And will -- now the ARR growth that we have been seeing for the last 1 or 2 years will now slow down from this level. Or do we see, still see more triggers that will enable a double-digit ARR growth?

Sanjay Sethi: So I've maintained that we will see double-digit RevPAR growth. Even for the last few quarters, I've said that. We've actually been exceeding that over the quarters. I see no reason why that commentary needs to change. Very confident that we will deliver double-digit RevPAR growths on our existing portfolio. And we will add through new assets and new inventories.

Moderator: Next question comes from the line of Hrishikesh Chandrakant Bhagat with Kotak AMC.

Hrishikesh Bhagat: Just 2 questions. First is I see on the time line of your pipeline that you have given there's a 1 - quarter delay that you have, compared to last quarter presentation, especially in case of Dukes and Bengaluru. So if you can throw some light on that. And secondly, on the other projects also, is there any risk of delay?

Sanjay Sethi: Thank you, Hrishikesh. And yes, look. Dukes is delayed. I actually mentioned that in my opening statement. It will be Q2. We are just ensuring that it comes out really well and the full product is ready. We already have 73 rooms operational. It's not that it's not operational, but then there are banquet hall, 1 or 2 F&B outlets.

Chalet Hotels Limited

January 30, 2025

Page 11 of 18

And the balance rooms are still to be completed. There have been delays. There have been delays for various reasons, but we are very confident that Q1 will be a quarter that we will open this very strongly, end of Q1 actually. Also keep in mind that Bangalore has already been released. Whilst -- as we said that it will be pushed back, the fact is that today, as we speak today, the hotel teams are taking over the hotel rooms and snagging them for the snag at our end. And as soon as that is cleared, we'll get them operational. So sometime in end of February, early March, we should see that inventory getting added to Bangalore. It will be this quarter, though.

Hrishikesh Bhagat: Yes. The other question is on this news about -- you did explain in the start of the call about the impact of the new airport, but any impact likely of the shutdown of T1 terminal, which is likely in Q3 '25 -- or '26 rather than November '25 onwards? This is a reasonably peak period for us, so do you think -- any impact that...

Sanjay Sethi: So Hrishikesh, while the Terminal 1 is scheduled to be shut down for whatever the plans are -- and I don't want to speculate on those plans right now. The overall capacity will get enhanced between the 2 airports, so you'll still net-net have more capacity into the Mumbai city between the terminals -- 2 and the new airport in Navi Mumbai. Our problem at Mumbai wasn't the terminal space.

Terminal 2 is large enough to accommodate more people. The problem was the runway space, so that runway remains identical to where it was for the island city airport. And for the Navi Mumbai, it will be an additional 2 runways that will come into play, so overall capacity into Mumbai will enhance.

Moderator: Next question comes from the line of Pradyumna Telkhade with ICICI Bank.

Pradyumna Telkhade: Yes sir. Congratulation on another great quarter. I have 2 questions. First is regarding the residential project at Koramangala. So in last quarter, you have said that we can expect quarter 4 to have a revenue recognition and cost recognition as well

I, basis a few conditions like electricity connections and others. So are we able to recognize that entirely in Q4 FY '24? If you could guide us on the same.

Nitin Khanna: Yes. So the electricity connection, et cetera, they are steadily ramping up. And then, probably in quarter 4, we'll be able to hand over at least 60 flats in Koramangala.

Sanjay Sethi: So the short answer is, yes, it is getting completed in this quarter. And the handover process will start, which will allow us to recognize the revenues and costs on a progressive basis.

Pradyumna Telkhade: Okay, so we can -- so the entire revenue recognition can happen in Q4 FY '25...

Sanjay Sethi: Not entire revenue recognition. It will be graded revenue recognition, which will be, as Nitin mentioned, in the range of around 60 apartments, give or take 10.

Pradyumna Telkhade: Okay, sir. Sir, second follow-up question is regarding the hotel at Goa, if you could please tell us how much capex is expected and how much it will be funded through internal accruals and debt.

Chalet Hotels Limited

January 30, 2025

Page 12 of 18

Sanjay Sethi: So roughly the capex is going to be about 1.4 crores per room, per key. We are planning about, around 175 to 180 keys or rooms. In terms of time line, we expect to get all approvals in the next 3, 4 months time. And then depending on whether the monsoons are on us or not, we will start either just before or immediately after the monsoon. And from the start date, we expect about 30 months to completion.

Pradyumna Telkhade: Okay. Sir, how much it will be funded through internal accruals, debt, any idea on that?

Sanjay Sethi: So see. Money, to that extent, is fungible, right? Overall on the company basis, we don't expect debt to go, with the announced pipeline, to beyond 1,900 crores to 2,000 crores as a peak debt at any point of time. We're currently at 1,580 crores. Of course, Chalet is on an aggressive growth path. As we get new opportunities, that may move downwards or upwards, but as of now this is the guideline that we have.

Moderator: Next question comes from the line of Vignesh Iyer with Sequent Investments.

Vignesh Iyer: There are 2 questions from my side. First thing is I wanted to understand how the wedding markets panned out in quarter 3 vis-à-vis last year, same quarter. And how has January panned out for the same? And my second question is more on the corporate rate hikes cycle. Can you tell me how we were planning on doing some increase in corporate rates? So if you could tell me how it has panned out.

Sanjay Sethi: So Vignesh, on the wedding side, we won't -- don't have -- I don't have specific data at hand right now, but it's been good, much better. And in fact, the good point is that, this time in quarter 4 and quarter 1 of next year, we see weddings being strong. Last year, we didn't have any weddings in Q1 and Q2, but this year, we see significant weddings even in Q1. Q4 seems to be as good or better than Q4 last year, and therefore, we are very bullish about this Q4 doing extremely well.

We will, of course, make sure that we take on weddings in groups, subject to them being more value accretive from a revenue management perspective. If the transient or independent travelers continue to get us higher revenue returns, we will obviously go down that route. So we will control the inventory on various segments depending on what's best for us.

I want to give an -- elaborate that a little bit. If a city has a big event or a big wedding going on, sometimes it is in our interest not to take other -- any other event because we know there will be compression in the city, which will force individual travelers to look for hotels -- look for accommodation in alternate hotels. At that point of time, they'll come through the retail rate,

which can allow us higher rate increases.

Vignesh Iyer: Right, right, yes. Also, on the corporate...

Sanjay Sethi:

You have -- sorry. You had a question on the corporate rate. I don't have an exact number for you right now, but it seems to be healthy sign off. We've also this time again kept the RFP contracts for last -room -available rates very limited, which will allow us to again revenue manage the rates as we go forward.

Chalet Hotels Limited

January 30, 2025

Page 13 of 18

Vignesh Iyer: Okay. As it is usually lesser than the retail rate, would it be fair to assume it will be more like on a lower double digit at least?

Sanjay Sethi: I don't want to speculate and give forward -looking numbers on that. We've already given indication that we see no reason why we won't grow in comfortable double -digit RevPAR numbers on a same -store basis. That's the only guideline I'm able to share at this point of time.

Moderator: Next question comes from the line of Prashant Biyani with Elara Securities.

Prashant Biyani: Sir, of the total debt, can you break it up between hotel, commercial and residential business?

Sanjay Sethi: I'll let Nitin comment on that, but it's fungible debt. So we take it at a corporate level, but if you were to -- and I'm giving you an overview before Nitin comes in with the exact numbers. Today, if you were to practically look at it from a bird's eye view, all the debt that we have -- almost all of it is actually on the office assets. The hotels are debt free, if you really look at our portfolio.

Nitin, do you want to come and confirm that?

Nitin Khanna: Yes. So actually, on the commercial LRD, if you see, the eligibility is roughly 6x the current rentals, whatever, there. So if you take 20 crores as a running rate, the basic eligibility from an LRD perspective is already 1,800 crores. So given my net debt is 1,580 crores, hotels are -- as Sanjay has rightly put, are actually debt free.

Prashant Biyani: Okay. And would we be taking any additional debt for the new commercial tower at Powai?

Nitin Khanna: Yes, absolutely. As the construction moves on, we will be taking construction finance.

Sanjay Sethi: But at the same time, we'll have accruals which will set that off to counter the net debt part.

Prashant Biyani: Right. And sir, how much incremental capex would we require for the new Powai tower as well as for the residential project?

Sanjay Sethi: So Nitin is coming in. I think the residential project is about -- cost is -- pending cost is 300 -odd crores. And new sales opportunity is 500 crores plus the receivables, so together, we'll end up with about 400 crores to 450 crores of net cash flows after repaying the promoters. On the office side, Nitin, if you can come in and share what is the Phase 4.

Nitin Khanna: So Powai, which is the Powai second -- Phase 2, is roughly 800 crores of capex spend, out of which we have already spent close to 200 crores, so 600 crores is the balance capex which we might be spending in next 3 quarters.

Prashant Biyani: Okay. Sir, just lastly, for JW Sahar, you mentioned sometime back that RFPs have been locked for this year. Can you share how much growth it has been at vis -à-vis last year?

Sanjay Sethi: So as I said earlier, I don't have the data with me. Also I think it's fairly confidential in terms of how we look at that. And the guidelines that I've given is that please feel comfortable that we will deliver at least low double -digit RevPAR growths on our hotels.

Moderator: Next question comes from the line of Vikas Ahuja with Antique.

Chalet Hotels Limited

January 30, 2025

Page 14 of 18

Vikas Ahuja: Sir, my first question is especially on the Sahar. So with -- the opening of Aurika has clearly had a negligible impact on pricing of Sahar. However, do you think the addition of Fairfield nearby will have an effect since its pricing is much lower than our s; could pose a challenge, especially considering that both are Marriott brands? This is my first question.

Sanjay Sethi: S

o Vikas, Fairfield is a budget hotel in the Marriott portfolio. There is no reference point between the two, as far as pricing is concerned. Fairfield to JW Marriott can have a gap of almost -- anywhere between 2x to 5x on the pricing, so I don't think that's a fair comparison. And it's not even worth looking at, so don't bother about the Fairfield one at all. And so it will open for a while, 0 impact there.

Vikas Ahuja: Okay, sure. And second, it -- you did talk about Hyderabad market doing well, so -- I mean -- and we are also hearing a similar feedback. Is that surge is -- largely because of the surge in GCC openings? Or it's a base effect. Or any particular factor which is leading to such a high surge in pricing there?

Sanjay Sethi: Yes. So it's driven by the office absorption in that market. We see that's very strong. It's also growing. Our own group is adding several million square foot of office space in that area, and to a large extent, those relationships pay off at our hotels. All hotels are doing extremely well. So it's not just 1 hotel or 2 hotels are doing well, which is a great sign to have because, if the market is elevated, it will ensure long-term growth for all of us.

And I do hope that we can see similar trends in other cities in the country where the markets themselves elevate themselves by that 15%, 20%, but Hyderabad looks strong, structurally strong; going to be strong, supply side weak. We are very positive about Hyderabad.

Vikas Ahuja: Sure, sir. Sir, finally, sorry to harp on this rates question again, but you know some of the industry experts are talking about a slowdown in second half. However, our commentary remains reassuring on rates. So just want to clarify this ADR strength we are seeing is largely a broad-based. Or we have a few pockets which would be helping us to grow double digit or maybe high single digit in the second half also.

Sanjay Sethi: It's broad-based. Our portfolio on a same-store basis has grown on ADR at 17%; overall, around 18% growth. And as this is a similar trend that we're seeing across cities. You now have quarter 3 results out from 2, 3 of the listed companies; similar story being -- coming out from everyone, so this whole H2 thing being slowed down clearly is a fallacy, as far as at least big cities are concerned.

Moderator: Next question comes from the line of Aliasgar Shakir, Motilal Oswal AMC.

Aliasgar Shakir: Sir, first question is on the F&B. So this quarter being a wedding season, festive season. And we've seen F&B growth of about probably 8% - 9%, which is maybe slightly better than RevPAR growth. And I think our F&B is also not at its peak, right? It's close to about 30 -odd percent. Plus -- of the total. Plus we have spent a lot also on upgrading our MICE and other activities. So if you can just throw some light on what led to a slower growth. And do you expect this to pick up in the coming quarters?

Chalet Hotels Limited

January 30, 2025

Page 15 of 18

Sanjay Sethi: So Aliasgar, the F&B growth at 8% may look muted, but that's on the back of the fact that we've got 2 hotels that got added as hotels, which have lower F&B. Courtyard by Marriott Aravali is one example. The other is The Dukes Retreat. The 73 -odd rooms that have opened have really no non-resident business coming in because our banquet hall is shut over there and the works. We also have 2 or 3 new outlets that are on the verge of opening at our hotels. I alluded to high-energy F&B spaces opening at JW Marriott Sahar, at the rooftop of the hotel; and also at the -- what do you call it, at The Westin Powai, where we've got a large, high-energy F&B space that's about to open. So all of this will supplement the growth for us. We are not a very heavy F&B-driven company in any case, so far. And I think that's what probably drives our margins also. However, we like to adequately size

the F&B. And where it needs support for new F&B opportunities, we always add. For example, we continue to always evaluate every square foot of space that we have in the hotel and see how we can sort of sweat that real estate asset and create some F&B or the experiences for the guests, to grow. Going forward, I don't see F&B growth going dramatically up, except that in Q1 -- in the coming year's Q1, because weddings are better than last year, we see Q1 doing very well.

Aliasgar Shakir: Got it. So with all these renovations that we are doing, do you think that this 30% has the opportunity to rebase at the higher end? Or maybe -- of course, you mentioned that it will not grow significantly but -- at least, I mean, track at par with RevPAR growth or slightly higher in the near term because of this rebase.

Sanjay Sethi: Aliasgar, again I would to repeat our focus is on rooms, room revenue. This is your highest-margin business. Within F&B, banquets is your high-margin business. Restaurants give negligible margins; and won't be too fussed about it, frankly, if you ask me. Our focus continues to be on growing ADRs aggressively. That's where we should focus. At the same time, we should have enough F&B to draw people into the hotel; and make sure our residents have enough options as they stay with us, and great experiences. That's where we stand today.

Aliasgar Shakir: Yes, understood, understood. And second and last question is on the margin. We have done pretty strong revenue growth, but margins have kind of been flattish. So if you can just share some color. Of course, we are at very healthy margins, but are you seeing any pressure on your costs, because of which your strong revenue growth also didn't lead to any margin improvement? How should we look at margins going forward with your revenue growth being, if at all, double digit?

Sanjay Sethi: Okay. So margin is growing, I mean. And the fact that we've got Dukes open, and our inventory, for the last quarter, which is actually negative EBITDA because the revenue is low. Costs are fixed. And the other one is Four Points By Sheraton, where we shut off inventory and some public areas now for renovation.

Those are dragging the margins down because, if -- and if you take those two out, our margin for the Hospitality segment is actually 47%, which by any measure is a very strong margin to come out with. And it is significantly higher than last -- quarter 3 last year.

Aliasgar Shakir: Understood. So as we stabilize, of course, we should expect your margins to move up?

Chalet Hotels Limited

January 30, 2025

Page 16 of 18

Sanjay Sethi: That right. Also we added Courtyard by Marriott, which is in its ramp -up phase. The margins there are in the mid -30s. It -- when, once that stabilizes, these will further go up.

Moderator: Next question comes from the line of Rajiv Bharati with Nuvama.

Rajiv Bharati: So this is again with regard to the previous question. So you -- your Faridabad asset, because it's largely MICE -driven asset, it should be clubbed in the F&B part of it. It should have a significant contribution of F&B. Isn't it?

Sanjay Sethi: Rajiv, it's -- whilst it is a MICE -driven project [ inaudible 0:53:45 ] its residential MICE largely.

And because it is residential MICE, from a percentage perspective, rooms still contribute majority of the revenue. And it doesn't have too much of non -resident F&B coming in for dining only, except maybe at weekends you get some guests, so it is not really going to enhance or up your F&B percentage.

It will continue to be consistent with the other hotels, and therefore, we don't expect any major change on account of that. However, the upgradation of the product from Courtyard by Marriott to Marriott will have its own positive consequences. Some of it may come up often to F&B.

Rajiv Bharati: No, I was just thinking that

-- because this was not in the base. And if you were to strip out the contribution of F&B from this asset, then the 8% number would come down even further on -- purely on F&B income.

Sanjay Sethi: [inaudible 0:54:40 ] Because it's not contributing the same number as the other hotels because it doesn't do non -resident business. So if you take that out, the growth will actually go up a little bit and...

Rajiv Bharati: Sure. And you -- yes...

Sanjay Sethi: On a like -to-like basis.

Rajiv Bharati: And you mentioned that, if you would -- The Dukes impact and Four Points Sheraton impact, if you were to remove, the EBITDA margin will be 47%...

Sanjay Sethi: Of the Hospitality segment, yes.

Rajiv Bharati: Okay. Which is still underwhelming, considering that you had some of the markets where you have grown 15% plus, Bangalore doing 30% plus. So operating leverage is...

Sanjay Sethi: There are variable costs that are connected with these revenues that come, right from commissions to management fees, to raw material costs, to operating costs. And as we go along and up our offering our rates, we also enhance our offering to our guests. We need experiences to be solid for all our guests. We continue to do that. Margin expansion at -- margin at 47% in Q3, which is typically lower than Q4, is I think a very strong margin to report . Given that we have some hotels which are just coming into the play, into that speed.

Moderator: Next question comes from the line of Achal Kumar with HSBC.

Chalet Hotels Limited

January 30, 2025

Page 17 of 18

Achal Kumar: My first question is about -- so we've been hearing that currently the expensive costs of capital, expensive land -- I mean it really is not worth it to think about the greenfield projects. It's so expensive. And of course, the time line, if you're building a 5 star, could be 4 year, 5 year, but then now the rates are skyrocketing?

And you're expecting rates to further go up, so how does the equation work? I mean, do you think it's really true that greenfield projects -- I mean you may not see many greenfield projects and it's really not worth it. Or you think the rising rates are actually -- are really favorable and we could see more greenfield projects coming up in the due course. What are your thoughts on that, please?

Sanjay Sethi: So Achal, on a base of 3,050 operating rooms, we have close to 1,100 more rooms under development, so clearly we are going down that route of expansion. That's a significant uptick, 1/3 more. And this is what is the pipeline that we are working on now, but our BD team is constantly looking at more opportunities to grow.

I think I did give an indication that there is no reason for us to believe that, between operating in pipeline -- currently we are at about 4,100, 4,200. I see no reason why, in a few quarters down the line, that shouldn't be a close to 5,000 number. So yes, the growth we are bullish. There will be some cities where you may not be able to do greenfield.

You will find alternate ways of doing it through mixed -use or JVs or rented assets, rented shells, all of those options that are in front of us. We have a large group that supports us on similar asset classes. We expect to leverage that and grow aggressively going forward.

The good part of the story is cities like Mumbai, where we have maybe 55%, 60% of our portfolio today, have high barriers to entry which are extremely positive for the Chalet story.

And we'd like to believe that this is going to hold us extremely well in the coming years.

Similarly, in Hyderabad, we already have 600 rooms. Bangalore is going up from 390 to 520 rooms. All this is happening within our existing land parcels, so for us the cost of building them out is significantly lower.

Achal Kumar: So I mean -- so is it worth assuming that your next target could be the Tier 2 cities or Tier 3 cities where the construction

could still worth it and where the costs of construction could be

lower? I mean, do you think -- I mean, strategically, do you think that way, that path?

Sanjay Sethi: So look. They need to make economic sense in each of these individual assets. If they work, we'll look at them. We have no boundaries that restrict us. Our growth will be aligned with where we can get healthy returns. I've mentioned this in a previous call : To some extent, we are spoiled by our own returns. And anything that we do going forward will have to match up with these returns. We are certainly not going to dilute our performances by taking subpar assets into the portfolio.

Achal Kumar: Okay. My second question is about I wanted to understand more about the Pune market because, Pune, I keep hearing that not doing great. There is not a corporate market. There's not a -- it's not a leisure market either. So for you guys, how the Pune market is doing, any thoughts on that, please?

Chalet Hotels Limited

January 30, 2025

Page 18 of 18

Sanjay Sethi: So tremendous growth. I mean, if you look at our Novotel Pune, our RevPAR growth in that hotel is 35% on a like -to-like basis. We had the same number of rooms last year, in the same quarter. We've grown by 35% in that hotel, clearly a strong market. Pune is not necessarily a very strong rate market, but certain pockets within Pune have high potential for new supply of hotels and we'll continue to explore them as we go along.

Achal Kumar: But is that, I mean -- so the great -- the -- sorry. The growth which you're referring to, is it more of a corporate growth? Or it's more of a leisure growth.

Sanjay Sethi: Corporate growth, all of it.

Achal Kumar: Okay, okay. My last question is about the airport assets. I mean you've been doing a lot on the airport assets. Any thoughts -- or any plans to have anything around new Jewar airport?

Sanjay Sethi: No. So look. We do get opportunities once in a while around that area. We've looked at them. So far, given the -- whatever we heard and saw, the economics didn't make sense at that point of time, but we will continue to keep our eyes and ears open to see any new opportunities that come around Jewar.

Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Sanjay Sethi for closing comments.

Sanjay Sethi: Good morning, everyone, again. And -- that's right. Good afternoon. Thank you for joining us.

In conclusion, I'd like to, firstly, thank you for joining us for the call; and more importantly, to confirm that we continue to be extremely excited of the space that we are in, both in hospitality and also equally in the office assets that we have. And we believe that Chalet's next few years, visible few years that we have sight, insights on, which is the next 4 years, look extremely bullish and strong. Thank you.

Moderator: Thank you. On behalf of Chalet Hotels Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.



## Call: May 2025

Chalet Hotels Limited

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May 19 , 2025

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001.

Scrip Code: CHALET Scrip Code: 542399

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Audited Financial Results for the quarter and year ended March 31 , 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on May 13 , 2025 , in respect of the Audited Financial Results for the quarter and year ended March 31 , 2025 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 18

"Chalet Hotels Limited  
Q4 & FY '2 5 Earnings Conference Call "  
May 13, 202 5

MANAGEMENT : MR. SANJAY SETHI – MD & CEO

MR. SHWETANK SINGH – ED  
MR. NITIN KHANNA – CFO

Chalet Hotels Limited  
May 13, 2025

Page 2 of 18

Moderator: Good day and welcome to the Q4 and FY '25 Earnings Conference Call hosted by Chalet Hotels Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanjay Sethi, MD and CEO of Chalet Hotels Limited. Thank you, and over to you Mr. Sethi.

Sanjay Sethi: Thank you, Sejal. Good morning, ladies and gentlemen, and thank you for joining us for today's call. I'm delighted to have with us our Executive Director, Shwetank Singh, along with Nitin, our CFO, and, Ruchi, who looks after Investor Relations on this call.

Well, in these dynamic times, we are navigating through a VUCA environment, which is amplified by the current geopolitical situation in the subcontinent. Please rest assured that we are closely monitoring the situation and have enhanced security levels at all our hotels, office buildings and project sites.

We are committed to assessing any potential risks to our business, assets and people and have implemented contingency plans across all our hotels. While the current peace on our borders may seem fragile, the industry midterm macros remain robust driven by a favorable demand - supply arbitrage.

I'm thrilled to announce today that our Board has approved a definitive term sheet for acquiring a 15 acre beachfront land in Bambolim, North Goa for developing approximately 170 room luxury hotel over there. This will be Chalet's second project in the sought after holiday destination reflecting our belief in Goa's long-term potential.

The Indian Hospitality sector continues to benefit from strong tailwinds with average room rates reaching levels not seen ever, and healthy occupancies. Aside from the last one week, domestic air traffic has reported double-digit growth signaling a significant upswing in business travel demand and experiential consumption. At Chalet, with our focus on luxury to upscale segment, we are well positioned to leverage this trend and expand our leadership in existing and new markets.

It's with immense pride that we share that FY '25 has been our strongest year to date with Chalet Hotels delivering standout performances driven by robust business fundamentals, strong operating efficiencies, strategic acquisitions and timely inventory additions. In Q4, we acquired The Westin Resort & Spa, Himalaya for an enterprise value of INR5.3 billion, strengthening our position in the high growth leisure, spiritual and wellness market.

Chalet Hotels Limited  
May 13, 2025

Page 3 of 18

Despite a soft start to the last year due to the model code of conduct, we witnessed a sharp rebound in demand beginning Q3 FY '25, driven by a strong recovery in corporate travel, MICE, weddings and other social events. This momentum continued into Q4, culminating in a year of record revenue and profitability.

We achieved the highest ever average room rate, or ARR, of INR14,345 at portfolio level with a robust 21% increase year-on-year. Our highest ever quarterly RevPAR of INR10,909 was an additional bonus. Our Hospitality segment revenue grew for the quarter by 20% to INR4.6 billion with room revenue rising 27% year-on-year to INR3 billion.

Backed by a strong grip on cost and efficient operational execution, we have delivered a high flow-through with Hospitality

division recording an EBITDA of INR2.2 billion, a jump of 22% and a margin of 48.5%, up 60 basis points year-on-year. On a consolidated basis, the revenue for Q4 stood at INR5.4 billion with EBITDA at INR2.6 billion and an EBITDA margin of 47.8%, the highest ever in any quarter in the company's history.

For the full year, I'm pleased to share that Hospitality revenue stood at INR15.2 billion while EBITDA climbed to an all-time high of INR6.8 billion. EBITDA margin for the period for the

Hospitality division was 44.7%.

An update on the projects and pipeline under development. Pleased to share that in Bengaluru, the market continues to demonstrate robust performance, and we have operationalized earlier in this month an additional 121 rooms at the Bengaluru Marriott Hotel Whitefield, bringing the total inventory at the property to 512 rooms, making this hotel the largest hotel in the city and it aligns with our strategy of working with scale. We are encouraged by strong demand trends in the micro market and look forward to performance of the expanded inventory in the coming quarters.

The Dukes Retreat, Khandala is undergoing the final stage of upgradation and repositioning. As I mentioned last quarter, 73 rooms are in operation and by end of this month, the banquet hall and the rooms above will also come into play. The Resort will ultimately have 145 keys upon completion, and we are working on ensuring we deliver 100% of the project within H1, hopefully earlier than the end of H1.

Work continues to progress well at Taj Delhi Airport, and the building is now visible after basement completions and ground floor completion on the first floor there. So we should sort of look at completing this maybe in early part of the quarter 3 of - next year

Our Luxury Beachfront Resort at Varca remains on track and is scheduled for completion in FY '28. The second commercial tower at Westin Powai Lake Complex CIGNUS 2 is progressing on schedule and is expected to be completed in FY '27.

On our project at Airoli, I'd like to update you that there has been an unexpected delay due to change in the NGT regulations at the center. This has impacted several projects within the radius of 5 kilometers from the national park, and these projects have been moved to the center for site clearances.

Chalet Hotels Limited

May 13, 2025

Page 4 of 18

At our Koramangala, Bengaluru project, we have obtained the OC now for all 9 towers, which are now being readied for handover. Sales, which commenced in October 2023 have gained strong traction. As of 31st March '25, only 27 units remain unsold. Including legacy sales, we have now sold 92% of the total inventory. In parallel, the development of the two new residential towers and one office block is progressing well.

Our progress on sustainability continues to be well recognized. Chalet was included in the Dow Jones Sustainability Index this time with a high score of 67 in February this year. We now rank sixth within the global Hospitality communities and the highest hotel company in India. We also earned a B score, which is a high score actually in the CDP assessment for both Climate Change and Water Security. Additionally, our green footprint now covers over 3 million square feet of our portfolio.

Ladies and gentlemen, we continue to be on the path of a strong growth trajectory. The tailwinds for the industry, combined with team Chalet's steadfast focus on guest experience and cost sets us on an exciting path for the next few years. As we step into a new financial year, we remain committed to settling new benchmarks in operational excellence, project execution and sustainable and value -accretive growth.

With that optimistic look, I now hand over to Nitin, who will walk you through the financial highlights in finer detail, and then the three of us will take the questions. Nitin?

Nitin Khanna: Thank you, Sanjay. Good morning, ladies

and gentlemen. Quarter 4 FY '25 marked yet another

quarter of record -breaking performance for the company. For the first time, our consolidated revenue crossed the INR5 billion milestone in a single quarter.

Notably, on a same -store basis, the Hospitality business achieved a significant milestone by attaining a 50% EBITDA margin for the quarter, another first for the company, and a new benchmark in operational efficiency. Annual revenue from the Hospitality business surpassed INR15 billion for the first time, reflecting solid growth and sustained momentum.

Let me now take you through the financial updates for the quarter. In the Hospitality segment, ADRs have jumped 21% to cross INR14,300. This was led by strong rate growth across geographies, especially the Bengaluru, Hyderabad markets, along with the newly added resorts in the portfolio. Occupancy remained stable at 76%, a rise of 30 basis points year -on-year. This in turn drove a 21% increase in RevPAR to INR10,909, hence, crossing the INR10,000 mark for the first time.

On a same -store basis, that is excluding The Dukes Retreat, Courtyard and the newly acquired Westin Resort & Spa, Occupancy stood at 79.4% and RevPAR continued to grow by a robust 23% year -on-year. As a result, our room revenue grew by 27% year -on-year for the quarter, while Hospitality segment grew by 20%, which stood at INR4.6 billion.

We have been diversifying into different micro markets with varied cost structures. While we navigate it, I'm pleased to report that we have maintained sharp focus on cost control strategies

Hospitality division was 48.5%, showcasing strong flow -throughs led by our focus on cost efficiencies and regular asset management interventions.

On the rental and annuity front, our revenue for the quarter jumped 75% to INR619 million. We clocked an exit run rate of INR210 million per month in March '25. The EBITDA for the division was at INR498 million with 80% margins. As Sanjay highlighted, we have made significant strides in the leasing velocity. As of today, we stand at an overall committed leasing of 77% and lease space of 71% of the available inventory.

Coming to the updates on the residential projects, we have sold additional 23 units during the quarter. At the end of FY '25, we have now sold 92% of the project inventory and we have reached the last leg of sales for the projects. Flats in Phase 1, which comprises of 9 towers are ready for handovers.

Majority of our new sales are for the final 2 towers which are currently under construction. And for the quarter, our blended selling rate shows a slight moderation to INR19,800. Overall collections during the year was INR3.9 billion, and we have outstanding receivables of INR4.1 billion as on 31st March '25.

Consolidated revenue for the quarter stood at INR5.4 billion, a growth of 27% year-on-year. Consolidated EBITDA was at INR2.6 billion with a growth of 36 % year-on-year and a margin of 47.8% for the quarter. Consolidated PBT for the quarter was INR1.6 billion, a robust jump of 60% year-on-year. The PAT for the quarter was at INR1.2 billion, a strong jump of 50% year-on-year.

Now, coming to debt. During FY '25, the company deployed about INR11 billion on capex and strategic acquisition, the highest we have ever done in a single year. These investments are expected to be value accretive to our business over the next 3 to 4 years. As on 31st March '25, the net debt of the company stood at INR19.9 billion. We maintained a liquidity position of INR3.6 billion in the books.

During the quarter, we allotted INR750 million of listed non-convertible debentures for the first time and the instrument was rated AA - with a stable outlook by CRISIL at a coupon of 8.35%. This instrument provides us with an

other cost-efficient channel for fundraising and helps us with diversifying our capital structure risk. Overall, we closed the quarter with an average cost of finance standing at 8.4%, a reduction of 47 bps from March '24.

In the last Board meeting, the company has taken Board approval and will be seeking shareholder approval for NCD or commercial paper or any other market linked debt instrument up to INR10 billion. This is an enabling resolution with an objective to keep funding lines available based on future strategic requirements.

Capital work in progress, along with assets to be operationalized stands at INR6.7 billion as on 31st March. The company follows a prudent approach towards capital allocation and is actively investing to unlock the next phase of growth. We have budgeted for capital expenditure under the current plan of around INR23 billion to be deployed over the next 3 years, which will be

Chalet Hotels Limited  
May 13, 2025

largely funded through internal accruals. We will continue on our growth trajectory, and we have a robust balance sheet to support further strategic growth opportunities.

With this, let me open the floor for Q&A.

Moderator: The first question is from the line of Sameet Sinha from Macquarie Capital.

Sameet Sinha: A couple of questions. First one is the industry, I mean, obviously, we've seen a lot of investments, many international players coming into the market. What is Chalet's right to win in that sort of a situation as the competition for real estate, labor, everything continues to go up? Secondly, in terms of the interest rate environment, it seems like there's going to be a few more cuts this year. Can you talk to us about what sort of leverage do you have to those rate cuts? Can you bring down your finance costs as those rates go down?

Sanjay Sethi: Thank you, Sameet. I'll take the first part of the question. So look, Chalet is on the asset owning side of the business, there are not too many people who are actually investing in new hotel projects at multiple -- or rather multiple hotel projects in one company. So from the institutional investors, there are not too many.

On the brand side, of course, there are many, and therefore, it's a crowded brand space. Given that the demand and supply gap continues to be favorable for investments in Hospitality going

forward, we have a visibility of next 3 to 4 years where the arbitrage will be positive on the demand -supply side, we believe we stand very well.

The other thing that holds us well is our cost to build has been far more efficient than most of the people. And our operating costs have been tighter than most other people. Two, 3 reasons for that. We put in a lot of effort in designing hotels. Every square foot is accounted for.

And one metric that we look at closely is gross built up area per room because that in the denominator of return on capital employed is stuck with you for life. So we need to get that right in the first instance. I think that's going to hold us very well going forward because we've done this efficiently.

New projects, too, we are focusing hard on this. Even on our cost per square foot, we are marginally better or, let's just say, more efficient than many other developers. So between the 2, the denominator is well catered to our operating and asset management capabilities keep the numerator high, and therefore, we are able to deliver high return on capital, which will allow us to invest more going forward with the balance sheet size growing. Nitin?

Nitin Khanna: Yes. On the leverage side, my current cost of capital is 8.4%. We looked at resetting the rates. In April end, we are around 8.35%. We are also expecting some resets to set in the month of May as well. We are expecting May end will be around 8.32%. So I hope that answers your question on the leverage part.

Sanjay Sethi: I think you also said that there

will be some resets by the RBI. Are you positioned well to...

Nitin Khanna: Yes, yes. Same reset has happened because of RBI.

Chalet Hotels Limited

May 13, 2025

Page 7 of 18

Sameet Sinha: Okay. One final question, if you can sneak that in. So in Rishikesh, can you talk to us about the seasonality in that business? And what sort of RevPAR do you get at 60% occupancy? And what is the kind of the occupancy dilution from this property that you expect in fiscal '26?

Sanjay Sethi: We don't see any occupancy dilution because the hotel is actually in the ramp-up phase. It's an early part of its growth cycle. So we're actually expecting a positive growth on the occupancy side. If you look at the slide number 4, occupancy last year stood at 43% with an average room rate of INR26,500.

In the later part of the year, we've actually seen rates going north of INR26,500 closer to about INR27,000 and INR28,000 and occupancy will grow. We probably have a week or 2 given where we are in the last -- with the situation on the border front that we may lose this time, but I think we'll catch that up. Shwetank, do you want to add anything else?

Shwetank Singh: Yes. Just to add to that, there is -- in terms of seasonality, it is pretty much a year-round destination. The only period which sort of drops off a little bit is during the rainy season, which is a couple of months when the rains are a bit heavy and the approach to the hotel becomes compromised to some extent. But other than that, we are fairly yearlong destination there.

Sanjay Sethi: Sameet, just one additional point -- in our view, we bought this asset at 11x 1 year forward.

Moderator: The next question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Congrats team on another strong quarter. Sanjay, my first question in light of the recent geopolitical developments, if you could talk a bit about how are these occupancies and the ARRs have been trending, in particular in the past couple of weeks? And more importantly, we've also seen a lot of global countries having issued travel advisory as far as travel to India is concerned.

Moderator: Sorry to interrupt sir, I would request you to please use your handset. Your audio is not clear.

Karan Khanna: Yes. Is this better?

Moderator: Yes.

Karan Khanna: Yes. So, Sanjay, in light of the recent geopolitical development, if you could talk a bit about how the occupancies and the ARRs have been trending, in particular in the past couple of weeks?

If you could bifurcate that across your leisure and the business portfolio?

And more importantly, the share of foreign guests increasing to about 39% in FY '25. If you could comment a bit about what was the number in fourth quarter? And what are the kind of developments that you're seeing on the foreign tourist arrivals front, in particular given we've seen a lot of these global countries having issued travel advisory as far as India is concerned? And also, if you could talk a bit about the social meeting calendar, the next 2 or 3 weeks is quite heavy as far as the social MICE is concerned. Are you seeing any cancellation over there as well?

Chalet Hotels Limited

May 13, 2025

Page 8 of 18

Sanjay Sethi: Thank you, Karan, for your kind words in the beginning. Look, it has been a volatile last couple

of weeks for everyone. And to say that we know what's going to come out of it I think we'll be fooling ourselves. It's volatile. It seems to be settling down. But as I said in my opening statement, it's still fragile in terms of the peace that we are holding on the border.

To answer your question on the impact on the business, I can give you a bit of an insight into this. Basically, we are trending in May month -to-date at 12% growth over last year. But we are -- from our internal targets, about 9% below the number that we had set ourselves to do when we set our budgets in January of this year.

So, whilst we continue to have growth, we've been through now 6, 7 working days under this situation and 4 weekend days in this situation. So it has affected us 11 days. And I think despite that, if we are getting 12% growth, we should be pretty good.

Karan Khanna: Sure. And just a follow -up on this. Any thoughts on, let's say, the social calendar also and any cancellations that you're seeing for the rest of the quarter?

Sanjay Sethi: We've seen some cancellation on the MICE segment, which were due to happen in that last week or early this week. The others are on wait and watch pretty much like we are on wait and watch.

We believe that if we get through this week eventless, we should be fairly good. We might have lost a couple of weeks, but that's the only loss.

Our growth trajectory should continue within that. The foreigners have a slightly longer time to recalibrate the travel plans. Domestic travel happens with a shorter lead time. So foreigners may take a little longer coming back. To answer one of the questions that you asked, 42% of the total room nights that we had were through foreign guests.

Karan Khanna: Sure. My second question, in light of these developments and in the past earnings call, you've spoken about double -digit RevPAR growth expectations for the industry in the next couple of years. Do you still expect that or you think that FY '26 could be a bit of a challenge perhaps and I think FY '27 -'28 outlook remains unchanged? And what kind of resistance are you seeing on rate hikes from your corporate clients?

Sanjay Sethi: I'm pretty confident that double -digit RevPAR growth should not be a challenge.

Karan Khanna: Just a follow -up and this will be last question. Given the positive view on the upcycle in the near to midterm and given the kind of leverage you have on the balance sheet, which is up INR2,000 crores and 3x debt -to-EBITDA.

Going forward, given you are somewhere in the middle or potentially close to the peak of the cycle, would you be more aggressive in terms of acquiring assets instead of going ahead greenfield expansions? And more importantly, what would be the strategy in terms of growth going forward because you're already at 20% mix of leisure assets in your portfolio with the Goa acquisition?

Sanjay Sethi: Look, balance sheet is strong. Our intent is to grow rapidly. We have quite a few projects in hand, both greenfield and as you've seen, we've acquired four hotels in the last few years also.

Chalet Hotels Limited

May 13, 2025

Page 9 of 18

In terms of where the future growth is going to come, whether it is going to be greenfield or ready assets, I think depending on opportunities, we expect both to happen. We also see some opportunities that may arise come up in the group developments in their office complexes. And if some of those work for us, we will look at that aggressively. In which case, it could be either land lease or share lease.

Moderator: The next question is from the line of Archana Gude from IDBI Capital.

Archana Gude: Congrats to the management team for another strong quarterly performance. Sir, two questions.

My first question is on Goa market. In one of the media briefing the industry leader spoke about Goa being laggard market compared to the rest during Q4. So if you can help us our internal assessment of demand -supply scenario for next 2, 3 years in Goa would be helpful.

Sanjay Sethi: Thank you, Archana. Look, we believe Goa is a very deep market and it has both very strong mid- and long -term potential, and that's why we're betting big with one land parcel in North Goa, one in South Goa, both beachfront, seafront properties very nicely scraped out, both in the range of 170 to 190 rooms. I think we will get a very strong foothold when we finish developing these properties.

In terms of the trends, whilst we've seen some degrowth in some of the segments in Goa and for some months

, you've got to remember it comes off a very high base. And on the better properties, which are beachfront properties, we've actually seen the opposite. We are seeing growth with them even now.

So with that, we are confident that we will -- so we are putting in our feasi is about to be conservative about 4.5% rate growth , but that's true for our feasibility. I see no reason why Goa will not grow at double -digit RevPAR growth going forward, too.

Archana Gude: Sure sir. And sir, secondly on the margin front, this 46% EBITDA margin for FY '25 on a like - to-like basis is very commendable. Considering that resort revenue contribution was just at 6% in this year, is it right to assume that there is room for EBITDA margin improvement at -- as a resort revenue goes up at consol level?

Sanjay Sethi: Yes, true. There are quite a few of our projects which are either in the early stage of sort of ramping up. This includes Courtyard by Marriott Aravali, it includes The Westin Resort & Spa, Himalayas. It also includes The Dukes Retreat, which I can share that we are hardly doing any business right now. But when it kicks in it will come in very strong.

The rates at Dukes have been very comfortably at INR15,000, INR16,000 and we believe guests see value for money in that. So going forward that should also add. So there are three properties which are in ramp up phase. The rest of them are fairly sort of mature. I think the only other ramp -up that will happen is for the additional 120 -odd rooms that we're adding in Bangalore. So this is an overview.

Just one additional point, the Four Points by Sheraton in Vashi also has about 33% of its inventory out of action as we speak. And all of that will come back when this has already been knocked over.

Chalet Hotels Limited

May 13, 2025

Page 10 of 18

Moderator: The next question is from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, my question is with respect to our second hotel in Goa. I think we have mentioned that the total acquisition price is approximately INR136 crores, but I believe that predominantly pertains to land. So can you share what will be the overall capex per key including land and what is the comparable ARR of similar properties nearby and any indicative time line of completion?

Sanjay Sethi: So completion will take about 3 years from the time we get the approval. Expect to get the approval in the next 6 to 9 months' time. In terms of average room rates, the competitive market is operating at about between INR18,000 and INR21,000. This is the position at the upper upscale luxury positioning.

So it will compete in that price range. Occupancies continue to be high for Goa overall in the low-to mid -70s. And remember, this hotel will open about 3.5 years from now.

Shwetank Singh: And to further add, we will position it -- if we were to compare it to our own Varca property and how we are looking at it, we would expect a premium of about 10% to 15% on the rate with respect to the Varca property. And therefore, we are not averse to doing a slightly higher capex here per key in order to give the right product positioning to this hotel.

Jinesh Joshi: Got that. And sir, secondly, I just wanted to understand the context behind the enabling resolution taken for the fund raise via NCDs and CPs, I think collectively put together the amount is roughly about INR1,250 crores. But I think in FY '25 our FCF was roughly about INR950 crores.

And I think we should generate a healthy cash in FY '26 as well which perhaps can maybe fund our capex requirements. And if I also heard you right, you mentioned that our capex requirements will be met by internal accruals. So in that context, any specific reason for this enabling resolution to raise more money via debt?

Sanjay Sethi: Thanks, Jinesh. If you remember in the last board and in the last earnings call we had taken an approval of ar

ound INR600 crores the debt to be raised through NCDs. Now this is an enabling resolution for INR1,000 crores. We will look at any debt instruments including CPs. The amount of INR250 crores is actually included in this INR1,000 crores.

These are not immediate requirement, but this will be used as and when required for any strategic reasons. So you are right. Our capex, whatever we have declared the capex requirements will be met through our internal accruals.

Jinesh Joshi: Understood. Sir, one last question from my side on the Koramangala Project. I think if I heard you right, you mentioned that we have received the OC and 92% of the inventory is already sold. And I believe one of the requirements to kind of start revenue accretion was getting the OC and having more than 90% of the inventory having sold out. So we have achieved those milestones. But I do not see any revenue accretion happen. So can you just explain by when it will begin?

Nitin Khanna: So Jinesh, the collection is 90%. The condition was the 92% in terms of collection of flats which are going for possession. So the second condition is actual handover of possession. The actual

Chalet Hotels Limited

May 13, 2025

Page 11 of 18

handover possession is starting in the quarter one and probably by July we will be handing over possessions and recognizing revenue in our books as well.

Sanjay Sethi: So there will be material recognition of revenue is what we believe in this current quarter.

Moderator: The next question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Congrats on good set of numbers. Sir, can you just highlight about the occupancies for MMR region specifically JW and Westin Powai?

Sanjay Sethi: Sorry, could you repeat that question please? I'm so sorry, Prashant.

Prashant Biyani: Yes. I was saying can you highlight the occupancies and rates for MMR region specifically for JW Sahar and Westin Powai? How it has been on a Y -o-Y basis?

Sanjay Sethi: For the year or for quarter 4?

Prashant Biyani: For quarter 4 .

Sanjay Sethi: So look, we try not to give individual occupancies and rates because rates become price sensitive information to the competition. But the occupancies at Sahar were 83%. I'm happy to share that much. And Westin Powai was about 76%.

Prashant Biyani: And sir, April onwards, are you seeing any impact on occupancy in JW due to Fairmont?

Sanjay Sethi: No, we haven't felt any impact of Fairmont as yet. I think in fact it became complementary to our business because both the hotels have large banquet halls, which allow us to do large events and sometimes we end up sharing the business. We already had, two big events where both hotels had a common client and so far no impact. I mean 83% occupancy rate is looking very healthy. Sahar rate grew by 11%. Clearly the impact is not too much.

Prashant Biyani: Sure. Sir, I was just comparing the timeline for commencement of Hyatt Regency, Airoli. I believe there's some delay of around 12 to 18 months if I compare the timeline from last PPT versus for Q4. So what is causing this delay?

Shwetank Singh : Okay. Just to clarify, there's actually been a regulation change and what the approvals that were coming through from the MoEF locally out of Maharashtra has because of the change by NGT where if you are within 5 kilometer radius of protected forest, which in this case would be the Sanjay Gandhi National Park, means that the file will actually have to move to the center for approval.

And basically the file is caught between the center and the state as of now. And because of the change there is a lot of load that has come through to the center. So there is some delay in getting the approvals. It's just that from informal numbers we hear that there are about 200 projects in Mumbai alone that have been impacted.

Prashant Biyani: Okay. And sir, on the broader strategy of acquisitions, would you h

ave an outer target of how

much debt equity ratio would you want to have or any outer target for inorganic growth that you

Chalet Hotels Limited

May 13, 202 5

Page 12 of 18

would like to do? So many of acquisitions ... something like that. I know this can't be. These things can't be fixed as such. But in general, so as to pre -emptive, something is there lined up maybe in the next 6 months or a year time frame for a modeling purpose?

Sanjay Sethi: Prashant, we are a growing company and we believe there is a lot of headroom for growth going forward. The market seem to support growth and whilst I think someone did mention that we are at the peak of the cycle, I don't believe we are at the peak of the cycle yet. We are at least three, four years out from that.

We will keep our gunpowder dry on our balance sheet for any opportunities on acquisitions, whether they are mergers or acquisitions or greenfield land parcel acquisitions and will continue to grow at a pace to get us to that 5,000 room mark in the next , between operating and pipeline , in the next year or so.

Moderator: The next question is from the line of Vaibhav Mule from Yes Securities.

Vaibhav Mule: Congratulations sir on a good set of number. I actually had a question regarding Mumbai market. So Terminal 1 will be shut from November onwards. So that terminal alone used to cater to around 10 million to 15 million passengers per year. So, what kind of impact do you foresee from the shutdown of Terminal 1?

Sanjay Sethi: So we're expecting a positive impact. Our hotel is in Terminal 2 and we've been told 5 million passenger capacity will be shifted to Terminal 2. And the balance will go to the Navi Mumbai airport as and when that opens. So we're actually expecting a positive outcome of that. Our hotels are in very short distance from Terminal 2.

And also what will happen is with the Navi Mumbai airport opening, we believe two things are going to happen. One, the cargo aircraft will be split now between both the airports which will free up passenger carrying capacity more because the constraint is not terminal so much. It is the landing capacity that hinders growth from Mumbai.

So we believe that there will be a positive impact on the second airport opening. People who have to travel to the mainland side will use the Navi Mumbai airport. People who have work or business in the main city or in the island city will land at T2. So positive in all aspects.

Vaibhav Mule: Understood. My second question was on your rental annuity business. Currently you mentioned



your committed occupancy stands at 77%. So when can this occupancy we expect to reach, you know above 90% or so?

Sanjay Sethi: So look, we missed some of the stated deadlines earlier. So I hesitate to give new dates. But you know we are within that 2 or 3 quarter range now. Roughly that will get to 90 plus percent. Rates have been higher than we had shared earlier. So to some extent the gaps have been made up by rate. And because office leases are typically longer leases about 8, 9 years, once they get to 90 plus percent occupancy, it stays pretty stable at 90 plus comfortably.

Moderator: Next question is from the line of Abhay Khaitan from Axis Capital.

Chalet Hotels Limited

May 13, 2025

Page 13 of 18

Abhay Khaitan: So my first question is on that, on the ARR growth. We see that the strongest growth have been seen in the Hyderabad and the Bengaluru market and the growth is actually higher than what we have seen across the industry. So just wanted to understand what are the factors that has enabled such a strong growth in these cities for the quarter and do you think this is sustainable going forward?

Sanjay Sethi: Yes, this is very sustainable for sure, Abhay. I'll tell you two, three things that are happening. Bangalore was a late starter to go back to normalization post COVID and it's now sort of come back to its own well

to pre COVID numbers. After that, the capacity addition that we've done at Bangalore, it will again help us immensely because Mondays to Fridays is largely sold out, the rates have been very strong and because the new supply has been limited, we expect rates will continue to grow in both markets.

Hyderabad has been a pleasant surprise to everyone over the last 1.5 years and it continues to stay strong and robust. Again on Hyderabad, the supply is limited. Couple of announcements have happened, but then early stages of planning. So we're at least three, four years out.

Abhay Khaitan: If I can squeeze in just 1 more. So what I can -- what we have seen is that the last three major announcements that we have seen from the Chalet side has been on the tourist locations, two in Goa and one in Rishikesh. And whereas we see that, the recent surge in ARR growth and the supply demand mismatch that we have been talking about is mostly focused on that cities.

So is there like can we assume that is there a strategical shift for the company to shift more towards the leisure locations? Because historically we had more assets in the metro cities and focus more on the business travelers. So do we see that the strategy and do we see the strategy going forward as well?

Sanjay Sethi: So, what we've done was in fact last about 3 or 4 years back we had stated our strategy that we'd like a small plan B leisure side of the business and we were doing diversification on 3, 4 fronts.

One was the geographical diversification and we were de-risking our business from 1 or 2 geographies by expanding the geographies.

We've done that in Delhi, we've done that in Rishikesh, we've done that in Pune and so on and so forth and Goa now. The other diversification was in category or segment of target audience that we were addressing and that's where the leisure resorts came into play. We had stated that we'd like ideally 20% of our portfolio to be in the leisure space.

We are clearly much below that right now and we believe that we'll be able to take best advantage if we have both sides of the segments catered to. Finally, we had the asset class diversification and that's where we did two things. We revived the residential project and we expanded the size of the project for our office portfolio, which office portfolio will tend to give an annuity income and EBITDA which will support us through any risk of down cycle ever in future.

And so we've done that for life now and it is material. Nitin mentioned earlier, exit income in March was INR21 crores. That's going to grow pretty rapidly in the next few quarters. And as we add more office assets we are hopeful that we will hit overall income north of INR450 -odd

Chalet Hotels Limited

May 13, 2025

Page 14 of 18

crores from the announced pipeline of offices that we have. So these diversifications overall was the strategy and we are executing to strategy.

Moderator: The next question is from the line of Raghav Malik from Jefferies Group.

Raghav Malik: Just a follow up to the previous participant's question. So you highlighted that 9% is the kind of impact on your revenue target basis the recent developments, the cross border situation. So I mean is it possible to sort of bifurcate that even qualitatively between MMR and outside MMR, the kind of RevPAR or revenue impact you may have seen?

Sanjay Sethi: I can't give you exact numbers, but I can tell you that Bangalore and Hyderabad have got impacted the worst because of the nature of the target audience, which is foreign travelers

coming into the hotels for IT, ITES and GCC businesses. Leisure has taken a halt. Also we see Courtyard by Marriott Aravali and The Westin Resort & Spa, Himalaya s getting impacted on transient, as well as some group business. Group includes weddings. No major cancellation on wedding till date, but we lost some conferences which were due to happen last week.

Raghav Malik: And clarification, so on the Airoli project you mentioned that, what is the new kind of start date or start date that we can expect from your front?

Sanjay Sethi: You know, difficult to put a date on it because it's lying with the central government. But I don't see this starting for another 6 months at least. Right, Shwetank?

Shwetank Singh : Yes.

Sanjay Sethi: Yes, 6 months is the minimum we should expect here.

Moderator: The next question is from the line of Murtuza Arsiwalla from Kotak Bank.

Murtuza Arsiwalla : Just want to check, you did put out a target of about 5,000 keys in a year or two and you've been moving pretty rapidly in that direction. Any sense that, would you want to pursue more growth opportunities should they come your way and will the 5,000 keys be comfortably supported by the balance sheet, at the pace that you're looking to do it?

Just some sense on how you're looking because the way we see it, Chalet has obviously been most aggressive amongst the peer sets in terms of adding new assets. So how does the balance sheet support and how are your medium -term targets with that number of 5,000?

Sanjay Sethi: Yes, so look, I think the internal accruals are getting stronger by the day and that's in turn strengthening the balance sheet. We are also keeping our gunpowder dry in way of future credit facilities if required to prop up any acquisition opportunity that we get. Our business development team is also working on opportunities on locations that we've identified as potential high growth locations going forward.

We see many more of the new announcements now coming up for big city business hotels going forward. So that's where we're going likely to focus on and I think we have the bandwidth

Chalet Hotels Limited

May 13, 2025

Page 15 of 18

through our balance sheet management capabilities, execution capabilities and the India opportunity are strong to support this strategy for us.

Murtuza Arsiwalla : So you need not necessarily stop at 5,000 keys because you're already at 4.5 with, all of the BD that you've done in the last sort of 12 months or so?

Sanjay Sethi: 5,000 was a holding number because I was asked that question and I did say that it will be within the next, year or so.

Moderator: Sir, does that answer your question?

Murtuza Arsiwalla : Yes.

Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswal Financial Services Mutual fund.

Aliasgar Shakir: I had a question on some more color on the RevPAR growth. So you know, I mean if I see a couple of numbers, one is your, occupancy for business versus resorts. Of course your resort occupancy is relatively has a lower level maybe because you know, your hotel probably a couple of them have come recently and also, I mean when I split that further into, your FTA versus domestic travel, the resort segment has very low foreign, I mean, travel.

So I mean, if you can just give some color in terms of the scope of RevPAR growth coming from the resort space and whether you think that the improvement in foreign travel within the resort space can give you more room to, you know, improve your RevPAR over the next 2 years?

Sanjay Sethi: Look, the resort RevPAR performance has 3 or 4 current dynamics to it. One, The 2 acquired resorts of Courtyard by Marriott Aravali and The Westin Resort & Spa, Himalaya s are in the early years of ramp up. So what we'll see growing there is occupancy led growth, holding the rates or maybe growing the rates at 4%, 5%, 6% so that we can get RevPAR growth which is comfortably in the double digits.

That will be our strategy going forward. The current geopolitical situation is not affected because we are talking about March 31 numbers. This did not start then. We expect that the coming season for weddings is going to be extremely strong and we expect a massive pickup on both these locations there.

The sec

ond element to the resort side was Dukes where we have a very small inventory without the banquet facilities. And from Monday through Fridays, Dukes will have to rely on MICE business as that comes into operations say by end of this month or early next month, we will have that capability to fill out the Mondays to Fridays also. So within this, I think our resort portfolio will start showing higher RevPAR.

Aliasgar Shakir: Got it. And also the foreign travel point that I was highlighting, yes, of course I know in the current environment that could be really challenging. But the scope of growth in RevPAR because of that segment being very small in your resort business?

Chalet Hotels Limited

May 13, 2025

Page 16 of 18

Sanjay Sethi:

Aliasgar Shakir:

Sanjay Sethi:

Moderator:

Saurabh Jain:

Sanjay Sethi:

Shwetank Singh:

Sanjay Sethi:

Saurabh Jain:

Sanjay Sethi:

Saurabh Jain: So, resort, unlikely to have a large element upon travel, it will remain in the low single digits from resort to resort it may differ, but overall say in the low single digits and we don't expect any foreign travel just yet.

This is very clear. If I can just squeeze in one more quickly on your leverage. So you did mention that your focus on 5,000 rooms and trying to drive that with, some leverage, but just, I mean wanted your thoughts from the point of view that while, initially believe that we are away from the peak, but you know, I mean in terms of keeping some room, so that if there are any contingencies the way we saw in the last couple of weeks, we are not, I mean, at a very high leverage. What are your thoughts on that point?

Sure. Aliasgar, you're right. We need to be cautious. What we've done is, we're taking enabling resolutions to keep the balance sheet capability for growth available to us. But we're not going to jump into the deep end of the pool right away.

The next question is from the line of Saurabh Jain from HDFC Life Insurance.

I just had one question. So, can you comment on the performance of the resort that you acquired in NCR i.e. Courtyard by Marriott Aravali. I'm seeing that you did about INR75 crores to INR80 crores of revenue, but can you comment on the EBITDA and the growth numbers Y-o-Y, because in about 13 months since you have acquired the current asset so just want to understand the build-up on that?

So Saurabh, we don't give individual hotel numbers because it becomes sensitive competitive information and it sort of creates a problem. We used to do that several years back and then we were told why are you giving away your individual hotel numbers. But let me share two things about that resort. It is in the third year of operations and as we had promised earlier, we are repositioning the resort from a Courtyard by Marriott to Marriott. The work has just started and we expect by October, November, Shwetank?

Yes.

Let's say November to be safe. We will be in a position to rebrand this as Marriott, which will position us differently on the competitive set and allow us growth. Wedding segment is strong there, wedding season will start and we expect that to do well.

And on the revenue growth number because that you have already disclosed in the presentation. So any growth numbers in terms of how is it grown in FY '25? Just the revenue growth number would be helpful.

So, Ruchi, just briefed me, it's 10% is the revenue growth. So what we were saying was that we had double digit growth on the resort, and from our perspective, we had looked at buying this about 11x, 12x, 1 year forward EBITDA, largely within that range now.

Sir, your comments on that peak debt level you are close to about INR2000 crores on net debt side, same thing capex sales pending for FY '26 and '27. So just your comment on what is the peak debt that you see?

Chalet Hotels Limited

May 13, 2025

Page 17 of 18

Sanjay Sethi: So peak debt, we'll come back to you in a

bit with the numbers, we've just added this new project

in our pipeline and we are also waiting to see what the cycle for payouts or spends will be for Airoli because that will impact the peak debt because if it's spread out a little longer, then the peak debt will remain low. But we are conscious of the fact that we would not like to be. We'd like to be south of 3.5x for sure. In fact hopefully in the 3 range.

Moderator: The next question is from the line of Rajiv from Nuvama Wealth Management Limited.

Rajiv: Sir, regarding, which -- is it Varca and Bambolim both will be under the Dukes flag and...

Sanjay Sethi: No, not true.

Rajiv: Okay. So and on the leisure side, how do we work out in terms of the peak profitability in this case? Will it be better than what your city hotels are doing?

Sanjay Sethi: So you know what happens is 2, 3 dynamics for leisure hotels once they're stable compared to business hotel. One is business hotels are typically larger and so you get the benefit of scale on their cost side. Leisure hotels are typically smaller in the range of about 120 to 180, 200 rooms max.

So you don't get that much of benefit of scale. But the average room rates are typically higher in leisure hotel. Occupancy is slightly lower in leisure hotel. On a blend, the RevPAR in a mature leisure hotel is higher than most city hotels, but costs also slightly higher. If you noticed our leisure portfolio, the number of employees per room is significantly higher and therefore on a blended basis our employee per room has shifted to 1.01 or 1.1.

And so those costs have to be carried through. We expect leisure hotels to be largely in the range as the overall portfolio maybe a percent or 2 lower than the business hotel average. But then again we expect our leisure portfolio to be less than 20% of the total portfolio. I've been corrected, the employee to room ratio now blended is 1.01.

Rajiv: And one minor thing, sir, this is regarding your the cancellation between how much forward booking is affected. Is this only till Q1 or we are seeing Q2 also getting hit?

Sanjay Sethi: So far we know May is affected. We had cancellations for May, June as of now no strong indications of cancellation. I think one or two groups have been affected, but for now we don't have any further information. We don't see any impact in Q2 if things settle down in the coming week, 10 days or so.

Moderator: The next question is from the line of Kaustubh from ICICI Direct.

Kaustubh: Sir, my question is again on the cancellation, you mentioned that around...

Moderator: Sorry to interrupt sir. I would request you to please use your handset.

Kaustubh: And congrats for a good set of numbers. Sir, my question is again on the business you have lost for last 11 days. Is there any chance of some of this business, getting cover up in the coming quarters or whatever, expectation is in terms of the growth we have been looking in cities like Chalet Hotels Limited

May 13, 2025

Page 18 of 18

Bangalore and Hyderabad. Is it fair to assume that this the consistent growth in these markets will help to cover up, some part of business you have lost in last 10 to 11 days?

Sanjay Sethi: So Kaustubh, your guess can be as good as mine on this. I haven't watched the news for the last one and a half hour and we know the world is changing so rapidly. We don't know what's happened in the last one and a half hour, but the peace seems to be holding. Our Prime Minister sent a very strong and clear message yesterday.

I think the intervention by US, if any, we don't know whether that's true or not, has clearly sort of brought sanity to the region and we continue to hope that we will not have any other incursions or interaction between the two countries. And if that happens, we see no reason why June won't come back as strong as before.

Nitin Khanna: And just to add to that, Kaustubh, particularly in the MICE

segment, whilst we have had some

cancellations, a lot of them have opted for pushing it forward, not necessarily cancelling completely. So there is clearly an opportunity space being available of course, because there's limited space that we have on the conferencing side. They are not actually fully cancelled. They have just been pushed forward so.

Kaustubh: And just addition to that, US is signing deals with the countries now, trade deals. It is expected it will get signed with India soon. So what kind of business opportunity or in a sense indirect business opportunity you -- you are expecting from this till signing to happen?

Sanjay Sethi: So, Kaustubh -- in our foreign traveler mix, US is 60% of the foreign travelers and companies based out of there if they get better trade conditions and we can see that India seems to have got some preferential treatment on that though we are still waiting for the final verdict, will keep us competitive and therefore we expect the businesses to grow. And if those businesses grow, we expect to get a lot more room nights from that segment. The way it looks now should be a positive.

Moderator: Thank you. Ladies and gentlemen, given the time constraint, the management will be available for any pending questions offline. I now hand the conference over to Mr. Sethi for closing comments.

Sanjay Sethi: Thank you, ladies and gentlemen, for joining us today. It's been a very exciting quarter for us and I think that only doubles up the excitement that we have for the next 3 or 4 years with the growth in the portfolio, stabilizing the assets and rolling out really high margins in the portfolio. As we get better going forward, we will expect margins to grow and we'll definitely expect the office margins, rental margins to then contribute significantly to growth of the consolidated

EBITDA margin. Thank you again. Have a great day.

Moderator: Thank you. On behalf of Chalet Hotels Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Aug 2025

Chalet Hotels Limited

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August 7 , 2025

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

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Mumbai 400 051 . Mumbai 400 001 .

Scrip Code: CHALET Scrip Code: 542399

976529 (Non -Convertible Debentures)

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter ended June 30 , 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on August 1 , 2025 , in respect of the Unaudited Financial Results for the quarter ended June 30 , 2025 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above  
Page 1 of 16

"Chalet Hotels Limited  
Q1 & FY '2 6 Earnings Conference Call "  
August 01, 202 5

MANAGEMENT : DR. SANJAY SETHI – MD & CEO  
MR. SHWETANK SINGH – ED  
MR. NITIN KHANNA– CFO

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call hosted by Chalet Hotels Limited. This conference call may contain certain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Sanjay Sethi, MD and CEO of Chalet Hotels Limited.

Thank you, and over to you, Dr. Sethi.

Sanjay Sethi: Thank you, Hamshad. Good morning, ladies and gentlemen, and thank you for joining us on today's call. I'm joined this morning in our office by my colleagues, Shwetank, Nitin, Gaurav and Ruchi. After my remarks and Nitin's commentary on finances, we'll be happy to take your questions after that.

Let me begin by warmly welcoming Mr. Manish Chokhani to the Board of Directors of Chalet Hotels Limited as an Additional Independent Director. He brings with him a wealth of experience, strategic foresight and a strong governance mindset - qualities that align closely with Chalet's next phase of growth and evolution.

As shared in the press note last evening, I have decided to step down from my executive role at the end of my current contractual tenure as Managing Director and CEO on 31st of January 2026. In anticipation of this step, we have worked over the last 30 months on the next line of leadership and succession at the company. I'm very pleased to see Shwetank being designated to take over from me early next year. This transition is the outcome of a meticulous and collaborative process aimed at preserving our strategic direction while infusing fresh perspective and energy.

And now back to the business of running one. The quarter gone by was marked by substantial external volatility. May brought a series of disruptions from geopolitical tensions on our borders to multiple airspace closures and a tragic aviation accident. These events triggered significant disruptions across the travel ecosystem. But yet again, the sector demonstrated strong resilience. I'm pleased to share that Chalet's own portfolio reflected equal strength.

Our performance this quarter underscores the strength of our differentiated business model anchored in asset ownership and operational depth in a landscape increasingly crowded by asset -light players. We continue to believe that long -term value in hospitality is created by owning the right assets in the right location, backed by deep operating capability and a prudent capital structure. This conviction allows us to weather shocks, protect margins and compound value consistently over time.

Adding to this foundation is our complementary diversification into the office annuity business, which acts as a natural hedge and provides a stable income stream. This dual engine model -

Chalet Hotels Limited

August 01, 2025

hospitality and commercial , strengthens our ability to grow sustainably while managing cyclical volatility.

During the quarter, we saw continued strength in revenue per available room, largely led by strong average room rates. Our F&B revenue also had a healthy growth of 13%. At the same time, our disciplined cost control remains a core lever in navigating towards uncertain environment. Hospitality revenue for the quarter stood at INR3.9 billion, up 18% year -on-year. EBITDA for the segment increased 20% to INR1.6 billion,

with margin expansion of another 50 basis points to 41.7%.

On a consolidated basis, which includes our residential contribution, total revenue rose 146% to INR9.1 billion. Consolidated EBITDA came in at INR3.7 billion, a growth of 150%. Excluding the residential project, core revenues, which I want to emphasize here, the core revenue business of ours , which is primarily hospitality and supported by commercial real estate, the revenue grew by 27% and EBITDA grew by 37% year -on-year, respectively.

We added 165 keys for the year till date, a 5% expansion in the inventory in the first few months. In Bengaluru, we commissioned 121 rooms in a phased manner at Marriott Whitefield, taking the total count of that hotel to 512. Subsequent to that, another 8 rooms are ready, and they will be plugged into the system very shortly. So, we expect the total final inventory of that hotel to

be at 520 rooms. This scale there gives us operational leverage in a high -performing market. At The Dukes Retreat, Khandala, we've added 44 more rooms and a new banquet facility. The final 30 rooms will be completed shortly and will bring the resort to a final key count of 147. Construction at our upcoming hotel in Delhi Airport continues steadily and remains on track for opening next year. The civil work has actually reached the third floor , which is a typical floor and here onwards, it will move pretty quickly. Meanwhile, our teams are already on the site on MEP, internal civil and interior works.

On the commercial front, our second office tower, which is the CIGNUS II at Westin Powai Lake complex is also progressing very well and is scheduled for completion in FY '27. Meanwhile, our residential project, The Vivarea in Koramangala has seen excellent traction. Since its launch in October 2023, it has attracted robust demand and at premium price points with now only 14 units to be sold.

We continue to lead from the front on ESG. Chalet has been certified further as the Great Places to Work. This year is now the sixth consecutive year. It's a strong endorsement of our people - first culture and focus on employee well -being and capability building. On the environment front, we remain on track with our net zero targets and are actively delivering on our commitments to the climate growth.

Ladies and gentlemen , our strategy of owning high -quality hospitality assets, complemented by our annuity yielding commercial real estate assets continues to provide a solid foundation for sustained growth. Our diversified model supported by a strong balance sheet and disciplined capital allocation positions Chalet to pursue both organic and inorganic opportunities with confidence. We also intend to do more of this over the next few quarters.

Chalet Hotels Limited

August 01, 2025

Page 4 of 16

With that, I'll now hand it over to Nitin, who will walk you through the financial details for the quarter.

Nitin Khanna: Thank you, Sanjay. Good morning, ladies and gentlemen. It is my pleasure to welcome you once again to the call. On a consolidated basis, total revenue surged 146% year -on-year to INR9.1 billion, while EBITDA rose 150% with margins expanding by 70 basis points to 40.9%. This includes revenue recognition from the handover of residential apartments at The Vivarea, Koramangala, Bengaluru, where we were delighted to welcome our first group of homeowners. 95 apartments were handed over during the quarter.

As previously discussed in our earnings call, revenue recognized from this project amounted to INR4.4 billion, contributing to INR1.6 billion to EBITDA. Excluding the residential component, revenue grew 27% year -on-year to INR4.7 billion and EBITDA increased 37% to INR2.1 billion, with a robust 330 basis points margin expansion to 44.4%.

Revenue from our Hospitality segment rose 18% year -on-year to INR3.9 billion, driven by a 10% increase in RevPAR, which reached INR8,059. ADR improved

17% year -on-year to

INR12,207, supported by strong rate performance in both Bengaluru and Hyderabad markets. Overall occupancy stood at 66%, down 4.4% points year -on-year, primarily impacted by softness in the MMR market and the launch of additional inventory at Bengaluru Marriott Hotel, which, of course, coincided with geopolitical disruptions.

As this new inventory stabilizes, we expect occupancies to rebound. Excluding the Bengaluru addition, Chalet's occupancy was at 68%. On a like -for-like basis, which is excluding The Westin Resort & Spa, Himalayas, ADRs grew 13%, while occupancies declined 3.8% points, resulting in overall RevPAR growth of 7%.

We continue to diversify across micro markets with varied cost structures and remain focused on enhancing operational efficiencies. Backed by strong execution, EBITDA margins improved by 50 basis points to 41.7%, with further margin expansion expected through robust asset management and operating leverage from ramping up assets.

Revenue from our rental and annuity portfolio rose 106% year -on-year to INR732 million with a June exit rate run rate of INR250 million. EBITDA increased 130% to INR608 million, yielding an 83.1% EBITDA margin. Currently, committed leasing stands at 77% across our commercial portfolio.

Within the Residential segment, as previously indicated, we have initiated revenue recognition for 95 units of Koramangala Phase 1. Revenue from another 58 units will be recognized in the next quarter. We do not anticipate any further revenue recognition for the remainder of the financial year, which is FY '26. The next set of apartments would be ready for handover in the next financial year, which is FY '27.

During quarter 1, we sold 13 units at an average rate of INR21,100 per square feet, reflecting a 7% quarter -on-quarter increase. INR1.3 billion of cash flows were generated by this project in this quarter. As of June quarter, 307 units have been sold from a total inventory of 321 units for



the entire project. We remain confident of delivering INR4 billion to INR4.5 billion on net exit  
Chalet Hotels Limited  
August 01, 2025

Page 5 of 16

from this project within next 24 months, including the strata sale of the commercial tower measuring 0.15 million square feet.

Our net debt stood at INR20.2 billion with the average cost of finance contracting by 40 bps quarter -on-quarter to 8%. We maintained a healthy liquidity position of INR3.2 billion at the end of the quarter. The capital work in progress and the assets pending operationalization amounted to INR7.4 billion at the close of the quarter. With a disciplined capital allocation framework, we are strategically investing to drive long -term sustainable growth.

Under our current strategy, we have planned capex of INR20 billion by FY '27, primarily funded through our internal accruals. The company's balance sheet continues to provide the financial resources necessary to pursue potential strategic opportunities in the future.

With that, let me hand over to Shwetank for his introductory statement.

Shwetank Singh: Good morning, all. I'm Shwetank. As I step into this role, I'm very cognizant that Sanjay's boots are one of the hardest to fill in the industry. What he's done for the company thus far is absolutely unparalleled. So, I must start by thanking you, Sanjay. Having said that, I feel fairly confident, and I feel confident because of 2 or 3 reasons.

First of which is that I've been working along with Sanjay for the last 2 years now as he mentored me through this role. The second reason that gives us a lot of confidence is the fact that he is going to continue on as a Board member and therefore, his wisdom will continue to stay in the company, which is going to be extremely helpful for us. And the third confidence comes from the fact that we are supported with a very capable team with complementary skill sets that we all bring

to the table.

So please be rest assured that your company is in great hands and we hope to continue to outperform your expectations as we go along. Personally, I come in with 2.5 decades of experience, of which nearly 2 decades are with hospitality in a variety of roles. Before I joined Chalet Hotels, I was in my last role heading the hospitality business for a large real estate player in Dubai.

As we step in and take on this role, I'm very excited I will take forward the legacy of a beautiful company forward and hope to fulfil all your obligations and expectations.

We are now ready for the Q&A, and we can switch to the Q&A.

Moderator: Thank you very much. The first question is from the line of Vikas from Antique Stock Broking . Please go ahead.

Vikas: Congratulations on a good quarter. Hi Shwetank, congrats and wishing you all the best in your new role. And Sanjay sir, wish you best in your next chapter. I know you're still around. We will surely miss your unbiased view on demand and outlook.

So, my first question is to Sanjay sir, if you can take this. Would it be possible to share some colour on growth and the pipeline? Currently, we have around 600 rooms under construction in Chalet Hotels Limited

August 01, 2025

Page 6 of 16

addition to the CIGNUS 2, which is expected to come in the next 2, 3 years overall. In addition, we have another 600, which is in planning stage. It would be helpful if you can just provide some medium -term outlook over and above these additions would be great. That's my first question.

Sanjay Sethi: Thank you, Vikas. Thank you for your kind words also. Look, we've got about 3,300 rooms, which are currently operational, a little over 3,300 actually. We have about 1,200 rooms which are in the pipeline that is announced in various stages of either planning approvals or actual development on the site. We have shared some dates with you in the past. We continue to hold them.

We are a growing company. And as I said in my opening statement, our intent is to continue to grow. If you ask me what I see happening – end of this year with the current pipeline plus operations about in excess of 4,500 rooms, I see no reason why our pipeline plus operating hotels will not cross the 5,000 marks in the current financial year itself. There are certain opportunities that we are pursuing in a mix of greenfield and shell leases.

Moderator: Ladies and gentlemen, we seemed to have lost the line with the management. Please stay connected while we rejoin the management. Ladies and gentlemen, we have the management back online with us. Sir, you may proceed.

Sanjay Sethi: Apologies for that. I just want to complete my part of the answer. So very quickly, 3,300 plus

rooms in operation, 1,200 under various stages of development. That takes us to about 4,500 rooms. Our wish list or our goal this year is to get to 5,000 on that count. We have some visibility, early -stage visibility. As and when we progress on those, we'll come back and share them with you. That's about it for now. Thank you.

Vikas: My second question is on this MMR region. So, is the drop in occupancy in the region is mainly due to the fully operational of Fairmont or there are other factors contributing to that? And in addition, how should we look at the southern markets, Bangalore and Hyderabad? We have seen some moderation in growth on Y-o-Y basis this quarter, especially in Hyderabad, I think we were doing 20%, and now it's closer to 10%.

Shwetank Singh: Thank you, Vikas. Shwetank is back on the line just for everybody to get that. So, the MMR, what's happened in MMR is there is no doubt that the opening of new supply in the micro market of where the Sahar hotel is has had an impact, and -- but it's a slight impact. We would also like to remind you that we were coming off a very high base of occupancy at the JW. So, a little bit of moderation can be

expected when it comes to that.

As far as Powai performance is concerned, we see it only as a minor blip for now and we expect that to improve in the next quarter itself. With respect to the Southern markets, Bangalore, we have opened an addition of -- we have added another 120 rooms to the inventory. So, you would have noticed a slight drop in occupancy as a result of that, but our rates have held and actually continued to do quite well. As a result, our RevPAR overall have -- our total revenue from that hotel has grown quite significantly.

Chalet Hotels Limited

August 01, 2025

Page 7 of 16

With respect to Hyderabad, that market has been improving year-on-year for the last few years. As more and more commercial space gets opened and absorbed there, we expect it to continue to do very well. But a growth rate change can have some cyclicity and to expect a 20% growth overall year-on-year may not necessarily always hold true. So, it's just that adjustment that's going through, that Hyderabad might be going through right now.

Sanjay Sethi: Just one line from my side. This is Sanjay here. Look, I'm really not concerned about Bangalore. Bangalore occupancy has dropped by 6-odd percent only because we added 120-odd new rooms.

The rate that has grown at about 27%, 28% for the quarter, which is a substantial growth.

Mumbai, though our occupancies may be muted, we still managed to grow the rate at 10%. And remember, this is the quarter where we have the India-Pak face-off. We've had a slight capacity issue on account of the unfortunate air accident, which blocked a lot of aircraft. So, all of that combined together and despite that, this is what we've been able to deliver, and we expect this to go from strength to strength going forward.

Vikas: Sure. That's helpful. And also, on one broader level question. Some of your competitors are building in substantial war chest to acquire assets, maybe through partnerships with private equity or promoter backing. So, if we get any large opportunity, how we are prepared to do that, how we'll go looking for those funds?

And finally, one bookkeeping question. So residential, we have booked INR450 crores around that number this quarter. How should it flow for the rest of the project? And roughly, the cash flow from this would be close to around INR200 crores, INR300 crores, which will be deployed back into as a capex. So, I mean that is how -- if you can just give us some trajectory, how should we build in our numbers.

Shwetank Singh: Vikas, let me answer the first part on the acquisition, and then I can hand over to Nitin for the second part of the question. So as far as the acquisition is concerned, we are very well capitalized. We are always on the lookout for suitable opportunities. If you look at our debt levels, we are very comfortable and well within the range of 3.5x EBITDA which is the benchmark that we internally hold to sort of keep checking ourselves.

So therefore, a short answer to that question would be that we are very open to new acquisition opportunities and very well capitalized to take advantage of as and when the opportunity may arise. Nitin for the second part?

Nitin Khanna: Let me just clarify on the resi part also. So, as you are well aware that revenue recognition is primarily directed from an accounting entry perspective. Our cash flows are completely different. I think from your question perspective, I think in my opening remarks, I had very clearly clarified that 95 flats we have recognized the revenue or handed over to the flat owners in quarter 1. And in quarter 2, the number is 58.

And I also told that in quarter 3 and quarter 4, we are not expecting any handovers. Any further revenue, which will come will only fall in FY '27 itself.

Vikas: Okay. From a cash flow perspective, how much we are going to...

Chalet Hotels Limited

August 01, 2025

Moderator:

Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up questions.

The next question is from the line of Sameet Sinha from Macquarie.

Sameet Sinha: Sanjay, congratulations. I enjoyed working with you, short, but still enjoyed it. All the best for your next endeavour. Welcome, Shwetank, I look forward to working with you. A

couple of questions. I guess, as you talk about the 5,000 total keys, how are you thinking about business versus leisure?

And the reason I ask is because the leisure as it increases as part of the portfolio, I'm trying to understand how it changes the P&L. I mean the staff-to-room ratio is obviously higher there.

You have higher percentage of F&B, which is a low-margin business. So, if you can think about it the next 5 years, how could the P&L change? And then I have a follow-up.

Shwetank Singh: Thank you for the question. And Sanjay is still around. So please don't start saying bye to him.

He is still around for a while. So, to answer your question, our growth strategy has been quite clear and that's something that we sort of always keep as our North Star. When we got into COVID, we looked at our portfolio and wanted to get some geographical diversification as well as some portfolio diversification between leisure and business. It's a strategy that we have followed broadly to stay within the large cities with big boxes and then within drivable distances from key airports.

It's according to this strategy that we went on and acquired some leisure hotels into our portfolio.

And we'll continue to sort of stay with that strategy for the foreseeable future. As to say what exact percentages we will end up with would be difficult. But we had started off with the mindset of at least bringing in 20% of our portfolio into the leisure properties.

Having said that, you're right, the staff-to-room ratios in leisure properties typically tend to be higher. Overall, we are at about 0.97 for our portfolio, which I believe is the best in the industry.

And The Westin Rishikesh that we acquired recently was at 2.27 when we acquired, but we have managed to bring it down to 1.67, thereby bringing in asset management efficiencies that we are known to bring into play.

Sameet Sinha: Got it. One second question. So, in terms of the residential revenue recognition, Nitin, can you talk about -- it seems like EBITDA margins tracking at about 37%. Is that how we should assume as the other apartments recognized as well, that's a good margin structure to go with?

Nitin Khanna: So, thanks for your question, Sameet. Look, there has been a history in this project, Koramangala, and you have been here -- everybody is well aware of that. In the first phase of handing over flats to the owners, the priority has been to hand over to the old customer at first.

These were the units which were sold at a rate, which was around INR10,000. And as you have rightly seen that the last flats, which we have been selling are around INR20,000 per square feet.

So, the margins are probably better in the Phase 2. The Phase 1 margin has been a little lower because the older customers have been handed over as of now.

Moderator: The next question is from the line of Karan Khanna from AMBIT Capital.

Chalet Hotels Limited

August 01, 2025

Karan Khanna: Firstly, congratulations, Sanjay, on a great tenure and for all the contributions that you've made to Chalet Hotels over the past few years. Best wishes with the new responsibilities you'll be taking as a Non-Executive Director. And congrats, Shwetank, and best wishes with the new role as MD and CEO.

My first question to you, Sanjay. And while we've been hearing about stickiness in occupancies where after a hotel reaches a certain occupancy level around the 70% mark, that's when hoteliers start increasing ARR and occupancies tend to remain stable. This has largely been

the trend for

you as well. This quarter, however, you've taken aggressive ARR hikes, but the occupancies fell 6% and 2% for MMR and non-MMR portfolio, respectively. Could you share your thoughts on the same?

And how do you plan to navigate the ARR occupancy trade-off going forward? And more important, on a like-for-like basis, your RevPAR growth was about 7%, 8%. But if you look at some of your peers that have reported, I think number was north of 12%, 13%. So how do we read this for Chalet?

Sanjay Sethi: Karan, thank you for your kind words. Look, in terms of occupancy stickiness and growth -- rate growth dynamics, you got it largely right that once you move north of 70%, the rates tend to climb up very quickly. But you got to keep in mind, the quarter that we are discussing is amongst the 2 weakest quarters in the annual cycle. Despite that, we've had material ADR growth in the

portfolio, even if we exclude Rishikesh. So that story of ADR growth continues to be strong. On occupancy, and I do not want to underemphasize, it's important for you to understand. This is in a quarter where we had, after many years, a conflict between India and Pakistan, which is material in nature. There was air disruption on account of the conflict. There were air disruptions in the West Asia region. There were air disruptions after the unfortunate crash that we all were so sorry to hear about. Despite that, we've delivered this.

So, our story, I think, remains extremely bullish and strong. We expect Sahar, Powai, Bangalore, Hyderabad continue on the trend of increasing average room rates. And at Powai, we also expect occupancies to fill up when the good season comes. That's when the MICE business kicks in, in the annual cycle, which is H2. I hope I have answered.

Karan Khanna: Yes. So just as a follow-up, Sanjay, looking at the sector as a whole, and it's an inherently cyclical industry, which has now been in an up cycle for the last 5 years. Now the last cycle peaked during year 4 or year 5. While we understand the structural demand drivers are more resilient now, if you look at the quantum of signings in the last few years across the industry that seems to suggest that we will see a lot of new supply coming into the market over the next 1 or 2 years. And then signings have been happening in Tier 1 markets as well.

So, could you share your revised thoughts on the cyclicity of the sector as a whole and perhaps your view going forward for the next 3 or 4 years? Do you still maintain a double-digit RevPAR growth for Chalet hotels in particular?

Sanjay Sethi: I'll give you an initial reaction and Shwetank will sort of step in with his thoughts. I absolutely hold our belief that 10% and in fact, double-digit RevPAR growth is pretty much given for the Chalet Hotels Limited

August 01, 2025

Page 10 of 16

next few years. And I'm very confident this will happen for the next 3 to 4 years, at least. Beyond that, I don't have visibility.

And I believe that this will be driven by a strong travel ecosystem within India, both on leisure and business side. We've got to keep aside 1 or 2 quarters once in a while when this situation happens, but business is back to normal as we speak. Shwetank?

Shwetank Singh: Yes. Just to add to that, this is an industry where supply can't sneak up on you. It's notoriously hard to execute in India and a lot of people out there have actually failed in trying to execute this. So, when we hear of signings and we hear of plans, we should factor in some degree of loss along the way. And our math tells us that, that may not be better than 35%, 40% overall.

So we do take announced supply with a pinch of salt, but we are very mindful of it. And overall, I think for the country, the demand is still outpacing supply quite comfortably even despite the new announcements. So we remain very, very bullish about the sector for the near future.

Kar

an Khanna: Sure. And my second and last question to you, Shwetank. Given that you've been with Chalet for the last couple of years and will now be spearheading the organization, could you share your views on how you see the portfolio mix evolving going forward? And given your past experience at Golden Sands Dubai, how do you see the portfolio evolving in terms of will it be more indexed towards leisure? Or what's the ideal mix of business, leisure and maybe mixed-use assets across markets according to you?

And any thoughts of how you plan to pursue this growth in terms of additions to the pipeline, the sourcing of funding and perhaps some thoughts on long-term comfortable leverage levels for the business?

Shwetank Singh: Oh, God, how much time we have on this call, you've asked me 5, 6 different questions. Okay.

Let me give you a short answer for the first part. We have -- through Sanjay's effort and the team's effort, we have managed to put in a model that works perfectly for us, where we have a very, very beautiful hospitality portfolio broken down by leisure and business, geographically diversified as well now and propped up very well to sort of cover for the cyclicity through a very strong commercial real estate business. So that model has worked for us.

The residential business is clearly a one-off. That's something that we don't necessarily plan to continue going forward. So when we look at this model, there is no reason for us to change and mend what's not broken. It's been one of our strength areas and we'll continue to build on this exact model.

But I would like to point out that within this commercial real estate is not something that we do as the first choice, wherever we have built commercial space, we have built it on or near an existing hotel where we own the land, thereby actually giving us zero cost on the land and therefore, very high returns on what we put in place. So that's how we'll continue to look at our portfolio.

As I answered earlier also in the call, we will continue to look at big boxes in big cities and especially we would love to go to markets which are in the making and just be ahead of the Chalet Hotels Limited

commercial real estate curve because that's how this business has been built and that's been something that's been very successful for us. And that's how we'll continue to look at going forward. In terms of -- what was the second part of your question,

Karan Khanna: Yes. In terms of addition, while you did speak about it, the sourcing of funding, will you be looking to fund it by your own balance sheet? And what's the comfortable leverage levels according to you?

Shwetank Singh: So as I said earlier, we normally like to say, and I would ask Nitin to add more colour to it, but we would like to stay within the 3.5x multiple of EBITDA when it comes to debt. We have multiple sources of raising debt. The main one being lease rent discounting. So that's something that we have in our portfolio and it's a great strength for our portfolio as well.

The second part is, of course, the fact that we are producing a lot of cash from this business and that is allowing the internal accruals also to be utilized for expansion as we go along. So overall, we are fairly well capitalized and even ready for any further opportunities that we may have on the acquisition side. Would you like to add anything?

Nitin Khanna: I think you covered it off.

Moderator: The next question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, with delay in commencement of Hyatt Regency, Airoli and Bambolim asset in Goa, would you like to advance the construction of Trivandrum Hotel? Otherwise, the organic asset addition in FY '28 looks to be challenging.

Shwetank Singh: Prashant, thank you for the work that you are putting in for the industry. We all receive your e-mails quit

e often and I see that a lot of hard work is going into what you're trying to do and all the best for that.

To answer your question, yes, it has been challenging to move forward Airoli because of the NGT laws that changed and we spoke about it on our last call as well. In terms of Trivandrum, there are still a few steps left before we can actually start executing this project. The main one being the signing of a lease document with the government. In order to do that, also, there are a couple of steps left.

So even if we would love to sort of move that project forward, right now, we are not in the position to move it forward. We will have to wait for these routes to be crossed before we take it up as a project. Whilst this is happening, the market has changed in Trivandrum and we continue to study it very closely, and we will come back to you when we are prepared to take this project forward.

Prashant Biyani: Sure. Sir, how has July been in terms of occupancy across portfolio and in particular, for hotels, which are more dependent on FTA? And to a question which Mr. Sethi answered about taking the total portfolio size to 5,000 keys, in which micro markets would the team like to add assets now? These were my 2 questions.

Chalet Hotels Limited

August 01, 2025

Shwetank Singh: Okay. As a company, we don't like to give forward guidance on what's just happened in the current quarter. July has been a tough month for hospitality in general, but that's where I would leave it for now because August and September look strong.

With respect to which markets we would like to grow in, as I said earlier, we want to continue to build in larger cities either through greenfield or through acquisitions if we get the right asset in the right market. And we will continue to look at leisure portfolios within drivable distance from key airports. And that's the strategy we'll continue to sort of hold to.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, I have a question on our interest cost, which has gone down by about 40 basis points on sequential basis. So once we reach an occupancy of, say, about 90% in the annuity business in say about next 2 to 3 quarters and the lease income stabilizes, where can the borrowing cost at given we...

Moderator: Sorry to interrupt, sir, could you be a bit more louder?

Nitin Khanna : We're not able to hear you properly, Jinesh.

Jinesh Joshi: Yes, yes. So I had a question on our interest cost, which was down by about 40 basis points. So what I was trying to ask is that once we reach an occupancy of, say, about 90% in the annuity business and the lease income stabilizes, where can the interest cost settle at given we will have full LRD benefits that would come to us?

Nitin Khanna : So thanks for your question, Jinesh. As I had pointed out in my opening statement as well, our current exit rentals for June quarter is already in the range of INR25 crores. And in the earlier

calls, we have been saying that our exit for this year -end might go around INR30 crores. So with occupancies ramping up, I personally feel that the rate of interest currently where the occupancies are already at 77%, we are utilizing LRD facilities.

With occupancies increasing to 90%, we might see a little blip coming in, but it will not be a substantial reduction in terms of rate of interest. With the repo rate and the current difference between the current repo rate and the spread, it is already very low. As you can see, the rate of interest has already come down to 8%. We are already in talks for refinancing with the current lenders. And with this ramping up, we do see a positive change coming in the coming quarters.

Jinesh Joshi: Got that. Two short follow-up questions. One is on our same-store RevPAR in the resort business, which is up by about 20.8% Y-o-Y. So any specific reason you would wa

nt to call out

which led to a very sharp jump in this quarter given the fact that it was impacted by certain aberrations. So that is one.

And secondly, if I remember right, for our Koramangala project, there was some promoter support which had come in with respect to preferential issuance and also some loans. So given that the cash flow situation from the project is expected to improve, is any promoter-led liability left to be reassigned?

Chalet Hotels Limited

August 01, 2025

Page 13 of 16

Shwetank Singh: Okay. I'll answer the first part of your question. There has indeed been a 20.9% RevPAR growth in the leisure portfolio. And the main reason for that is that we are still stabilizing at Courtyard. And if you remember, we had acquired a hotel which was not fully stable and such growth can be expected in a stabilizing hotel.

It's not something that you should necessarily hold us to in the coming future. But that's one of the reasons why that has happened. At Dukes, we are picking up performance. So that's also added to this growth. That's where I'll leave it because that's the same -store -- the question was on the same -store.

Jinesh Joshi: Right. And that's promoter-led thing, yes.

Shwetank Singh: Nitin will answer that.

Nitin Khanna: Can you just repeat your question, please?

Jinesh Joshi: Sir, if I remember right, on the Koramangala side, I think the promoters had given some loan to fund the project temporarily and there was some preferential issuances well. So now given the cash flow situation is better, I mean, have we repaid that amount is what I wanted to check.

Nitin Khanna: So you're right. So there was a INR200 crores ring-fencing, which was done by the promoters during the IPO, out of which INR40 crores we have already paid in the current quarter. And with cash flows getting improved in the coming quarter, we will pay as per our commitment.

Moderator: The next question is from the line of Vaibhav from YES Securities.

Vaibhav: Congratulations on a strong set of numbers. And congratulations, Shwetank for your new role.

My first question was specifically on the MMR region. So with the opening of Fairmont in the vicinity of JW Sahar, our OTA channel check suggested the pricing for Fairmont was similarly in the range of JW Sahar?

So given Fairmont is focusing on improving the occupancy at the expense of slightly lower ARR's, do you see that as -- that can potentially impact JW Sahar in any way in the coming quarters? That was my first question. And along with that, if you could just give a broad colour on the asset-wise operational performance for Mumbai assets, mainly on ADR and occupancy front?

Shwetank Singh: Okay. For the first part of the question, I don't know for what period and for what particular date you checked the rates for. And typically, these tend to go up and down depending on what the base occupancy levels are within the hotel on that particular date. So I wouldn't read too much into it if the check was for a 1 - or 2-day period.

However, having said that, whenever a new hotel opens in any micro market, there is bound to be some strain on existing hotels and that's the occupancy strain that we felt for this quarter. And finally, I would say that -- and Fairmont is very likely to try to position themselves on a rate front with our existing hotel. And therefore, I'm not too surprised that they are trying to peg the

Chalet Hotels Limited

August 01, 2025

Page 14 of 16

price exactly where we are pegged at for any given day, at least on the open channels. Does that answer your question?

Vaibhav: Yes, yes. Perfect. And regarding your CRE portfolio, I just wanted to confirm what kind of occupancy run rate do you expect by the end of the year?

Nitin Khanna : So currently, we are at 77%. We are expecting some good leads coming in the ....

Moderator: Ladies and gentlemen, we seemed to have lost the c

onnection with the management. Please stay

connected while we rejoin the management. Ladies and gentlemen, we have the management back on line with us. Sir, you may proceed.

Nitin Khanna : Yes. Apologies for this disconnection. I was talking about the CRE run rate, how it's proceeding. So we could see some good leads coming up in the coming quarters. Some of the clients have hard options. We see a positive optimism over there. We are expecting to land somewhere around 90% occupancies in the coming quarters.

Vaibhav: Perfect, sir. And you didn't provide the colour on the asset -wise ARR's and occupancy in the Mumbai market?

Shwetank Singh: That's something we normally refrain from giving you exact numbers hotel by hotel. But if you go through our investment deck, you should be able to work that out is how I would leave it for you.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: Congratulations, Sanjay, on a great stint at Chalet. I just wanted -- a housekeeping question. In terms of the Koramangala project, how much of cash flows we are yet to receive net of the expenditure that we may have to incur in the project?

Nitin Khanna : Look, in the last call, if you remember, in the month of December, we did say that the total project when we see commercial and in the resi Phase 2 also coming up, in next 2 years, we will be getting a INR500 crores from the entire project. That's something from the entire project. For balance collectible, currently, we have around INR345 crores in the current project, whatever we have sold.

Naveen Baid: So, both put together, about INR850 crores we are yet to receive over the next couple of years.

Nitin Khanna : No, no. INR345 crores is including in that INR500 crores, yes.

Naveen Baid: Okay. Okay. Got it. And how much are we going to spend? I mean, of course, there's some phases which is still remaining. So how much are we going to spend over the next couple of years?

Nitin Khanna : I think the INR500 crores, which I gave is actually net of all the spends.

Moderator: The next question is from the line of Nikhil from Kizuna Wealth.

Chalet Hotels Limited

August 01, 2025

Page 15 of 16

Nikhil Poptani: Congratulations on a good set of numbers. Sir, my first question is like what is our strategy for the Mumbai region, specifically JW Sahar? Like how are we going to build up our occupancy going forward? Are we going to cut down the rates because due to competition? Or we are going to have some strategy for it? Can you please highlight on that point?

Shwetank Singh: No. Let me first start by -- and I will hand it over to Gaurav to sort of fill us in. He's our Chief Operating Officer. But short answer is there is no reason to cut rates or there is no reason to sort of take a very hard stance on that. The way we look at it is we need to maximize our revenues through a RevPAR strategy at all times.

And we will -- whilst we have to -- we are in a market where we will need to react to some of the competition, we broadly would hold to our long -term strategy and the way we see the market progressing. I'll ask Gaurav to add.

Gaurav Singh: Thank you, Nikhil. This is Gaurav. Continuing on what Shwetank said, we continue to look at our segmentation and our channels of business. Given that new inventory has been added in the market, the channels of business and also our segmentation is something that will keep changing. And we believe that going forward, there may be a change from transient to group and contract business. But in principle, we have very strong belief that we will have a good quarter and a good financial year even in the hotel that you just suggested.

Shwetank Singh: And finally, to round that off, we have very deep faith in the fact that Marriott brings on board a very strong loyalty program and that should hold us in very good stead in that market des

pite

the growing competition.

Nikhil Poptani: Yes, that's great to hear and assuring. Sir, can you give us the breakup of how much is your airline business or contract business in our JW Sahar, MMR region basically?

Shwetank Singh: Whilst we do track that data, we don't have it in front of us right now. So, if you could e -mail it to us separately -- e-mail to us separately, we would write back to you and give you that data point.

Sanjay Sethi: I just want to add here, the airline business is not a massive business. And if you do want a reference point, the contract segment, which includes the airline crew business, in quarter 1 '26 was roughly 11% of the total room nights that were occupied.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the

conference over to Dr. Sethi for closing comments.

Sanjay Sethi: Thank you so much, everyone. Thank you for your kind words. But do remember, I'm still here, another 6 months of an executive role to sort of have a fiduciary responsibility towards that.

Shwetank, I and the rest of the team will work hard to make sure we deliver and build on the momentum that we've created, grow on the momentum that we've created, and I'm very confident that the industry is still not peaked out. I think the peak is another couple of years away, but we'll have a really good run for the next 4 years. Thank you and wish you all the best.

Chalet Hotels Limited

August 01, 2025

Page 16 of 16

Moderator: Thank you. On behalf of Chalet Hotels Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.



## Call: Nov 2025

Chalet Hotels Limited

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CIN: L55101MH1986PLC038538

November 11 , 2025

National Stock Exchange of India Limited BSE Limited

Exchange Plaza Corporate Relationship Department

Bandra Kurla Complex , Phiroze Jeejeebhoy Towers ,

Bandra (East) , Dalal Street, Fort ,

Mumbai 400 051 . Mumbai 400 001 .

Scrip Code: CHALET Scrip Code: 542399 (Equity)

976529 (Non -Convertible Debentures)

730295 (Commercial Paper)

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on November 5 , 2025 , in respect of the Unaudited Financial Results for the quarter and six months ended September 30 , 2025 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above  
Page 1 of 18

"Chalet Hotels Limited  
Q2 and FY '26 Earnings Conference Call "  
November 05, 202 5

MANAGEMENT : DR. SANJAY SETHI – MD AND CEO  
MR. SHWETANK SINGH – ED  
MR. NITIN KHANNA – CFO  
MR. GAURAV SINGH – COO

Moderator: Ladies and gentlemen, good day, and welcome to Q2 and FY '26 Earnings Conference Call, hosted by Chalet Hotels Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Sanjay Sethi, MD and CEO of Chalet Hotels Limited.

Thank you, and over to you, Dr. Sethi.

Sanjay Sethi: Thank you, Danish. Good morning, ladies and gentlemen, and thank you for joining us for the Q2 FY '26 call.

As many of you know, I'll be stepping down as the Managing Director and CEO of Chalet Hotels Limited on 31st of January 2026. After 26 consecutive quarters of leading these calls, today marks my final one in this role. It's a deeply personal and reflective moment, not just the close of a chapter, but a celebration of a journey we've shared since listing. Every quarter has been more than a set of numbers. It's been a story of resilience, growth and purposeful evolution. This quarter very excitingly also marks the launch of our new brand, Athiva Hotels & Resorts, a premium lifestyle brand for the affluent young. Athiva is built on three deeply thought-out pillars of joy, wellness and sustainability. For me, this represents a crowning milestone in our collective journey, taking Chalet from a successful portfolio of assets to a fully integrated brand-led hospitality platform.

We have also announced our maiden interim dividend this quarter, another proud moment that reflects the company's strong fundamentals and commitment to shareholder value.

None of this would have been possible without the exceptional team that powers Chalet's success.

I'm joined today by Shwetank, Nitin and Gaurav, leaders who exemplify our values and will now steer Chalet into its next phase of growth.

Before I hand over to Shwetank and Nitin to take you through the results, please accept my heartfelt gratitude for your support, for the questions that pushed us to think sharper and for the confidence that inspired us to strive higher.

As I move into a non-executive role, I do so with immense pride and complete faith in this team and the path ahead. I remain, as always, a deeply committed stakeholder, confident that Chalet's next chapter will be even more inspiring and value accretive. Shwetank, the floor is yours.

Chalet Hotels Limited  
November 05, 2025

Shwetank Singh: Thank you, Sanjay, for the vote of confidence in this amazing team, which is poised to take this company forward. Good morning, everyone. I'm thrilled to be addressing you today. These are indeed exciting times for all of us at Chalet and for the Indian hospitality ecosystem at large. I step into this role with immense enthusiasm and humility. I'm deeply aware and energized by the legacy of Chalet that has been built over the years. We have consistently set benchmarks in hospitality ownership and asset management in this country.

In the last few weeks, we marked a new chapter in our journey. In the continuum of developing, owning, asset managing and operating some of India's finest hotels, we are now brand owners for some of our own hotels as well. As many of you are aware, and as Sanjay said earlier in his piece, the evolution has a name, Athiva Hotels & Resorts, where joy is on the house. A premium lifestyle brand, Athiva finds its roots in a Sanskrit word that means "Abundance". It is built on the pillars of joy, wellness and sustainability. This brand represents more than an expansion of our portfolio. It signifies a strategic advancement for the company, although at present, it is intended solely as a unifying name for our select properties.

Athiva made its debut with the transformation of the iconic 'The Dukes Retreat' in Khandala, now relaunched as Athiva Resorts & Spa Khandala, featuring 147 rooms and all modern urban resort facilities. This is just the beginning. We have identified 5 additional properties with 900 keys that will transition into Athiva over the next few years.

With that, let me now turn to our Q2 FY26 performance. It's been another solid quarter of growth and momentum despite the uncertainty being presented by tariff wars and geopolitical tensions, especially in the Middle East.

Hospitality revenue stood at INR3.8 billion, up 13% year -on-year, driven by a 16% growth in average room rates. EBITDA for the Hospitality segment grew 10% to INR1.5 billion. Unfortunately, during the quarter, we faced some headwinds in the form of several rain -related disruptions, especially in our resorts in the North and uncertainty surrounding the impact of tariffs, which affected the travel sentiment and occupancy in some of our business hotels. For the commercial real estate business, revenue grew 76% year -on-year and stood at INR738 million, EBITDA growing by 88% year -on-year to INR607 million. During the quarter, we recognized revenue of INR2.8 billion for 55 apartments at the “Vivarea” Bangalore. Therefore, on a consolidated basis, which includes the residential project, total revenue rose 94% to INR7.4 billion and consolidated EBITDA grew 98% to INR3.1 billion. Excluding our residential business, our core hospitality and commercial business delivered strong double -digit growth. Revenues were up 20% year -on-year, while EBITDAs were up 25% year -on-year. On the development front, construction at our upcoming Delhi Airport hotel is progressing on schedule with the opening expected in the first half of next financial year. Our second commercial tower - Cignus 2 at Westin Powai Lake is also on track for completion in Q4 FY27. For our property in Varca, Goa, we still await the final approvals and aim to commence construction in Q4 of the current financial year.

Chalet Hotels Limited  
November 05, 2025

Page 4 of 18

During the quarter gone by, we have given our ESG initiative a brand name, Parivartan, which, as the name suggests, is our mission to make a change. You may recall that we had signed the three Climate Group commitments in 2021, and I'm happy to share that we have achieved 100% electric vehicles and electric vehicle charging stations in all our operating assets as of September 2025 , ahead of the target date.

Business on books for the second half of the financial year remains strong, supported by a healthy demand trend across key markets. We expect a robust performance, particularly from our leisure portfolio, driven by festive and holiday season, increased domestic travel and commencement of the MICE season.

Additionally, continued traction in weddings, socials and international inbound travel is expected to further support growth. Business from the corporate segment is also witnessing improved booking momentum. Overall, we remain very optimistic of a strong operating performance in the second half of the year for our business locations as well.

To summarize, our double engine strategy of owning high -quality hospitality assets, complemented by annuity yielding commercial real estate continues to serve us well. It gives us a solid foundation to pursue organic growth, brand expansion and selective acquisitions, all while maintaining disciplined capital allocation and a strong balance sheet.

As we step into the

next phase, I want to emphasize that Athiva is not a pivot. It's an evolution in our journey. It strengthens our developer and owner DNA while positioning us for the future, one defined by experience -led travel, conscious luxury and warm Indian hospitality.

The path ahead is full of excitement, learning and opportunity. I'm deeply thankful for our Board, our teams, our partners and of course, to you, our investors, for your continued trust and support. Together, we will continue to build on the legacy of strong foundations to create enduring value for all our stakeholders.

With that, I'll now hand over to you, Nitin, and you can take everyone through the financial details of the quarter.

Nitin Khanna: Thank you, Shwetank. Good morning, ladies and gentlemen. It is my pleasure to welcome you once again to the earnings call.

On a consolidated basis, our total revenue surged 94% year -on-year to INR7.4 billion, while EBITDA rose 98% with margins expanding by 75 basis points to 41.4%. This includes revenue recognition from sale of residential apartments at the Vivarea , Koramangala, Bengaluru , where we handed over possession of another 55 apartments during the quarter.

Revenue recognized from residential project during the quarter amounted to INR2.8 billion. Excluding the residential project year -on-year, revenues grew 20% to INR4.6 billion. EBITDA increased 25% to INR2 billion with a robust margin expansion of 144 bps to 43.4%.

Revenue from our hospitality business rose 13% year -on-year to INR3.8 billion. RevPAR increased by 5% to INR8,115. ADRs jumped 16% year -on-year to INR12,170 supported by a

Chalet Hotels Limited

November 05, 2025

Page 5 of 18

strong rate performance in both Bengaluru and Hyderabad markets. On a like -for-like basis,

which is excluding The Westin Resort & Spa Himalayas, revenue grew 10%, ADRs grew 14%. Occupancies dropped 4 percentage points, resulting in an overall RevPAR growth of 7%. Overall occupancy stood at 67%, lower by 7 percentage points year -on-year. Disruptive weather conditions with long spells of heavy rainfall across the country impacted travel patterns during the quarter. Occupancy was also impacted by the gradual ramp -up of newly added inventory at the Bengaluru Marriott Hotel and the seasonal softness at the Westin Resort & Spa Himalayas. Both assets are expected to contribute meaningfully in the second half of the year, as highlighted by Shwetank.

We continue to remain committed to maintain efficient cost structures with focus on enhancing operational efficiencies. EBITDA margins moderated to 40% from 41.4% last year. However, on a like -for-like basis, EBITDA margins were stable at 41%. The margin contraction in quarter 2 was due to transitory impact on account of newly added assets, including resorts in the ramp -up phase. With strong execution and disciplined asset management, margins shall improve as these assets stabilize and operating leverage kicks in.

Revenue from our commercial real estate business rose 76% year -on-year to INR738 million with a September exit run rate of INR245 million revenue per month. EBITDA increased 88% to INR607 million, yielding an EBITDA margin of 82.3% in our commercial real estate business. Currently, occupancy across our commercial real estate portfolio stands at 77%, including a recently signed letter of intent during the quarter, the committed occupancy stands at 79%.

For the residential project, during Q2, we sold 7 units at an average rate of INR21,300 per square feet. A total of INR1.3 billion of cash flows were generated by collections during this quarter.

As of September '25, cumulatively, 314 units have been sold from a total inventory of 321 units of the entire residential project.

Additionally, we have repaid an amount of INR2 billion towards preference share capital from promoters. On net debt, our net debt stood at INR20.9 billion with

the average cost of finance

contracting by 38 bps quarter -on-quarter to 7.62%. We maintained a healthy liquidity position of INR2.9 billion at the end of the quarter.

I'm also glad to convey that we were able to raise INR1 billion through our maiden issuance of commercial paper at a fixed coupon of 6.1%, which was rated A1+ by CRISIL ratings.

Additionally, ICRA upgraded the credit ratings for Chalet Hotels from A+ to AA - stable for long-term credit.

Today, the gap between our blended finance cost and the RBI's repo rate stands at 212 basis points, which is a clear reflection of the strength of our balance sheet, the credibility which we have built with our lenders and our continued ability to access capital at increasingly competitive rates.

Chalet Hotels Limited

November 05, 2025

Page 6 of 18

To add to that, it is also interesting to note that our total debt servicing is now covered by our cash flows from the Commercial Real Estate segment, which enables the hospitality business to pursue further growth accretive activities.

On the capital allocation front, the capital work in progress and the assets pending operationalization amounted to INR6.6 billion at the close of the quarter. With a disciplined capital allocation framework, we are strategically investing to drive long -term sustainable growth.

Under our current strategy, we have planned capex of INR25 billion over the next 3 years, primarily funded through our internal accruals. The company's balance sheet continues to provide the financial muscle necessary to pursue potential strategic opportunities in the future.

Marking another key milestone in our growth journey, I'm pleased to share that the Board has declared an interim dividend of INR1 per share. This represents the company's maiden dividend declaration, reflecting our commitment to reward the shareholders while maintaining a disciplined capital allocation framework. It also reflects the strength of our balance sheet and the confidence we have in our performance going forward.

With that, I would like to open the floor for questions.

Moderator: Our first question comes from the line of Vikas Ahuja from Antique Stock Broking.

Vikas Ahuja: Congrats on a good quarter. My first question is regarding the rebranding of Dukes to Athiva.

Although it has been only a few weeks, could you share any early trends in occupancy or ARR following the brand transition? Additionally, with the repositioning of the property under the new brand, should we build in any impact on margins in coming years due to increase in sales and marketing investments?

Sanjay Sethi: Vikas, as you rightly said, very early days as far as Dukes trends are concerned. I can tell you, it's been very positively received. The guest feedback have been astounding. The experiences

are true to the brand that we've launched. And we believe with this foundation being strong, the resort will do extremely well.

We do expect that in about 3 to 4 quarters time, it would have reached stable occupancies of the mid-60s, and the margins should be high. On the sales and marketing front, we don't expect any material change in this.

Vikas Ahuja: Okay. The second question is with the addition of new properties, and we saw that in the dip in the occupancy, the Bangalore and Athiva formerly Dukes. Do we expect occupancy to come back above 70% in second half because we did talk about the occupancy moving up in second half in the presentation?

Also, for the medium term, what should we consider as a steady-state occupancy levels across portfolios, particularly for business hotels versus resorts, properties like Aravali or Himalayas, maybe you have started reporting a consolidated number around that.

Chalet Hotels Limited

November 05, 2025

Page 7 of 18

Sanjay Sethi: Vikas to continue with the answer on your question. We do not expect any impact on margins because of sa

les and marketing costs. These hotels were anyway run on an individual basis.

Whilst we've had a onetime cost, which is going to be absorbed in this coming quarter, on the launch of the brand, there's no major ongoing cost to worry about. So margins will continue to hold strong.

Vikas Ahuja: Sure. I will just repeat my second question. Thank you for the answer. Second one was with the addition of new properties, the Bangalore Marriott, Athiva, formerly Dukes. So we saw a dip in occupancy. We reported around 66 point something percent. So do we expect occupancy to move back to above 70% in second half? Because in the presentation, we did mention that occupancy levels should stabilize in the second half. And for the medium term, what should we consider as a steady-state occupancy levels across portfolios, particularly for business hotels versus the resorts?

Sanjay Sethi: So Vikas, we don't give forward-looking numbers, but I can assure you that the second half is going to be robust and strong, and we should be back to the occupancies that we've been delivering in the past. This is a 1 or 2 quarter blip on account of new inventory addition. We've added 166 new rooms. It takes time to stabilize those rooms and we expect this to fall back into normal space very quickly.

Vikas Ahuja: My final question is the lease space revenues increased only marginally this quarter, around INR60 lakhs during the quarter. Should we interpret this as a minimal change in occupancy levels at Powai and Bangalore? Also, by when do we expect full 0.9 million square feet at Cignus 1 to be fully leased? And what will be the monthly run rate for rentals expected once we have full occupancy before Cignus 2 starts flowing in?

Nitin Khanna: So leasing activity was muted this quarter, primarily as discussions on a few key accounts, they are still underway. In the next quarter, probably you might see some good news coming in. We continue to prioritize quality over pace in terms of tenant selection. So that's the reason it's a little slow. From my earlier statement, exit of March, we are still expected to exit at INR30 crores per month rental. Currently, it is at INR24.5 crores per month.

Moderator: Our next question comes from the line of Dipak Saha from Nirmal Bang Institutional Equities.

Dipak Saha: Just one question on the Athiva side. Sir, if you can share your broad thought process on ultimately when, I know these are early days, but once it matures, do we have plans to finally enter into management contracts and those sort of portfolios with Athiva?

Sanjay Sethi: So Dipak, what we've done today is strung together the individually named properties that we were operating. That's what we're going to do over the next 6 months or so. There will be 3 hotels under this. We've got another 3 hotels, which will be developed under this brand, 2 in Goa, 1 in Trivandrum, that will take us to 6.

But as we continue to develop and look at new assets owned by us, we will continue to evaluate them for Athiva separately. And if they do justice to Athiva or Athiva can do justice to them, they will be Athiva. But that doesn't stop us from working with other brands. Some of the bigger

Chalet Hotels Limited

November 05, 2025

Page 8 of 18

hotels and big cities with international demand will continue to be partnered with international and Indian brands, which are large in nature and distribution capabilities.

To answer your final part of the question in terms of an asset-light or managing hotels for others, look, at the moment, we don't have any timeline in mind. I don't think it's imminent. But what we've done is we've created a springboard for an asset-light business at some point of time,

sometime in the future.

Dipak Saha : Sir, secondly, on the resort portfolio, I mean, the blip that we had for 2 quarters, right? And you alluded to the fact that in the coming quarters are looking ver

y strong. So just trying to

understand if you can share some color from occupancy and ARR poi nt of view, is it that occupancies will revert back to the normal levels or you are seeing occupancies higher than last year and how the ARRs are shaping up from a booking point of view for H2? How is the trend on that front?

Shwetank Singh: So basically, the issue that we have had with resort is only temporary. It was driven by, as Nitin also pointed out and I said in my speech earlier, it was driven by very adverse weather conditions, particularly in the Himalayas, we were 57% higher rainfall than long -term average, for example. The auspicious dates also tend to move year -to-year. And unfortunately, in this period, we didn't have those dates like we had last year. Further, what made the situation slightly more difficult for us is the fact that we had lesser long weekends this year as compared to last year. So when all this were put together, we experienced lower -than-expected occupancy for this quarter. Second half of the year is very strong. The social dates are coming back, and that should also make us get better at it. It will be difficult to predict an exact occupancy level, but we do expect it to be really strong, both on occupancy and ADR. And there fore, the business should come rolling back. The impact that this kind of a performance has on margins will also get corrected in the second half. So we remain very bullish.

Dipak Saha : And on the Khandala portfolio, sir, the additional keys that we're talking about, the Phase 2 was expected, I think, in Q2-Q3 FY '26. Any update on that part? And will we have full impact on Q3 and Q4?

Shwetank Singh: Yes. So actually, the 147 rooms in Khandala, we were only short by about 25 keys, and that's ready. In fact, we have our first sold out date coming on 14th of November, so when we had sold out for all 147 rooms. So that's done. So we will get about half of this quarter getting the entire key count at Khandala.

Dipak Saha : And Q4 will have the full impact?

Shwetank Singh: Yes, Q4 will have the full impact.

Dipak Saha : Sir, last question from my side. I know you don't share specific guidance, but just broadly trying to understand, despite all these headwinds, if I go by your presentation, first half, we have delivered INR312 crore s odd EBITDA on the hospitality side, which is a 15% growth.

Chalet Hotels Limited

November 05, 202 5

Page 9 of 18

And last year, if we see Q3, Q4, we had INR407 crores, INR408 crores H2 kind of an EBITDA number. So on those higher basis , is it safe to assume that given you're seeing strong traction on the leisure side and business continues to be strong given less number of holidays and continued working days, kind of a mid -teen to early 20s EBITDA growth is still possible?

Shwetank Singh: You will get me to answer that somehow. But broadly, I would say that absolutely, we should hit that and hopefully better.

Moderator: Our next question comes from the line of Abhay Khaitan from Axis Capital.

Abhay Khaitan: So firstly, I would like to congratulate Dr. Sethi for his great stint at Chalet and wish him continued success in his next endeavors as well. So my first question is on Athiva again. So just wanted to understand the kind of positioning that Chalet is thin king for Athiva or if there is any comparable brand that we can think of on how Athiva is going to be positioned going forward? And even if we look at the assets that is there in the pipeline , so Goa and Trivandrum were the ones we already knew, but the Aksa Beach and the Navi Mumbai, I believe they are the properties of the Raheja Group. So will they be part of the Chalet portfolio now? Or will they be something which is outside Chalet portfolio but still be managed by them?

Sanjay Sethi: Abhay, thank you for your kind words. As regards to my next endeavour , it's to actually retire. So thank you for that. Com

ing to your questions, I'll answer The Resort and Four Points one

first. Four Points is very much a part of Chalet Hotel s, just so that we're clear on that.

The Resort, Madh Island will convert to Athiva as a management contract. So in that case, we will have an asset -light play, but internal to the group. We are not going out. So this was one part of your question. There was one more regarding the positioning . So we are positioned for the affluent young travellers with the millennial and the Gen Z mindset.

In terms of brand positioning, because you'll find it difficult to otherwise understand, whilst we categorize between upper upscale and upscale as the category that we will play in, and there will be a variation for that, we do not sort of tie up into the s e horizontal lines that consultants tend to divide the segmentation into.

But if you were to look at comparable hotels in a micro market, we would be akin, and I'm

naming some brands here just for the sake of clarity, we'll be akin to the Marriott within the Marriott portfolio, the Taj in the Taj portfolio, the Hyatt Regency in the Hyatt Regency portfolio, the Hilton in the Hilton portfolio. So that's our positioning, which is 5 -star and 5 -star Deluxe. Goa, one of the resorts is going to be at the higher end, it will be a luxury resort. The other one will be pretty much a 5 -star Deluxe hotel. So I hope this answers your question in terms of positioning. And at the end of the day, the positioning is how you position your product offering and your pricing in that specific micro market. So it will be driven by the micro markets, brands that play in that market. But I hope I've been able to throw some color on where this is positioned.

Abhay Khaitan: Yes indeed . This is very useful. So my second question is on the city -wise performance that you have reported for the quarter. So while Hyderabad, Bangalore has seen very strong ARR growth,

Chalet Hotels Limited  
November 05, 2025

Page 10 of 18

we saw Mumbai at low single digits in terms of ARR growth and NCR has actually seen a decline. So is there any particular property within Mumbai that is causing this sort of trend? Or is it like a broad -based trend? That's part number one.

And number two is that are we seeing some improvement given that October is completed . What sort of improvement have we seen in October so far?

Shwetank Singh: Abhay, it would have been nice to have your best wishes for the new team as well, but we'll take that as a granted. To your first part, in Mumbai, our 2 big boxes are in Powai and Sahar, as you're aware. And Sahar has seen some supply of late , of about 1,000 rooms. And what that has done is, on compression days, it takes away some of the occupancy that was earlier available to move to the Powai area also. So that's been one impact of the new supply.

Then the fact that we do have a competition next door is beginning to at least show some effect on the banquet business and the conferencing business, and they have started to make some impact. However, during this period, we have still managed to grow our market share at Sahar by 3 percentage points. So that's the good news story.

We don't expect this to be necessarily the case going forward. We do expect the second half to be really strong. And as MICE and corporate business comes back and social also starts to make an impact. So overall, I think despite the new supply, we have done fairly well in both the markets overall.

Abhay Khaitan: Okay. And any improvement in October, any trend that you can maybe share so far?

Shwetank Singh: October wasn't necessarily very strong. But overall, we have still done well. But it is always best to see October performance typically along with November. So when you see October and November put together because of the movement of Diwali and Dussehra, which happened both in the same month, that's when it is best to comment on

the overall performance. But we continue to maintain that our quarter is very strong, and we will put out very good results at the end of this quarter as well.

Moderator: Our next question comes from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: My questions are on Athiva brand. Sir, when we are seeing regional or small or unbranded hotels tying up with large branded chains, while neither we are a small company nor a regional operator, but what made us to take this step to carve out our own brand?

Sanjay Sethi: Good question, Prashant, and thank you for all the updates that you keep sending us on the industry, very interesting data points. Look, Prashant, it was like this. We were anywhere running three hotels individually named. And we are going to build more, which would again have individual names. It did make sense to do that. I thought there was value to be created by stringing them together with a common name.

So in a sense, what we've done is we've strung the individual named hotels, which we were running ourselves anyway with a common name and thereby creating some value through synergies, through scale, size and at some point of time through the brand itself. So this is what

Chalet Hotels Limited  
November 05, 2025

Page 11 of 18

we've done. You're right, it's a crowded brand market. You're right, there are regional players. I think what we've come here and done is we've put in a lot of effort and thought behind this over the last few years.

We have built capabilities on the operating , sales & marketing , distribution and talent side. And now we're putting them to play because these abilities, capabilities and resources were already available, we put them all together to create a brand, which is for internal use at the moment. We think it's a positive move, which is going to both be value accretive on the P&L as well as going forward, it can potentially open up a new business vertical for us sometime down the line

as an asset-light business vertical.

Prashant Biyani: Sir, can you give a detailed elaboration of your marketing strategy for Athiva as without the support of distribution network of international hotel chains, getting optimum occupancy at high ARR could be a herculean task?

Sanjay Sethi: So just let me begin with the Athiva first. When we bought over Dukes Retreat, when it was the Dukes Retreat, it was operating at roughly around 70% occupancy with an average room rate of INR8,000 with 80 rooms. Today, we have close to almost 147 rooms ready. We are operating at INR14,000.

Our occupancies will build up to similar occupancies despite 80% expansion in capacity at some point of time. So number one, all the hotels that we are looking at are largely being addressed by domestic markets. And to address domestic markets and do well with them, will not be a problem at all. It will largely be done through our sales team, which are in Pune and Mumbai. All three hotels that we are speaking in right now, 80% of the market, maybe even larger lies within only Mumbai and Pune. And that market is already covered by our sales team. It's been covered for the last 1 or 2 years now. So we've got that covered. We may not have global distribution at this point of time. But right now, the domestic demand is enough to fill up these hotels with very encouraging rates.

Shwetank Singh: To add one more point to it, just to remind you that we have spent a significant amount of capex in both of these properties to reposition them to a much higher level. And that is always helpful when you start off with a new brand. So that should also add to all the stuff that Sanjay just said.

Prashant Biyani: Right. And sir, without any forward-looking numbers, once Athiva brand stabilizes, how much incremental EBITDA can you make with your own brand vis-à-vis if you would have continued with the current business model of a third-party

operator brand? I just wanted to get a sense is the

incremental financial benefit, will it be such a magnifying number that you resorted to moving with your own brand rather than continuing with a third-party operator?

Sanjay Sethi: No, I think that's not the way we are looking at it. It's not about incremental or massive expansion of EBITDA margin. I'm saying today, if we can maintain the EBITDA margin and the absolute EBITDA contribution and grow the revenue at the market pace and have a market share solid in place, we are good to go. It's not a major commitment on the cost side.

Chalet Hotels Limited

November 05, 2025

Page 12 of 18

The question is why not have a brand of our own. And I think more importantly, it's today only 5% of the play of the total portfolio. And it's not necessarily the biggest thing that we have going. I think the biggest thing that we have going is the 95% of the balance portfolio that continues to rock the market. This brand is ancillary for now. At some point of time, it can become a major play in our scheme of things.

Moderator: Our next question comes from the line of Adhidev Chattopadhyay from ICICI Securities.

Adhidev Chattopadhyay: So first question is on our Delhi Airport hotel now that we are close to the opening. Could you help us understand how we will scale up this hotel? Will it be a soft opening or a full-fledged opening at one go? And if you could just let us understand what sort of position will this hotel have? I know it will be branded as a Taj, but will it be more a MICE driven hotel or you'd like to also bring in weddings or how will the overall demand mix be over there? That's the first question.

Shwetank Singh: Adhidev, so in this hotel, we are uniquely positioned because we are actually doing the fit-outs bottom up. So the rooms will be fitted out post the fitting out of the public area. So what that does is that it allows us to open with partial inventory as we'll. And we would certainly like to do that so that we are quicker to the market and start to get revenues into the portfolio.

In terms of positioning, yes, it is a franchise with IHCL. It was the first franchise that IHCL gave to anybody showing that how deep the faith is in the ability of Chalet to operate these hotels to the right levels and standards of operations.

It will not be a MICE hotel. It will not be a Shaadi hotel at all. It will be a very transient-driven hotel. And in fact, we expect occupancies to be really high. And on certain days, we even expect it to be more than 100% where we can keep turning over the rooms through the day. So that's how we are positioning it.

Yes, it will also be a good location for senior leaders to meet up or small meetings to be held. We have multiple boardrooms where we can accommodate these small meetings and smaller sort of get-togethers.

May I just add to that to complete the answer to your questions that we will be leveraging the partnership that we have with Taj here. Their distribution, their loyalty program, their sales and marketing will all come into play. So that's something that we will be banking heavily on, and we look forward to doing extremely well with this hotel.

Adhidev Chattopadhyay: Sir, just to continue, so the rates, broadly, will they be comparable to hotels in Aerocity? Is that



the sort of thing? Or you will be, as you said, more occupancy focused rather than ARR focused over here, just to understand the product.

Sanjay Sethi: The rates will definitely be competitive with the similarly positioned hotels in Aerocity.

Adhived Chattopadhyay: Okay. The second question is on the Vivarea residential project. Now that obviously, we have been booking the revenue. And could you just help us understand the promoter loan and how it will be retired? Or has it already been done? What are the plans over there?

Chalet Hotels Limited

November 05, 2025

Page 13 of 18

Nitin K

hanna: Adhived, I think in my opening statement, I had already told that the INR200 crores of promoters' pre-f shares has already been paid off. The earlier ICD, which they had given, that is also paid off in the earlier 2 quarters. So as of now, from a promoter perspective, the entire loan and pre-f shares have been closed.

Adhived Chattopadhyay: Okay. There is no other pending carry or anything which is there. Sir, then just if you can help us broadly understand what is now the residual cash flow broadly which Chalet may get pre-tax or post-tax, whatever you could share incrementally from here?

Nitin Khanna: Yes. Resi projects normally the cash collection happens in the initial phase while you are launching those projects. There are 3 projects. First project we have just handed over. The second project will be in FY '27. The last project, which is the commercial project will get handed over in FY '28. So we still have some time to think over it, whether the commercial will be on purely sales basis or we really want to lease that out.

So from a pure cash flow perspective, for residential, I think I have already earmarked that for this project we will be releasing around INR250 crores in Chalet's balance sheet post payment of INR200 crores to the promoters.

Moderator: Our next question comes from the line of Hrishikesh Bhagat from Kotak Mutual Fund.

Hrishikesh Bhagat: First is on this Athiva, new brand. So will it in any way change upcoming renegotiation with our third-party license or any commercial arrangement? Or is there any non-compete clause we have with our existing licenses or brands which we have already?

Sanjay Sethi: Hrishikesh, no such non-compete clause. In fact, all our partners, whether it's the Marriott or the Accor who are already working with us, they have been briefed well in advance about this launch. They are very encouraging. In fact, they said there's no better time to launch a brand than now, and they have supported us in this journey.

They have been partners with us for 25 years, and they are equally excited about Chalet launching its own brand and they are supporting this thing. In terms of any new contracts, we don't have any upcoming immediate kinds of contracts, except the one at Vashi, which will convert to Athiva and that the brand is very well aware of.

Hrishikesh Bhagat: Okay. The second question was related to that only. You said the coming soon in Athiva, the new Navi Mumbai, it's that Vashi Sheraton that will get converted into that.

Sanjay Sethi: So, they are going under major renovation, it's going to be repositioned to compete against the upscale hotels or upper upscale hotels in that market now. It has been fully gutted out and redone.

It's come out beautiful. I mean, it's hard work, but it will be done by end of December.

Moderator: Our next question comes from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: If I heard you right in the opening remarks, you mentioned that we have sold approximately 314 units out of 321 at Koramangala. But if I look at our balance sheet, the figure of inventory, which I presume largely pertains to the real estate project is down from INR630-odd crores to about

Chalet Hotels Limited

November 05, 2025

Page 14 of 18

INR309 crores. So there is a 50% reduction in inventory, but a considerable portion of our units have been sold. So if you can just help reconcile these numbers?

Nitin Khanna: So from a pure accounting perspective, what happens is the entire construction comes and sits in your inventory. And while we are handing over these units, which is handing over the possession, the revenue gets built and the cost gets taken out from CWIP and it gets accounted. The collection, which we get from selling of these units, which are still under construction, lies as a liability from an accounting perspective. So when for these 150 units, when the accounting happens, there is

a revenue which gets booked. There is a cost apportionment happens, so result in there is an EBITDA.

The third part is basically the collection goes out and there is a debtors which gets recognized in the system. If there is a pending collection which is probably the 5% or the 2%, which remains,

that is shown as a net debtor in our balance sheet. So this is how the accounting happens. And on your second question on the inventory. So the Phase 2, which is under construction, which probably we will be handing over in FY '27, plus the commercial, which we are just starting, which is shovel to the ground. That also entire amount comes as a part of our inventory. Jinesh Joshi: Understood. And sir, one clarification required. I think earlier you also mentioned that in Sahar because of competition that has come next door, it has impacted our banquet and conference business. Now I know that we don't give out any specific property-wise ADR and occupancy numbers. But can you give us some color as to how the occupancy and ADR is trending at Marriott Sahar post the new competition coming up?

Shwetank Singh: As I said earlier, despite the fact that the market has seen new supply and it's nearly 1,000 rooms, we still have grown our market share by 3 percentage points. So we have done quite well overall.

When I mentioned that there was some impact on the banqueting business, it's because the market has become slightly more competitive, which means we have to price ourselves accordingly. And that's the only adjustment we have done overall.

So the immediate future, the quarter that we are going through and the next quarter, they all seem strong and will continue to grow.

Sanjay Sethi: May I just add that I think it's important to understand that with the 400 change rooms of the Fairmont that open next door, JW Marriott Sahar still continues to grow. Just want to highlight that part.

Jinesh Joshi: Sure, sure. And lastly, if you can just give out the breakdown of the capex figure that you have shared that it will be about INR25 billion over the next 2 years, if you can give out some breakdown?

Nitin Khanna: So Jinesh, this is for all the announced projects. I can't give you a split of each and every asset, but this is spread through 2 of the Goa properties, the DIAL pending work, which we are doing, The Dukes, which probably will be handing over in the coming quarter and the Hyatt in Airoli. Chalet Hotels Limited  
November 05, 2025

Page 15 of 18

So these are basically the capex projects. Along with that, we will be finishing the Phase 4 commercial in Powai by next year, and there is a refurbishment for all the other hotels.

Moderator: Our next question comes from the line of Sameet Sinha from Macquarie.

Sameet Sinha: Can you talk about the leasing business? I mean it seems like the incremental leasing activity was kind of weak. What are the dynamics there? And secondly, talking about the new brand, Athiva, wishing you all the success with this. And if it becomes successful, do you think there's an opportunity to have a management fee sort of strategy? I think I heard the word asset-light being mentioned. Is that what was being referred to?

Sanjay Sethi: I'll take the Athiva part first. Look, for now Athiva is intended for internal use. We've got 6 assets identified which has been either converted or will convert to Athiva over the next few years. As we keep adding new assets to the portfolio of our own assets, we will continue to evaluate whether they will be Athiva or we'll work with other partners, especially if there is global distribution required for those hotels. So everything will be done on individual level. That's the first part.

Second part on the asset-light strategy, there's no announced strategy as of now. But what we in a sense by launching Athiva created a springboard for some asset-light opportunity at some point of time, we don't know

when at this point of time. It's a silent value creator that's lying with in our folds.

Nitin Khanna: Yes. On the commercial real estate overview, so currently, as you know, we have around 2.3 million square feet, the total GLA available, out of which we have already leased out 1.8 million square feet. The total leased percentage is around 77%.

Last 2 quarters have been a little muted because primarily the discussions were going on with a few key accounts. There is some announcement which is due in the coming quarter. And we continue to prioritize our quality over pace in terms of tenant selection.

Sanjay Sethi: I think what we've been able to achieve, Sameet, with that is the lease rentals have gone up with the strategy that we followed because once we establish higher lease amounts, and they are significantly higher than what we had indicated initially, and they continue to climb as we speak, we believe that it will stand very well for future.

Shwetank Singh: And finally, to add that if you look at the commercial real estate market overall, the absorption has been higher than the supply. So the occupancy levels are actually improving throughout and so are the rates, either they're remaining stable or increasing in most of the markets that we are in. So we are not necessarily worried. We are actually taking our pick and taking our time to decide who to go with.

Moderator: Our next question comes from the line of Vaibhav Muley from YES Securities.

Vaibhav Muley: My first question was on our overall business portfolio. I noticed some diversion trends into our

growth, while there has been a minor dip into occupancy. But our overall business portfolio has reported almost 390 bps dip in occupancy, but ADR growth has been pretty significant. So has this been a strategic call where we have focused more on occupancy expansion or maintaining occupancy in MMR region, while in other markets like Pune, Bangalore and Hyderabad, we have focused on ADR growth at the expense of occupancy. And just related to this question, if you could also share some broader demand trends for Pune, Bangalore and Hyderabad markets?

Gaurav Singh: For the MMR region, I think there's been consistent questions that came in the past callers as well, which we were able to give a sense of. Essentially, with the market having addition of inventory of supply come in over the last year or so, particularly in the airport belt, we've had to strategize accordingly and have shifted our strategy towards remaining competitive and ensuring that we still continue to grow our market share, which is what has taken shape in MMR. In the other markets in Bangalore and Hyderabad, as you suggested, it has not been a strategy to drive just the rates and not look at the occupancy. It is actually the addition of additional rooms that has dropped the occupancy relative to what it was in the previous quarters. As we ramp up those rooms, we believe that we will be able to go back to our original occupancy levels and in fact, get better than that. And the same story remains with Pune as well. Last year, we added additional rooms in our Pune inventory, and that has also been now absorbed. We are continuing to get same -store in Pune growth numbers on month -on-month and quarter -on-quarter, showing positive growth in Pune.

Rates have been very, very strong in Hyderabad, Bangalore and Pune, and that has been the case across the markets, and we've actually been on the better half of that from the market as well. When we look at our share, we've been gaining market share, particularly on the ARI index, growing that by large single -digit growth in some markets to almost double -digit growth in the Bangalore, Hyderabad markets.

Shwetank Singh: And just to finish Vaibha

v, all the three markets that you said, have been really strong and buoyant overall, and we have taken full advantage of that and improved our position. Hyderabad case in point being, we've now rocketed to number one position in our competition set, and we intend to stay there. So we have done better than the market in all the three markets.

Vaibhav Muley: Understood, sir. My second question was on our Airoli project and our Kerala project. So has there been any additional update in both of these projects? So we did mention a delay in the approval for Airoli because of the NGT approval being moved to Central. Now when do you expect this project to commence? And any update on the time line? And same on Kerala as well?

Shwetank Singh: Okay. So on Airoli, there's been definite positive movement. The Supreme Court order has come through. And the cases are now being signed off on. We are in the queue, but we expect over the next 2 months to 3 months for Airoli approvals to come through. So we are definitely on a much better footing than where we were last time when we were more or less in a limbo.

With respect to Trivandrum, the file is making its movement through the corridors of the government. But it's the overall sentiment towards the project in the bureaucracy and the

Chalet Hotels Limited  
November 05, 202 5

government stays very positive. And so are we getting more and more positive about the Trivandrum market. So hopefully, that will move, but it's difficult to give you a timeline on Trivandrum in particular.

Moderator: Our next question comes from the line of Rajiv Bharati from Nuvama.

Rajiv Bharati: So my question is on Airoli. So as and when this approval comes in, I mean, do we get, let's say, additional FSI there? Is there any chance we increase the room count or any other facility in the thing? And are we still sticking with the Hyatt brand? And is there a chance that we move to some other brand or Athiva by any chance?

Shwetank Singh: So let me answer the second part. That's an easy answer. We have already signed the agreement with Hyatt Regency. So we continue to stay it's a franchise and that's a space that we like. So we will stick to Hyatt Regency. Just as a reminder, this is actually a building where the shell is being handed over by our sister company, Mindspace on a lease model to us.

So actually, it is a mixed -use building with commercial and parking in the bottom few floors and the hotel actually starts from 27th floor onwards, thereby giving us the best views that are possible in that area. So there is no question of FSI change as of now.

And we have a substantial inventory coming up. I think it's over 270 -odd rooms that we are expecting to come in that hotel. So it's a number that we like. And with the new airport coming up in Navi Mumbai, we expect that market to be really favorable in the coming times. And I think we are timing this hotel quite well overall.

Moderator: Our next question comes from the line of Nikhil from Kizuna Wealth.

Nikhil: Congratulations on a good set of numbers. Sir, we saw occupancy as well as ADR dip in the NCR region. So can you explain what caused this dip? And how are we going to get back the traction?

Shwetank Singh: Okay. Just to clarify, when we say NCR region, that's one hotel for us. That's the Courtyard Marriott in Aravali. So the first thing that I would like to remind you is that, as we speak, undertaking a rebranding exercise on that, and it will be launched as Marriott Hotel & Resorts in the coming quarter. So that should help with the numbers.

We have had a slightly disappointing performance there, mainly because of the reasons that I had cited earlier on, which was, (a) weather related and (b) change in social dates. And generally, this quarter is a difficult quarter for Delhi because the weather conditions are not exactly favorable. Second half of the year

remains very strong. What's coming through is a very strong October, November, December. So we are not very worried about it, and I think we will continue to grow there.

Nikhil: And sir, would you provide us your outlook on the wedding season that is coming on? How are the bookings? And as we said that we had a competition in the banquet region in Sahar. So how is that outlook going to be?

Chalet Hotels Limited

November 05, 2025

Page 18 of 18

Gaurav Singh: So the wedding season typically is based on auspicious dates in the year. And the last quarter that we are speaking of at the moment did not have even one auspicious date in the whole 3 months that passed by. What that has done is that it has obviously moved these dates into other quarters. And the coming quarter, which is quarter 3, is looking extremely buoyant with that. We see very good signs at the moment with strong bookings in our books. And even Q4 seems to be pacing extremely well with that. So the second half of the year, in general, is looking positive from a wedding business perspective.

Moderator: Our next question comes from the line of Pratik Oza from Systematix Securities.

Pratik Oza: So our core hospitality revenue grew by 13%, but EBITDA margin contracted. So on Slide number 9, it was mentioned that payroll as a percentage and utility increased by 20 bps and 70 bps, respectively.

So my question is how much of this margin pressure is a temporary effect from the 166 new rooms which we had added in 1H and that are still in the gestation period versus a more structural increase in our underlying cost base for power and talent?

Gaurav Singh: We did speak about the opening of 166 rooms, and that's been the real impact on the payroll because while the teams have been hired and they have been trained and then put on the job, we have not started to actualize revenues from these rooms the way that we would in a stable environment.

As we stabilize our occupancies in the coming few months, we see that this payroll margin will fall back in place and so will the margins on the whole. We are quite confident in the coming quarter that it should be back to where we've seen it in the past and in fact, better than that.

Shwetank Singh: So the short answer is that it's not structural at all. It's temporary as we stabilize.

Moderator: Ladies and gentlemen, in the interest of the time, that was the last question for today. I now hand the conference over to Dr. Sethi for the closing comments.

Sanjay Sethi: Thank you once again, everyone, for joining us for the call. We are very positive about the way forward, both H2 and the coming years look very exciting for Chalet Hotels. Athiva is clearly something that has excited all of us internally. And we'll always remain available for any queries or questions that you may have. So please do feel free to reach out to us.

I also want to share with you that Deepak has joined us to head Investor Relations in place of Ruchi, who's taken on a new role outside. So a warm welcome to Deepak, and he'll be available for coordinating anything that you may need to coordinate in the future. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Chalet Hotels Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2026

Chalet Hotels Limited

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February 9, 2026

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730809 (Commercial Paper)

Dear Sir / Madam ,

Subject: Transcript of the Earnings Call in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on February 3 , 2026 , in respect of the Unaudited Financial Results for the quarter and nine months ended December 31 , 2025 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking Y ou.

Yours faithfully ,  
For Chalet Hotels Limited

Christabelle Baptista  
Company Secretary and Compliance Officer

Enclosed : As above  
Page 1 of 17

"Chalet Hotels Limited  
Q3 FY 26 Earnings Conference Call "  
February 03, 202 6

MANAGEMENT : MR. SHWETANK SINGH – MANAGING DIRECTOR  
AND CEO  
MR. NITIN KHANNA – CHIEF FINANCIAL  
OFFICER  
MR. GAURAV SINGH – CHIEF OPERATING  
OFFICER

Chalet Hotels Limited  
February 03, 2026

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to the Chalet Hotels Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. We have with us today Mr. Shwetank Singh, Managing Director and CEO and Mr. Nitin Khanna, Chief Financial Officer.

I will now hand the conference over to Mr. Nitin Khanna for opening remarks. Thank you, and over to you, sir.

Nitin Khanna: Thank you, Ryan. Good morning, ladies and gentlemen. Thank you for joining us for our earnings call for Q3 FY '26. Hope you have been able to go through our Q3 results along with earnings presentation and press release, which are already uploaded on our website and exchanges.

Please note the safe harbour disclaimer published with our earnings presentation is applicable to today's call as well.

Before I hand over the call to Shwetank for his opening remarks, on behalf of the entire Chalet family, I congratulate him for his elevated role and wish him the best as he leads Chalet in the exciting times ahead. Over to you, Shwetank.

Shwetank Singh: Thank you, Nitin and Ryan and good morning to all. I'm excited to address you all and bring to you another fantastic set of numbers, and more importantly, a sneak peek into what the future holds for us. On this journey, where we work tirelessly to shape the future of the organization while building on the legacy, we welcome your suggestions and queries as they help us to stay focused.

Before taking you through Chalet's performance in Q3, let me talk about the industry macros that drives our excitement as we look ahead. The industry continues its strong growth momentum with healthy double-digit ADR and RevPAR growth. This is not at all surprising as the key tailwinds propelling us forward remain robust and are not showing any signs of abating. Travel and tourism is rapidly moving from being a discretionary spend to a way of life. Rising income levels, largest working population in the world with a young median age, valuing experiences over material goods are all leading to short breaks, road trips, weekend getaways, etc., thereby boosting occupancy and rates across the hotels nationwide.

The recently concluded long weekend around the 26th of January is a great example of this mindset, where almost all leisure destinations were sold out with the now infamous long queues in the Himalayas back in the news. Weddings are constant and the Indian industry keeps growing and so does MICE with the current quarter being annual highs for both these segments. Equally helpful has been the rise, and the rise of infrastructure and connectivity as investments in airports, highways and regional travel links have opened up new destinations and made travel easier beyond major metros, encouraging regional tourism. A INR12 lakh crore's planned spend

Chalet Hotels Limited

February 03, 2026

Page 3 of 17

by the union government in the recently announced budget towards infra push will further give this a fillip.

An increasing trend of concerts, festivals, sports events, spiritual gatherings and cultural tourism are further creating new travel occasions beyond traditional leisure, driving incremental demand spikes. With India and Indian markets being discussed in the boardrooms of most multinational companies of repute, international travel is recovering and is only showing an upward trend.

And the clearing up of the business environment with the recent trade deals with the European Union and the U.S., which should also encourage foreign travelers. To add to this, despite the

spate of announcements,

new hotel openings, supply growth has lagged demand in key segments

and markets.

Closer to home, let me now talk about Chalet's performance. We have rebranded our resort property at NCR from Courtyard by Marriott Aravali Resort to Aravali Marriott Resort & Spa. For this, we have made several upgrades through refresh of rooms and public areas as well as added a new clubhouse, pool bar and some meeting facilities.

Further, this was the first full quarter of the launch of Athiva, Khandala. In the 45 -days run we saw in Q3, we have already had 5 full sold -out days, which is a great achievement for a new resort. We have received very good feedback from the guests and remain confident of making our first Athiva a success story. Apart from Khandala, we are expecting our Vashi hotel to be rebranded as Athiva in Q4 FY '26 from Four Points by Sheraton currently.

Also, I am pleased to share that our people -first approach has further consolidated, and we have been certified by Great Place to Work with above -industry benchmark scores for seventh year in a row.

As you are aware, our CIGNUS Whitefield Tower II received LEED Platinum certification. This milestone reinforces our commitment to sustainability and marks another important step in our journey towards net zero.

With respect to the resort asset at Udaipur, the due diligence process is still on, and we cannot speak about it further until all the steps are closed.

Now coming to the Q3 performance. For this quarter, consolidated revenue grew 27% year -on-year to INR5,892 million with 29% growth in EBITDA to INR2,726 million with 76 basis point increase in EBITDA margin to 46.3%. These numbers include our residential income as well. Our ex -resi revenue grew 23% year -on-year to INR5,726 million, with EBITDA growing 24% year-on-year to INR2,686 million.

Diving deeper, our Hospitality business delivered strong operating performance this quarter with RevPAR growth close to 12%, driven by 16% growth in ADRs overall. Excluding The Westin Resort & Spa in the Himalayas, the RevPAR was up 10%. Occupancy was a bit down by 230 basis points year -on-year, mainly due to four locations: Bangalore, where we added 129 new keys in this fiscal and has not stabilized. Athiva, Khandala, where 100 rooms have been made operational only during this fiscal year. Powai, where the crew business has had a temporary setback due to construction work being carried out at CIGNUS II. We expect this impact to

Chalet Hotels Limited

February 03, 2026

Page 4 of 17

neutralize in FY '27 as most of the noisy work will be completed. And finally, Vashi, where the property has undergone a massive renovation to get it ready to become an Athiva.

Other than these locations, we have seen strong occupancy across our micro markets. Some of the micro markets like Bangalore, Hyderabad and Pune continue to deliver very strong growth. MMR also delivered high single -digit RevPAR growth, driven by 6% ADR growth and 2% occupancy increase despite the above challenges at Powai and Vashi, beating the larger market comfortably on RevPAR growth.

We have been upgrading our F&B outlets, and the outcome is very encouraging. Our recently launched Terrace Restaurants & Bar at Mumbai, NOX at Westin, Powai, and EL -Bar at JW, Sahar, have performed very well.

During the year, we also launched the SOAK at Novotel, Pune, and is again doing extremely well. Casbah, our rooftop restaurant in Westin, Hyderabad, also delivered a very strong growth. In the coming quarters, we'll continue to focus on food and beverage outlets, especially at Marriott, Bangalore, which also we plan to refurbish and relaunch.

Commercial real estate - During the quarter, we contracted an additional 150,000 square foot at Powai, which takes the total occupancy levels to 80 -plus percent. Rentals will start from Q4 for this new business. With multi

ple ongoing discussions, we expect to reach 90% occupancy at Powai in the near term.

Let me now talk about updates on our live projects. Work is on at full swing in CIGNUS II Powai, and we are on track for an FY '27 launch. We expect some delays at Taj project at Delhi International Airport due to ongoing pollution -led stoppages. The revised timelines are partial launch by quarter Q4 FY '27 with a staggered launch post that. Also, I'm pleased to share that we have received requisite environmental clearances for our Hyatt Regency Airoli project. With this, we have untangled one of our delayed properties, and it is fortuitous timing as that part of the city is likely to gain from increased demand arising from the new international airport. To remind you, the property is a mixed -use one with the hotel starting from 26th floor onwards. We expect to take about 36 months from the date we commence construction post all approvals.

Therefore, in summary, the Indian hospitality industry's performance is being driven by a potent mix of strong domestic travel demand, higher disposable incomes, improved infrastructure and connectivity recovery in business travel, event -linked tourism and a favourable supply -demand

gap, all underpinned by broader macroeconomic stability and consumer confidence. With that, I'll hand over to you, Nitin, and you can take them through the financial details for the quarter.

Nitin Khanna: Thank you, Shwetank. Once again, good morning to all. I'm happy to share our strong performance for the quarter with you. Let me start with broad financial performance. On a consolidated basis, our revenue grew 27% year -on-year to INR5,892 million with 29% year -on-year growth in EBITDA to INR2,726 million. Consolidated EBITDA margin are up 76 bps to 46.3%.

Chalet Hotels Limited

February 03, 2026

Page 5 of 17

Excluding our residential business, revenue are up 23% year -on-year to INR5,726 million with 24% year -on-year growth in EBITDA to INR2,686 million. EBITDA margin are at 46.9%, up 14 bps year -on-year.

Before I dive into business -wise performance, I want to briefly highlight on the labour code impact on our financials. As you are aware, the Government of India has implemented four comprehensive Labour Codes effective November 25, consolidating 29 central labour laws to simplify compliance, enhance social security and improve working conditions. As a result, we have taken higher provisions during the quarter, which we have classified as extraordinary expenses. However, since our salary structures were largely aligned with the new requirements, the overall impact on the Profit and Loss is INR10 million.

Revenue from our Hospitality business rose 23% year -on-year to INR4,913 million, driven by strong RevPAR growth, as highlighted by Shwetank. On a like -for-like basis, which is excluding The Westin Resort & Spa, Himalayas, revenue grew 15% year -on-year.

EBITDA from our Hospitality business rose 20% year -on-year. Excluding The Westin Resort & Spa, Himalayas, and one -off expenses related to property tax, excise license name change, etc., EBITDA margin for Hospitality segment is 46%, which is flat year -on-year.

The profit and loss account has also absorbed costs related to the additional inventory at Bengaluru and Khandala. As highlighted on the last call as well, higher inventory -related impact is transitory and stabilizes as occupancy ramps up over the next few quarters. We continue to remain committed to maintain cost -efficient structures with focus on enhancing operational efficiencies and disciplined asset management.

On the CRE business, revenue from our Commercial Real Estate business rose 29% year -on-year to INR744 million with a December monthly revenue exit run rate of INR250 million.

EBITDA grew by 37% year -on-year to INR621 million, yielding an EBITDA margin of 83.5%.

Currently, occupancy across our Commercial

Real Estate portfolio stands at 83%. With various

ongoing discussions, we expect occupancy at Powai to increase beyond 90% in the near term.

While leasing at Bangal ore complex remains muted, we expect March '27 monthly revenue exit run rate of INR270 million. We expect to ramp up our monthly rentals to INR280 million to INR300 million over the FY '27.

For the residential project, during quarter 3, we sold 3 units at an average rate of INR20,500 per square feet and recognized revenue of INR166 million for 2 units that were handed over in the quarter. Let me refresh the Koramangala project details. The project has residential towers in 2 phases and a commercial tower. Phase 1 of residential is completed with 152 units handed over, of which two were done in quarter 3 and 1 unit is pending handover. Phase 2 has 168 units and is under development, which we expect to hand over in FY '27. The project also has 160,000 square feet of commercial space, which is yet to be developed. We are evaluating strata sale versus leasing for the commercial tower. We will be able to guide you further during our next earnings call on the commercial tower.

Chalet Hotels Limited

February 03, 2026

Page 6 of 17

Our net debt stood at INR20 billion with the average cost of finance reducing further by 14 bps quarter -on-quarter to 7.48%. We maintained a healthy liquidity position of INR3.8 billion at the end of the quarter.

I'm glad to convey that we were able to raise INR1 billion through issuance of commercial paper at a fixed coupon of 6.3%, which was rated A1+ by CRISIL ratings. Our competitive borrowing cost is a clear reflection of the strength of our balance sheet; the credibility we have built with our lenders and our continued ability to access capital at increasingly competitive rates.

On the capital allocation front, the capital work in progress and the assets pending business commencement amounted to INR7.2 billion at the close of the quarter. With a disciplined capital



allocation framework, we are strategically investing to drive long-term sustainable growth. We have planned capex of around INR25 billion over FY '27 to FY '29, covering our Hospitality and Commercial Real Estate business. This will be primarily funded through our internal accruals. This does not include any additional projects that we may take up. The Company's balance sheet continues to provide the financial muscle necessary to pursue potential strategic opportunities in the future. The CRE business provides a stable cash flow, and with leasing of existing 2.4 million square feet, it will be generating an annual cash flow of around INR3 billion to INR4 billion. Hotel business EBITDA adds to this stable cash flows, giving us a strong base of free cash flow generation to support our growth aspirations.

With that, I would like to open the floor for questions.

Moderator: We take the first question from the line of Adhidev from ICICI Securities. Please go ahead.

Adhidev : I have a couple of questions. Sir, first question is now on the Delhi Airport hotel with the revised timeline. Could you help us understand how we are looking at the gradual ramping up of the hotel in terms of the number of keys considering it is a big box hotel? So that is the first question?

Shwetank Singh: Thank you, Adhidev. So, the way we are looking at it is that the advantage we have for this hotel is that the structure has gone up from bottom. So, we have actually already started the interior works for the public areas and one or two floors of the rooms. So, what it allows us to do is open the rooms up in a staggered manner. So right now, we are targeting about 150 rooms for the end of this year. And then in a staggered manner post that, ramping up to 380-odd rooms that is required within the next quarter.

Adhidev : Okay. So fair understanding is, by Q1 of '28, right, financial year, we should have all the rooms up and run

ning, right, in the hotel?

Shwetank Singh: Yes, that's how we see it. That is correct.

Adhidev: Second question, obviously, is the demand trends in the current quarter, right, because it's traditionally been the best quarter for us in the business hotels. Any colour you'd like to give on the demand and any additional drivers which are helping us on the demand side across geographies?

Chalet Hotels Limited

February 03, 2026

Page 7 of 17

Shwetank Singh: So actually, it is one of our high quarters, and not just for the socials, it's also for the MICE events. So actually, the weather is helpful, too, and we expect a similar trend in the coming quarter as well. So, there's nothing new, but basically, the macro of the country stay strong. The only thing now that is there to look forward to is especially the international travellers coming out of the situation easing out with both the European Union and the U.S. So that's something to look forward to. Other than that, the usual trends and increment should continue.

Moderator: We take the next question from the line of Rahul Jain from PhillipCapital.

Rahul Jain Just a question from my side. I just want to understand how do you see the ARR progressing in the MMR region? And in the near term to medium term, what is the outlook on the ARR growth going forward in this region?

Gaurav Singh: Rahul, this is Gaurav from Chalet. The MMR region obviously is driven by many submarkets, and we are positioned more in the Sahar belt as well as Powai. On the whole, we have seen the whole of the region being early single-digit growth from a RevPAR perspective, while as Shwetank said in his earlier statements that MMR for us has come in, in the later single-digit growth. So, we've actually been outperforming the market on the whole.

And we constantly keep an eye on our competition. There has been a substantial increase that has come in into the market over the last few months, particularly in different segments of the hotel around the region that we operate in. We believe that we constantly keeping an eye on the market allows us to be able to pivot to what segments we need to bring our business from. And we continue to have a very strong premium from the market, which should allow us to keep track with our growth trajectory.

Shwetank Singh: And just to finish that off, in general, we should be mindful that Mumbai operates at very high levels of performance, both on the occupancy and the ADR side. So, to expect a similar growth story necessarily as what's happening in the South today or what we expect Pune to have may not play out here, but it's good to see that we are still growing and growing decently in the market, and that's what we expect to happen.

Rahul Jain Sir, my second question is basically on the Aravali Resort, right, the rebranding and how the guest experience actually changes after the rebranding? And how do you see the rate change from Courtyard to a Marriott Hotel? Will that be more of a transitional trend? Or will it be a more onetime uplift in the ARR? So, I just want to understand how the metrics will move given the rebranding?

Gaurav Singh: The rebranding has just concluded. And in this current repositioning that we have done with the hotel, we've added some new elements to our service design. We've got a new clubhouse with

sporting facilities. We've got additional meeting and conferencing facilities that have been added in and we've upgraded some of our existing facilities as well, including that of a pool bar, which is the centre of the resort in its own positioning.

All of these should add to our guest experiences as well as uplift the positioning of the hotel on the whole. We believe this will, over time, in the next 2 to 3 quarters, as we go into contracting of larger MICE as well as weddings into the season of next year, we see that this will actually

Chalet Hotels Limited

February

03, 2026

Page 8 of 17

give us a potential upside from where we have operated in the past. So, we do believe that the repositioning will give us upside in our ADR position.

Moderator: We take the next question from the line of Sameet Sinha from Macquarie Capital.

Sameet Sinha: A couple of questions. First is, Nitin, for you specifically. Can you speak about the margins in the Hospitality business? Can you help us through what's kind of onetime, what should go away next year? And if anything, else is going to be added next year? I can understand there's, obviously, some weightage on that because of the new rooms, new inventory that's been added?

But anything else that we should be keeping in mind as we model this going forward? Second is, on this Udaipur property, obviously, it seems like very interesting pricing that you could potentially get this property at. Can you talk about the condition it is in? What sort of incremental capex, any timeline around that, that will be helpful. And then I have one follow-up

Nitin Khanna: So, as I have already spoken on this, there are one-off expenses because of the excise license name changes, which we have done in our two properties, Novotel and Bangalore. Plus, there was one property tax issue in Bangalore, which was also a onetime settlement. This total amounts to around INR2.5 crores to INR3 crores, which will be onetime spend. So, this is not going to happen next year going forward. On Udaipur, I would request if Shwetank can add something.

Shwetank Singh: Yes. So, Udaipur, as you're aware, we've basically started the due diligence, and we are working through the steps required to conclude it. But essentially, we have taken a resort which is not operational today and will require extensive refurbishment work. And we'll also look at adding some additional rooms to it.

So whilst the contours of this deal get clearer as we go along, because we'll have to figure out how many rooms we can add, et c., it's only then we'll be able to give you a full picture of what the capex would look like and what the number of rooms would look like. So, at this stage, we will just leave it at that.

Sameet Sinha: One final question. Obviously, now we have signed the trade deal with the U.S. EU was in the last 10 days. So, it seems like business opportunities will increase and hopefully, travel will also increase. Do you have a sense of what the FTA levels, whether they are above pre-COVID level or have they started to increase? Any sort of guidance on that will be very helpful?

Gaurav Singh: So just to add to the FTA levels, I think we've added inventory into our system, which you're well aware of. Given that inventory, our mix of domestic versus foreign travel has remained the same. And that essentially means that the added inventory has actually absorbed the percentage of international travel growing.

If we look at it today, 40% of our business across the board comes from foreigners and that percentage remains intact with the added rooms that have come in. So that essentially means that we are above pre-COVID levels, though the percentage may show the same. And given what you just said, the positive sentiment coming through, particularly the last two trade deals as good as this morning, we strongly believe that this will only grow further.

Chalet Hotels Limited

February 03, 2026

Page 9 of 17

Sameet Sinha: And this 40% number, is it on just your business hotels or your leisure, because leisure has increased significantly as a proportion of total rooms, right, in the last 5 years?

Gaurav Singh: This is overall, our portfolio, including business and leisure.

Moderator: We take the next question from the line of Prateek Kumar from Jefferies.

Prateek Kumar: Congrats for good results. My first question is, can you discuss again your stance on luxury segment? You have taken back positions in luxury assets in recent

times, including the one at

Udaipur. How do you see luxury mix in your room mix evolving over the medium term?

Shwetank Singh: Thank you, Prateek, for the congratulations. That's the first one we have heard on this call. We believe we have put out excellent results as well. So, thank you so much for that. Prateek, we have always believed that the upper upscale and luxury segment is our playground. And the way

we see the rising income levels, the fact that travel is becoming a nondiscretionary spend very rapidly, we believe that's where the play is.

And the best part about this that when you play in this area is that it allows you to -- when you enter a Tier 2 town, it allows you to be the best hotel in town, and that's where the business is, and you get to set the rates. So, we like that space, we see that it will continue to be the most exciting space, and that's where we plan to stay as well. If you see our brand launch, it is also largely in that space. That's where we are positioning Athiva as well. So, we are highly positive about that space.

Prateek Kumar: But any percentage mix? I know it's like currently standing at 15% to 20% of your total keys mix, luxury and resort segment. How do you see that?

Shwetank Singh: Quite frankly, I still don't understand the question, and none of us do. Can you rephrase the question?

Prateek Kumar: Sorry, I meant leisure segment. Sorry if I said luxury, leisure segment, I meant, I'm so sorry. Leisure segment, how do you see the mix evolving in your business?

Gaurav Singh: Our leisure segment strategy has been defined over the last few quarters where we've continued to grow our positioning as well as acquisition strategies that we have had. If you look at the last few quarters and last year, we did go ahead and acquire The Westin in the Himalayas.

And we continue to look out for opportunities. Udaipur, as has been spoken of on this call as well, is one of those to expand our leisure footprint. This is something that we consciously are looking at. Wherever there's an opportunity of good leisure demand, we would love to have our own flag there.

Shwetank Singh: And also, just to finish that off, we had taken a conscious call that we wanted to spread our eggs a little, and we want to get up to around the 20% number on the overall business versus leisure mix. So that's what we are sticking to, and that's exactly how our acquisition strategy is playing out.

Chalet Hotels Limited  
February 03, 2026

Page 10 of 17

Prateek Kumar: And one other question, does this mix change of leisure versus business and geography, MMR versus others, have some impact on your margins, because we have like been lower on margins?

As you said, there are like some one-offs, but are your business margins expected to be lower incrementally on a year-on-year basis

Shwetank Singh: No, not strictly true. So definitely, when you bring in leisure portfolio into a very high-performing business portfolio, there will be some dilution of margins, but that doesn't mean that our asset management teams are not working overnight to sort of correct it. And as we go along, you will start to see an improvement in these margins as these hotels stabilize. So, we don't see that as a particular challenge.

Moderator: We take the next question from the line of Awais Bakshi from Sundaram Mutual Fund.

Awais Bakshi: Firstly, in terms of the MMR market, I just wanted to understand what drove our outperformance versus the broader market, specifically given that Powai and Airoli were marginally impacted this quarter? And secondly, also on the Bangalore micro market, the 10% kind of an occupancy decline. So, sir, what exactly explains this? And also, if you could share any like-to-like occupancy change in case of one-off, that would be helpful. That is my first question

Gaurav Singh: Awais, on the MMR market, as we explained in our earlier conversation th

at we've added, in

both our hotels, some sort of food and beverage additionally to what we had in the past. And what that has done is continue to reposition our hotel in the local market as well as with our loyal customer base.

We do have a very large loyal customer base, particularly with Marriott Bonvoy, which is where our relationship is. And we see that given that we tend to have a preference amongst our competitors of people choosing us beyond them. This gives us one opportunity to continue to increase our base.

At the same time, we have been constantly pivoting, based on demand and supply that happens in the market, to be able to correct our segments where required. As Shwetank alluded, in the construction works that are happening in Powai, we did lose an opportunity of continuing to have larger crew base, and we were able to pivot that with MICE and wedding segments replacing that business.

And these pivots allow us to continue to remain competitive and ahead of the market. In Sahar as well, what we have constantly done, given that there has been new inventory that has come into the market, is to reinforce and ring-fence our corporate segment, which is our largest producing segment in the market.

And we have ring-fenced our relationships there, continuously engage them, so that we are able to ensure that they use us going forward as well. These strategies have helped us position ourselves as well as give us greater guest satisfaction and led to better and bigger share of the

market.

Shwetank Singh: With respect to Bangalore, just to finish that off, sorry, that was the second part of the question. So, the drop in occupancy is mainly because we've added additional 130 rooms, and that's  
Chalet Hotels Limited  
February 03, 2026

Page 11 of 17

stabilizing very rapidly. And you can see that we have been still able to command a very high ADR growth despite the new rooms coming in. So, we continue to work on that strategy. And over the next two to three quarters, we expect these rooms to stabilize. And the drop in occupancy is only temporary. It should pick up later.

Awais Bakshi : Just a follow -up, if I may, on the MMR market. While I understand we refrain from discussing asset level performance. But directionally, would it be fair to assume that the JW Sahar would also have outperformed the broader market for MMR?

Shwetank Singh: Yes, absolutely.

Awais Bakshi : And just a second question. While I understand that DIAL asset is the cold shell, which we will receive, but are we also participating in the current construction process by any chance?

Shwetank Singh: No, we are not. But what we have done is that rather than work in series, we have started to work in parallel. So, because the public areas are ready even as the facade is being closed, we have entered to do our MEP and interior works.

Awais Bakshi : With the timeline shift now, is there any change in the potential capex outlay on this asset?

Shwetank Singh: No, nothing has changed from that perspective, because actually the delay is on the civil side and the civil is being handed over to us by GMR, so not really.

Moderator: We take the next question from the line of Abhay Khaitan from Axis Capital.

Abhay Khaitan: Congrats on good set of numbers. So, my first question is on the pipeline on the Goa market. So, over the last 1.5 years, we have seen from the industry data that Goa market has not really done so well. And given that we have a couple of assets coming up in that, how do we see that now? And what do you think that could be the trigger for the turnaround in that market?

Shwetank Singh: So, we have always maintained this that we believe that Goa, Udaipur, Jaipur, et c., are very deep markets. And we are actually not faced by these temporary blips of up and down. This has happened to Goa before. I'm sure it will happen again. We are still about 3 years away from our first ho

tel opening, and we would definitely expect a reversal of trend on that.

So, we are not really worried on Goa in general. And actually, if you dig a little bit deeper, I think January has been quite strong for Goa as compared to last year. And I think this quarter is expected to be strong. So, I think we are going to see some green shoots coming in from this quarter onwards.

Abhay Khaitan: My second question is on asset -specific trends. So, in the slides, we saw that data on Uttarakhand - Rishikesh was actually missing. So, can you just help us what has been the growth in terms of ARR and occupancy in the third quarter in the Rishikesh asset? And if you can share in particular, for MMR, how has been the trend in the JW Marriott Sahar and how has it been in January as well?

Shwetank Singh: My apologies, we don't necessarily give out asset level details, but I can tell you that the growth has been in line with our expectations and actually generally beating the market.

Chalet Hotels Limited  
February 03, 2026

Page 12 of 17

Abhay Khaitan: Is it true for both Mumbai as well as Rishikesh?

Shwetank Singh: Yes.

Moderator: We take the next question from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Just a couple of questions from my side. Firstly, Shwetank, on Athiva Resort in Khandala, while it's only been a few days, but could you share some numbers regarding performance of the resort pre and post rebranding? And how would the ARR and occupancy look like in third quarter versus, let's say, third quarter last year?

Shwetank Singh: Thank you, Karan. So Athiva has actually absolutely come in line with the way we wanted it. First of all, the product is beautiful. And if you've not been there, I would encourage you to go there and sort of experience it and see what we have managed to do with the property. So, we are no longer actually even looking at comparing our performance to pre -branding versus post -branding, because we expected a massive jump in ADRs anyways.

We have managed to maintain very high levels of ADR. And most importantly, during these days, more than the business, what counts is the positioning. And from a positioning perspective, we have had excellent guest feedback. And we are using this time to sort of spread the word to say that we have invested in this property, invested heavily, and we have put in a brand that

delivers on its promise.

Just for some very high -level numbers, as I mentioned in my speech earlier, we have already had 5 to 6 days of sold -out position within the first quarter itself. And actually, we started full operations only mid of the quarter. So already, that has come th rough. The traction on both MICE and social is very, very good.

And actually , out of the 5 sold -out days, one or two of them were free individual travel sold -out days. So that's even more encouraging. And the long weekend, 26th January, for example, was absolutely brilliant. We were sold out for 2 days, and with just free individual travel lers. So, the word is clearly spreading, and we expect Mumbai and Pune alone to keep us filled throughout the year.

Karan Khanna: This is helpful. Just a follow -up on the Udaipur property. Are you also looking to rebrand that into an Athiva once you've concluded the transaction?

Shwetank Singh: It is a bit early to comment on that. We have always maintained that we will stay brand agnostic and go with the brand that actually works for the market. So Athiva is in the consideration set, but it's by no means a decision that's already made.

Moderator: We take the next question from the line of Dipak Saha from Nirmal Bang Institutional Equities.

Dipak Saha: Congratulations for a good set of numbers. Just a couple of questions. If I see your addition of keys have been quite meaningful Y -o-Y, specifically two portfolios, one Bangalore and Khandala, so almost 130 -odd keys Bangalore and Khandala

la 67 . Now if I take, say, 1 year  
Chalet Hotels Limited  
February 03, 202 6

Page 13 of 17

forward, as you target higher occupancies, because these two properties so far, the occupancies would be a little bit lower as you are stabilizing.

So, once you target higher occupancy, say, next year during the season times, can we see a trade -off of limited ARR expansion for higher occupancy o r do you think overall your rate momentum would stay strong for these 2 properties at the same time you can deliver a little bit higher occupancy?

Shwetank Singh: So that's a great question, because at the end of the day what drives revenue is the RevPAR. And whilst occupancies stabilize, rates also tend to creep up. They may not grow at the same levels as before, but we are expecting a high single -digit growth on t he rate on both these properties as we stabilize the occupancy. So overall, RevPAR improvements would be definitely in double digits or higher.

Dipak Saha: That should lead to meaningfully strong revenue growth. But as your rates -- I mean, the interpretation that I'm getting, you can correct me if I'm wrong, then essentially, your margins should reverse back to even say high single -digit kind of an ARR growt h, essentially should reverse back to the numbers that we had earlier, say, Q3 FY '25 kind of a number on the EBITDA side?

Shwetank Singh: Yes, that would be correct for Bangalore. The only thing that I want you all to stay cognizant of is that resorts don't operate at the same margins as business hotels. So, if a business hotel is running, let's say, 60% GOP, don't expect the resort to be doing that. So, there will be that correction, but that's the nature of the beast. That's all I want you to remain cognizant of.

Dipak Saha: Got it. One last question. On the Bangalore side, we have seen meaningful addition of keys and the rates have been very strong. Now we are coming up with our portfolio the Taj one next year. So, do you see that particular market heading into more of a stabilization phase or overall, the momentum of ADR will stay strong for Bangalore market?

Shwetank Singh: No, we expect the market to stay strong because there's very little supply that is coming into Whitefield. And whilst that's happening, we are clearly seeing a trend of increasing expat travel. So, we definitely expect that market to stay strong and not show any signs of receding.

Moderator: We take the next question from the line of Vikas Ahuja from Antique Stock B roking.

Vikas Ahuja: Congrats on the strong quarter. So, sir, my first question is, so far, if I look at our revenue growth, it has been -- in the first 9 months, it has been growing at double the pace of the RevPAR growth, helped by obviously the strong inventory additions. So given most of the inventory addit ion now occurring and I'm talking about the future expansion is coming in Q4 FY '27 and the revenue contribution meaningfully will start flowing in from FY '28. So, is it reasonable to assume the convergence of revenue growth towards RevPAR in F Y '27? That 's my first question?

Shwetank Singh: So, whilst in terms of inventory addition, you're right, but there's a lot of stabilization of inventory that we still have to go through, the 130 rooms in Bangalore, the rooms at Athiva, Khandala, and of course, the improved performance of rooms coming into Athiva, Navi

Chalet Hotels Limited  
February 03, 202 6

Page 14 of 17

Mumbai. So, all that will stabilize through the year. So, we still expect to stay strong in revenue and RevPAR growth for the coming year.

And then, of course, once Delhi comes in, then we will start to add additional inventory and revenue. And also, let's not forget that Rishikesh and the Courtyard, which is now the Marriott, has had a very difficult year, calendar year especially, with rains and the disruption of India - Pakistan war. So, all of that getting corrected itself for the coming

year should add very decently to the overall growth.

Vikas Ahuja: Okay. So largely, the key addition in Bangalore and Khandala, when do you think it's going to stabilize? Because our margins were also impacted because of that. So when do you think we can go back to about 70% occupancy and the margins, which declined by 82 basis points this quarter, when we see that stabilizing once this inventory, which is going to stabilize, which you said it's going to take more quarters?

Shwetank Singh: So just to again sort of split this question into 2 parts. Bangalore being a business hotel in a very sort of deep market, we expect that stabilization to happen more rapidly. So that should happen over the next two to three quarters at best. When it comes to the resort, resorts typically don't tend to operate at such high levels of occupancy, and we expect an occupancy in the range of 65% to 70%.

So that may take the best part of this, coming year and a little more. Only to remind all of you that we are only in the second -- we are only going to enter first full year of operations at Athiva. So, let's be a little bit more patient. Hotels take about 2 to 3 years to stabilize.

Nitin Khanna: Now just to continue on what Shwetank was telling about the addition in inventory. If I look at my quarter-on-quarter same-store margin contraction, it's 0.6 basis points only. And if I add back the one-offs, which I just stated in the call, my same-store EBITDA margin is actually flat year-on-year. With the additional inventory coming in, both from Khandala as well as Bangalore, we expect margins to go up. So, I think that answers your question.

Moderator: We take the next question from the line of Harshit Mantri from HSBC.

Harshit Mantri: Congratulations for a good set of numbers. Most of my questions have been answered. Just one, that are you still in the race for bidding of JW Marriott, Bangalore? And where do you expect to fund that acquisition? Will that be internal accruals or you might raise debt for that?

Shwetank Singh: Thank you Harshit. Can you help us win the bid? If you can, then that answers your question. No. We are definitely in the race. We like that asset, and we have put in our bid as many others have. So, we would like to win that one, if possible. With respect to where we can get the funding from, I'll let the CFO give us that answer.

Nitin Khanna: I think we have enough headroom in the balance sheet. And in the earlier calls also, I have stated that we have commercial run rate, which is getting very strong. And by the year-end, if my closing run rate is already INR30 crores per month, the entire LRD eligibility covers my current entire loans. So, I have enough headroom to look at the allocations.

Chalet Hotels Limited  
February 03, 2026

Page 15 of 17

Moderator: We take the next question from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, I needed one small clarification. In the presentation, we have mentioned that renovation at Four Points, Vashi, basically had an impact on occupancy. So just wanted to confirm, I mean, do we include non-operational rooms as well into the base while calculating occupancy. So that is one. And secondly, we also mentioned that due to the ongoing construction work at Powai, the occupancy in the nearby hotel was impacted. Now given the fact that the Tower 2 is expected to come up by 4Q of FY '27, that construction will continue. So, do you expect this occupancy hit that we saw in this quarter to continue for the next financial year as well?

Shwetank Singh: Thank you. I will answer the first question. So, whilst the occupancy gets reported on only the available rooms and not the out-of-order rooms, but construction, because of the disruption, is not a great environment for guests to stay in. And therefore, that's why we say that the occupancy gets hit over all. Can you repeat the second part of the question, please?

Jinesh Joshi: Yes, yes. Sir, because of the ongoing construction work at Powai, we also had an impact on our hotel, which is located nearby, right? Now given the fact that this construction is expected to last until 4Q of FY '27, do you expect the occupancy hit to kind of maybe continue for the next three to four quarters?

Shwetank Singh: Yes. Whilst the construction is causing a disruption, and we don't want to deny that, one of the main reasons for the disruption is the fact that the porch is not available for us for the banquet space, which actually formed the drop-off of the banquet space. So that will get available to us over the next couple of quarters and that will bring back the socials and therefore, give us the

edge back on the occupancy side as well as the social business side.

Also very rapidly, once the civil work gets over, the noisy work is out of the way and the dust, etc. is gone and therefore, that will also not necessarily last till the end of the project. So, with that, we expect over next two quarters for this issue to stabilize.

Jinesh Joshi: One last question from my side. I mean, in the last earnings call, we had mentioned that construction at our South Goa hotel will begin in 4Q. So, what is the progress on that? And secondly, I think we have also bought some land at Rishikesh for about INR60 crores, which is right next to our existing property. So, are we planning any brownfield expansion over there? If you can give some colour on that as well?

Shwetank Singh: So, to answer your first part of the question, Goa, as you know, is notoriously hard to get through. And current situation, to be precise, is that we are waiting for the local authorities to form the CRZ committee, which is called GCZMA, which got dissolved in the middle of December.

So, a new committee is going to be formed and there's a critical approval we need from them before the file moves to MoEF in Delhi. So, we expect over the next couple of months for this to come through. But these are all basically educated guesses. So, we go along with it as we go along. What was the second part of your question was with respect to?

Jinesh Joshi: The land that we have bought in Rishikesh ?

Chalet Hotels Limited

February 03, 2026

Page 16 of 17

Shwetank Singh: Yes, sorry, the land that we have bought in Rishikesh. The land that we have bought in Rishikesh was done for two reasons. Number one is it's right in front of the existing hotel, and we wanted to protect our views, so that nobody comes and builds anything and spoils the view from the hotel. Number two, it does give us an opportunity for a future expansion.

But we are basically monitoring our current inventory and expect it to stabilize first before we decide as to what the usage of that additional land could look like. Very early stage, our thought process is to bring in high levels of villa -type setup, but I don't want to comment on it until we have sort of stabilized the current inventory and have steady revenues from that.

Moderator: We take the next question from the line of Vaibhav Malik from Haitong Securities.

Vaibhav Malik: Congratulations on a good set of numbers. My first question was on our Athiva brand. We had announced at the time of launch of the brand that we'll be taking up the resort property owned by the promoters on a management contract basis. So, I wanted to understand the timeline of that. Have we taken that property?

And when do you expect the management fees to start flowing in the business? Secondly, on our Airoli property, we have received the environmental clearance. So, what are the next steps? And when do you expect the constructions to commence? And what are the expected timelines ?

Shwetank Singh: So, the resort property, we wanted to take it under the wings of Athiva. It belongs to the group, as you're well aware. So, there are two parts to this. The first part

is for it to operate as an Athiva,

which we can quite easily do under a management contract with the group. And the second part is to take over the property. The taking over of the property will happen. There are quite a few decisions to be made, particularly around what the acquisition structure would look like. But as we speak, the group has already commenced construction there for an additional 250 -odd keys right next to that. And whilst we do that, the buildings are connected. So, the public areas will be shared between the existing building as well as the new building that comes up. So that work has already started. And eventually, this place will have the existing 94 keys plus another 250. So, we are looking at a very large hotel there, hoping to take advantage of the infrastructure development that is currently taking place in Mumbai and for it to become a very strong hotel for us in the future. So, the short answer is that we are still trying to figure out the structure of acquisition and also the timing of when it can become Athiva. We'll come back to you as it gets cleared.

Vaibhav Malik: And secondly, on the Airoli property?

Shwetank Singh: On the Airoli property, as I said in my speech, it has been a very significant step to get through the environmental clearances, because we were stuck in the entanglement of NGT orders. Now that that's clear, we expect another 2 to 3 months to hit the ground for excavation. And when I say we, it basically means the group, because they are to hand over a shell to us, which is then going to be leased to us for the hotel.

And as I said, it's a mixed use. So, it's only when the shell is complete that we come into play in terms of fit-outs, etc. So, we expect 2 to 3 months to start and 36 months from then on to sort of get the hotel operational.

Chalet Hotels Limited

February 03, 2026

Page 17 of 17

Vaibhav Malik: My second question was on our JW Sahar property. So, what I understand is the competitor in the micro market has been very aggressive on the banquet -related F&B side. Have we seen any sort of pressure over there in terms of the MICE -led demand for banquet facilities?

Gaurav Singh: Typically, in MICE and weddings and large format conferences, what happens is that when you have more availability of such venues, you tend to have the neighboring location also lift the opportunity to host such venues. It becomes a submarket in itself to continue to grow the business in that space. Let's take case in point of the Jio Convention Centre coming into BKC. It essentially lifted the entire Central Mumbai region for demand coming in for MICE and conferences.

We believe with the competition adding inventory into the banqueting facilities, it will only help grow the demand in the whole submarket. Additionally, we have a very significantly different product. We have open areas. We have areas which the competition does not have. They have banquet halls which are halls, while we have internal halls as well as open areas both.

Therefore, again, when you have large format weddings and conferences, people tend to use two or three different venues for two or three functions. And being in such close proximity typically helps us in getting that sort of demand. So, on the whole, if I was to say, today, we're obviously watching what the new inventory is doing. But at that same time, we believe that in the long run, this will help us grow our demand.

Shwetank Singh: Sorry, in the interest of time, we have a couple of more engagements to go through. Can we call it a day?

Moderator: Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to Mr. Shwetank Singh for his closing comments.

Shwetank Singh: Thank you all once again for joining. As always, we appreciate your insightful suggestions and queries. We hope that we have been able to respond to your qu

eries. In case you need any further clarifications or insight on our business, please feel free to contact Deepak, and he shall be able to help you. Good day and thank you so much.

Moderator: Thank you. On behalf of Chalet Hotels Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purpose)



## Call: May 2026

Chalet Hotels Limited

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BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers ,

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Mumbai 400 001 .

Scrip Code: 542399 (Equity)

976529 (Non -Convertible Debentures)

731582 (Commercial Paper) May 22, 2026

National Stock Exchange of India Limited

Exchange Plaza

Bandra Kurla Complex,

Bandra (East),

Mumbai 400 051.

Scrip Code: CHALET

Dear Sir / Madam,

Subject: Transcript of the Earnings Call in respect of the Audited Financial Results for the quarter and year ended March 31 , 2026

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , please find enclosed herewith the transcript of the Earnings Call held by the Company on May 15 , 2026 , in respect of the Audited Financial Results for the quarter and year ended March 31 , 2026 .

Further, pursuant to the provisions of Regulation 46 of the Listing Regulations, the aforesaid transcript will also be disclosed on the website of the Company i.e. [www.chalet-hotels.com](http://www.chalet-hotels.com) .

Request you to take the same on record.

Thanking You.

Yours faithfully ,

For Chalet Hotels Limited

Christabelle Baptista

Company Secretary and Compliance Officer

Enclosed : As above

Page 1 of 18

"Chalet Hotels Limited

Q4 & Year Ended 31st March 2026 Conference Call "

May 15, 2026

MANAGEMENT : MR. SHWETANK SINGH – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER

MR. NITIN KHANNA – CHIEF FINANCIAL OFFICER

Chalet Hotels Limited

May 15, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Chalet Hotels Limited Quarter 4 and Full Year Ended 31st March 2026 Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call.

These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should

you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shwetank Singh, Managing Director and CEO. Thank you, and over to you, sir.

Shwetank Singh: Thank you, Michelle, and a very good morning, everyone. It's a pleasure to welcome you to this call today. We value this forum as it gives us an opportunity to share our journey and discuss the growth road map ahead. Also, it is imminent that we reflect on the evolving geopolitical and macroeconomic landscape that influences our industry today. As always, we welcome your queries and perspectives. They keep us anchored, focused and aligned in our pursuit of long-term value creation for all our stakeholders.

The fiscal year '25-'26 and indeed the last quarter has been quite remarkable, both for the industry at large and for Chalet in particular. Over the past year, the industry has navigated a complex and dynamic environment shaped by several macroeconomic and geopolitical events. These included Operation Sindoor, trade tariff-related uncertainties, aviation disruptions, extreme weather conditions and the heightened geopolitical tensions in West Asia. Despite these challenges, the industry delivered a resilient and robust performance marked by strong RevPAR growth, primarily driven by sustained expansion in average room rates.

This performance underscores the inherent strength of the domestic hospitality sector, supported by rising disposable incomes, evolving consumer preferences, India's expanding economic footprint and a strong resurgence in MICE activity and not to forget the evergreen demand driven by weddings.

Importantly, while there has been a healthy pipeline of signings by both domestic and global hotel brands, supply continues to lag behind, reinforcing our confidence and excitement as we plan ahead.

Turning specifically to the quarter. Performance was uneven across 3 months. January began on a softer note with no auspicious dates for weddings and additionally, Mumbai witnessing municipal elections in the third week of the month, followed by a long weekend with Republic Day falling on a Monday. These factors collectively impacted demand, particularly in Mumbai. It is also important to note that the base for January last year was strong, supported by large concerts, including international events like Coldplay and significant MICE activity elements that were absent this year. February was very strong with both ADRs and occupancies picking up.

Chalet Hotels Limited  
May 15, 2026

Page 3 of 18

However, towards the end of February, the escalation of geopolitical tensions in West Asia began to materially impact global travel patterns, leading to notable disruptions in March with widespread cancellation across segments.

In the context of international business travel, it is important to recognize the multiplier effect it creates. Overseas executive visits are typically accompanied by respective teams within India and international business travel slowed down in March, this associated domestic business demand also got impacted. Consequently, the quarter saw a meaningful i

mpact in the form of

both confirmed cancellations and opportunity losses.

Despite these short-term disruptions, we remain confident in the structural strength of our business and the broader industry fundamentals. Our balance sheet remains strong. Our asset portfolio is well positioned, and our growth strategy is aligned with long-term demand drivers. We continue to focus on disciplined execution, operational excellence and prudent capital allocation as we move forward.

With that context about the industry and macro environment, let me talk about our own performance and strategic initiatives.

The year '25-'26 has been a milestone year for us as our consolidated revenue crossed the INR25 billion mark and the EBITDA crossed the INR10 billion mark, reflecting both the scale and inherent strength of our diversified platform.

Excluding the residential business, our revenue grew by 18% year-on-year to INR20,741 million, with EBITDA of INR9,573 million, up 21% year-on-year. Importantly, EBITDA margin improved by 97 bps to 46.2%. For the quarter, our consolidated revenue was up by 6% year-on-year to INR5,711 million with EBITDA of INR2,786 million, up 8% year-on-year.

EBITDA margins improved by 100 bps to 48.8%. Excluding the residential business, our revenue was very similar, growing 6% year-on-year to INR5,706 million with EBITDA of INR2,800 million, up 6% year-on-year. EBITDA margin improved by 13 bps to 49.1%.

Let me now touch upon the hospitality business performance that is core of our platform. For the year, hospitality business grew 14% year-on-year on the revenue and 12% year-on-year on EBITDA, reflecting sustained demand and resilient pricing dynamics. On the quarter, hospitality

revenue grew 3% year -on-year, while EBITDA stood at INR2,248 million, up 1% year -on-year. From an operating perspective, RevPAR declined 3% year -on-year in quarter 4, largely driven by a 7.7 percentage point drop in occupancy.

As I highlighted earlier, this was predominantly a function of Mumbai underperforming relative to the rest of the industry. As per industry reports, Mumbai saw ADR growth of only 0% to 2% and an occupancy decline of 0 to 2 percentage points during January to March '26 compared to last year. In contrast, India overall average recorded ADR growth of 6% to 8% with a limited occupancy decline of 0 to 2 percentage points. If we look at our segment in the micro markets that we are present in, the variance was even starker. Additionally, our Powai property continues to face temporary constraints due to ongoing construction of CIGNUS II Tower, which has impacted weddings and MICE demand along with the crew, thereby affecting occupancies.

Chalet Hotels Limited

May 15, 2026

Page 4 of 18

Given Mumbai's high contribution to our hospitality revenues, these factors masked the otherwise healthy performance that we had across the rest of our portfolio.

Compared to business hotels, resorts did very well during this quarter. Westin Rishikesh has delivered a strong performance and has continued its momentum into April and May. Athiva Khandala did its first full quarter of full inventory. We did multiple marketing activities during this period to create market awareness, and this was all exceptionally well received. The pickup in occupancy with ADR sustaining north of INR15,000 gives us confidence for the upcoming monsoons, which will be followed by the wedding season.

Coming to our commercial real estate business. During the quarter, we signed LOI for an additional 66,000 square feet at Bangalore, taking the overall occupancies to over 83%.

Occupancy at Powai remains strong at 90%. Our March '26 run rate of rentals touched INR280 million, as indicated in the last call. While growth in FY '26 -'27 would be driven by improvement in occupancies at Powai and Bangalore, commissioning of CIGNUS II in FY '27 -'28 will bring a major growth in this business.

Now let me talk about our strategic initiatives during the quarter, starting with pipeline expansion. Chalet now has 3,389 operating keys with a pipeline of approximately 1,655 keys across 7 assets. That takes the total key count to more than 5,000, marking another milestone in our journey. During the quarter, we added 2 major projects to our pipeline, both in high-demand destinations with strategic advantage and potential to deliver high returns over the long term.

Udaipur - We completed the acquisition of Udaipur Resort, marking our entry into this fast-growing and deep leisure market of Udaipur. We have paid a total consideration of INR1,710 million for 144 key resort spread over 8.2 acres of land, reducing the land to launch risk substantially. The location is very prime, and the land is very beautiful. We intend to significantly upgrade the infrastructure and rooms before we rebuild and relaunch the property as an upper upscale resort, a wide-open space in the Udaipur market with limited new supply. We are also evaluating expansion potential through different avenues. Clarity on this shall emerge in the next few months. Thus, we are not able to share the project timelines, capex and brand-related information at this stage. But what I can tell you today is that this will be another marquee asset for our portfolio.

Hyderabad - In February, we announced an ultra-luxury 330 key hotel in Hyderabad, a greenfield project located outside Mindspace Madhapur. The hotel will operate under the Ritz-Carlton brand. This is our first ultra-luxury project, and we are excited about this, especially given the prime location in Hyderabad and that has strong demand for luxury product. Also, it helps us in positioning given our strong presence in the micro market with 2 properties already operational and performing very well. The hotel will be constructed by Mindspace REIT, and we shall be taking over a warm shell on a long-term lease basis. Our fit-out cost shall be close to INR5,600 million and largely after we get the possession in quarter 4 FY '28, so it is back-ended. We expect to launch this project by end of FY '28 - '29.

I'm also delighted to share that our corporate sustainability assessment score by Dow Jones Sustainability Index has jumped from 67 to 82 this year, putting us at second place globally.

Chalet Hotels Limited

May 15, 2026

Page 5 of 18

among the hospitality peers. This is a significant achievement given our thrust on sustainable growth. Also, I would like to highlight that our green energy consumption has now moved up to 65%.

Let me now talk about the updates on live projects.

- Work is at full swing at the C IGNUS II Powai, and we are on track for a FY '27 end substantial completion, although the West Asia crisis has put some pressure on labour availability.
- We expect to launch 70 rooms at Taj project at Delhi International Airport by Q4 FY '27 with balance inventory to be launched in a phased manner thereafter.
- Mindspace has begun excavation work at Hyderabad and Airoli. Both the projects are on track.

In summary, the Indian hospitality industry's performance is being driven by a potent mix of strong domestic travel, higher disposable incomes, improved infrastructure and connectivity, event-linked tourism and a favourable demand-supply gap. There might be some short-term hiccups, but the story continues to unfold in a positive manner. Chalet is well geared up to seize the opportunity with strong cash flows and robust growth pipeline.

With that, I will now hand over to Nitin, who will take you through the financial details of the quarter.

Nitin Khanna: Thanks, Shwetank. Good morning to everyone on the call. I'm pleased to walk you through our financial performance for the quarter and the year ended 31st March 2026 and also provide perspective on key financial and performance drivers, balance sheet

strength and capital allocation.

Starting with the full year, our consolidated revenue increased by 60% year-on-year to INR28,124 million, supported by residential revenue recognition during the year. EBITDA grew correspondingly by 59% year-on-year to INR12,301 million. EBITDA margin stood at 43.7%. Excluding the residential segment, our performance reflects the underlying strength of the operating businesses.

Ex-residential revenue grew 18% year-on-year to INR20,741 million, while EBITDA increased 21% year-on-year to INR9,573 million. EBITDA margins expanded by 97 basis points to 46%, driven by operating leverage, strong cost discipline and portfolio mix.

Moving to the quarter, consolidated revenue grew 6% year-on-year to INR5,711 million with an EBITDA of INR2,786 million, up 8% year-on-year. This has resulted in a 100 basis point improvement in EBITDA margin to 48.8%. On an ex-residential basis, quarterly revenues stood at INR5,706 million, up 6% year-on-year with an EBITDA of INR2,800 million, also reflecting 6% year-on-year growth. The EBITDA margin improved by 13 basis points to 49.1%, highlighting the consistency in underlying operating performance.

Let me now cover the Hospitality segment. For the full year, hospitality revenues grew 14% year-on-year to INR17,311 million, supported by incremental inventory and RevPAR growth.

Chalet Hotels Limited

May 15, 2026

Page 6 of 18

EBITDA increased 12% year-on-year to INR7,603 million with EBITDA margins at 43.9%, a decline of 81 basis points year-on-year. RevPAR for the year was up by 5% to INR9,226. For the quarter, hospitality revenue rose 3% year-on-year to INR4,740 million with EBITDA of INR2,248 million, up 1% year-on-year. EBITDA margin for the quarter stood at 47.4%, lower by 102 basis points. The moderation in margins is primarily attributable to portfolio mix and stabilization dynamics. Our resort assets are at an early stage of stabilization, with average occupancy at around 43% for the year, which we expect to trend towards 60% as these assets mature.

Additionally, the P&L currently absorbs costs related to incremental inventory at Bengaluru, which, as highlighted in earlier calls, is a transitory impact, and this shall normalize as occupancies ramp up over the next few quarters. We remain focused on maintaining cost-efficient operating structures, project productivity and exercising disciplined asset level cost control as the portfolio scales.

Turning to the commercial real estate businesses. This segment continues to provide high-margin, stable cash flows. For the year, CRE revenues grew 55% year-on-year to INR3,061 million and 37% year-on-year to INR847 million for the quarter. The monthly rental exit run rate in March '26 stood at INR280 million.

On the profitability front, full year EBITDA increased 65% year-on-year to INR2,544 million, translating into a strong EBITDA margin of 83.1%. Quarterly EBITDA stood at INR708 million, up 42% year-on-year with an EBITDA margin of 83.6%. Current portfolio committed is at approximately 88%. We expect monthly rentals to scale up to INR300 million during FY '27. Commissioning of CIGNUS II at Powai will lead to a step change in growth FY '28 onwards. Moving to residential project. During the year, we handed over 152 units, resulting in a revenue recognition of INR7,383 million and EBITDA of INR2,728 million. To briefly refresh the project structure:

- Phase 1 residential has been completed with 152 units handed over and 1 unit pending

handover .

- Phase 2 residential comprising 168 units is under development with handover expected in FY '27.

- The project also includes 160,000 square feet of commercial space, which is yet to be developed and will be leased post completion.

Coming to balance sheet debt and capital allocation. Over the last 2 years, we have deployed approximately INR19 billion towards growth

capex and acquisitions. Despite the significant

investment phase, net debt has reduced from INR25 billion as of March '24 to approximately INR19 billion as of March '26. While a portion of this deleveraging was supported by equity inflow in April '24, it is important to highlight that approximately INR15 billion has been funded through internal accruals, reflecting the strength of our operating cash flows and disciplined capital allocation.

Chalet Hotels Limited

May 15, 2026

Page 7 of 18

We continue to maintain comfortable liquidity position with a cash buffer of around INR4 billion as of year -end. The average cost of finance remains stable at 7.48% as of March '26. From a capital deployment perspective, capital work in progress and assets not yielding returns stood at INR8.3 billion at year -end, providing visibility on near - to medium -term growth.

Looking ahead, we have outlined a planned capex of approximately INR30 billion over FY '27 to FY '29 across our hospitality and commercial real estate portfolio. This includes announced acquisition and committed investments and importantly, is expected to be largely funded through internal accruals, underscoring our focus on maintaining balance sheet discipline.

We have also taken an enabling approval for debt raise of up to INR10 billion. To clarify, this is purely enabling in nature, and there is no immediate plan to raise incremental debt. Overall, our balance sheet continues to provide adequate headroom and financial flexibility to pursue strategic opportunities as they arise .

The CRE portfolio with 2.4 million square feet of leasable area has the potential to generate INR3 billion to INR4 billion of annual cash flows at stabilization. Combined with strong EBITDA generation from the hospitality business, this creates a robust and sustainable free cash flow base to support our long -term growth strategy.

With that, I would like to open the floor for questions. Thank you.

Moderator: The first question is from the line of Vikas Ahuja from Antique Stock Broking.

Vikas Ahuja: Sir, my first question is, why did we choose to do the subsidiary level dilution structure for DIAL instead of funding it entirely through internal acquisition or maybe through debt? I mean, for us, this was a great deal we got and now we are diluting stake. It's a little confusing for me. And who are the investors coming in DIAL? What strategic value do they bring beyond capital? Any color on this would be great. And after that, I have a follow -up.

Shwetank Singh: Vikas, thank you for the question. Look, we are implementing a number of projects at this stage, and we have also announced some acquisitions recently, as you're well aware. In order to manage this growth in a very calibrated manner, the Board has approved a onetime proposal for a minority equity shareholding in just one of our projects.

So it is not something that we are sort of taking for the long term. It is for one of the projects.

We have done it at DIAL, it's a project under execution, as you are well aware. It is a great project. Nothing has changed on the fundamentals of the project at all. This is one strategic call that we have taken to fully understand this space. That's all there is to it at this stage.

Vikas Ahuja: Okay. And also, given the large upcoming pipeline, including the Hyderabad and the DIAL , Hyatt Airoli, and Goa projects, how should we think about annual capex intensity over FY '27 to '29? How much of this capex upcoming should be funded through internal accruals versus internal debt? And what is the expected peak debt if we can -- I understand with DIAL also, we are just trying to manage the debt levels, what we have done. If any peak debt guidance we can get would be great?

Chalet Hotels Limited

May 15, 2026

Page 8 of 18

Shwetank Singh: So Nitin actually referred to it in his speech in quite a lot of detail. Just high level

I, I'll give you,

then Nitin will give you more details. I mean he correctly pointed out that over the last 2 years, we have invested about INR19 billion in capex and INR15 billion of that came from internal accruals.

The proof of the pudding is in the fact that INR25 billion was our debt earlier 2 years back. We are at INR19 billion. So, whilst we have been investing in the capex, we have actually been reducing debt. So, our internal accruals remain very strong.

Our capital work in progress right now is INR8.3 billion, something that is not yielding any output for us. In total, we are expecting to invest about INR30 billion between FY '27 and '29.

How we are going to fund it, Nitin will give you a little bit more idea.

Nitin Khanna: Look Vikas, the same cash flow momentum will continue. And I don't see any major capital, which we are going to draw from the borrowings as such, unless there is a very strategic acquisition coming in our place. So, for announced projects, this entire INR30 billion will be funded through internal accruals.

Secondly, I also pointed out that the CRE business, the one project which is already in pipeline will start giving us results in FY '28. So that's one big jump which we'll see from a CRE business. From hospitality business, we still have 2 assets which are in the ramp-up stage. You see Athiva, which has just launched in November '25, we are yet to see the complete results.

From the FPS part, we are launching Athiva in the next quarter, we are still to see a ramp-up, which will be coming over there. Bangalore, 120-plus rooms, we still see that effect on EBITDA coming in. So, I'm fairly confident that from the same momentum of cashflow will continue, and we will be doing the efficient capital allocation as we have been doing in the recent past.

Shwetank Singh: And, just to add, the new commercial real estate that's coming up is also 900,000 square foot. So, it's a big development, and that will be very value accretive for us in terms of cash flows.

Vikas Ahuja: Yes, sir. This is helpful. One final bookkeeping. ADR uptick of 8% possible to get same -store number. Also, can management share FY '27 ADR outlook if we have any? Because with the outbound international travel becoming expensive and domestic leisure demand improving, do you think Chalet, City heavy, Marriott-led portfolio to see relatively lower same -store ADR versus the peer? That's my final question, sir.

Shwetank Singh: No, not really. We continue to believe in the strength of the business. In fact, if you have heard the recent announcements from our honorable Prime Minister has spoken about encouraging more travel within India. So, it's a trend that we are closely watching out for. Already, I think the Middle East image has taken a bit of a beating. And therefore, we expect the marriages to move from Middle East back to India. So actually we are expecting a strong recovery and bounce back in the second half of the year, broadly speaking. So, we don't see any slowdown coming yet.

Vikas Ahuja: Sir, my question was we are more corporate heavy versus some of your peers, which are more leisure heavy. So, for example, this quarter also, our RevPAR number, I mean, even the ADR

Chalet Hotels Limited

May 15, 2026

Page 9 of 18

number was a little lower than the peers. So, I was trying to understand that whether that trend you think will continue in the near term because flying to other countries have become expensive, but it's same -- it's vice versa also, right? And we get our FTA number is much higher than some of the others.

Shwetank Singh: No. So, we hear you. It's not that it's a trend that we don't look for, but we don't see any slowing down in particular for any of these reasons. Yes, we are a bit business heavy, but we have also been diversifying our portfolio into the leisure side. So, we are absolutely in a good space with respect to all of

this, I think.

Moderator: The next question is from the line of Sameet Sinha from Macquarie.

Sameet Sinha: So, I had a couple of questions kind of going deeper into the previous one. Clearly, domestic travel has picked up and hopefully, it will continue to gain momentum, especially over the summer. Can you talk about sort of what initial trends you are seeing in terms of spend, especially in the context of the statement that you made earlier where foreign travellers tend to travel with other people, especially domestic executives and that? So, there's a multiplier effect there. So that is one question. My second is in terms of commercial leasing, you're saying that it will be totally leased out by fiscal '28. Any reason it could take that long or what's the hold up?

I know in the past that you've spoken about that you're very careful about the quality of the counterparty there. Is that the reason or is the Bangalore market seeing any sort of different sort of macro impact?

Shwetank Singh: Okay. Let me take the questions in the 2 parts. On the commercial leasing side, actually, we have had a very decent pickup at Bangalore. I think we have now upped our occupancy to nearly 91% in Bangalore. So, I think we have made good progress there. And actually, part of our comment on the leasing was for CIGNUS II, it was not for our existing inventory.

Our existing inventory is above 90% occupancy right now. So, I suspect that we only have a 10% play there. And if you see our exit has almost reached the INR30 crore s per month mark. So, I think on the leasing side, we are doing fairly well. With the recent pickup, our occupancies

have improved quite dramatically.

With respect to foreign tourist arrivals, of course, there is a geopolitical tension that is unresolved as we speak. And it continues to be a space that we monitor, but we have pivoted during this period. We have closely monitored this trend and therefore, gone back to some of our corporates with more favourable rates and better offer. And therefore, we have upped the game on that. We have also looked at the crew segment and increased our base occupancies by bringing them in wherever possible. So, as I said, we are monitoring this trend closely. We expect it all to return very quickly after the tensions subside.

On the leisure side, there seems to be no stopping. People continue to want to travel. Our leisure portfolio is doing very well. And with Athiva Khandala, in particular, we are still stabilizing.

So, the growth potential on that is very, very substantial for this year.

Moderator: We'll take the next question from the line of Prateek Kumar from Jefferies.

Chalet Hotels Limited

May 15, 2026

Page 10 of 18

Prateek Kumar My first question is on your quarter. Can you split your quarter like on a month-wise basis, particularly discussing March because your RevPAR of minus 3% compares to 6% to 8% for peers. So, what specifically has hurt you more? And how was your March performance? And then maybe how on a net basis, things have -- I don't know if it has improved in April, May or how are they shaping up?

Shwetank Singh: Okay. Good question, even though the question hurts us, but it's still a good question. In my speech, I referred to a very steady January for the reasons that Mumbai was not up to the mark because of the municipal elections and a long weekend, which sort of stunted the growth in Mumbai. February was very strong across the board. In fact, some of our South hotels were upward of 35% growth year-on-year.

So, at the structural demand level, there's nothing wrong; it continues to be very strong. And if you look at Chalet's performance throughout, our strength has always been foreign tourists, and they are brilliant. They stay longer. They consume more F&B, they stay around the hotel, and given they have higher per diem, so they pay us better.

In the South hotels, particularly

in March, what we witnessed was a dramatic amount of cancellations. Just to give you a number, we lost almost 9,000 room nights from foreign tourist arrivals and some attached business, as I had referred to in my speech from the domestic side, which was a much smaller number, but still an attached number.

Overall, I think the political tensions have caused about a 10% to 12% disruption in our business. If that hadn't happened, I think we would have been really strong. When you compare us to our peers, you have to also sort of look at the fact that our portfolio is where it is. And given that portfolio, we have had great days, and this was an unfortunate quarter from our perspective where we were in a micro market, which was not very strong.

But that tends to change. These are short-term trends. Fundamentally, Mumbai is still one of the strongest markets this country has. And the fact that there are such barriers to entry, we will continue to operate. We'll be continuing to operate in a very, very strong market, I think.

Prateek Kumar: And how has this trend moved like foreign tourist arrivals, which is 40% of the mix in April, May? Have they significantly improved or how has that changed?

Shwetank Singh: It's not a good idea to just look at percentages. We heard a lot of our peers talk about just percentages because percentages can be misleading when the overall demand itself has dropped.

So, the way to look at it is the real loss in room nights.

And as I said, just for March alone, we lost about 9,000 room nights from foreign tourist arrivals vs last year. It has become a bit better now. April has been stronger and actually has surprised us also on a year-on-year trend. And May is really strong. But to give you a full picture, May last year at this time was very weak because of Operation Sindoor. So, we are getting a bit of advantage for that. June looks steady. So, this quarter will be fairly strong overall is our expectation.

Moderator: The next question is from the line of Akash Gupta from Nomura.

Chalet Hotels Limited

May 15, 2026

Page 11 of 18

Akash Gupta Congrats on great performance for the quarter. Sir, my question number one is that we have multiple hotels which are in stabilization phase in FY '27. And then we also have introduced.. we have done new acquisitions over the past 2 years. I just wanted a quick summary on like where are we in the stabilization phase of each of the hotels? And how should we look at that by FY '27 end? That's my first question.

Shwetank Singh: Thank you, Akash. Just to sort of talk about our portfolio, let me break it down. Let's take the easy one first. We have added 129 rooms to Bangalore. And as Nitin keeps pointing out, 129 - room addition is like adding a whole new hotel. So that is still picking up, and therefore, you must have seen an occupancy drop overall in Bangalore. But that's because we are still absorbing the new set of rooms. It came at a time where there are geopolitical headwinds. So, the timing was not great in hindsight. But we still believe that by becoming one of the largest hotels in that micro market, we are going to sort of gain from the inventory size and quickly rebound to a 60% occupancy. So, there is a big headroom that's coming from Bangalore very early.

Moving on, Athiva Khandala is only entering its first proper operational year. And with the positioning that we have managed to do for it with ADRs north of 15,000, we believe that there is a very strong potential of growth there in this year and in the coming 2 to 3 years. Therefore, we can expect a very good sort of performance coming from there. On the customer side, we have had excellent feedback, very well received. And that's something that we have been actually working on very consciously and spending a lot of marketing dollars on. And that seems to have worked because almost every feedback that we have

had is brilliant and our rating is over 4.9 on TripAdvisor. So very good performance there from that hotel.

FPS, which we are rebranding to Athiva, will also see a big upside mainly because that market has become stronger in that area with the opening of the new airport, but also the fact that we have invested close to INR100 crores in that property, completely cutting it out and rebuilding it from scratch. Our projects team has done a brilliant job. It's a Hirsch Bedner design. And what has come out as a product is absolutely beautiful, and we expect that to again have a very strong impact overall on the portfolio in terms of growth.

Looking at our other 2 resorts, West in Rishikesh had a very difficult year last year with Operation Sindoor and the fact that we had extreme monsoons. So, on a low base, stabilizing hotel is expected to give a very good growth over last year.

Our Courtyard at Aravali, which has now been rebranded to Marriott Aravali should also have a significant upside given that there is a clear brand uptick on it. And Delhi NCR being a very brand-conscious market, we expect the rates to go up as a result. So overall, we have multiple opportunities.

There have been F&B outlets also that we have opened, which have not stabilized. Those are also growth engines. There are a few additions that we are doing through our asset sweating route, which we will keep announcing in subsequent quarters. So, there's a lot of work that's going on within the portfolio, which should give us significant upside overall.

Chalet Hotels Limited

May 15, 2026

Page 12 of 18

Akash Gupta : My second question was on your two acquisitions, Udaipur and Hyderabad. Sir, could you give us an understanding as to how you are thinking about those 2 micro markets? And second is what kind of IRRs have you baked in into the calculations for these numbers? And what kind of ADR growth rates have you baked in for these IRRs?

Shwetank Singh: Our stated strategy on development has always been very clear. We want to put big boxes as large, concentrated bets in key markets just ahead of the infrastructure curve. On the leisure side, we have always said that we wanted to diversify our portfolio to get to at least 20% of our revenue from the leisure segment. And leisure, we define as drivable distance, which is about 1 - 1.5 hours from a key airport. Besides this, we have also said that we will look at some deep markets in leisure such as Goa, Udaipur, Jaipur, et c. So, it has always been our stated strategy to go to these markets, and we have taken a very proactive approach to our development strategy. Having said that, we always believed Udaipur is a deep market. If you look at our acquisitions more recently, we have basically focused on reducing the land to launch risk. While greenfield is our strength and continues to stay our strength, we believe that the maximum value resides in turning around opportunities such as Udaipur, where we are taking up a resort and actually gutting it completely and refurbishing it to a much higher level and positioning, ATHIVA coming from DUKES is a classic example of that.

We see Udaipur similarly. All segments are firing at Udaipur today and continue to do so. A classic example is the issues that the world faced right now with the geopolitical tensions. Actually, Udaipur gained overall because those marriages came back to Udaipur from being destination weddings outside the country. Udaipur is strong, continues to stay strong. We have taken up a case where we can actually make refurbishment and reposition.

Hyderabad has been on fire for a long time. And that particular micro market, we love because we have 13 million square feet of our own office space there in that micro market from our sister concern Mindspace. We already have 2 hotels there – the 2 Westins. This is the third, taking full advantage of the cluster, giving us a



new position point also and will give us an advantage so that we can actually start to dictate the price in that market.

Taking it on lease, from Mindspace, I think, is also a brilliant strategy because it actually lowers our capex burden to the extent of the warm shell and also back ends our fitment cost on the capex side. And we have publicly spoken of a INR560 crore capex overall, but there are 2 things that I want to remind you all. First of all, it will be back-ended. Second of all, it also includes about 40,000 square feet of commercial space, the cost of which is also built into that capex. So, we continue to remain very efficient when it comes to the capex.

We believe that, that market is really strong and will continue to grow. In fact, we don't mind looking at a few more hotels in and around financial district of Hyderabad also. The GCC story of India is very clear. There have been multiple articles that you must have seen; everything seems to have grown in that sector, and India continues to be very strong, and that's something that we have complete trust and faith.

Moderator: We'll take the next question from the line of Adhived Chattopadhyay from ICICI Securities  
Chalet Hotels Limited  
May 15, 2026

Page 13 of 18

Adhived Chattopadhyay: I'll just squeeze in my questions in one shot. Sir, first is just the accounting thing on the capital WIP of more than INR800 crores, where does it sit on the balance sheet as of March '26 because the capital WIP number looks just north of INR100 crores. Could just clarify on that? And the other question is on our Bombay hotels operation was the Westin and the Four Points, which is getting converted into Athiva now. If you could just help us, you alluded in your opening remarks that occupancy has been impacted a bit by the C IGNUS Tower II construction. So, in FY '27, what is the outlook on occupancy considering this? And with the Athiva rebranding in Vashi, how do you see the occupancy trending in the year FY '27?

Shwetank Singh: We have lost track of the questions. But Nitin will start with the capex question, and then we'll jump in for the other part.

Nitin Khanna: INR800 crores actually sits from an accounting balance sheet perspective in 3 segments. So one is, of course, the direct CWIP. The second is if you see the notes to accounts, it actually sits in IPUC, is around INR486 crores. The CWIP pure number is INR132 crores. And balance is actually lying under inventory, which is around INR269 crores, if you add that up, that comes around INR800 crores.

Shwetank Singh: Let me just deal with the Athiva question first. FP S – that market has always been strong. We have always been a leader in that market and by a very, very long margin. We actually chose this opportunity to invest significantly in that property because we wanted to rebrand it at a higher level for our brand. And therefore, we made that investment. We don't see any slowing down in that market.

In fact, we expect that market to be growing quite rapidly. And I think our timing of launch on that market has been quite fortuitous. It doesn't always happen like that. But in this case, we have managed to time it quite well, is my belief.

Coming to Powai, I think we did mention that there is a short-term stress on the occupancy side because we have an under construction commercial building there. The stress is coming because of 2 - 3 factors. One is the crew doesn't like the noise. They like to sleep in odd hours of the day as and when their flights come in so we had some crew that has left us; we have managed to retain some of them in JW Sahar, but we have still had a net outflow on that. Secondly, we have lost the porche of the banquet space, mainly because there was a connectivity at the basement level with the building next door that is under construction. We are rapidly closing that out, and we should be able to close

it out fully and significantly in the next quarter. Post which we expect our MICE and social business to resume back to business as usual.

Moderator: We'll take the next question from Karan Khanna from Ambit Capital.

Karan Khanna: Just two quick questions. Firstly, in terms of the guidance for pipeline addition for FY '27, given that you've already crossed 5,000 keys with positive guidance at the start of the year. So how should we think about that going into FY '27? And which segment will it be more leisure or business? So that's question number one.

And secondly, just a clarification on Ritz-Carlton Hyderabad. Is the capex number INR560 crores, which is as per the presentation or INR630 crores as per the earlier press release? And is  
Chalet Hotels Limited  
May 15, 2026

Page 14 of 18

it safe to assume INR25,000 ARR and 80% stabilized occupancy? And by when can we expect stabilization of this hotel?

And just a follow-up on this, what can be the lease payments, more like 15% lease payment to

MindSpace REIT or will it be higher? And in that context, what kind of margins are you expecting for this project?

Shwetank Singh: So, the one in Hyderabad is INR560 crores of capex. When we had reported it in the press, we had actually done the right thing by adding IDC and with lease deposit. And therefore, that had added up to INR 630 cr. We realized that the market didn't interpret it that way and hence we wanted to clarify this that pure construction cost that's going into the building is INR560 crores with including 40,000 square feet of commercial space. So, it is still very, very efficient, probably at the top end of capex deployment in that price positioning of the hotel.

Coming to the price positioning – should we expect INR25,000, I think quite easily. Today, the market at the top end is driven by ITC, and we know that they are fairly in that region already, if not higher than that. So, there is no reason for us not to expect that kind of pricing from a hotel which will be brand new and probably much superior to the comp set there. So that's the second part of the conversation.

Nitin Khanna: Karan, from a direction perspective, I think we normally don't give future directions in a very specific property. And this is, again, a capex, which is back ended. I would suggest to keep this information up to this level only.

Karan Khanna: Sure. And on the pipeline for FY '27, Shwetank, how does that look like? Is there a guidance you'd like to lay out for that?

Shwetank Singh: I hope you like our expansion plans because we are now up to 1,655, taking up to over 5,000 keys. So, I think we are probably amongst the best in the market when it comes to the growth cycle.

Secondly, are we going to stop there is your main question? Absolutely not. We continue to be in a growth phase. As a company, we love our group and sister companies as well. So, we tend to work with them for a while, it just helps us to follow the commercial development. It just gives us captive demand and almost ensures that we start on a very, very strong base as soon as we come to the opening.

So overall, we love expansion. We are going to continue to expand. What are we going to do in terms of what kind of assets? We continue to be very efficient on the greenfield. We love conversions because we know that we can sort of reduce the risk on land to launch and get a higher return on our capex employed overall. But we would also not stop at acquiring good hotels like the Westin Rishikesh, or the Marriott in Aravali because we know that it significantly reduces the execution risk for us overall and gets us to cash flows very quickly.

Moderator: The next question is from the line of Achal Kumar from HSBC.

Chalet Hotels Limited

May 15, 2026

Page 15 of 18

Achal Kumar: I want to understand about the impact. So, you highlighted that you lost 9,000 rooms, but that's

all from foreign tourist arrivals. How do you see the domestic -- I mean, because everybody is talking about the domestic replace international. So how do you see the domestic demand? And do you see the domestic corporate events are actually increasing the number? They are not cancelling? So how should we think about that? And you must be talking to your corporates; how do you see that business? So that is first question.

Secondly, on the strategy about the growth, you highlighted that you're expanding beyond business hotels. So, you're expanding luxury you said 20% you have decided to grow 20% at least or maintain 20% luxury side. But I mean, I think if you see the GCC growth, I mean a lot of GCC growth is coming in Tier 2 - Tier 3 cities like Jaipur, Coimbatore and all. So, is your strategy still remains limited to expansion in these known cities, or you are sort of open and then you plan to grow in other cities where you see a lot of business coming through in the GCC and even in the leisure?

Shwetank Singh: So sorry, just to clarify, we didn't say luxury. We said 20% in the leisure segment.

Achal Kumar: Sorry, sorry. My bad.

Shwetank Singh: No, I just wanted to clarify that because that luxury is not something that we want to get to 20%. In terms of our growth, as I said, our strategy is very well stated. We are not going to mend what is not broken. The strategy is working brilliantly for us.

We will go to leisure spaces, deep markets, but we will continue to expand in the key markets just ahead of the infrastructure curve with large big-boxes, because we know the unit economics on them is brilliant. And therefore, if you see our industry leading EBITDA margins come from the fact that these are big boxes with very efficient operations and a brilliant asset management team to back up all of that. So, we will continue to grow and continue to grow in a diversified manner as we have said before.

Moderator: We'll move on to the next question from the line of Dipak Saha from Ashika Institutional Equities.

Dipak Saha: One question you see the last 2 quarters trend the diversion between RevPAR and room revenue,

even this quarter - minus 3% RevPAR leading to 4% kind of room revenue growth. So under normal course of business given the last year base was also very low, if we are able to pull off mid-single digit, high single digit kind of RevPAR growth, is it fair to assume that, that can culminate into double mid -double -digit kind of room revenue growth at least for FY '27?

Shwetank Singh: Yes.

Dipak Saha Last one on the lease side, any risk from work from home point of view in terms of incremental signing that is possible? I'm saying on the commercial side as far as incremental signings are concerned, given the commentary that has come from the senior leadership. I understand long term, we are secure. But in terms of incremental signings on the commercial annuity, do we see any moderation risk on the commercial annuity side?

Chalet Hotels Limited

May 15, 2026

Page 16 of 18

Shwetank Singh: No, not at all. In fact, if anything, our demand side has gone up and quite significantly. And while at Chalet, we understand the space, the group understands the space even better. And if you see the growth of Mindspace, you'll realize it just continues to grow.

The GCC story is, as there is a recent article also on Times of India, if you have seen, everything seems to have nearly grown at 30% - 32% in the last 3 to 4 years on the GCC space. So, it's a space that's really growing. We don't see any slowing down on that.

Moderator: The next question is from the line of Abhay Khaitan from Axis Capital.

Abhay Khaitan: So just one question on the margin side. So even in FY '26, we saw that there was some slip in the hospitality EBITDA margin. And going forward, if we are expecting incremental occupancy to come more from domestic

versus international, how are we looking at the margin outlook in

FY '27 and '28? And what are the strategies that Chalet as a unit can take to increase that?

Shwetank Singh: See, look, if you see historically, our margins have been absolutely at the top -end of the industry, and it continues to stay there. What we need to realize is that for the city hotels, we are not likely to significantly grow the margin percentage. We are pretty much at a stable point where the flow-through is equal to the margin. So, you can't grow the margin at that point even mathematically. So, they will continue to remain stable, and that will be our key challenge and our asset management team's key challenge to keep that margin stable.

But on the leisure side, we still have some growth because we have not stabilized on the margins in our leisure portfolio. And we expect that to grow to at least mid -40s, thereby overall continuing to grow the margins of the portfolio.

Don't forget, we have a little bit of scope on the CRE side also because our margins are at, I think 83% - 84% right now. So there is some growth that we can bring from there. Don't forget that we had also mentioned asset sweating which is very central to how we look at our existing business. We will continue to add new revenue -generating areas where they didn't exist before. And therefore, we will continue to see margin expansion as well as a growth overall on the revenue side.

Nitin Khanna: I think in addition to that, we also have Bangalore ramp -up. We have added 121 rooms, which also will kind of impact our margins. And once the complete ramp -up happens, that also will stabilize our EBITDA margin.

Moderator: The next question is from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, my question is on DIAL while you highlighted that this is a onetime proposal for one project. But just wanted to understand this decision a bit better. Basically, this is an airport hotel, you have Taj as a branding partner. So that means that the scale can be much faster in the first year itself. Then in such a scenario, why choose to dilute -- why not take debt and fund the capex of that particular hotel?

Shwetank Singh: Sorry, can you repeat your question? We were losing you in between.

Chalet Hotels Limited

May 15, 2026

Page 17 of 18

Jinesh Joshi: Why choose an equity partner in DIAL rather than funding the capex via debt because this is an airport hotel where occupancy can be very healthy in the first year itself. So, wanted to know the reason behind dilution versus debt funding?

Shwetank Singh: So, this is not a capital decision for us, Jinesh. Let me clarify that. This is not a capital decision. We are trying out a project level partnership that we have not tried before. We're just trying to figure out how this works. You have already seen the strength of our balance sheet. It's not that we are looking or scrolling for capital right now. So, it's not a capital decision, just for clarity.

Moderator: We'll take the next question from the line, and this will be the last question for today. Due to paucity of time, Kaustubh Pawaskar from ICICI Direct.

Kaustubh Pawaskar I will just ask the question which earlier participant was trying to ask , on the demand. Sir, you mentioned in your initial comments that you have witnessed cancellation on the foreign tourist arrival in terms of the room nights.

What we are trying to understand is that if this scenario continues, global uncertainties continue, I'm not talking from the quarter 1 perspective. I'm talking from the entire year perspective. Q1 might be good for us because the base was low.

But if this uncertainty continues, so from domestic corporate cancellation point of view or if there are any cancellations going ahead since even government is also trying to emphasize more on online meetings or Work from home scenario and if corporate tries

es to reduce on their travel

cost going ahead. So in that context, is there any risk of cancellation from the domestic corporate travel point of view? And if this is first part of the question.

Second part of it is that whatever steps you are talking about or the upside risk we have in terms of the leisure properties or the rooms coming occupancies at Bangalore new rooms getting that will mitigate whatever the risk which I'm talking about?

Gaurav Singh : This is Gaurav. I'm answering this on behalf of the team here. From a perspective of what Shwetank just touched upon, the international traveller , we did have a decline in the numbers that were shared to you, approximately 9,000 in just the month of March.

But when we look at the domestic traveller , so to speak, we've had no decline principally in the entire portfolio. We believe that given that there is more scope of opportunity available in the portfolio now with the occupancy availability, we'll be able to use that space available by correcting our segments towards driving the occupancy upwards.

When we speak of correcting a segment, it is essentially looking at segments which we otherwise may have restricted given that we had international business coming in, largely like groups, MICE that could have been restricted in larger size.

If I was to give a perspective of that as a number, we've seen an upward trend of almost 10% on our group segment, moving from 20% to 22% of the entire business segment just in the last month alone . And these corrections will allow us to be able to move our segmentation, driving domestic demand upwards.

Chalet Hotels Limited

May 15, 2026

Page 18 of 18

Moderator: As that was the last question, I now hand the conference back to Mr. Shwetank Singh for closing comments. Thank you, and over to you, sir.

Shwetank Singh: Thank you so much. I understand there was still a long queue of questions, and I know we missed some of the people. Please feel free to write to Deepak, who heads Investor Relations for us.

We'll be very happy to answer your questions separately.

As always, we appreciate your insightful suggestions and queries. We hope we have been able to respond to all your queries. In case you need any further clarifications or insights on our business, please contact Deepak once again, and he will be able to help you. Good day and thank you so much.

Moderator: Thank you, members of the management. On behalf of Chalet Hotels Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited for readability purpose)